L&T; Technology Services Ltd. (LTTS)

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Exchange Plaza, Bandra -Kurla Complex Phiroze Jeejeebhoy Towers,
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NSE Symbol: LTTS BSE scrip t Code : 540115

Subject: Transc ript of Earnings Conference Call for L&T Technology Services Li mited (LTTS) for the quarter ended June 30, 2022

Dear Sirs,

Please find attached the transcript of Earnings Conference Call organized by the Company on July 15, 202 2 for the quarter ended June 30 , 202 2 for your information and records.

Thanking Y ou,

Yours sin cerely,
For L&T Technology Services Limited

Prajakta Powle
Company Secretary & Compliance Officer
(M. No . A 20135)

Encl: As above

L&T Technology Services
Q1 FY23 Earnings Conference Call Transcript

July 15, 202 2, 20:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO,
MR. ABHISHEK – COO,
MR. RAJEEV GUPTA – CFO,
MR. PINKU PAPPAN – HEAD, INVESTOR RELATIONS

Disclaimer : Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such f orward -looking statements. L&T Technology Services Limited (LTTS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and Gentlemen, good day and welcome to L&T Technology Services Limited Q1 FY 23 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pinku Pappan, Head of Investor Relations. Thank you , and over to yo u, sir.

Pinku Pappan: Thank you, Aman. Hello everyone, and welcome to the First Quarter FY 23 Earnings Conference Call of LTTS . I am Pinku, Head of Investor Relations. To those of you who have joined from India, thank you for partic ipating at this late hour. Our financial results, investor release and press release have been filed with the Stock Exchanges, and are also available on our website, www. LTTS .com. I hope you've had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes, and then open up for Q&A. The audio recording of this ca ll will be available on our website approximately one hour after this call ends.

Let me now introduce the leadership team present on this call. We have Amit Chadha – CEO; Abhishek – COO and Rajeev Gupta – CFO.

We will begin with Amit providing an ove rview of the company performance and the commentary on the outlook , followed by Rajeev, who will walk you through the financial performance.

Let me now turn the call over to Amit.

Amit Chadha: Thank you, Pinku. Ladies and gentlemen, thank you so much for join ing us on the call today. I know this is at a very late hour, 8 p.m. India time and that t `oo on a Friday. We normally host these calls earlier , but because of the Board Meeting and then the AGM being held today, we got delayed. So , thank you so much for taking the time and joining. I hope all of you are healthy and safe.

With that let me start with the key highlights of our Q1 performance.

In USD terms, we had a sequential revenue growth of 4.7% in constant currency with Plant Engineering and Industrial Products leading the growth.

Operational efficiencies helped us to deliver an EBIT margin of 18.3% even as we invest for future growth and capability building.

We had bookings TCV at similar levels as Q4, which was our highes t ever. Our large deal engine fired well with one USD 50M+ deal, four USD 15M deals and two other deals with TCV of USD 10M.

Let me now provide segment wise performance and outlook.

Starting with Transportation - we had a good quarter with sequential growth of nearly 3% and about 5% in constant currency. This was broad -based across sub -segments of Auto, T rucks & Off Highway and Aero.

In Auto and Trucks & Off Highway , demand continues to be good in the EACV space, with programs on design of high -power motors and inverters, test lab development, digital cockpit and analytics. We are extremely happy to be investing incrementally in connected solutions to take advantage of the rising spends in the connected part of the EACV space. There are a few connected and electric large deals that we are pursuing in Europe at this stage.

Two quarters ago, we talk

ed about our growing pipeline of opportunities in the Aerospace and Rail segments . Q1 marks a second consecutive quarter of a large deal win in Aero and Rail - with a USD 50M deal in the Rail space, which is on the back of the USD 100M+ deal that we got in the eVTOL space last quarter. The new deal is in the Rail signaling space where we will work on next generation connectivity -based solutions.

Recently, we've also been empaneled within a European Aerospace major . To build on that

relationship and other Aero OEMs in Europe, we opened an engineering design center in Toulouse, which will cater to new age digital requirements of Aerospace.
Overall, for Transportation, we see a healthy demand environment driven by the medium to long term trends of EACV and we expect our growth trajectory to sustain.
In Plant Engineering – We had a strong quarter with 7.5% sequential growth that was broad - based across FMCG, O&G and Chemicals. We are benefiting from a secular trend across the sub-segments towards capacity expansion, plant modernization, automation using smart technologies.
Our clients are investing in expanding capabilities and capacities across product lines , and that means new plants and/or ramp up , retrofit to the existing facilities. There are also investments being made on the digital side, especially automation, analytics and Industry 4.0.
In O&G, we are seeing engineering value centr e opportunities for cus tomers with clients globally - which m ean we could start the work from a US site and expand into Europe or vice versa , leveraging India as a low -cost location for delivery.
Summing up, we are positive on the outlook of Plant Engineering and expect the growth momentum to continue.

At Industrial Products - we had a strong growth of 4.4% in the quarter, which was led by Electrical, followed by Building Automation. As more new factories get opened up, it is spurring demand for equipment across machinery and electric value chain. We are seeing demand being driven by digital engineering - with higher adoption of IIoT and robotics, as customers build factories of the future. There is also an increasing focus on Electrification and Sustainability - with a conscious shift to renewable energy, which leads to design and development of new types of equipment.
Overall, for Industrial Products, we are seeing demand continue with new product development, digital connected products and platform developmen t.
In Telecom and Hitech, we had a good quarter in terms of deal wins – with 2 deals in the Semi space, one where we will be expanding an R&D lab setup and the other one where we are developing chips for the Auto industry leveraging both our VLSI design and Auto function al safety expertise. Demand is likely to be there in the specialized chip space as newer capabilities like 5G and AI get added. Our investments into 5G labs are paying off well with repeat dea ls from customers.
In Hitech, we are seeing a good pipeline of deals with some of the largest technology companies where we were empaneled recently as vendors or partners. The large deal pipeline in Telecom & Hitech looks promising , though we are choosy in the kind of deals we pick up - we prefer new technology that will help us scale and be profitable. Our pace of growth is likely to improve as some of these large deals close over the next quarter or so.
Lastly, in Medical - we picked up pace versus last quarter with growth of 2.6% in Q1. Demand is being driven largely by spends in QARA and Digital. There is a rising trend of using software for enhancing existing devices , for example, using medical imag e fusion to diagnose and detect diseases faster. We are also working with chipset companies to develop chips for image processing. To expand the addressable market, we are investing in sol

utions like Software as a
Medical Device (SAMD) that will enab le us to increase mind share with clients . We have made good inroads recently, acquiring new customers where we expect growth to come in going forward.
There is some tightening of budgets and caution among some of our customers in Medical on account of inflationary cost pressures. However, we are trying to offset the softness with a broad er digital play and targeted large deals.
Now, a few highlights on Digital engineering and Technology - On the innovation front, our engineers continue to innovate and filed 25 patents in Q1. We have been able to maintain this pace of 25 patients for a few quarters now. In fact, patents for customers were at 20 as well in the past quarter.
Our offerings are consistently rated high by industry analysts. Happy to share that ISG in the ir recent ranking has rated us as leaders across Design and Development (Products Services ,

Experience), Connected and Intelligent Operations - Discrete Industr ies, Connected and Intelligent Operations - Process Industr ies in both US and Europe regions
Let me now discuss the Outlook - The current macro environment is more challenged compared to the previous quarter , with headwinds like inflation, supply chain disruptions, rising cost of talent and capital. We had se nsed some of this when we spoke to you last quarter.
While we do see signs of caution emerge in some pockets like new age start ups, and newer business lines of clients , broadly, wherever there is a paying end client, our customers are proceeding with their transformational programs with Digital being an area of priority and spend.
We believe our six bets focus and capability investments are aligned with the multi -year strategic spend areas of the global ER&D companies and will help us drive further growth.
I'm happy to share that the measures we've taken towards greater employee connect and engagement have yielded results. LTTS has been recognized as a Great Place to Work® in India for its employe e friendly best practices and is a testament to our standing as a preferred company for passionate engineers.
Attrition like we indicated previously , has risen but we are seeing signs of it stabilizing and we are working inclusively across our employee base.
Finally, we reaffirm our F Y23 guidance or 13.5 -15.5% in US dollar terms. The currency volatility in Q1 has impacted our reported revenue in Q1 and would have an impact on the full year too. On a constant currency basis, our revenue growth guidance translates to 14.5 -16.5% using Q4 currency rates as a baseline.
With that said, I will be around for questions. I wish you all good health. I hand over to my colleague Rajeev now to provide further commentary.
Rajeev Gupta: Thanks, Amit. Good evening to all of you. I hope you're keeping safe and healthy. I'm pleased to share our Q1 FY 23 performance - it has been another quarter of good results with revenue growth and operational execution.
Now, let me walk you through Q1 FY 23 financials , starting with the P&L :
Our revenue for the quarter was Rs. 1,874 crores, a growth of 6.7% on sequential basis. Our double -digit YoY growth trajectory continues with Q1 revenue up 23.4% on YoY basis.
EBIT margin is at 18.3% compared to 18.6% in Q4 FY 22 - continues to be above our 18% aspiration level. During the quarter, we had gains from currency depreciation which were offset by higher employee benefit costs.
Moving to below EBIT : Other income was at Rs. 34 crores, slightly higher on sequential basis due to higher Income from Investments.

Effective Tax Rate for Q1 was 27.1% compared to our target range of 26.5% to 27%.
Net Income for the quarter stood at Rs. 274 crores, which i

s 14.6% of revenue, up 4.7% on
sequential basis, and 26.8% on YoY basis, driven primarily by Revenue growth and operational execution.
Moving to Balance Sheet - let me highlight the key line items :
DSO improved to 80 days at the end of Q1 FY 23 compared to 87 days in the previous quarter, while Unbilled days came at 22 days in Q1 compared to 15 days in Q4. The combined DSO including Unbilled remain flat from previous quarter. Our target range for combined DSO is less than 95 days.
Now, let me talk about cash flows - Our Free Cash Flows w as Rs. 91 crores, which is 33% of Net Income . This will improve as quarters go by.
Our Cash and Investments rose to Rs.2,241 crores by end of Q1 FY 23.
Moving to revenue metrics : On a sequential basis $ revenue growth was 3.2% in reported terms and 4.7% on constant currency basis, mainly led by Plant Engineering, Industrial Products and Transportation segments.
The segmental margin performance improved in 3 out of 5 segments on a sequential basis.
Now, commenting on operational metrics : The Onsite :Offshore mix shifted towards offshore. Offshore percentage now stands at 56.2%. We expect this to be around 57% to 58% range going forward. The T&M revenue mix increased to 73.1% in Q1 – this reflect s the wins in digital and leading -edge space.
Client profile , which indicates number of Million dollar plus accounts , has show n a sequential improvement in USD 20M+, 10M+, 5M+ and 1 M+ plus range. The client profile numbers have seen an improvement over the past few quarters, and this trend will continue in the coming quarters.
Client contribution to revenue - All three categories, Top 5, Top 10 & Top 20 showed a slight decline compared to Q4. This is a s some of our Next 20 customers have been growing at a faster

clip, which is also visible in the improvement in our USD 10M+ plus customers.
Headcount increased sequentially by 572 employees, while Attrition moved up to 23.2%. We continue to invest in talent for future growth and believe the attrition trend will likely soften in the coming quarters as we take various employee engagement measur es.
Realized rupee for Q1 was around Rs. 78.2 to the US dollar , a depreciation of over 3% compared to Q4.

Before I conclude, let me give some visibility on EBIT margin trajectory going forward. In Q2, we will have headwinds from wage hikes that are effective July ’22, which we will try to offset through a combination of growth and operational efficiencies. As indicated in the prior quarter, our aspiration is to maintain EBIT margin at 18% levels in the medium -term with levers such as growth, bett er quality of revenue s, and operational efficiency gains.
I thank all the investors and analysts for their continued patronage. And with that, I now hand it over to the moderator for Q&A session.
Moderator: Ladies and gentlemen, we will now begin the ques tion-and-answer session. The first question is on the line of Mukul Garg from Motilal Oswal Financial Services. Please go ahead.
Mukul Garg: So first question was on the growth side. It was good to see that you're regularly now winning USD 50M to USD 100M deals on a standalone basis. You also mentioned that there were deal booking in Q1 like Q4 was your highest ever. Just trying to put that in context, can you just share your views on the segmental impact, which is baked into your guidance from the macro weakness which you are seeing. You mentioned medical devices, but given that the large deals are coming in, how do you see the impact of client spending slowdown that will flow into different verticals?
Amit Chadha: Mukul, Hi, thank you so much. Mukul, first of all, we do believe that our guidance that we provided, if I take the constant currency bit of 14.5 -16.5%, that takes into account the wins that we've had not just in the current quart

er, it takes time to start. But what we've been having in the last two, three quarters, right . As a trend, what we've seen is that deals in Transportation, Plant Engineering , and Industrial Products are there which we've been winning consistently and Hitech, we've seen deals in specific areas, while Medical has been slightly smaller ticket sizes, if I may, right. But that is not to say we don't want incremental revenue, we only want exponential revenue. I'm happy to take incremental because every client and segment is different. Where we are seeing and I did mention in my commentary, Mukul, that there are areas where there's no paying customer for a project. Six months ago, everybody was saying even though there's no paying customer that it will come, let's go ahead and do the product development or deployment, etc., I have seen in the last quarter. That's why when we gave you the guidance at the end of Q4, we had bake d some of that in because we were starting to see customers telling us that customers will buy - like on e the CFO turned around and said, my customer will buy, they may just trade down to a lower version of the same device. In other case, a client came b ack and said that I am doing a rationalization of what skills do I have in -house to what I will give you externally and maybe I may have overh ired in a certain area. So therefore, I will look at you to help me in ABC space . The good thing I'm seeing is clients coming back and saying , you are an extension of my space. So, if you are investing in a 5G lab, you are investing in a sensor lab, you are investing in a device test lab, I will not do it. I will leverage your space. So, I do see that as a positive more than a negative. I hope I've answered your question.

Mukul Garg: Sorry, just to clarify, except for medical devices , there is no clear -cut trend which is developing till now in terms of impact. And second part obviously, have you already started seeing clients - kind of looking at cost rationalization through giving more work to LTTS?
Amit Chadha: So we are definitely seeing people leverage us for speed -to-market. But there are clear customers coming to us with cost -to-market as well. And those enquiries, those deal closures are happening.
We do see, like I said and then you reconfirm ed - Medical and certain pockets of Telecom & Hitech, where we do see a little bit of a pause. Like I said, if there was a paying end-customer, profitable paying customer, those projects are going forward, those areas are going forward. In fact, some of our large deals that we've had, there are some deals that we are shaping up in Telecom, which basically are going to be worked on the f act that we will be able to do it in our

India centers - cheaper, better faster.
Moderator: The next question is from the line of Vibhor Singhal from Phillip Capital. Please go ahead.
Vibhor Singhal: So, Amit, I just have one broad er level question. Given that you've been in this industry for such a long period of time, and I'm sure you've seen ups and downs in the industry from the client side and everything. So just wanted to basically pick up into the fact that right now we're al l looking at maybe a possible recession from that, two or three quarters down the line, or whenever it is. Typically, when such economic downturn or a recession happens, how do clients tend to basically react in terms of their processes, and which specific set of clients tend to basically cut more or cut first than the other ones? And a side up question to that, does this captives form the large part of the ER&D ecosystem across the world, does an economic downturn like this actually make these companie s do less work in their captives to save cost and outsource more or is there any trend like that, that we can probably just if you could provide?

Amit Chadha: Sure. There's a recent report that's come out from Z innov. Report was released in May or early June, which basically said that by 2025, ER&D spend is about USD 1.6 Trillion in 2021 and they expect this USD 1.6 Trillion by conservative estimates to go to USD 2 Trillion by 2025 and optimistic estimates to go to USD 2.3 Trillion. Now, there are two parts, we really look at the report and then I'll correlate to what I'm seeing. Legacy engineering or traditional engineering, ER&D, they are saying will go from the c urrent USD 982 Billion in 2021 to a USD 1 Trillion by 2025. So, not a lot of difference. The growth will come in digital, which will go from what, USD 650 Billion to between USD 1 Trillion - 1.3 Trillion. Here are the positives right in spite of recessionary talks, etc., a) People are still going on vacations, airports are full , jam packed, hotels are not available, staff is less, people are more . b) Staffing challenges and pressures will not go away and therefore people are turning to automation. c) People will pay for the experience at this point of time, even in a business hotel they want they want to be able to check in fast and check out fast and therefore there will be in a digital system that will be put in place. Truck rolls are becoming expensive, nobody wants to sit in a truck and attend to maintenance issues. So, there is definitive spend that people have to do if they want to stay relevant in predictive maintenance and reactive maintenance, etc., by automating more. So, automation spends, digital spends are there and will continue to expand. The one thing that is definitely happening is clients are turning around and saying, so when is payback, is payback in 12 months, i s it 24 months, is

it 36 months. So , there are definitive conversations that are happening. Second, I'd shared this when we won the USD 100 Million deal as well with you - Larger deals take a little bit longer. Nobody's flying into ride a check and leave. So , that behaviour has not changed. The area where I have seen people coming back and saying, let's hold off and discuss is where they don't have a paying customer. There is a new product launch they don't know who the customer is for sure. Their payback period is seven years, their payback period is eight years, they are discussing it. But at the same time, Oil & Gas and CPG is spending like there's no tomorrow. So t hat is a positive that we're seeing. So I do not want to paint a picture that it's going to come as bad as COVID. That is impossible. That was a black swan moment in my view. But what we are seeing is specific pockets, people are asking the question. We a re having to reconfirm that this still makes sense, still possible for their consumers. And that's what we're doing right now, and that's where we see the market heading as we move forward. On our own turn as well, we are continuously work ing on improving utilization, etc., that we're doing and reskilling, etc.,
Vibhor Singhal: On the captives one, is there a trend generally in recessionary times that clients tend to outsource more and give less work to their own captives or nothing like that?
Amit Chadha: So it is different for different segments. I will tell you one thing I am seeing. I am not seeing segmental problems. I am seeing specific company issues. There could be a client that has been in a problem because they were depending on a product l ine & that's gone away. So , they are in a problem. That I'm seeing. But overall segment standpoint, I still see ER&D cautiously optimistic if I may.
Moderator: The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
N Padman abhan: I have two questions. The first is you had mentioned that you're seeing some challenges or caution in newer business lines and clients in st

art-ups. So , if you think about the business, is it a significant proportion of the overall business as a perc entage?
Amit Chadha: No, it is not. Please read my comments more as that I was providing a generic commentary that see, when there is a start -up, again like I just said, number of payback time, etc., is a challenge. If I may say in another way, the era of free money is over. You have a paying customer; I have money for you. You don't have a paying customer or you have an idea, please wait in line. That's

broadly what we're seeing.
N Padmanabhan: In that same context, let's assume broadly global growth does slow down quite a bit and then you contrast that with a shock kind of scenario that we have seen during COVID or GFC. If growth just slow s down, and there's no shock, then how would you think about growth, do you think that's more beneficial versus a sh ock relatively?
Amit Chadha: See, it's all segmental , if you look at it . It varies, right, it depends. Even if growth slows down, even if oil prices come down to $80 /Barrel, I do believe that Oil & Gas, CPG will continue to spend. They have longer cycle times, paybacks periods, etc., they will continue to spend. Chemicals will continue to refresh their businesses, b) People are looking at alternative energy

very seriously. So anything to do with electric will continue to grow, which has impact on Auto, IP, etc., That's the part of sustainability if you like , c) autonomous is going to grow, whether it be autonomous robots, warehouse retrieving systems, you look at baggage handling systems, etc., because reality is that there is a labor shortage. So these three things plus telemedicine and governance around Medical, these are the areas that will grow. Aircraft traffic is back. That is not going anywhere, that will continue to grow. New design cycles will start. But there will be areas where there will be a pause, there will be a refresh, there will be a recalibrat ion and we are seeing that on the ground. And when we had talked to you last quarter, when we gave you the guidance and we reconfirm today, we do see those continuing on . That is there.
Moderator: The next question is from the line of Sandeep Shah from E quirus. Please go ahead.
Sandeep Shah: Just the first question relates to the top clients. This is second quarter in a row where growth within top -10 clients being lower than the company average. And Amit, just to reconfirm, relate to your comment is you a re saying, the issue is more client -specific rather than industry -specific or segment -specific? So, are we seeing any clients specific issue in any of our top 10 clients?
Amit Chadha: Sandeep, I'd like to confirm to you that in fact rather than lookin g at revenue from top 5 or top 10, right, I would request you actually to look at my client profile and compare that. In Q1 last year, there was no USD 30M+ account. I've got two and this is LTM by the way. We do not share the picture of run rate in the current quarter, but we go LTM. But my run rate in the current quarter picture is a better picture than this picture on LTM. My USD 20 M+ clients grew by one sequentially and two YoY . I look at my USD 10M+ clients, three added in four quarters and in single quarter one, USD 5M+ added. So I would not worry about top five just yet. I've always said we're not a quarter -on-quarter business. We are a more longer -term business, medium -term business. Kindly please look at it next quarter, you will see some of this refresh. I will not worry about it. But I do understand where you're coming from. But I'm reconfirming to you and telling you, I do not have any client situation or issues. We d id have one project in Q3. A significant project with a customer that we dropped in Q4. We told you about it at the end of Q3. And that's done and dusted. Beyond that w

e don't have any challenges.
Sandeep Shah: Just in this quarter, the employee cost as a percentage to revenue has gone up by 300 basis points. So what will be offset in tailwinds, which led to just a 30 bps kind of a margin decline as a whole? So I missed the margin walk. I got disconnected. Sorry, if I am repeating.
Rajeev Gupta: This is Rajeev. I'll take that question. So yes, we did see the employee cost go up 300 basis points in this quarter. And that's at the back of the investing in talent that continues, right, and this is a quarter where we see the full impact of the hiring that we've done in the previous quarters as well. The freshers that we've been talking around, we believe that some of this will start to yield benefit going into Q2. And also, that's an area where we think it's going to be one of the levers that will turn out to be more positive. In addition, we invest on certain accounts, right. And these have been recent wins, where we are building capability so that we're able to have these resources trained ahead of time so that they are able to deliver on to these new wins and accounts that we've recently won.

Abhishek : I will just add on to what Rajeev was mentioning. This is Abhishek here. There are one or two deals that we have won in the last quarter, which needs reasonable amount of investment before they start b illing…I can't share the numbers with you. So the upskilling and training that we're doing for these resources will start generating revenue from mid -July to early -August. And that is the other reason why we had to invest in the talent and C&B as a perce ntage has been impacted

to some degree. Also, this quarter, you would have seen we've not taken freshers. So our net headcount increase has more to do with laterals that we have hired unlike the last few quarters, because this is not the quarter where industr y takes freshers anyway.
Moderator: The next question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.
Abhishek Shindadkar: My first question is regarding your comments about challenges in Telecom, Hitech. Can you just elaborate, which pieces of Telecom are under pressure? And also , on the Hitech piece, is it because of the semicon ductor disruption or are the product companies witnessing slower growth for them, which is driving their spending chall enges? The second is just a clarification on the guidance per se. So, the last quarter guidance you gave, should we take that as a CC number and then assume what you gave which is the current guidance, which is an increase over the previous quarter? And th e third question is again on the employee number. Now, as per the filings on BSE, employee cost is up roughly 12.5%, while as per the presentation it is up roughly 7%. So, the disconnect is largely because of the sub -contracting or how should I read that figure?
Amit Chadha: Sure. So, we will obviously answer it in the sequence it was said. So, if I look at Hitech, I'll divide that up into six sub -segments; there is Consumer Electronics, there is Semiconductor, there are Telecom operators, there is Media & Entertainment, there is Telecom infra and there is I want to call it platform companies or ISV companies. Now, as far as semicon ductor is concerned, going well, gangbusters, no project pauses, design cycle is intact. As far as consumer electronics is concerned, there is a little bit of a pause, start, pause , start because China supply was not coming, what do they design unless they're ab le to get the product out, etc., There's been a little bit of a question being asked again in that C -area and not cancellations, but just delays in decision -making, etc., In Media & Entertainment, no pauses, no stops, we are seeing continuous project -after-project program -after-program. If I take Telecom oper

ators and Telecom infra, I will lump it together and I will say that areas where 5G has been approved, things are going forward, where 5G has not been approved or people are trying to find paying c ustomers, etc., there are questions. This is also the area where we bought Orchestra and we seem to be doing fine and expanding and building out account that could be in a USD 10M range in this space. Platforms is where we are seeing free mo ney stop. And you've seen the news as well as I have and we've seen it in our projects, etc., that people are clearly questioning that will advertising come and should I invest in this particular sub -product or package. So Consumer Electronics and Platforms are sub segments is where there are questions. A nd if you ask me Telecom operators and infra was delayed in 5G, and we continue to see some pause, some stop, etc., certain areas, we're seeing 5G decisions. So therefore it's starting to pick up. So that's your answer on Hitech. Again, I am not saying doom and gloom, I'm just saying, there's a question asked, is there a paying customer, who's paying for this in the room. That's coming up. Also, a lot of these companies had over hired their own staff, not our work. So, they're pausing to see

whether the y want to do it or not. Yesterday, one of the GAMMA companies came out and said that they will fire 1,500 people, but will hire in a different technology area. So technology refresh, technology reassessment is happening. That is question number one. Question three on employee cost. Rajeev will answer. The second one on guidance. I want to say it unequivocally our guidance in reported currency is at 13.5 -15.5%. If I was to take currency base at Q4 FY 22, then please read our guidance as 14.5 -16.5% .
Rajeev Gupta: Let me take the question on the employee cost and I will guide you to look at the investor release. When you compare between the investor release and of course, the financials that have been shared on the SEBI site , this is really on account of the ESOP cost that have been issued to the senior management. In the investor release we classify ESOP cost under SG&A. So that's the primar y reason why you're seeing the difference. I hope that clarifies, Abhishek.
Moderator: Next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.
Mihir Manohar: I had a question. I mean, in your opening remarks you me ntioned, you're having some conversations with the clients particularly to the next year and clients are getting slightly cautious. If you could throw some more light as to what exactly are these conversations, that would be helpful? And second thing was how are y ou seeing spends particularly on the automotive side of the things specifically on the EV and self -autonomous, have the global spends still continu ing or should there be a question over there?
Amit Chadha: So let me give you some excerpts of conversation that has been happening with our clients. So no names, but I will tell you some of the excerpts so you can get an idea. 1) “COVID -19 is there but not prominent anymore. We know it’s there, but we have learned to live with it ” - Multiple CXOs. 2) “The great resignation era looks to be easing and we are relooking at our talent mix. ”

- this is from the CXO of a Hitech customer. 3) This is from VP engineering of a big three auto company – “The chip situation will improve throughout 2022 and hopefully stabilize in 2023. 4) This is from the C FO of a large Medical company. Our customers continue to buy, but will start trading down. ” 5) Next one is from an Industrial Products company CEO – “Product lifecycle is getting shorter. Going digital is good for us. We have discovered new markets and will continue to expand leveraging digital technologies. ” 6) Now, this is from an auto tier -1 CEO, not

an OEM, but a tier -1 CEO - “We are optimizing capex . Need to prioritize where we invest in, where we can wait. Electric and Experience will be the key differentiators for car buyer to the future. ” 7) Finally, it is from a Telecom infra customer ’s CEO – “Everybody needs faster reliable networks, but we need paying customers. ” So this is some of the verbatim lingo that we are hearing . I told somebody earlier today, I don't track the numb er of meetings our senior management does with our customers or the number of clients visiting us. I can assure you year - on-year that number of clients visiting us and our CXO level meetings has gone up more than 150% YoY . Last year people were anyway s not traveling. Q oQ, we are up by about 35 -40% in terms of meeting and interactions. So, I want to confirm that there are interactions, I want to confirm there are conversations, I want to confirm there is ideation, idea generation, etc., Again, net-net, if I summarize the whole thing I’ll say proceed with caution. That's the net message I'm

getting. But proceed, surely proceed. Now, let me go to automotive. There are four areas that we are seeing spend are as. One is electric. And that is not fully electric - hybrid electric is happening. Second is autonomous and parts of autonomous. I do not believe there will be a complete highway there are only autonomous cars and we all are reading newspapers. I think it's a little far-fetched. Third, connected, there is definitive conversations. In fact, one more thing happening is people are talking about V2X. That is will the vehicle generate as it runs and pass back electricity back to the grid. And will th at help in terms of paying for the cost of the car. The last thing we have seen differently which was not there two quarters ago is people are pulling us in and talking about cybersecurity and cyberattacks on the car. There is a certain customer I have; he 's actually pulled us in and expanded. And these are not huge teams that you expand with. But there are high caliber people that are working with one of our clients on a certain model year and model of sedans of a European customer, who says that I feel that these set of s edans will get hacked and somebody will come in and create problems on the GPS system. Please come in and see what you can do to tighten it. So , cybersecurity is a fourth area that is getting a lot o f traction in this space. So that's broadly I hope I've answered. People are talking about electric in Off-highway, backhoe loaders, skid steer loaders, etc., People are talking about electric for boats, partly electric, eVTOL we've talked about las t time, that continues to happen.

Mihir Manohar: Just one last extension to it. With the aspiration that we have of USD 1.5 Billion by FY 25, does it give you the confidence in the order book and turn out to be cautious given the evolving situation?

Amit Chadha: Thank you so much for asking that. I'm reconfirming USD 1 Billion dollar run rate either in Q2 or Q3 of FY 23. Second, I'm reconfirming our aspiration to be at USD 1.5 Billion run rate by FY25 in any one of those quarters.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth: Can you give a little more detail on our hiring plan and how are we finding it difficult to hire lateral talent the way which is r equired for our company?

Amit Chadha: I wanted one more point to make here… and before that Sand eep or Nitin had made a point, six big bet areas that we had taken EACV, 5G, Digital Products, AI, Med-Tech , Digital Manufacturing , Sustainability. We are seeing continued traction in that space. In fact, one report I talked about that has come out, that actually talks to it with the digital going up. And the way we are seeing it go,

we believe that these are very relevant. We are actua lly really fortunate that our teams and I would compliment our engineers, o ur leaders that came together to create these bets. They were not top -down, they were bottoms up. In fact, happy to share, a senior customer from one of our top 10 clients came to ta lk to a bunch of us in Chicago about two months ago. And four of the six bets that we have aligned with his bets. So, our sales team turned around and said that we are so pleased that we have heard our customers, and my response was, we heard our custo mers, we heard you, and we culled it bottoms up. So , I did want to share that it was a good moment for me personally, professionally to share it. Now, your question was hiring. See, our hiring continues to happen. Please remember that we took 3,000 fresher s last year. We will take a similar number of freshers this year. 2,500 offers are already out. But we will do a mix of laterals and freshers as we move forward. We are looking at inclusive growth. So that will happen. Abhi, would you like to add?

Abhishek : Yes, just to add to that, our fresher strategy of course will continue, but also our upskilling, reskilling strategy on which our entire talent upgradation is built on, will also continue because that is what we think is a core, I mean, the solutio n is not to keep hiring people from outside at the cost of people inside. So, we will continue to invest in the people in our company in a very focused manner.

Amit Chadha: In fact, I don't want to say, but I will. I don't listen to Pinku often. So yesterd ay, ET has given us the gold award for our global training engineering academy. It's a very proud moment. And our head of global engineering has been awarded the silver award for the work done, I would compliment our leaders, I would compliment Abhishek f or believing in it and bringing it as he came on as COO. That is one of the first things that he institutionalized. So I do believe that this retraining, upskilling, side skilling is there to stay. And I'm really truly grateful to the work that's been done in this area.

Bharat Sheth: How big is the offshoring opportunity the way if our business keeps on maturing, our delivery capability improving?

Rajeev Gupta: I'm going back a few quarters, right, and this was during the COVID times where of course the working model dramatically changed. We believe some of that model is getting reset now. And with that we believe the offshoring at least from our perspective would be in the range of 57% to 58%. We're at about 56%. I believe there's an opportunity to improve by another 200 basis points. And that's at the back of the fact that a lot of large deal new wins, the initial part of that project gets kick started onshore and then moves into offshore over a periodic basis. And hence, I believe that it'd be more in the range of 57% to 58% going forward for offshore.

Moderator: We take the next question that is a follow up question from the line of Mukul Garg from Motilal Oswal Financial Services. Please go ahead.

Mukul Garg: Rajeev, just wanted a clarification. You menti oned, three of your verticals have seen profitability improvement. If we look at just the segmental level profitability, it's at all -time high, but you had a meaningful increase in unallocable expenses this quarter, leading to a margin impact. Can just hel p us make some sense of it, because there was a sharp jump versus last quarter and it is among the highest in last many years, how should we look at it going forward, and is there something which can improve kind of give you some buffer for next quarter wa ge hike?

Rajeev Gupta: Thank you so much, Mukul, for putting up this question. I should have highlighted it earlier. So really when you see that unallocable expenses - that sharp increase, I briefly mentioned,

but I'd like to clarify, I mean, this is essentially the ESOP cost t o the senior management, and that as I said, we tend to classify under SG&A. And when you look at the segmental margin, it is under

unallocable expenses. So, that sharp increase you can attribute to the ESOP cost specially issued to the senior management.

Mukul Garg: So, will this recur or this is a one -time?

Rajeev Gupta: This will recur; this is something that you see from Q1 onwards and it will continue going forward as well.

Moderator: Next question is from the line of Sandeep Shah from Equirus. Please go ahead.

Sandeep Shah: Rajeev, just a follow up in terms of Q2 , the wage hikes will be due and you said it would be compensated through the growth and the operational efficiency. So, are we expecting we can compensate the total headwind of wage hikes thro ugh these tailwinds?

Rajeev Gupta: So, Sandeep again, appreciate the question. So, again, it's something that we see every year, the wage hikes are in Q2. Now we believe as these wage hikes come into being in Q2, we will have levers like growth, quality of revenue, of course, we've seen productivity improvement, operational efficiencies and economies of scale. So we will do in terms of the same counterbalancing, but the fact is that there may be a possibility that not entirely gets absorbed and that's one t o see in terms of how we see the quality of revenues panning out in Q2.

Moderator: Ladies and gentlemen, that would be our last question for today. I now hand the conference back to Mr. Pinku Pappan for closing comments. Thank you and over to you.

Pinku Pa ppan: Thank you all for joining us on the call today. We hope we're able to answer most of your questions. If you have any follow -ups, please feel free to reach out to me. Well, with that, it's a wrap, I wish you all safe times and have a great day. Bye -bye.
Moderator: Ladies and gentlemen, on behalf of L&T Technology Services Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Oct 2022

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October 25, 2022

National Stock Exchange of India Limited The BSE Limited
Exchange Plaza, Bandra -Kurla Complex Phiroze Jeejeebhoy Towers,
Bandra (East), Mumbai — 400 051. Dalal Street, Mumbai- 400001
NSE Symbol: LTTS BSE script Code: 540115

Subject: Transcript of Earnings Conference Call for L&T Technology Services Limited (LTTS) for the quarter and half year ended September 30, 2022

Dear Sirs,

Please find attached the transcript of Earnings Conference Call organized by the Company on October 18, 2022 for the quarter and half year ended September 30, 2022 for your information and records.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prajakta Powle
Company Secretary & Compliance Officer
(M. No. A 20135)

Encl: As above

L&T Technology Services
Q2 FY23 Earnings Conference Call Transcript

For the Earnings Call held on October 18, 202 2, 19:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO,
MR. ABHISHEK SINHA – COO,

Disclaimer : Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statements. L&T Technology Services Limited (LTTS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day and welcome to L&T Technology Services Limited Q2 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance d uring the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pinku Pappan - Head of Investor Relations. Thank you and over t o you, sir.
Pinku Pappan : Thank you, Faizan. Hello everyone , and welcome to the Earnings Call of LTTS for the Second Quarter of FY23. I am Pinku, Head of Investor Relations. Our financial results, press release and investor release have been filed on the Stock Exchanges and are also available on our website www. LTTS .com. I hope you have had a chance to go thro ugh them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website approximately 1 hour after the call ends.
Let me introduce the leadership team present on this call. We have Amit Chadha - CEO; Abhishek - COO and Rajeev - CFO. We will begin with Amit talking about company performance and giving an overview o n the outlook , followed by Rajeev who will walk you through th e financial performance.
I now hand over to Amit.
Amit Chadha : Thank you Pinku and thank you all for joining us on the call today. I hope all of you are keeping healthy and safe.
With that, let me start with the key highlights for our Q2 performance - I would first like to share that we at LTTS are very proud to have achieved the USD 1B annualized revenue run rate on a constant currency basis this quarter. This is a milestone that we had set for ourselves last year to reach by Q2 /Q3 of this fiscal and we are happy that we have crossed USD 250M in constant currency in Q2. I wo uld like to take a moment to thank all our employees that have come together on this journey as well as our Chairman, Vice Chair of the Board, the entire Board and our first CEO – Dr. Keshab Panda for having shown us the vision and ha ving the confidence in us.
Our momentum continued into the second quarter with 4.5% constant currency growth led by Transportation and Plant Engineering segments . The growth was accompanied by sound operational execution with Q2 being the 5th consecutive quarter of 18% plus EBIT margin . Total

deal TCV remains healthy , and our large deal wins include a USD 60M+deal and a deal with TCV of more than USD 10M.
Let me now provide the segmental performance and outlook . Starting with Transportation: We had a stellar performance with 9.4% Q oQ growth in Constant Currency that was broad -based across sub -segments of Auto, Trucks and Off Highway and Aero. Our differentiated EACV offerings have helped us get into strategic engagements with customers yielding us large deal wins consistently - a USD 60M+ deal in Q2 on the back of USD 50M deal in Q1 and a USD 120M deal in Q4. The demand trends in transportation are supportive of our growth :
o Customer preference for electric cars is raising and increasing,
o Semi-conductor shortage in Auto ar

e starting to ease,
o Global air travel has increased by 150% versus July 2021 levels leading to more aircraft orders and a rising backlog at manufacturers and Tier-1s and
o Electrification initiatives are picking up strongly at Trucks and Off Highway and Aerospace.

We continue to invest in EACV . To highlight one , in Connected Cars, we have invested in a next generation digital cockpit domain controller solution that is cur rently being deployed at a customer production program. Last quarter, we talked about deals we were pursuing in the Connected and Autonomous space - as you would have seen our press release in Q2, we have announced a deal with BMW to provide engineering services for their suite of infotainment consoles.

To sum up, we see a good pipeline of deals with many in the USD 10M+, USD 20M+ range that gives us confidence about our growth prospects.

In Plant Engineering , we had a strong quarter with nearly 6% Q oQ growth in constant currency that was broad -based across FMCG, O&G and Chemicals. Clients in all 3 segments are investing - either in greenfield /brownfield expansion or in asset management and digital twin programs.

In Q2, we won a large deal from a Chemical giant to implement a digital twin for one of its flagship sites in the US. We will create an analytic s data platform that will help in sustenance through the plant life cycle. This is for one of their sites and we expect the p rogram to be expanded to multiple sites of the customer.

Sustainability is again a priority , with customers wanting to invest in waste management setups . Processing and refining of plastic waste to make it reusable i s another area where we are worki ng on.

As some of the large deals stabilize , Q3 is likely to be muted for Plant Engineering. The deal pipeline in the US and Europe continues to be healthy that will drive growth for us in Q4 and beyond.

Moving on to Industrial Products , we had a healthy growth of 3.5 % QoQ in constant currency which was led by Electrical , Machinery and Power and Utilities. There is strong demand for Digital manufacturing programs as customers see immediate and certain ROI. We have developed Connected Factory Solutions that help customers implement digital factory and enable factory automation.

In Digital and nex t gen product development, we won a deal to help a Global Lighting manufacturer revamp and reengineer their suite of products.

Across our Industrial customers, we are seeing an increasing number of sustainability led conversations about clean energy and carbon footprint reduction and we are building solutions to capture these spends. We do believe that an energy transition is in progress. Our home -grown solution - Energy and Sustainability Manager has been awarded the Frost & Sullivan Product Leadersh ip Award in energy optimization and sustainability management.

The US government recently announced a USD 7B funding for clean hydrogen as it aims to decarbonize energy -intensive industries. This is leading to many of our customers starting programs on clean energy transition. We have created solutions around battery storage, hybridization, energy management that will allow us to participate in early -stage conversations.

Overall, for Industrial Products, we see growth continuing to be driven by digital products and manufacturing, sustainability and value engineering.

In Telecom and Hi tech, on constant currency terms , we had a flat quarter as the growth in Semicon ductors and Telecom, was offset by weakness in Consumer Electronics and Hi tech side.

In semiconductor, demand trends are positive as customers look to scale up offshore labs that will help in better speed -to-market for their new technology chips. We recently signed a partnership with Qualcomm where we will leverage our chip -to-cloud expertise to

develop and
deploy solutions for the Global 5G Private Network Industry. These solutions are aimed at accelerating digital transformation for the smart manufacturing industry and ties in with our Digital Manufacturing big bet.

On the media side, we are seeing large deal possibilities with vendor consolidation and cost optimization being the key drivers.

As I highlighted last quarter, there is softness in the Hi tech space with companies being cautious on spends . However, we are optimistic about some of the recent large technology companies that we have started engagements with.

Overall, we expect the pace in telecom either to pick up as the 5G and Media deals in the pipeline close . Our play in this s egment is very broad which gives us the ability to target different areas of growth.

Finally, in Medical , we had a soft quarter as customer recalibrated spends on account of inflation and supply chain issues. QARA, remediation, digital health platforms are seeing spends continue. Our investments in software based diagnostic devices are expected to yield us better traction in the coming quarters.
The large deal traction and pipeline is looking up. In Q2, we won a large deal fro m a global healthcare provider in QARA, product remediation and to build a data engineering platform to accelerate productivity and reduce training cost s.
We see growth in Medical in Q3 post the recalibration of spends at our customers.
Now, a f ew highlights in our Digital Engineering and Technology progress - On the innovation front , our engineers continue to innovate and file d 25 patents for LTTS in Q2. We have been able to maintain this space of about 25 patents per quarter for a few quarters in a row.
I would like to call out that the Everest rated LTTS as a leader in Connected Medical Services and in Industry 4.0 Servic es
Let me now discuss the Outlook - across our six bets, we see customer investments continuing unabated. I am very confident about the Solutions that we have developed across our 6 big bets which are helping us win deals - I talked about the domain controller in EACV, the digital thread in Digital Manufacturing and the Energy & Sustainability Manager in Sustainability.
Like we highlighted last quarter, there is caution at customers when it comes to newer business lines where the line of sight for revenue and profitability are stretched. The focus on immediate ROI is therefore creating cost and value led deal opportunities across segments in addition to the speed to market opportunities where digital is the key driver.
We expect Q3 to have the seasonal furloughs and plant shutdowns; however, growth should rebound in Q4. Our FY23 USD revenue guidance is now nar rowed to 15.5 -16.5% in constant currency.
With that, let me end by wishing you all very good health, a very Happy Diwali in advance and I would like to hand over to Rajeev now. Thank you.
Rajeev Gupta : Thanks Amit.
Greetings to all of you. I am pleased to share our Q2 FY23 performance – It has been another quarter of good results with revenue growth and operational execution.
Let me take you through Q2 FY23 financials starting with the P&L:
Our revenue for the quarter was ■1,995 crores, a growth of 6.5% on sequential basis. Our double - digit YoY growth trajectory continues with Q2 revenue of 24.1% on Y oY basis.

Glad to share that despite the headwinds, we have been able to maintain EBIT margin at 18.2% in line wit h our aspirations and this has been the 5th consecutive quarter of 18% plus EBIT levels.
During the quarter, we had higher employee benefit cost on account of wage hikes which were largely absorb ed by better employee productivity, SGA leverage, cost optimization measures and rupee depreciation.

Moving to below EBIT: Other income came at ■26 crores, slightly lower on sequential basis due to relatively lower foreign exchange gains compared to previous quarter.
Effective tax rate for Q2 was 27.2% , close to our target range of 26.5 -27%.
Net Income for the quarter stood at ■282 crores which was 14.2% of revenue, up 3% on sequential basis driven primarily by revenue growth.
Moving to balance sheet , - let me highlight the key line items :
Q2 DSO improved to 78 days versus 80 days in Q1. Q2 Unbilled days improved to 18 days versus 22 days as compared to Q1 resulting in combined DSO including Unbilled of 96 days which is an improvement of 6 days compared to Q1 and just shy of our target range of less than 95 days.
Let me now talk about cash flows: Our YTD Free Cash Flows was ■452 crores which is 81% of Net Income. Our Cash and Investments rose to ■2,436 crores by end of Q2 FY23.
I am glad to share that the board has approved an interim dividend of ■15 per share.
Moving to revenue metrics , on a sequential basis, $ revenue growth was 4.5% on constant currency basis and 3.1% in reported terms led by Transportation & Plant Engineering segments.
The segmental margin performance was better in 3 out of 5 segments on a sequential basis with improvements in Transportation, Industrial Products and Medical Devices.
Now, let me comment on operational metrics: The Onsite -Offshore mix has shifted towards onsite due to new deal ramp -ups. Offshore percentage now stands at 54.9%. We expect this to gradually improve to 57% range going forward as large deal ramp -ups stabilize. The T&M

revenue mix was 73% in Q2 and reflects momentum of digital and leading -edge deal wins.
Client profile, which indicates number of Million dollar plus accounts - has shown sequential improvement in the 30 M+, 20M+ and 10 M+ categories. The client profile numbers have seen an improvement over the past few quarters and this trend will continue in the coming quarters.
Client contribution to revenue – All three cat egories, Top 5, Top 10, Top 20 have shown a slight decline compared to Q1. This is due to stronger growth in Top 20 -50 accounts.

Headcount has increased marginally on a sequential basis as we added 500 + freshers to support ramp -ups for new deal wins while we have optimized on non -billable headcounts and support staff. Though attrition moved up to 24.1%, we believe attrition will likely soften in the coming quarters due to various employee engagement mea sures to manage it.
Realized rupee for Q2 was around 80.8 to US dollar, a depreciation of over 3% versus Q1.
Let me give some visibility on the EBIT margin trajectory going forward - We are watchful of the headwinds from the current economic environment an d like in the past few quarters, we will continue to balance headwinds with opportunities on revenue growth, quality of revenues and operational efficiencies. Summing up, we remain cautiously optimistic , and our aspiration is to remain in the 18% EBIT trajectory in the medium term.
We thank all our stakeholders for their continued patronage and wish you all a Happy Festive Season in advance.
With that, I now hand it over to the moderator for Q&A session.
Moderator: Thank you very much. We will now begin the Q&A session. The first que stion is from the line of Mukul Garg from Motilal Oswal Financial Services . Please go ahead.
Mukul Garg : Amit, just wanted to get some sense on the deal flow, have you seen any moderation in the TCV numbers, the large deals TCV count has come down this quarter and while you mentioned that there are number of deals in the pipeline, is this something to do with increased caution at the client end or is this just a timing issue? The other question was on the guidance, just want to clarify whether should we see this guidance in the c

ontext of last quarter's 14.5 -16.5% which was as of Q4 end or if this FY23 over constant currency FY22, just wanted to assume clarity given the volatility in the currency movements?
Amit Chadha : Number one, on the deal flow, I do want to confirm to you that our pipeline as it stands today is slightly better than wha t it was last quarter and that was slightly better than it was previous quarter. YoY – there is a double digit increase in pipeline. Now, in terms of deal closures, we have been closing 3 -digit deal wins for the last few quarters in a row now . So if you remember , Q4 was a USD 100M win, Q1 was a USD 50M win and this quarter there is a USD 60M+ win.
So, deal wins continue .. I would not read too much into the USD 10M+ because there are deals that are in USD 9M range that closed . We want to maintain the quality of reporting that we do, so therefore we have singled out the USD 10M and I haven't called out the USD 9M, but at this stage I am not concerned with the deal flow or the deal closures as we speak, right, that is two.
Third, I do want to call out that Europe for us has had a significant amount of wins this quarter as they go through 3 items - 1) Cost challenge; 2) An energy challenge and 3) To stay ahead in technology. So, I do see that as an opportunity as we stand today. So, that ’s where we are on the wins. I do hope when I come back in January, I should be able to announce further wins for you and give you the confidence as this continues . As far as guidance is concerned, I am going to turn over to my colleague, Rajeev to answer that question.

Rajeev Gupta : Mukul, on your question related to guidance, I would say that you need to read the 15.5 -16.5% guidance relative to 14.5 -16.5% that we shared in the previous quarter . So, like Amit said, we have now narrowed down the guidance which means we have better predictability to be in the narrow range.
Mukul Garg : Just one question Amit on the Hi tech side, we have heard some of your services peers speak abou t weakness in Telecom and Hi tech space, despite the 5G transition which is going on . While you gave some color, but if you can just kind of move a little bit deeper into the Hi tech vertical and how we should think about this over next 2 to 4 quart ers?
Amit Chadha : Mukul, as far as Hi tech is concerned, break it up into 6 parts, Sem iconductors , Operators, Infra, Media Entertainment and then Consumer Electronics and ISV, six sub -segments if I may . So I

would say that we have seen across the spectrum , other than Operators, we have seen others come back and look at deals and look at spends and question whether those will provide topline or bottom -line expansion improvement in the near term and if they are not, then those deals are being questioned again and again and therefore it is delaying some of that. So, Hi tech, I had maintained last quarter as well that we were finding it a little tight and I maintained we are finding it tight right now also.

Now, if I were to double click, t he biggest shall I say , tightening that we have seen is in the ISV space and then after that followed by Consumer Electronics, Semiconductors , then Infra, then Media Entertainment and finally Operators. So, that is the order we have seen and of course there are people or peer group that is there, they may be seeing different things, this is what we are seeing. Second, because Sem iconductors is not just delivering to Hi tech, but also delivering to Auto and others , that part of the business is continuing on in the Sem iconductor companies. Third, 5G spends - look at it as spends in US and in India because both these countries have got clear road maps while others are coming along and we have not seen the trickle -effect of 5G coming right now . I do believe it will take a couple of quarters for it to be seen by

engineering
providers like us.

Moderator : Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah : Just to achieve the guidance of 15.5 -16.5% in constant currency terms, just wanted to clarify the ask rate which I am getting is 0.6 -1.7% Q oQ in the next 2 quarters in constant currency to achieve the revised guidance . So the question is whether this calculation is correct? And second if it is correct, it shows a slowdown, so it largely factors furlough s or some client specific issues because of the deteriorating macro as well because the first half the Q oQ growth has been i n the range of 4.5 -4.7% QoQ in CC terms?

Amit Chadha : So, the way I would look at it, right is not count Q3, Q4. See Q3 generally is a soft quarter because of furloughs and the vacations. This time as you are aware, Diwali and Dussehra, both along with the entire Thanksgiving and Christmas and New Year, everything is coming in quarter 3. Generally, Dussehra normally comes in the Q2 and the other comes in Q3. This time,

everything is in Q3, it is a festive season, so this will be a little muted . While we expect Q4 to be back at our standard growth rates, so we have factored in all that, but ha ving said that, we want to be able to deliver to you what we commit, so as things change, we will update you again.

Sandeep Shah : So, just wanted to clarify, is there higher than abnormal furloughs being factored into or as of now, clients are not indicating the same and whether my calculation on ask rate to achieve the guidance is correct, 0.6 -1.7%?

Amit Chadha : I don’t want to comment on that 0.6 -0.8%, I want to be able to think bigger and better rather than thin k that, so I won't, but as far as furloughs are concerned, there are some clients that have planned for it. There are others that are talking about it, so we are a little cognizant of all that.

Moderator : Thank you. The next question is from the line of Aditya Khairn ar from Metaverse Equity Fund. Please go ahead.

Aditya Khairnar : So, my question is sir, in the aftermath of Ukraine -Russia war as well as the geopolitical condition in China, so how has the business strategy changed prior to the war and post? As well as I also wanted to add about the Europe recession part, so what would be the changes in strategies?

Amit Chadha : See, we are seeing three or four broad areas with the Ukraine war , that we have seen emerge in the US as well as Europe. Number one, not just countries, but states in larger countries are starting to think of localized supply chains and that does offer opportunity for people like us. Second, people are looking at, so last year same time, cost was not such a big consideration & techno logy advancement was, but now , cost along with technology advancement that would either help the topline or bottom -line, like I said ROI – is a concern. Third, there is a transition in energy sources happening, it is happening quietly, but it is happening. People are moving from gas -fired to oil -fired, oil-fired to coal -fired plants. People are looking at alternative energy sources. Companies are doing it, Governments are doing it, States are doing it. So, I do believe that again provides once in a life-time opportunity as this shift happens over the next 5 to 7 years. Electric vehicle s is a part of that. Wind energy, solar panels, etc., is a part of that. So, I do believe that we are in a fairly volatile world and these offer us opportunit ies as long as we can be agile and we can continue to marshal our resources , to retrain people, to move people around and adapt to latest technology trends.

Moderator : Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar : Sir, I just wanted to understand on,

it is pretty much clear about this particular FY23, but just
wanted to get a sense, how are you seeing the next year, any conversations with clients,
specifically to client budgets, I ne ed some color over 2 - year period in your sense, how are you
seeing the 2 -year period now versus what you are seeing last quarter, that will be really helpful?

Amit Chadha : Number one, we do believe, see, we had given you guidance that we will hit the USD 1B run rate, last year September is when we had told you, so we did achieve it in this quarter. We are reiterating our guidance of getting to a USD 1.5B run rate by FY25. That has not changed and that is our goal from here on as we move forward.
Mihir Manohar : Any conversations with clients around next year's budget?
Amit Chadha : Yes, we continue to talk to clients, Mihir . In fact, this is the time when we sit down and we do workshops with some of our larger clients an d strategic clients, we sit and do workshops on next year projects and work, programs they want to roll out, sustenance engineering that we are doing, how many changes do they want, what kind of pat terns we are seeing, so all conversations and the entire sales, delivery , solutions team, everybody is running around meeting with clients, so all of that is going on.
Mihir Manohar : Sir, lastly on this, you have any quantitative understanding of the budget would be really helpful, sir?
Amit Chadha : Yes, the bets that we had taken, so the one thing we did and I didn't put in my comments I wanted to share it, because you are our community, you are our stakeholders, so in the last 3 weeks, we have started a review of the bets that we had taken 18 months ago and said are these relevant, are these still relevant and can be changed . I am happy to share that the 6 bets that we took on Electronic Autonomous Connected Vehicles, Sustainability, Digital Manufacturing, these three have already fired and are showing results and there are further solutions being developed in these areas. I am happy to share that we inaugurated our EV charging station with our own home -grown home -built hybrid energy controller in Vadodara on Friday and so lot of stuff happening in that area. We do believe that 5G and MedTech are areas that we will have to further strengthen and take it forward as we move along. So, we do believe that we have the relevant bets for Engineering and Technology Services to take forward.
Moderator : Thank you. The next question is from the line of Vikas Ahuja from Antique Stock Broking. Please go ahead.
Vikas Ahuja : Just one clarification which is regarding the guidance , we have changed the guidance because last quarter we reported in USD terms, now it is constant currency and we did allude to the constant currency in the call last tim e. What led to changing the currency dynamics from USD to constant currency because cur rency was equally volatile in Q1 also? And secondly, when I look at the peers, the cross -currency impact is closer to between 250 to 350 basis points, is that similar for us?
Rajeev Gupta : Vikas, this is Rajeev, let me answer to that. So, when you talk abo ut the guidance that we have provided, we have narrowed the guidance to 15.5 -16.5% and this is comparative to 14.5 -16.5% that we provided in the previous quarter. Both were in constant currency and as you would appreciate and also trying to clari fy to most of the other participants, dollar has been extremely volatile and it is an environment which has really had us to think through that guidance can be

really managed on constant currency basis as supposed to on reported currency basis because of the volatility, so that is one part of the response. The second part of the response, yes, the dollar indeed moved u

p. For us, we have seen a tailwind of close to about 80 bps to 100 basis points in terms of managing the margin performance. So, that is how it has translated for us in terms of our performance in Q2.
Moderator : Thank you. The next question is from the line of Pratap Maliwal from Mount Intra Finance. Please go ahead.
Pratap Maliwal : I just had a question around the Transport ation segment in particular . As we see in the Transport ation segment, particularly in the Auto space, a lot of the strategic programs are with the next few years kept in mind, when it comes to programs around connected mobility,

autonomous, shared mobility, so as you said with the quick ROI demand comi ng through some clients, so is there any possible change in the multi -year deals and the deal sizes going ahead, how would the strength actually play out in this sector which is supposed to be showing strong tailwinds, just had the questions around that?

Amit Chadha : So, one, we do see Transportation segment looking at clearly moving to energy efficient vehicles, be it Auto, be it Trucks, be it Off -Highway, be it skid steer loaders, backhoe loaders, etc., so much so that even floor cleaners - people are trying to get a hybrid or an electric version out. So, there is a massive shift that is happening in that direction. Deals again can't be, it is not a magic wa nd that can happen in a 6 -month period, these are versions of programs that run for anything between 18 months to about 3 years and they address family of vehicles. So, say, somebody would look at small sedan and do it and then do it for a larger sedan and then also do it for an SUV. Now, these three family of vehicle s will require differe nt kinds of wattage/ voltage to be going in. So, therefore, there is R&D to be done. There is a particular large program we are working on for our skid steer backhoe loader and in that case the kind of wattage that we are talking about may be 6 times to 8 times that we talk about for the cars. So, there are different parameters. So, long story short, these are not start -stop programs, these are programs that run over a period of time and therefore they provide repeatability of revenue, predictability of revenue and constant potential growth opportunities for us and most of it is done offshore and that I think is coming out in the Transportation margins that we have released.

Pratap Maliwal : Sir, just to confirm, we don't see any real cha nge in the nature of work that we have been getting from this segment going forward, there is no real change around that?

Amit Chadha : The kind of work we were doing 24 months ago to what we are doing today is different and for the next 24 months, at leas t I can confirm to you, we see the same. Like I said, we will again do an analysis of our bets in about another 18 months and see if those are relevant or should we change them or modify them, so at that point of time, may be something new that comes up th at will allow us to change, but for the next 18-24 months, I believe same kind of work will continue.

Moderator : Thank you. The next question is from the line of Bhavik Mehta from JP Morgan. Please go ahead.

Bhavik Mehta : Sir, I have two questions, firstly to Amit . Amit you talked about the client cautiousness on spends, so is this broad based across your verticals or some verticals better place d than other when it comes to decision making? And, secondly to Rajeev, how should we look at the margin trajectory for the second half given the fact that the biggest headwind of wage hikes is behind you now, so what are the incremental headwinds and tailwinds you see for the second half of FY23?

Amit Chadha : Bhavik, one, Every time there is a negative commentary you think, are you headed in the right direction, that is the reality, but having said that, see Transporta

tion, the tailwind in Electrification and the tailwind in Autonomous & Connected is something that is a measurable tailwind, one. Second, for Industrial and the Process industry – digital manufacturing and energy conversion or alternative energy, etc., are valid themes that are again tailwinds that are required - that are going forward . They again go back to basic laws of human nature - number of workers are less, they need stuff to be automated and digital, the energy costs are high, they need to find alternative sources to keep the raw material cost down and their input cost down . So all that put together, these are three clear tailwinds that we see. Having said that, Hi tech, there is a tightness that we see measurably across Hi tech and even in Medical, on new product development, unless it is something that is related to more healthcare complian ce, FDA complian ce etc., we are seeing a little bit of question being raised . I want to give a little bit of color here. See, if you look at doctors, once they come out of college and they have learnt on a certain set of devices, because of the amount or regu lation that goes in to re-certify a device, it will be, it takes time for new devices to come out and stuff to happen, but I am happy to have a longer conversation on this with you, but therefore we see a little bit conservatism in Medical always a nd of course Hi tech, so that is where we are.

Rajeev Gupta : I will take the second question in terms of the margin trajectory, so I will weigh -in a few things over here. So, if I look at really the plus and the minus factors . In terms of plus factors, clearly growth in revenues, better quality of revenues. In fact, when I touch upon better quality of revenues, there are sub aspects to that. One, if you look at the growth that we have seen across segments, there have been 3 segments where margins have improved, so we are indeed seeing growth come in segments that are having better profitability and that essentially helping us out and aiding i n terms of the margin performance. The third aspect is also on the scale benefits. If you look at in terms of G&A cost , we have kept it almost flat. That has kind of played out well for us. We believe going forward as well we will be able to see scale bene fits coming in. In terms of factors or rather headwinds, the current economic environment, rather one more aspect that I will add in terms of the positive, which is around the rupee depreciation. That has been of course the tailwind in the current situation . Now, talking about some of the adverse factors, the current economic environment is such that like I said, we will be watchful and we will try to balance out some of the positives and the negatives, so one that we will try to tread cautiously over the ne xt few quarters until we see the environment stabilize. Attrition, we believe that we have reached a peak. Going forward, it should normalize and in that sense, yes it is going to be a positive factor because it will take off the load in terms of the hir ing, rehiring and of course the in and out in terms of the salary factors. So, that should be a positive as w ell and like you said, of course, Q2 had the maximum impact in terms of wage hikes. We believe there may be some

intermittent wage hikes, but that is something that we should be able to counterbalance. Of course, these are all the factors that we feel we should be able to balance out while maintaining the EBIT trajectory in the medium term for an aspiration of 18% levels.

Moderator : Thank you. The n ext question is from the line of Akshay Ramnani from Axis Capital. Please go ahead.

Akshay Ramnani : Amit, so I wanted to check on the guidance which you shared of achieving the USD 1.5B run rate by FY25, so we are at USD 1B run rate currently and the difference to achieve t

hat is about
50% over a two year period and when the demand environment or to say there is some caution in the environment from client side, what gives you this visibility over the next 2 -2.5 years still maintaining that aspiration of achieving that number? That was part one and the part two is that, how should we think about the organic and inorganic component within this 2.5 years journey?

Amit Chadha : So, here is how I would see it. Our USD 1.5B includes three things that we have factored in this.
A is, we expect at some points, right now like I admitted to you that about three -and-a-half bets out of the 6 bets are firing, we expect the remaining two-and-a-half to fire as well and for a period of time , we expect that all 6 bets will fire. We have done a modulation based on that and then of course may be one of them will fall off, etc., but there will be a period of time between now and the next, by FY25 that all 6 bets will fire .
B, we are considering some amount of large deals that we will be able to sign and execute, so our large deal engine continues to fire and v ery active and you have seen that we expect to continue that. C, there is a little bit of inorganic built into it, so that 's the third part that we expect will happen. So, that is what is the buildout that we have done for the USD 1.5B.

Akshay Ramna ni: So, on the large deal side, over the past few years, I think over past few quarters, especially we have been continuously winning these larger deals, so wanted to get a color on the large deal pipeline, so we have seen you report those deals, but over the past say 2 -3 years, do you see that large deal pipeline growth has been stronger versus what you have seen historically and if yes, then what exactly is driving that trend, your thoughts there?

Amit Chadha : Akshay, in fact, one of the litmus test for u s when we announced USD 1B …we announced three things last September - USD 1 B, 18% EBIT , USD 1.5B. So, crossing or touching USD 1B run rate in constant currency was very important for us because it was a litmus test. The 18% EBIT and staying to 18% for 5 consecutive quarters has been a litmus test for us. We are finally engineers, right and therefore we have confidence in the USD 1.5B. Now, second, in terms of the kind of pipeline, I do think our pipeline YoY , QoQ continues to improve . We continue to size out deals and areas which we will go in. The one big change we have made is that we have been running the large deal, shall I say, the process of thinking and Ideating and all that is a continuous process running across the company in different parts at different t imes, so that it becomes like a wave that comes and everybody once in a while gets through the wave again and again. So, we are doing that. There are some other fundamental changes we have made in terms of how we think about large deals and what we think i s the scope and size of those, etc. so it is

definitely expanded. Our closures have been in 3 digits – for net new USD 1M+ deals for the past few quarters and we expect that will continue and we want to sign bigger deals and we will continue to provide an update.

Moderator : Thank you. The next question is from the line of Shradha from AMSEC. Please go ahead.

Shradha : Just a few que stions, the Plant Engineering segment shows a 200 bps decline in margin despite a strong growth of 5% +, so what really went behind the margin in this segment?
Rajeev Gupta : Shradha, this is Rajeev. I will take that. Two parts to that - one of course, there have been quite a few new deals that have started in this segment which of course, when you start any new deals, you tend to see margins coming down in the initial period and then you sort of catch up on that. The second is also that when you have these new deals starting, you may invest in subcontract

ors,
so those are the two key reasons why we have seen margins slightly come down in Plant Engineering, but we believe that we should be able to improve as quarters go by.
Shradha : And second question Rajeev is, you did mention that SG&A was flat on Q oQ basis, but when I see SG&A as a percentage of revenue , it is at a six quarter low number and despite in case of travel and other expenses that we are seeing for other companies, our SG &A expenses have been just flattish, so what is going in SG&A and who do we see that trajectory going ahead?
Rajeev Gupta : So, Shradha, 2 -3 points on that one. One, when I say flat, it is flat in absolute terms, right which is leading to of course a percentage reduct ion to revenue. Now, as far as investing on sales side, I think we continue to believe that 's the way to grow, so we will look at that more constructively . On the G&A side and I think we have been fairly conscious a few quarters ago understanding that ye s the economic environment is tough, so we have started to put measures in place so that we can optimize cost. While we have come at about 11% on SG&A, I would guide all of you to take SG&A to be in the range of 11.5% . While we will counter -balance some of these, but that is how I will sort of guide in terms of projecting SG&A.
Shradha : And the rationalization of the SG&A staff that you see is it more to do with the G&A team or you are seeing some rationalization in the sales people?
Rajeev Gupta : It is more to do with the G&A team.
Moderator : Thank you. The next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.
Sulabh Govila : Couple of questions from my side . One to begin with Amit, just wanted to compare the macro comments related to the last quarter , so would you say that the dynamics have been similar to what we saw last quarter or has there been a change because the two verticals we have mentioned remained same, but just wanted to understand the intensity of cautio ns around that?
Amit Chadha : Sulabh, what we saw last quarter is what we are seeing now. There is no deterioration, there is no improvement, it is basically the same.

Sulabh Govila : And second is to Rajeev, Rajeev, you mentioned the puts and tak es to the margin in this quarter, so would it be possible for you to quantify those percentages, the margin walk for the quarter?
Rajeev Gupta : We would not be able to do that, but if you want to pick an offline conversation to get any clarity, feel free to touch base with Pinku, so that you can have a more elaborate conversation on this.
Moderator : Thank you. The next question is from the line of Abhishek from InCred Capital. Please go ahead.
Abhishek Shindadkr : Congrats on good execution. Just one question from a demand perspective, what are you seeing on the ground from captives, given the challenges in the Europe, what are they doing, are they also relocating or looking to ramp up capacities in India and is that changing the co mpetitive intensity in the market?
Amit Chadha : Abhishek, thank you so much. Abhishek, if you would have asked me this question 10 years ago, I would have said captives are competition, but honestly Abhishek, it is a co -opetition model, so you work with th em and there is a core contextual that the client defines ; core done by them, contextual done by us. What they define as core changes, what they define as context changes, so that is how this flux happens. We have seen a little bit of a pause as far as Hitech is concerned and as far as Medical is concerned , we are seeing a slight pause from own employees being hired by captives . So that we are seeing and we see that potentially as an opportunity because we can flex up, flex down, etc., so that 's definitely there. As far as Auto is concerned, which

has got Transportation that has got huge captives here , they continue to expand as we see it and so does parts of Industrial. Plant doesn't normally have a lot of captives here, but we see that. The g ood part, another thing I wanted to point out Abhishek, again 10 years ago, captives would mean China, captives mean India, it would mean Eastern Europe and Latin America. Today, China is off the table, so it is basically between India, part of Eastern Eur ope because part is - as you are aware offline , and part of it in Latin America. So, we believe that we are well positioned from that standpoint.
Moderator : Thank you. The next question is from the line of Arvind Chetty from Max Life Insurance. Please go ahead.

Arvind Chetty : This is more on the headcount on the sales and support side, so while our aspiration for FY25 is about USD 1.5B run rate which essentially makes 4 -4.5% compounded growth from now, with that aspiration and near -term expectation of large deal engine firing, our sale support has gone down by about 5% on a Q oQ basis, so is that more of an aberration or is it more indicative of near-term trend?
Amit Chadha : Look at enabling functions, sales support as a slab s tructure. You need a certain set to make a certain number and then you have a range and then you again, you continue to do that. So, I would not be worried …USD 1.5B in FY25 is, we are right now in FY23, so there are 2 years to go. So, we will see that. We are mindful of it is all I would say at this stage. I would not worry about it and I would not take it as a lead indicator or anything like that.

Arvind Chetty : So, just a follow -up on that, how do we look at this number going forward?
Amit Chadha : We don't give guidance on sales support numbers going forward. Of course, our sales head wants more, we will see.
Moderator : Thank you. The next question is from the line of Karan Uppal from Phillip Capital. Please go ahead.
Karan Uppal : Amit, t wo questions from my side, so in the Auto segment, within EV, ADAS, Connected, and Infotainment, which of the se sub-segments are having the maximum contribution to your deal wins and is the demand equally strong with European OEMs and US OEMs and how is th e pipeline looking? And second question, just a follow -up on the hiring part, net addition has been soft in Q2, so what is the outlook for FY23?
Amit Chadha : I would request Abhishek, our Chief Operating Officer to answer the first question on how do we see Auto, which sub -segment and which region . Abhi ?
Abhishek Sinha : So, if you look at these three segments clearly, at least at this point, Electric is where we are seeing the highest traction followed by Connected and then Autonomous and as far as the region is concerned, both US, Europe traction was equally strong for us at this point and also both Automotive and Tier-1s, I mean OEMs and Tier-1s in the Automotive space, but also of course we are seeing traction interestingly on EV Connected side on the Trucks and Off Highway segment as well which also is starting to pick up.
Amit Chadha : Can you repeat your second question, Karan?
Karan Uppal : Yes, just on the net addition side, so Q2 net addition has been a bit soft, so just wanted to check what is the hiring outlook for FY23?
Abhishek Sinha : Net ads, I think Amit and even Rajeev mentioned that earlier , this was a tight quarter for us given that this was the quarter when we gave increments, so we had to be very cautious on how we r an operations this quarter. Having said that, we have continued to hire freshers in this quarter also and we will continue in the coming quarters as well. From a people perspective, we had enough and more people to deliver for the quarter and we have reason ably good plans for the coming quarters as well. So, please don't read too much into the headcount f

ront because it was a move that we had to do this quarter from an operations perspective.
Moderator : Thank you. The next question is from the line of S ameer Dosani from ICICI Prudential AMC. Please go ahead.
Sameer Dosani : I just wanted to understand how has the utilization moved in last 2 or 3 quarters and this is also in the context of headcount addition , do we have enough room for increasing of the u tilization from that at this point of time or we will have to hire more?

Rajeev Gupta : This is Rajeev. I will take part of the question and I will also request my colleague, Abhi to add to it. Like we have said in the previous quarters, we have stopped rep orting utilization because of course, there are areas of revenue that are not directly linked with utilization, but I can certainly give you directionally, the utilization has been improving and that is part of what Abhi mentioned earlier that we have look ed at Q2 revenue and we have tried to optimize on parameters that could eventually help us in terms of delivering the quarter. I will also request Abhi to add on to this, please.
Abhishek Sinha : Yes, I think the same point utilization definitely has improv ed for us this quarter without picking on any specific numbers. Broad based, if I may, our goal is to operate between the 78 -82% levels. That is the range that we are comfortable with . Anything above 82% , because we are an

engineering company , is a red flag and below 78 % also is red flag, but the reason more than 82% is a red flag is because we want to continue to invest in R&D and engineering work for our customers and for our people. So, that is the range we play in.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Pinku Pappan for closing comments. Thank you and over to you, sir.

Pinku Pappan : Thank you everyone for joining us on this call today. It was a pleasure interacting with you and we look forward to more such interactions during the course of the quarter. From all of us at LTTS it is a good -bye and wish you a very Happy F estive Season for the coming days. Thank you. Bye -bye.

Moderator : Thank you. Ladies and gentlemen, on behalf of L&T Technology Services Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Jan 2023

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NSE Symbol: LTTS BSE script Code: 540115

Subject: Transcript of Earnings Conference Call for the quarter and nine months ended December 31, 2022

Dear Sir / Madam ,

Please find attached the transcript of Earnings Conference Call organized by the Company on January 19 , 2023, for the quarter and nine months ended December 31, 2022, for your information and records.

This will also be placed on the Company's website at www.ltts.com .

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prajakta Powle
Company Secretary & Compliance Officer
(M. No. A 20135)

Encl: As above

L&T Technology Services
Q3 FY23 Earnings Conference Call Transcript

For the Earnings Call held on January 19, 202 3, 19:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO,
MR. ABHISHEK SINHA – COO,
MR. RAJEEV GUPTA – CFO,
MR. PINKU PAPPAN – HEAD, INVESTOR RELATIONS

Disclaimer : Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ m aterially from those in such forward -looking statements. L&T Technology Services Limited (LTTS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day, and welcome to L&T Technology Services Limited Q3 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presen tation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0'on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pinku Pappan, Hea d of Investor Relations. Thank you, and over to you, sir.

Pinku Pappan: Thank you, Faizan. Hello everyone, and welcome to the earnings call of L&T Technology Services for the Third Quarter of FY23. I am Pinku, heading Investor Relations. Our financial results, investor release and press release have been filed with the Stock Exchange s and are also available on our website, www.ltts.com . I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap the management remarks in 25 minutes and then open up for Q&A. The audio recording of this call will be available on our website approximately one hour after this call ends.

Let me now introduce the leadership team present on this call. We have Amit Chadha - CEO; Abhishek - COO; and Rajeev Gupta - CFO. We will begin with Amit providing an overview of the company's performance and outlook, followed by Rajeev, who will walk you through the financial performance.

Let me now turn the call over to Am it.

Amit Chadha: Thank you Pinku and thank you all for joining us on the call today. I hope all of you are keeping healthy and safe.

Let me start with the key highlights on our Q3 performance :

• Our deal wins were strong this quarter with 5 deals greater than $10 M in TCV and a significant empanelment from Airbus for which we have also issued a press release today
• From a revenue standpoint, sequential growth was muted this quarter due to seasonality and higher than expected impact from furloughs, es pecially in Plant Engineering.
• Inspite of this, we have improved EBIT to 18.7% and crossed the ■ 300 Cr milestone in Net margins per quarter.
• From a Technology standpoint, we surpassed the 1,000 Patents filing mark as an acknowledgment of the Tech Prowess of LTTS.

Let me now provide the segmental performance and outlook.

Starting with Transportation ,

• We had a good performance with 4.4 % QoQ growth that was broad -based across the sub-segments - Auto, Trucks & Off -Highway (T&OH) and Aero.
• In Auto, demand is being driven by electrification, connected cars and next -generation digital cockpits. We are also seeing increased demand for cybersecurity as part of the software development platform work that we do.
• For Trucks & Off -Highway, similar trends of electrification and platform development continue to provide us good opportunities. One of our 5 $10M deal is from this area.
• In Aero, d riven by the rise in air travel, we are seeing demand for avionics. I want to highlight our selection by Airbus as a strategic engineering partner – This empanelment is significant recognition of our Digital engineering capabilities and

Aerospace domain kn owledge.
The growth in Transportation will continue into FY24.

In Plant Engineering,
• We were expecting a muted quarter, as we had i

ndicated in our Q2 commentary.
However, the unexpected furloughs a t some of our top customers led to a weaker than expected performance in Q3.
• I want to highlight that this is a one -off and not a reflection of the demand environment. We see growth coming back from Q4 onwards.
• Key drivers of demand are localization of su pply chains, sustainability in operations including energy, water and waste management leading to greenfield /brownfield expansions.
• In the O&G /Chemical sub-segment, many of our customers are continuing to change their product mix leading to design and digital engineering projects for us. One of our $10M wins has been in this area.
We see a strong deal pipeline in both US, Europe and Middle East that wil l help drive growth for us in Q4 and beyond.

At Industrial Products,
• We had a good growth in the quarter led by Electrical , Machinery and Power and Utilities.
• For Q3, three of the 5 large deals that we won were in Industrial Products in the area s of digital twin and sustainability -driven product development , innovation and research.
• We see good demand in Digital Manufacturing to support automation and Software platform development to improve equipment performance and reliability. These in turn will become annuity contracts.

• We have been talking about energy transition, including green energy initiatives using Hydrogen as a fuel, creating new opportunities for us.
Overall, for Industrial Products, we see growth continuing to be driven by digital manufacturing and sustainability -led new product and process development.

In Telecom & Hitech ,
• We had a challenging quarter due to the weakness in ISV , Consumer Electronics and Semiconductors - where customers are spending less and frozen hiring. We did offset some of this weakness from better 5G spends.
• We are seeing growth in 5G lab -as-a-service, network engineering and cybersecurity.
With SWC, we now have an end -end capability that will give us an edge in the market.
• As customers look to squeeze efficiency , we are also seeing Cost takeout deals in the pipeline. These could give us an opportunity to consolidate and provide greater value to our customers.
Overall, we expect the pace in Telecom and Hitech to gradually pick up as the environment improves.

Lastly, in Medical ,
• We had a soft quarter which has had more to do with customers shifting their spend to 2023.
• Demand is being driven by Connected devices and digital health platforms, cybersecurity, regulatory compliance and QARA .
• In Q3, we won a large deal from a global OEM to assist in engineering solutions for their medical devices on annuity basis.
We see growth in Medical in Q4 picking back up based on our wins and good pipeline.

Now a few highlights on our Digital engineerin g and Technology progress .
• On the innovation front, our engineers continue to innovate and have filed 25 patents for us and 30 + for our customers in Q3.
• We have been able to maintain this pace of about 25 + 25 patents per quarter for 7 quarters now.
• We are also proud that we've crossed 1,000 patent filing mark.

Let me now discuss the Outlook.
• As we highlighted last quarter, there was a caution in spending which played out in our Hitech segment .
• Coupled wi th the furloughs in Plant Engineering, we had a muted Q3 in terms of revenue growth. However, we are optimistic about growth coming back in Q4 on account of
o The 5 deal wins and the significant empanelment with Airbus that we won
o A growth bounc e back at Plant Engineering in Q4 with the furloughs behind us.
• We are now looking at FY23 USD revenue growth to be around 15% organic , on constant currency , using Q4 FY22 currency rates as baseline.
• Finally, as we start the new year, we are havi

ng conversations and deal discussions have picked up pace over the last few weeks. Therefore, Q4 will see us adding at least 500 net headcount in order to get ready for FY24 as well as service Q4.
I now request Rajeev to walk you through the Financials.
Rajeev Gupta: Thanks, Amit. Good evening to all of you and hope you're doing well.
Overall, our Q3 FY23 performance showed another quarter of double -digit revenue growth on a year -on-year basis, good operational execution resulting in improvement of EBIT margin and crossing a new milestone of ■ 300 Cr in Net profit.
Now let me take you t hrough Q3 FY23 financials, starting with the P&L.
Our revenue for the quarter was ■ 2,049 crores, a growth of 2.7% on a sequential basis. Our double -digit YoY growth trajectory continues with Q3 revenue up 21.4% on a YoY basis.
EBIT margin at 18.7% incre ased by 60 bps compared to Q2 FY23. This has been the 6th consecutive quarter of 18% plus EBIT margin.
During the quarter, we had benefits from improved employee productivity, better offshore mix and exchange gains, offset by a slight increase in SG&A %.
Moving to below EBIT
Other income came at ■ 62 crores, higher on a sequential basis due to higher foreign exchange gains compared to previous quarter.
Effective Tax Rate for Q3 was 31.5%, higher due to conclusion of certain past year assessments , we expe ct this to stabilize in the 27% range going forward.
Net income touched a new milestone of ■ 304 Cr at 14.8% of revenue and up 8% on a sequential basis, driven primarily by operating margin improvement.

Moving to Balance sheet, let me highlight the key line items.
DSO improved to 77 days at the end of Q3 compared to 78 days in Q2. The combined DSO including Unbilled improved to 94 days compared to 96 days in Q2 , and in our target range of less than 95 days.
Let me now talk about cash flows – Our YTD Free Cash Flow was ■ 826 Cr, at 96% of Net income.
Our cash and investments rose to ■ 2,652 crores by end of Q3 FY23.
Moving to Revenue metrics :
On a sequential basis, $ revenue was flat on a constant currency basis and up 0.4% in reported terms, mainly led by Transportation and Industrial Product s segments.
The segmental margin performance was better in all the 5 segments on a sequential basis led by Plant Engineering and Medical Devices.
Now let me comment on operational metrics :
The Onsite:Offshore mix has shifted towards offshore and is at 57%. Our aspiration is to improve this ratio to 60% level in the medium term.
Client profile – which indicates the number of Million dollar plus accounts – has shown a

sequential improvement in the $10 M+, $5M+ & $1M+ categories. The client profile numbers have seen an improvement over the past few quarters, and this trend will continue in the coming quarters.
In respect of client contribution to revenue, all three categories, Top 5, Top 10 & Top 20 have shown a slight decline as compared to Q2, which is due to stronger growth in Top 20 -30 accounts.
Headcount improved sequentially by 175 employees , while Attrition moved down to 23.3% and is showing signs of softening.
We continue various employee engagement measures to manage attrition.
Realized rupee for Q3 was around 82.6 to the dollar, a depreciation of over 2% compared to Q2.
I would now like to hand it ove r to Amit to spend a few minutes on our recent SWC acquisition .
Over to you, Amit.
Amit Chadha: Thanks, Rajeev. I hope it is clear there seems to be some disturbance in the line, so I just pushed on.

The SWC acquisition is a significant move , deliberative and thought about and thought through to add capabilities, solutions, technology and most importantly, pre -qualifications that help us getting qualified for large deals in the Communications segment

Post our call on the 12th, where we shared initial details and rationale of our acquisition. We received feedback and queries from you.
We would like to acknowledge and thank you for the feedback. The queries were in three broad areas:
1) How are we going to achieve the turnaround of shifting the business to services?
2) What are our integration plans and
3) What is the roadmap for revenue /margins for this business and the company?
I shall address the first one, and Rajeev will address the subsequent ones.
Starting with How will we achieve the turnaround?
We go down to basics. SWC business is broadly, three parts, Communications, Smart Cities and Cybersecurity .
On Communications , which is a space in which LTTS has a solid presence – with a customer base of 6 of TOP 10 Telecom Infra OEMs and 4 of top 10 Telecom Operators in North America and Europe. We are going to leverage this customer base and our global sales engine and reach to sell these capabilities.
Let me divide the target market into two subparts. 1) Enterprise and 2) Telecom which includes Operators and Telecom Infra OEM s.
Within our Enterprise customer base, there is a demand for SOC , NOC , private 5G and localized datacenters. The competition is also fragmented here and the spending is also increasing. SWC now fills the critical gap of SOC , NOC and a greater and stronger 5G capability. I wrote to our TOP 100 clients about the acquisition af ter we announced it, and 55 + clients have confirmed interest in our expanded service offerings. In addition, we will leverage our partnerships with Qualcomm, Nvidia and Mavenir as well as our other hyperscaler relationships to penetrate the market faster.
Within Telecom , there are huge spends around network engineering where we now have both scale , onsite offshore model to offer cost arbitrage and track record or pre-qual as it's known in th e industry - which is extremely critical in discussions and large deal process es. We will also work with our Indian customers and offer a more service led model around Core and RAN capability with the expertise that SWC and LTTS together possess.

In summary, for Comm unications, the LTTS heritage portfolio of around $60M combined with about $100M from SWC will together be a $160M business unit, henceforth referred to as Next Gen Communication . Both portfolios will grow going forward. The heritage LTTS portfolio will see accelerated growth as we offer SWC capabilities, while the SWC portfolio will keep growing at a slightly less pace as we change positioning to more services , for which the current pipeline and client relationships gives us a lot of confidence. The joint power of solution ing 5G use cases across a broad spectrum and technical assets like the gEDGE data center, 5G lab -as-a-service gives us the confidence that the combined portfolio will be transformed to be largely Service -led.

Moving to Sustainable Spaces

SWC brings capabilities in Efficient Campuses and Cities, Utilities, Mobility, Public Safety and Environment, while we have expertise in smart buildings. LTTS has tie -ups with Microsoft and other hyperscalers.

We have consulted experts who have validated that there is a sizable spending due to COP27 commitments from governments in US, Canada and Europe. We also spoke to our Top 100 clients who have expressed interest in ou r joint capability that they would like to leverage in their plants , to improve their sustainability and digitization quotient.

SWC's Fusion platform, coupled with our i-BEMS and UbiqWeise platforms along with their software foundry in Hyderabad will help us accelerate solutions that can be commercialized for customers. Additionally, their integrated command and control centers that have been built for cities is a real differentiator for us.

We will take SWC solutions to the US and

Canada and select countries in Europe, Middle East and Asia, leveraging our existing footprint. We will have a direct sales team as well as leverage our extensive Partner network to expand these markets.

We will have a combined portfolio of around $40M, which is ~$30M from SWC and $10 M from heritage LTTS . We expect an accelerated growth for the combined portfolio as we target our enterprise customers and new markets that are ready for such solutions at scale and transf orm from a master system integrator to a master software solutions player in th is space.

Finally, on Cyber security,

We will leverage the SOC in Chennai from SWC along with the talent that both of us have recruited in respective companies. We have multiple ongoing engagements in Cybersecurity and the SWC team and leadership is a shot in the arm for us at the right time.

With SWC, we will be uniquely positioned to offer full lifecycle threat management, OT , Product, II oT and enterprise security.

We are looking at almost tripling our combined revenues of $10M currently , over the next 2 years.

So the key messages that I want to leave you with around the ability to turn this around and grow are:

1) We have done our diligence, consulted experts and en gage with our customer base on how our expanded capabilities can help them. Our global reach, existing strong relationships with Telecom Operators and Telecom Infra OEMs gives us confidence of growth.
2) We will transform the SWC business from being a master system s integrator to a master software solutions player.
3) Both SWC and LTTS portfolios will grow year after year , and together, we will grow the combined portfolio at a pace faster than company growth.
4) Another added synergy benefit that we will be able to leverage is a 360 -degree partnership that will help us expand our relationship with Industrial Product s customers or discrete manufacturing customers as they are vendors to our Sustainable Spaces business.
5) Finally, I would like to confirm that we have the leadership bandwidth to take up this integration and are excited to take this opportunity forward.

I would now hand over to Rajeev to address the Integration plan and our Revenue /Margin roadmap. Rajeev?

Rajeev Gupta: Thanks Amit.

Let me address : How are we planning the integration?

• The pre -integration exercise has been kicked off. The senior leadership team of both companies are planning for joint delivery and GTM .
• We will run an integration program for the next 180 days that will focus on 6 areas.
o Top Line, Service Lines, Technolog y roadmap, Enabling Functions, Bottomline, Working capital and Cashflows.
• We are setting up an Integration Management Office with a full -time integration leader reporting into me.
o The integration management office will be responsible for ensuring

readiness on Day 1, preparing the road map for synergy realization and
supporting various function leaders in planning and execution .
Now let me address the medium -term aspiration of Reven ue and margins.
• On Revenue, with the acquisition of SWC, we reconfirm our aspiration of $1.5 B run
rate by FY25.
• LTTS EBIT margin in Q3 stands at 18.7%.
• In Q1 of FY24, there could be an immediate impact of 180 -200bps on EBIT margin
resulting from consolidation of SWC.
• With the transformational levers that Amit has earlier discussed in respect to SWC
acquisition, we aspire to get back to 18% EBIT margin by H1 FY26.
Thank you. And with that, I hand it over to the moderator for Q&A session.

Moderator: The first question is from the line of Bhavik Mehta from JPMorgan.
Bhavik Mehta: A couple of questions. Firstly, to Amit. If I look at what happened in 3Q , was it just a function
of furloughs or whether also cases wher e, let's say, a lot of the

deals you had won over the last
eight to nine months did not ramp up as per your expectations? And how should we look at 4Q
then, what are you hearing from clients when it comes to conversion of those deals into revenues
so that's one.
And secondly, to Rajeev on 3Q performance on margins despite flat growth. So outside of SWC,
can we expect 18.5% as a new base of margins going forward? Or do you think t hat 18% is the
normal range to look at outside of SWC?
Amit Chadha: So, number one, I am confirming that Q3, you see normally, if you look at Q3, it has a lesser
number of working days, right . I mean that's about , if I may be exact , I am an engineer & that's
the problem we want to be exact. So about 3% lesser working days are there. So , we know that
and that's how we had said we'll have a muted quarter.
We got hit by additional furloughs as we call it, because there were customers that came back
and said t hat they would like to slow down the projects, etc. in Plant Engineering. But the good
news is that they've since come back and they confirmed at the time when they were slowing it
down that it will come back up on January 2nd onwards as 1st is holiday. An d it did ramp back
up from January 2nd, the team started again.
So therefore, it was a furlough impact more than anything else, and that's how I would leave it.
From a deal velocity standpoint, I will say similar TCV, 3-digit of total deal closures that we
have had. We are happy to share that the $10 M+ deals that we ha ve had. So , three of those
clearly in Industrial Products, which is a high -margin business for us, one of them in Plant
Engineering, which is again higher margin and the fifth one in T&OH for us, so which is
Transportation.
We've had that plus there are multiple $5M deals that we have signed in Medical, in Telecom
and Hitech, etc. Deal velocity is similar & we talked about the empanelment as well, and that
also came through last quarter , so I do see that. In fact, I do want to say that other than Hi tech,
which we have called out in my commentary, the three sub segments that are there , we are seeing
project approvals and continuation of teams, etc. In fact, we have done well on utilization last
quarter. What we've done is that we've again given you a number, quantif ied the least possible
increase in headcount. We're fairly comfortable at this stage. Now with that, Rajeev , margins?
Rajeev Gupta: In respect of margins, Bhavik, I just would like to say a few things. One, if you look at across
all the five segments, we are certainly showing improvement in terms of EBITDA. I think the
operating model that we've been talking about in the past, including th e economies of scale has
played out quite well for us.
We remain fairly comfortable that we should be able to hold for LTTS, the margin improvement
that has come about. I did indicate that with consolidation of SWC in Q1 FY24, we should see

a dip of 180 -200bps, but that's something that would have been with any acquisition. But to sum
it all, the operating model, the economics of scale ha ve played out well for us. That gives us the
confidence in terms of maintaining the margin going forward.
Moderator: The next question is from the line of Kawaljeet Saluja from Kotak Securities.
Kawaljeet Saluja: Just a couple of questions. The first is on demand. Amit , you did mention that the demand impact

is largely furloughs, but when I look at your guidance, the guida nce cut is $5 M to $15 M in revenues, whereas basis of furlough impact, the impact should not happen more than $2 M to $3M

So just trying to reconcile some basic numbers behind the guidance cut. Is there more to it rather than just furloughs, which would ha ve led to a change in your guidance that's the first question.

The second question is more on relative comparison. That's something which I hat

e relative comparison but tempted to ask this for the first time . When I look at a company based in Delhi , a company, which has a business mix and portfolio similar to yours, they seem to be doing better on the far larger scale on growth.

Whereas LTTS, despite strong win announcement s had continued moderation in growth rate. So is there any, I mean, shift in share or loss of share, which one needs to contend we're probably worried about in your case. So yes, those are a couple of questions, I'd appreciate it if you can answer them .

Amit Chadha: So, the change in guidance, we are saying we'll deliver 15% is basically based on muted Q3. So that's where that is, and that's where that stands. Now in terms of comparison, it was a specific Plant Engineering issue that I believe is since resolved. But of course, finally proof is in the pudding. You will see that at the end of Q4 when we come back and declare that to you.

I would, in fact, say that if I look at our market share and our size that we have got going on, I think we are expanding with our clients. In fact, if I look at the to tal number of clients itself, if I look at it year -on-year, I would say we've gone from 318 clients to 343. And you've seen a number of clients growing in the $1 M bracket, the $5 M bracket, the $10 M, the $20 M as well as the $30 M.

I also want to add that I have visibility to the current run rate that we think we'll end up in Q4. And I can confirm to you that market share has expanded rather than declining. We were not getting invited to certain Telecom specific RFPs in network engin eering given the size of the deals and what we had as capabilities in spite of buying O rchestra Technologies and growing organically , so we went in for this (SWC acquisition) .

I do believe that we stand in a position now, having crossed $1 B revenue in constant currency and with now with Smart World, I do believe that we are head -to-head with a lot of people that are there and our aspirations to get to $1.5 B, as confirmed by Rajeev FY25, remain.

Moderator: We'll take the next question from t he line of Mukul Garg from Motilal Oswal Financial Services.

Mukul Garg: Amit, I just wanted to follow up on the guidance part only. We have seen historically , you tend to be fairly conservative when you provide your revenue growth guidance like generally not like to kind of cut it back as you had to do this quarter. There is obviously this is happening in the backdrop of the macro constraint which you are seeing across the board.

Are there any signs which have now started becoming visible whether the incr eased furloughs in Q3 also were a factor of the macro pressure and does this increases the risk to how you are kind of visualizing qualitatively despite FY24 spend from corporates?

Amit Chadha: I want to give you a long -ish answer, if you don't mind here. So, let's go segment -wise. When you look at Transportation, right, we have not seen any moderation in spend. In fact, we've seen the growth in that as well in spite of a, shall I say, smaller quarter seasonally. And we do see new programs kicking in, etc. And that's across Auto, Aero and T&OH . Industrial Products is spending in specific areas of digital manufacturing as well as digitization of their products and that continues to happen, we don't see any slowdown. You've seen that in the growth as well as our commentary for Q4.

Now Medical that you have has always been traditionally , the work we do , a very conservative sector. But given the QARA pressures that they are under and notices they're receiving from various agencies and their need to check that, etc, as well as digitalization , we are seeing spend and you will start seeing that growth, right? Fourth is Hitech. I will say this that there a re five sub segments in Hitech. There's ISV, there is C onsumer Electronics (CE)

, there's Sem iconductor , there is M edia & Entertainment (M&E) and then there is Telecom . We have not seen any cutback in Telecom, which is Infra and OEMs or in M&E. However, in ISV, CE and Sem iconductor , we've seen a fair degree of caution that they were exercising last quarter also & this quarter also. But we believe that the growth in Telecom and M& E should be able to overcome that. In Medical, forgot mentioning one thing - Healthcare is investing .

Finally, come to Plant Engineering . Like I said, again, Plant was a one -off issue in the quarter (Q3) , since addressed. I'm going to assure you that the Plant Engineering will come back in Q4

and beyond. We a re actively hiring, ramping up in Baroda and Chennai as well as in the US and Europe for this particular segment .
So that's how I see this. Finally, other than parts of Sem iconductor , ISV, CE, mostly, you see a company -specific cut in terms of spending, but not a sector -wide . So, I'm still cautiously optimistic about CY23.
Moderator: We'll take the next question from the line of Vibhor Singhal from Nuvama Equities.
Vibhor Singhal: So, two questions from my side. Amit , you mentioned, I mean, we saw a very strong growth in the Transport division in this quarter. And we also had all these deals with the Airbus as well.
So just wanted to basically understand the traction that we are seeing in the Aerospace division.
We've seen travel rebound significantly across the globe.

And is it that kind of leading to more traction in this division? And do you think it can sustain going forward in the next year, I mean, as an industry, do you think there could be more similar kind of deals either for us or for the industry as a whole in this segment over the coming quarters, given that most of the Airlines ’ profitability and other values are basically now into the green again, and they might start spending again on both the fronts.
Secondly, my question was just a big basically, a quick clar ification of the SWC margin thing.
As we have mentioned that the first quarter of next year, we will see a 180 -200bps impact of margins. Would there be any non -recurring impact of that as well? Or is it just the integration, which is going to reset the mar gin to that level? And then gradually, we're going to wrap it up as the growth comes in and as we basically rationalize the operations. So that's the two questions from my side.
Amit Chadha: One on Airbus, I do want to acknowledge one thing. Dr. Panda, as you're aware, is an Aerospace engineer & this account is very close to his heart. So , we did start trying to pursue this while he was CEO. And I'm happy that after years, we got empaneled first as a provider and then got selected. In fact, he was in our Board meeting today, and he said one thing – “you delivered very nicely done. ” It has been a dream, right? So , I do want to say for an aerospace engineer, getting Airbus empanel ment for digital manufacturing etc. is a dream. I do think and a lot of people to thank, compliment, etc.
Having said that, I'll tell you Aerospace, the spend that is coming back is one there are design cycle that is starting again for the next -gen aircraft, right? People are looking at smaller aircraft , they're looking at single aisle. There are people that are talking about it. You can read the press on that. There is hybrid aircraft that people are talking about, etc. So those design cycles, concept cycles are starting. These are generally about a seven -to-ten-year cycle, right? So that is starting up. So that's good news , number one & this is not just for us, but everybody. So you will see more spend coming out for structures or avionics, etc.
Second, what's happening is there is a technology conversion ha ppening from mechanical to electric , power electronics, et cetera, within th

e existing aircraft. That again is a smaller cycle,
that's about maybe a five -year cycle. So that's kicking off as well. So that's number two.
Number three , the digital manufactur ing part that they are bringing to a shop floor for a more integrated delivery , full life cycle system as they deliver aircraft and people take deliveries. So that is what is happening.
So you will see spend in Aero growing as you move forward, right? So that's that. In fact, one more thing was that you remember at one time, Japan, they were trying to do something and they stalled it because of COVID, again starting to have conversations where it should come back, et cetera. So a lot of positivity in that sector that I believe gives a lot of breather to a lot of people.
Rajeev Gupta: Let me take the question on the consolidation impact. In the previous analyst call, I did indicate that the SWC margin is in the range of 8% to 10%. So , Q1 truly is the impact of consolidating

the two financials and of course, the impact in terms of acquisition, etc. But from thereafter, it is going to be a progressive improvement, looking at both revenue synergies and cost synergies.
What we believe is qua rter-on-quarter, you will see that progressive improvement coming through, which is where our aspiration is to come back in terms of 18% EBIT in H1 of FY26.
Moderator: The next question is from the line of Ravi Menon from Macquarie.

Ravi Menon: Well, two questions. First, within transportation, would you say that at least this year, Automotive is
Moderator: Sorry to interrupt you, please use the handset mode. The audio is not clear.
Ravi Menon: So within Transportation, would you say that Automotive is t he fastest -growing this year, follow ed primarily by O ff-highway with Aerospace a little further behind. Amit from the way you sounded it looks like Aerospace is going to pick up. So how should we think about growth within Transportation overall for CY23?
Amit Chadha: Ravi, can you repeat that, please?
Ravi Menon: I was saying within Transportation over this year, would you say that Automotive was the fastest growing and maybe followed by Off-highway and Aerospace further behind? And how should we think abou t CY23?
Amit Chadha: Number one, Transportation did grow, right? And let's wait for April to conclude which grew the fastest and slowest. But I will say this to you that for CY23, see, there are a few trends that we definitely see happening.
A) One is a lot more electrification of Automotive, so that will continue. Companies, however, have to remain profitable to be able to spend . B) T&OH - Construction of highway is seeing added autonomous as well as electrification and connected spend coming in. So , that is definitely happening. C) Aerospace, we believe, is starting a design cycle, but more than mechanical, we believe this will be more avionics and electrification, etc. led and digital manufacturing l ed. The reason I make that point is that earlier design cycles used to be a lot more mechanical led. This time, we are seeing a change in that. And we believe that we are well positioned in that area because we are more electrical embedded driven than mech anical driven in this area. So overall, do I see the growth ? I absolutely see good growth coming in this area, continuing in CY23
Ravi Menon: And a follow -up on the Telecom & Hitech. you mentioned that in ISV, there was some pressure. So how should we thin k about this ? Will ISV shut down some of these older legacy products that should we say - do we see a hit? Or do you think that more shifts offshore will actually compensate for that or maybe even provide some growth?
Amit Chadha: See, for those that have followed us two years now and talk to us, ISV is one of our smaller sub segments, right? Our exposure to ISV is fairly limited from a hit standpoint. Having

said that,
ISVs are reconsidering their spend s. There was a lot of pie in the sky ideas and projects that were getting talked about. All that definitely is taking a back - shall I say back bench because they

also want to start delivering profit, they want to look at, etcetera. So that's there. But Telecom & Hitech, I do want to say that 5G spends are on and will continue to do that.
Second, ISVs are trying to stop some area of spending, but they are starting to spend in devices that they are building that will work with 5G and then tomorrow, 6G, WiFi 6, etc. So I do believe that, that part will continue to grow. I am hopeful Semcom wi ll definitely come back because the amount of semiconductor required in Auto that's required in data center is there. Yes, the number of people buying laptops has gone down because all of us purchases a laptop they wanted to & going back to work now.
But h aving said that, it's just temporary because if you look at the kind of production capacities that companies are building and design there are talking about, I do believe it will come back.
So overall, I do think that the Hitech recovery may start in the s econd quarter calendar year and then go up from there. That's how I broadly see it -- for us specifically, though my commentaries hold that I do see our Q4 Telecom & Hi tech being better.
Moderator: We'll take the next question from the line of Sulabh Govi la from Morgan Stanley.
Sulabh Govila: So a couple of questions from my side. One is on the Auto vertical, particularly, which has been doing well for us as well as industry as a whole. There seems to be no major wins listed this quarter, but so I just wan ted to understand, has there been a change incrementally in the way clients are awarding deals? Or is it just a timing issue in this quarter? And the second is on the $30M client bucket, there's a moderation in that number Q oQ. So , is that also related to t he Plant Engineering related furloughs or that's related to some other client?
Amit Chadha: The number one, Auto, not having a single $10M deal. Again, I said this to some of you once that engineers think like engineers, they don't think like businesspeople, they don't know that $9M is not counted in $10M deals . I would confirm to you that there are deals in Automotive as well. In fact, there are incremental deals. I don't know wheth er we ’ve made it press or not. There were a couple of new ODCs inaugurated in this last quarter. Maybe - they have asked us for names to not be published, so we didn't, but there are a couple of new ODCs that have been published .
There were earlier wins t hat have ramped up in Auto as well. There are some exciting deals in

progress in Auto as well. And I believe that some of them, they're already closed or are closing in the current quarter. So , I would not be worried about not announcing a deal in Auto. I was focused more on making sure that we get - because last quarter, we got feedback on this, the $9M is $9M and it's not $10M. So, we made sure that there are some deals between $10M, nearly close to $20M also. But we haven't called them out as $20M because we believe in the practice of being a little conservative on these things. But I would not worry about Automotive -- all I would say is that we continue to grow in this area, expand , hire, etc. Now in fact, we are doing walk -ins in Munich. So , anybody who has friends can even recommend people and in Bangalore & Mysore.

Now let me go on to the $30M. I agree with you that that $30M, there was one client, in fact, less in sequential LTM,. In fact, not just $30M, we were flat in $20M as well. Though $10M+ grew one sequentially and $5M grew one sequentially. And of course, $1M grew by 8.
So I have access to Q4 data, which I expect we will do.

And you will see some of these furloughs
did have an impact across, right, everybody there was a shorter quarter, etc. So , what I can confirm to you is that this will correct itself. As we move forward, our focus on account mining scale continues to be laser sharp so that we can expand.

Moderator: The next question is from the line of Mihir Manoha r from Carnelian Asset Management.

Mihir Manohar: Largely, I wanted to understand on the North American geography side, I mean, North America hasn't grown for this particular quarter. So any signs of demand moderation across this particular geography? I me an your comments with respect to this geography. That will be helpful. And my second question was on this Airbus notification that we made. Earlier also, we were like a strategic engineering partner, and now we are there for advanced capabilities. So just wanted to understand, given the fact that our penetration and our capabilities are improving on the Aero side. So , what kind of spend could be there for us specifically over the next year from the Aero side? I mean could it be like $5 M kind of a spend per quarter? Could that be the potential opportunity? So I wanted to understand that.

And my third question was on the guidance that we have given the 1 5% constant currency guidance that we have given, and it implies 4.5% to 5% kind of a growth for balance par t of the year. So, I mean what is bringing us that confidence that given a muted growth this quarter, we are still hopeful about having 4.5% to 5% growth for the balance part of the year? Yes, those were the questions.

Amit Chadha: So Mihir, here are the a nswers. Number one, you can see that North America, actually, there was a 0.7% de -growth it shows here because of this revenue, the way we count currency, but India shows 6.4%. I can confirm to you that we don't work in India, right? Largely, our India revenue that we report is actually INR billing, but it is done for US and European customers. So, I would like to confirm to you that Europe, North America - both of these and ROW have grown, the India growth that you see, you should actually count it towards the 3 Geos because for India, we do very little, maybe some $1M/$2M per quarter to that extent, $3M. So please read it like that. In fact, next year, we will review this and see if there's another way to present this because we get asked this question every quarter. So , we'll review this.

Second, Airbus. See, please understand, Airbus is a very -- shall I say, -- I want to find the right word for you. They have a very process -oriented methodical empanelment exercise, etc. So, what happened last time around when we announced it was we have been chosen by Airbus for Skywise platform and they had empaneled us as a vendor and given us MSA, etcetera, signed global really, which was earlier only in India MSA.

Now what they have done is, specifically in digital manufacturing and the other area, they have qualified a spend and said we will spend X amount of money, and we have been empaneled as

one of I again can't give a number who are not liberty by Airbus to do that, but one -off say N number of suppli ers and N is a very small number. So , they will spend that XX dollars amongst those very little vendors in those two particular areas. They've in fact given us a ramp -up plan, etcetera.

The reason I am again not quantifying it is because that is a discussi on we've had with Airbus on. But I'm fairly confident that it will ramp up. We actually started recruiting, training, etcetera, as well as building team organization structures, etc. I will actually request my colleague, Abhishek, our COO, to talk a little bit about the process he does to get ready for such ramp -ups. Third, Aero do we see growth? In avionics and digital manufacturing. Lastly, guidance, 15% constant currency amounts to more th

an 3% growth as far as we are concerned. And a point was asked ear lier, were we slowing down. So see, we were at about a 4% growth rate in last year, and we had done that whatever, 19% to 20% that we grew last year.

This year, we've been a 3% + range . Quarter 3 was muted. And next quarter, we see it's not played out yet. That's why we give guidance and let's say, don't give a f irm number. We still have to bill, we still have to invoice, to collect. I can assure you that it will be greater than 3%. Will it be 4% , will it be more is to be seen.

Abhi, would you like to add on Aero specifically what we're doing in terms of that?

Abhishek Sinha: I think you all would have heard about the center we opened in Toulouse about 4 months back. And no one invests in a center in France, if they don't have th e confidence of growing in the region, and it was for Airbus, and that's the reason we opened that center. If you look at of course can't share number, but if you look at our growth, of Airbus in the last couple of quarters, it has been actually one of the fastest -growing accounts for us.

And this is all in the backdrop of a very structured academy program that we have , training program that we have created in partnership with the Airbus all our training materials, the way we go about it, the re’s an engine running and how we hire people and train them & internally move people into the account. Our relationship with Airbu s is at a very advanced very strategically placed. We have even won some awards again can't share details. But I think we are in a good space and this partnership that Amit spoke of that we won the empanelment. I think that augurs well for us in the digita l manufacturing space, especially.

Moderator: We'll take the next question from the line of Akshay Ramnani from Axis Capital.

Akshay Ramnani: So, first question was on offshoring. So , in your opening remarks, you mentioned that we see offshore revenue mix going up to 60%. I wanted to understand what are the drivers of this trend and which are the verticals where we expect this to be play out?

Amit Chadha: So let me start by sharing the verticals, and then I will request Abhi, my colleague, COO to address t he drivers for offshoring to increase. From a vertical standpoint, see, as you look at it, we expect it to be, and I want to say this, you'll see this across verticals. It's not a vertical or a second vertical, you'll see this across verticals. I would als o say that digital engineering – digital

products and services as well as embedded , testing , parts of digital manufacturing. We'll see this a lot more, right? So , it's across. It's not like it's one or the o ther. Abhi, would you like to give the drivers for offshoring? Traditionally.

Abhishek Sinha: Yes. I think when we looked at our operational strategy, while everyone knows utilization freshers pyramid, these are all usual levers that you look at for margin growth. But offshoring is probably one of the biggest levers that we have , as a company , decided to work on. Our near - term aspiration is to go to 60% of our revenue coming from offshore. And we know that, that's a big lever from a margin perspective.

One of the things we have done well this q uarter and hope to continue to in the coming quarters is a very high degree of focus on fresher utilization. The freshers that we take every quarter anywhere between 500 to 600 freshers that we take every quarter. Not only do we make sure that they are rea dy to get into billable projects that helps in margins, but more importantly, th at also help in pulling more work offshore.

The last point I would like to mention is we have very actively started engaging with our customers in pushing the work to offshore, we have kind of created an ‘offshorablity index ’ of our various service offerings. And we engage with -- we have s

tarted engaging with the customers actively on why a certain piece of work must be done offshore and of course, leveraging the whole hybrid w orking model that the COVID has taught us to see this work can be done from outside office , can be done anywhere. That whole engine between sales and delivery are starting to show results. We have been working on this for some time, and I expect this to co ntinue.

Akshay Ramnani: And second one was on headcount addition. This has been soft for past four quarters now. So would it be fair to say that our utilization, which came back to about 75 % would have now normalized to the comfort range of 78% to 80%. And here on, we would need to add headcount going forward. Is that the situation now?

Amit Chadha: Yes. So , number one, we did -- so number one was, yes, Q2 and Q3 saw us improving utilization,

rationalizing pyramid, etc. I do want to confirm that Q4 onwards, I do believe that headcount addition sequentially will come back.
We've reached levels that we are comfortable with because we are a tech company. We do invest in labs, we invest in people working in labs, people creating solutions, practices, widgets, etc.
We are comfortable with the utilization that we see now. And therefore, you will see headcount increasing now sequentially as we move forward quarterly.
Moderator : We'll take the next question from the line of Kawaljeet Saluja from Kotak Secu rities. Please go ahead.
Kawaljeet Saluja: My question is for Rajeev. Rajeev now when you are doing some back of the envelope calculation on margin guidance. And it seems that the way you have given guidance implies no contribution or a bit from the acquis ition, SWC acquisition. Now is this largely because of

amortization charge? Or do you expect the core organic margins also to deteriorate from that 18.5% you reported?
Rajeev Gupta: Let me clarify, this does not bake in any deterioration on the organic mar gin. I did mention it earlier that given we've done 18.7% EBIT in Q3 with all the operational levers and improvement in offshore and many of those things that we've talked about earlier, we do see a fair bit of comfort of sustaining this margin organically as we spoke.
As far as the SWC acquisition, there is part of amortization also baked into it. Plus, there may be some investment that we would have to make. And as you would appreciate, the strategy that Amit talked about in terms of Next-gen Communicatio n, Sustainable Spaces and Cybersecurity, we will bring in experienced sales leaders to be based in respective geographies where we want to drive growth, right, and be able to position this to the existing customers and also solicit newer customers. So , part of that will be investments. But like I have said earlier that progressively, we should be able to see both revenue synergies and cost synergies play out.
Kawaljeet Saluja: So, Rajeev, what would be the EBIT margin? Let say you given the EBITDA margin fo r SWC, 8% to 10%. What would the EBIT margin be? How much do you think it trends down to before it starts recovering once the synergies kick in?
Rajeev Gupta: So, Kawaljeet, I can answer to what is historical. Like I've said, we've been in an EBITDA range of 8% to 10%. In terms of EBIT, very similar. I mean, there is not much of cost between EBITDA and EBIT that that business entails. So that is where it is. To your specific question, I may have said this in the previous call also, as we get more color, we will certainly provide that when we come back in Q1 FY24.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Pinku Pappan for closing comments.
Pinku Pappan: Thank you, everyone, for being present on the call today. And we hope we have answered most of your questions. We'll be happy to connect with you during the course of

the quarter to clarify
any other questions that may remain. With that, I would like to say bye and w ish you all a very good day. Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of L&T Technology Services Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Jan 2023

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National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra -Kurla Complex Phiroze Jeejeebhoy Towers,
Bandra (East), Mumbai — 400 051. Dalal Street, Mumbai - 400001
NSE Symbol: LTTS BSE script Code: 540115

Subject: Transcript of Business Update Conference Call

Dear Sir / Madam ,

Please find attached the transcript of Business Update Conference Call organized by the Company on January 12 , 202 3 on acquisition o f the Smart World & Communication business of Larsen & Toubro Limited .

This will also be posted on the Company's website at www.ltts.com .

This is for your information and records.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prajakta Powle
Company Secretary & Compliance Officer
(M. No. A 20135)

Encl: As above

L&T Technology Services
Business Update Conference Call Transcript

For the Business Update Call held on January 12, 202 3, 20:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO,
MR. ABHISHEK SINHA – COO,
MR. RAJEEV GUPTA – CFO,
MR. PINKU PAPPAN – HEAD, INVESTOR RELATIONS

Disclaimer : Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statements. L&T Technology Services Limited (LTTS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day, and welcome to the Business Update Conference call of LTTS . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Sh ould you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pinku Pappan. Thank you, and over t o you, sir.
Pinku Pappan: Thank you, Faizan. Hello everyone, and welcome to the LTTS Conference Call to discuss our acquisition of the Smart World & Communication business of L&T. I am Pinku, Head of Investor Relations, and M&A. The press release and inves tor release relating to this acquisition has been uploaded on our website www.ltts.com . I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 15 mi nutes and then open -up for Q&A. The audio recording of this call will be available on our website approximately one hour after the call ends. We will be discussing only the acquisition today.
Our Q3 FY23 results are scheduled on the January 19th, and I woul d request you to hold your questions about the quarter and the demand environment till then.
With that, let me introduce the leadership team present on this call. We have Amit Chadha, CEO; Abhishek, COO; Rajeev Gupta, CFO. Amit will provide an overview o f SWC and talk about the growth potential we see, and Rajeev will take you through the financial details. Let me now turn the call over to Amit.
Amit Chadha: Sure. Thank you, Pinku, and I hope I am loud and clear.
Pinku Pappan: Yes, Amit.
Amit Chadha: Perfect. So, thank you all for joining this call today at really short notice. Let me begin by wishing all of you a very Happy New Year. I am happy to share that earlier today we signed an agreement to acquire Smart World & Communication Business Unit of L&T. We are excited about joining hands with SWC and entering a new pha se of growth in the areas of Next -Gen Communications, Sustainable Spaces and Cybersecurity. For us, this acquisition is a continuation of our Big Bets driven growth strategy and aligns with our bets in 5G, Digital Products & AI and Sustainability.
Let me first provide you some background.
SWC was started within L&T in 2016 with a mandate to leverage technology and address opportunities arising in India around smart cities and mass connectivity. SWC has surely risen

to the challenge with a track record of winning and implementing several large -scale city /state/ pan India projects for cities , Utilities, Government entities leveraging disruptive technologies such as AI /ML, Cloud and 5G.
It has talent with decades of experience from marquee Telecom services and OEM companies and in just over 6 years cross ed an annual run rate of INR 1,000 Crores. They are also innovation driven like LTTS having built a software platform called Fusion , a state -of-the-art platform for data analytics, and gEdge – a green Data Center that can be used at the Edge which can deliver significant savings in Capex and Opex.
The moment , we believe , is ripe for this business to be taken to the world to address the grow

ing
market across Next -Gen Communications, Sus tainable Spaces and Cybersecurity. With LTTS ' reach globally, we have got a client base that includes 6 of the top 10 Telecom Infra OEMs and 4 of top 10 Telecom operators in North America and Europe. We believe that with this base of

marquee customers we can take SWC 's capabilities globally.
On the capability front, with SWC we get a full spectrum technology stack in Communications, Cybersecurity and a bigger plat form led play across Sustainable Spaces. So together , we have the qualifications to participate in large opportunities globally, that may involve design, build, roll out and manage d services across SOC, NOC and Data Center rollouts.
I would like to now take you through the 3 segments in details. For each segment, I will cover three broad questions.
• What capabilities will LTTS and Smart World have?
• How are we better together?
• What is the market that we now can address?
Starting with Next -Gen Communications,
Capability wise ,
SWC has strong credentials in network design, planning, implementation and management including Network Operation Centers (NOC) , OSS work, Data Center, Cloud/ private 5G. It has assisted multiple st ate governments in India with Network Operating Centers and Network Management Systems while establishing end -to-end network connectivity and public safety projects such as TANFINET and Telangana Fiber Grid.
LTTS on the other hand has been a strategic pa rtner for OEMs for a long time with a track record of delivering device R&D for more than 100 product families. We identified 5G as a Big Bet in 2020 and our 5G offerings and services have resulted in the company taking complete ownership of 10+ Labs -as-a-Service for customers in product R&D, 5G network assurance with over 100 5G use cases for our clients.

Together , we now have a full spectrum of offering from consulting, network planning, managed services, automation, NOC and SOC. We can also address o pportunities across segments like Device s, RAN, 5G, Edge, Data Center , Applications and Orchestration.
What is the market that we can now address? First, we can qualify for large global opportunities across Conceptualization, Network Planning, Architecture, Proof of Concept, Rollouts and Managed Services leveraging NOC/SOC/DCO . We will expand this in the U. S and Europe primarily , and target Operators, OEMs and in partnership with hyperscalers. In addition, we plan to address the huge Private 5G network with the ability to architect rollout and cloud managed networks to enterprise clients.
Moving on to Sustainable Spaces.
Capability wise, SWC brings capabilities around public safety, smart cities, and critical infrastructure, smart metering along with L&T Fusion Platform and the Integrated Command and Control Center (IC3) . They have implemented mega safety projects in Mumbai, Hyderabad and Nagpur where tens of thousands of devices including cameras and network equipment have been implemented for city level surveillance. SWC has also architected, conceptualized and implemented sm art metering in states like Uttar Pradesh, Haryana, Delhi to the tune of 6 million meters.
LTTS brings the smart building and experience management capability and through its i -BEMS platform that has been deployed in the 'world's smartest office campus' in Israel with over 14,000 sensors.
Together, LTTS and Smart World gain the ability to offer End to End solutions across Efficient Campuses and Cities, Utilities, Mobility, Public Safety and Environment. We can also leverage a track record of executing m ega projects in Safety and Surveillance, Traffic, Waste Management, Water and Power with the ability to establish and operate Integrated Control and Command Center s (ICCCs) , which differentiates us with our scale to win global opportunities.

With over 70% people expected to live in cities by 205 0, there is a need to make living sustainable. Ability for cities to govern, survey & act is paramount. The line between Smart Spaces & Sustainability is blurring with more participation and action init iated by countries as was seen during the COP27 Summit. Also , our scope increases from buildings to utilities, hospitals, sports arenas, infrastructure, transportation , among others. This was an area that we were present in a very minor manner. We plan to take target markets like Middle East where huge new city infrastructure projects are being undertaken in addition to U.S , Europe and Canada. LTTS's own enterprise customers including Oil & Gas and CPG customers with ultra large plants are another opportuni ty for us to address.
Cyber security

Capability wise, SWC brings with it Full Lifecycle Threat Management capabilities with offering in risk assessment , threat monitoring, security architecture, design, Dev SecOps.
LTTS has been offering Cybersecurity services to our clients for O perational Technology (OT) cybersecurity and product cybersecurity globally.
Together , the Joint team can provide Security Op erating Centers or the SOCs, full life cycle threat management, OT cybersecurity and product security credentials. Managed services is an opportunity for us as we plan to offer SOCs as a service along with Cyber advisory and consulting.
In terms of marke t, 1 in 3 companies have experienced Cyber-attacks since 2019, and the trend is only increasing. With growing digitalization, Cyber Security needs to be embedded in all our solutions. We plan to treat Cybersecurity or Cybersecure as we call it going forwar d, as a Horizontal along the Digital Products & AI work that we do and leverage existing relationships to expand . Our global Partnership s and Alliances with hyperscalers and product companies would be key to penetrating this market.
Finally, let me provide a view on our outlook.
We believe this acquisition will enhance and augment LTTS's capabilities across Next -Gen Communications, Sustainable Spaces and Cybersecurity allowing us,
1. the ability to address 5G in a much more meaningful manner and expand addressable market in multiple segments - Operators, Enterprises and tap into potential of large future spends like Sustainable Spaces.
2. Address the market from a cyber security standpoint and enterprise security in a much more meaningful and bigger manner with the SOC that we get.
3. Third, it will help to take India, which has been a test bed for disruptive technology at scale , to the world and expand our footprint i nto the Middle East as well as India, APAC, US and Europe as multiple countries are starting to invest in a smart and sustainable future.
While this is early days, and we have about 2 months for closure of this acquisition, we have put in place an integra tion plan that will help us create a joint go to market and capture synergies as early as possible.
We are excited about the future growth potential and reconfirm our aspiration to get to a $1.5 Bn run rate aspiration by FY '25.
Let me end by wishing all of you great health. Thank you. Have a great day, and I will hand over to Rajeev from here.
Rajeev Gupta: Thank you, Amit. Wish all the participants on the call a very Happy New Year and thank you for joining us on this call today.

We are happy to start the new year on a high , with announcement of the acquisition of SWC, a unit of L&T. We believe this acquisition will open new avenues of growth in 3 of our 6 Big Bets: 5G, Digital products & AI, and sustainability.
Amit gave an overview about the bu siness and potential synergies. I would like to give you some color on the financials of the busine

ss and the plan to integrate going forward.
SWC's business is broadly split into 3 segments:
1. Communications, which contributes to around 75% of the Revenue
2. Safe and Smart Solutions, which contributes to 24% of the Revenue
3. And, the newest vertical Cybersecurity contributes to 1% of the Revenue
The EBITDA margin profile of the acquired business is in the 8 - 10% range, relatively lower for two broad reasons :
1. Currently, SWC operates in the Indian market , executing modernization projects involving Design phase, Build phase and then Operate and Maintenance phase. This was the plan to get es tablished in the market, and now they have started positioning themselves for more Services Oriented playbook of Design, O pex and Managed Services that has higher margin profile versus C apex and Build programs.
2. Secondly, higher initial investments in terms of people, labs and product development , that will start to yield benefits with scale. Amit already talked about talent and innovation at SWC , evidenced by their Fusion Platform and the gEdge Data Center solutions.
Going forward, our goal is to improve the EBITDA margin profile of SWC business in line with

that of LTTS. With commercial and financial diligence, we have identified levers that will enable us to achieve the margin target.

1. First, take the capabilities of SWC to global markets where there is a good potential to win large transformational projects. A complete end -end offering stack combined with strong customer relationships and track record of large implementations would help us cre ate differentiation in the market.
2. Secondly, in the India market, focus more on the higher margin Services business, which includes Managed Services, SOC, NOC as a service, Design and Consultation.
3. We will also leverage the solutions and platform play of SWC to drive non -linearity. Our success in Telecom with our own IntelliAgent product gives us confidence of the market potential.

To summarize, the combination of leveraging joint capabilities in Global markets, a strong differentiation to win larger deals and an improving Services share in the India business will help drive scale and improve business mix towards higher margin areas resulting in margin improvements.

Now let me talk timelines.

We have drawn up initial plans to integrate our offerings and be ready with a joint go to market of our services. The leadership teams are ready and excited to take this forward at both LTTS and SWC. The common L&T DNA gives us the confidence of a faster and smoother integration to realize synergies early enough.

We are planning for closure of this transaction before March 31, 2023, subject to shareholder approval. We will provide more details as we approach Q4 FY23 closure.

With that, we are reaffirming our aspiration of $1.5 Bn run rate by FY25 and a sustainable 18% EBIT margin trajectory in the medium term.

Thank you for all your continued support and wishing you a very Happy New Year once a gain.

With that, moderator, we can now take the questions.

Moderator: Thank you very much. We will now begin the Q&A session. The first question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my question. So, Amit, my question was basically just couple of questions on the nature of the transaction. One is I would assume that large part of revenue if not 100% of the revenue of the SWC would be coming from the Indian markets or the Indian geography itself. So, if that is the case, do you believe having worked with the government entities in India and as I see that the company was founded in 2016 mainly to cater to the smart city project, there is definitely a case for, is there a case for a similar kind of work being done for private entities in outside markets outside India?

I mean, do you really see? I mean, is there a real like for like mapping that we can do in terms of basically catering those services to the set of clients that we have?

Amit Ch adha: Sure. So, Vibhor, thank you so much. I will address the question this way that like Rajeev pointed, 70 %+ of this business is in the Communications area, and when you look at communications, the kind of work that they do around conceptualizing an enti re network, or if you look at the work that they do on in terms of the gEdge Data Center that they have got, or you look at the work that they have done around, you know, around private 5G rollout etc., all these be put together, this is something that we can immediately take to our OEMs and our Telecom customers, our Operator cus tomers. In fact, we work for 6 of top 10 OEMs, and we work for 4 of top 10 global operators, US and Europe operators. So, it creates a full stack offering along with the NOC . And therefore, this immediately becomes applicable to our US and European market and Japanese market customers. So, that's number one .

Now in terms of Safe and Smart, we were working with our enterprise customers around i-BEM S, we were working in Building Automation , etc. What this gives us in the scale of work done around Safety Surveillance, Traffic Management, Waste Management, smart metering and the Fusion platform allows us to be able to give us an immediate upside in terms of going after

utilities, as well as going after markets in the US, Europe, Middle East and parts of Asia t aking this scale advantage of the kind of work that's been done . Thousands of cameras managed, if you look at it, so many nodes brought together, the Fusion platform, which actually allows us to be able to do analytics on top of the feed. So, it does bring together that particular part.

And the third on the cybersecurity again, with the work that they have done along with the Security Operation Center (SOC) they have got , taking that to our North American and European clients is an immediate thing that we would play, because we will all of a sudden have an end - to-end playbook, if I may, rather than having just product and Operational Technology (OT) in cybersecurity . So, we do see a lot of applicability, Vibhor . Not only that. Today worldwide, and I say this because I have, you know, been talking to a lot of our clients here based in the US and in Europe and in Japan. They look up to India, and they look up to Indian technology from a standpoint that the kind of work being done in India and the scale being done at India has not been done at other places. So, I am fairly confident that this provides an upside.

Vibhor Singhal: Right. But if I could just maybe extend the argument a bit, I mean, we have been trackin g LTTS for quite a while now, and we like speak very highly of the delivery capabilities that the company has. So, many of these capabilities exist already with LTTS. I mean, is this a void they are filling that we didn't have these capabilities specifical ly I think in the Communication space, 5G space? We talked a lot about what we are already offering to our existing clients. I mean, are there specific white spaces that this acquisition is filling? And if yes, then my question again is that wouldn't we ha ve, couldn't we have made an acquisition let's say outside India with already existing set of clients, which would have probably given us access to new clients maybe which we didn't have rather than trying to basically cross -sell the capabilities that they have that SWC has delivered in India into clients outside India in a completely different government to private kind of a setup?

Amit Chadha: So, number one, thank you so much. See, Vibhor, we did, so if you go back, we did acquire Orchestra Technologies in I guess 2020, and they brought with them capabilities of

the network
operator assurance, network assurance for operators . They brought that capability. When we did our assessment, what we were missing as a white space was the ability to conceptualiz e and architect an entire network . And as 5G became a Big B et area, we tried to organically develop it by creating the Lab -as-a-Service by doing a more than hundred 5G use cases for clients globally etc. But we did see that the ability to conceptualize, archit ect the network was one thing that we were looking for, and that was what SWC brought to us that we did not have.

We were also looking for a company that had done it to scale. We didn't want somebody that would have done it for one, you know, for a Telecom Operator or a second telecom operator etc. And based on what we saw in the market and we did a diligence, we realized that SWC brought that.

Second, we have got key things like the gEdge Data center, right, which is actually a software - defined Edge Data Center with immersion cooling technology, which is again a great asset to have to take forward. So, second, when we were looking at our business space that we were

looking at Smart, we have been talking about Sustainability for a long time. We looked at the COP guidelines that came out. We started seeing a lot of Utilities starting to spend. A lot of people that we were seeing had a product. There were very few companies that only do services from a Smart Sustainability standpoin t. That Smart World has got , that was not there outside. And we do not want to become a product company. So, therefore, it was an excellent fit for us, or it is an excellent fit for us along with a smart metering capabilities they have got and the Fusion platform.

From a cyber standpoint, of course, it provides the SOC capability that we do not have. So, therefore, it is complementary, if I may, in terms of the white spaces that we had to take it forward.

Vibhor Singhal: Thanks for taking those questions . If I could just maybe get a couple of data points? What possibilities of revenue would be in India and outside India? I'm assuming it is 100% India. If not, please correct me. What percentage of revenue is government business or private business? The thi rd is, ye s, if you could provide a color on what is the receivable days of the entity that we are acquiring?

Amit Chadha: Sorry. What was the third question?

Vibhor Singhal: The receivable days? The DSO days for the company that we are acquiring – SWC's ?

Amit Chadha: Sure. So, number one, from a revenue standpoint, it is 100% India, but there is an active pipeline for APAC and Middle East and parts of North America. So, I can confirm that.

Number two, from a government and private, I don't think we give that data out. I will hand over to Rajeev to handle that on the DSO part. Rajeev?

Rajeev Gupta: So, two points on this. One, these are largely government driven projects. And second, in terms of receivable days, I mean, given that these are largely government projects, generally, the duration of these projects in terms of receivables is relatively high and would be in the range of 400+ days, but like we said, you know, there is a good opportunity for us to take this business and offer it to our customers globally. So, as we start to change the profile of this business, we see that there is going to be improvement both in terms of receivables and other operating levers as well.

Vibhor Singhal: So, you mentioned 400 days, right?

Rajeev Gupta: Yes.

Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Thanks for giving the opportunity. Sir, largel y wanted to understand the existing business, which is there running INR 1,100 Crore kind of a business, largely government -oriented business and

over where, you know, we are having a 400 + days of receivables. I mean, would we still continue the existing business after making the acquisition? What is the strategy of the existing business which is there currently at SWC?

And my second question was on the GTM strategy. You know, how are we looking at the overall GTM strategy to take this particular business to maybe APAC or US? Something, you know, you mentioned about you want to take it to other geographies, but largely wanted to understand what are the changes that you are making in the or ganization to have a meaningful GTM strategy?

And my third question was on the $1.5 Bn aspiration. I mean, lastly, when I recollect timings, you know, there is $1.5 Bn number which was there, I mean that was largely organic kind of a number. So, I mean, aft er addition of this INR 1,100 Crore , does that aspiration still hold? Or would there be an upside from that?

Amit Chadha: So, let me address your last question first, because your line was not clear for the first question. Then we will address the second q uestion, and the first we will ask you to repeat. So, when we had told you that we will get to $1.5Bn run rate in FY25, we did have it as organic plus inorganic. And therefore, this is the inorganic part that has been added. Does that change the goalpost? It's early days, and as we go forward, if aspirations change and goals change, we will keep you informed, but we wanted to reconfirm at this stage $1.5 Bn by FY25 for sure, right. So, that's number one.

Number two, in terms of strategy, see, we have been s eeing over the last few quarters or months that we have been working on the 6 Big Bets that we took almost about 21 months ago now. We were noticing and we were seeing that we did not have certain capabilities . In the communication area, & 5G area, it was clearly in the areas of network architecture, SOC, NOC that we did not have. We also saw that t here is a huge market that is coming up for global enterprises to roll out their private 5G. We also see operators spending money. We thought tha t the capabilities they bring plus our Lab -as-a-Service etc., provide us an ability to go forward.

When we were looking at Sustainability, often we used to talk about Product Sustainability. If you remember, some of you will recall, I have talked about water -waste management. I have talked about, you know, utilities etc. But whenever we would talk to them, we would only end up going to the OEM. We would not be able to go on to the utility itself. We were not able to go to the municipality itself. And bec ause we had smaller projects, we were not able to show scale to them.

We believe that the scale that SWC brings in terms of the kind of work that they have done and executed is huge in terms of what we will be able to handle, right. And for just one exam ple, the Prayagraj festival in India recently, you know, that was concluded last year, SWC managed 250 million people along with complete coverage face recognition including AI etc.

If I look at smart metering, I cannot think of another company that's ro lled out 6 Million meters across three states, right. The Fusion platform brings with it a certain degree of data visualization not seen before. So, we believe that adds up, and clients in US, Europe, as well as Middle East are actively looking for such st uff. And we have done some bit of po lling etc, and we believe that that is a good market for it.

Cybersecurity is again, you know, since I believe that from a strategy standpoint, it fits very well into our Digital Products as a Big B et as well as taking it forward. So, it's aligned with that. Now, could you repeat your first question so that we can answer it?
Mihir Manohar: Sure. Largely wanted to understand that, you know, given the fa

ct that this business is largely a government business, and we are having 400 + days of receivables over here, making 8%-10% margin EBITDA margin, so , I mean, I believe that they won't be contributing much to the ROE and ROCE. And you know, would we continue such business in the existing LTTS structure where we have higher margins, working capital business and good capital efficiency? So, I mean, would we continue the existing business? Or we would like to, you know, scrap it out gradually, the existing business of SWC?
Amit Chadha: So, I would request Rajeev to take that question. Just key point keep in mind, Rajeev has already said that our medium term is to get to do 18% EBIT. You have seen us operate at those levels. Our whole goal is to take this business to international markets and do higher value services business i f we do it in India also. So, we are fairly cognizant of that, but Rajeev, could you please answer the ROE, ROCE as well as the DSO?
Rajeev Gupta: So, we have already talked about the fact that, you know, we can look at improving the profile of this busine ss, which has been more in the nature of Capex and Build programs to more Manage d Services programs, right. That is one. Second, to also take this business to global customers and newer geographies.
To answer your question, the government projects will c onclude over a period of time, right. And that by the very nature, we may not look to renew because those are, of course, programs that have come into play in the past few years. So, we see over the course of next 18 to 24 months and naturally, some of tha t business concluding. And as we spoke, changing the profile of the business would start immediately post the integration, and a lot of that thinking has already gone as part of the diligence. Hence, as you see over the next three to four quarters, the pr ofile of the business will start to improve. So, the EBITDA that we have indicated, which is currently at 8 % to 10%, over the course, will start to improve.
Our aspiration of $1.5 billion in terms of run rate by FY '25, like Amit said, included inorganic strategy. Our aspiration of 18% sustainable EBITDA in the medium term remains to be 18%. And sorry, sustainable EBIT remains to be 18%, and we will continue to work to improve the profitability of Smart World & Communications.

Moderator: Thank you. The n ext question is from the line of Bhavik Mehta from JP Morgan. Please go ahead.
Bhavik Mehta: Thank you. I have a couple of questions. Firstly, you know, if I just do a rough math based on FY '22 numbers, it looks like the EBITDA margin h it is going to be like 180 basis points. So, if you can just elaborate on, you know, how do we plan to maintain 18% EBIT for the combined entity going forward? You know, what are the timelines you are looking at to maintain those 18% levels? Because my sense is that initial ly, we will take a hit of around 180 basis points. So, what are the levers available to, you know, make up for that? That’s one.
And second question is, you know, what is the typical pricing model of this business? Because it's not a typical ER&D business. So, how does the pricing work over here? Because this company has like just 700 people, but the revenues are like INR 10Bn. So, if you can just throw some light on the business model and especially in terms of how the pricing work around the contracts or structures? Thank you.
Rajeev Gupta: So, I will cover the EBIT part of it. So, Bhavik, like I said in the opening commentary, we have done our due diligence. We have identified certain levers. As we look at over the next two months or so, we intend to close the transaction by 31st March 2023 subject to shareholders' approval. We will come back with more details in terms of some of those levers and how we will improve. I again maintain that in th

e medium term, aspiration is to maintain that 18% EBIT range, but we will come back with more details in Q 4 FY23 once we see more details around this business. Amit, you want to take the pricing model?
Amit Chadha: Yes, pricing largely, Bhavik, has been fixed price for them. They don't work on T&M. And w e are also looking to expand our own fixed price model as we go forward. So, it's in line with that. Like Rajeev mentioned, our whole goal of taking over this business is that we have high confidence given our leadership bandwidth, given our ability to be able to improve profit margins in the past as well of our own business. If you remember, we used to be at about 14% EBIT. We have come to 18%. Our own ability to manage our business and take it forward, and

third, our ability to scale, we believe these thr ee internationally, globally, give us the ability to have the confidence to turn this around. So, I would not be worried about pricing models at this stage. I do believe that this is doable and as well as make sure that we are back at that it does, and tha t's why we wanted to make sure we make that statement that we are medium term, we are back at the 18% EBIT levels that we have always been at.

Bhavik Mehta: And just lastly, what was the rationale L&T group had in selling this business to LTTS and not, you know, continue within L&T?

Rajeev Gupta: So, the way L&T, see that question you should maybe ask L&T, but I will attempt to answer the question in a different manner. L&T has, and our chairman has gone on record , Vice -Chairman has gone on record t o say that, that L&T looks at LTTS as its expression of Engineering and Technology to the world. L&T has spent the last six years to sort of incubate this business, right, building the Fusion platform, building the gEdge Data Center, building out the smart metering

capabilities, building the SOC, the NOC. They have invested in this business to take it forward. And I think the time had come for this business to go global, and at that point they thought that LTTS being an Engineering Technology company, and t his business that we are doing is largely Engineering and Technology, we thought was the right fit for us to take forward. So, that probably is what went on in the mindset.

Moderator: Thank you. The next question is from the line of Akshay Ramnani from Ax is Capital. Please go ahead.

Akshay Ramnani: Thanks for the opportunity. And Amit, just one question. How should one think about the growth profile of this business? So, you mentioned that some of the government contracts maybe ending over the next few quarters over the next 18 months, and we are also focusing on improving our international presence and Managed Services in India. So, there will be a headwind and tailwind overall . So, some sense on the over the past two years how has the business grown? And how should we think about the growth prospects of this business ?

Amit Chadha: So, to answer the question, you are talking about the growth prospect, and I am trying to an swer it, Akshay, right?

Akshay Ramnani: Yes.

Amit Chadha: So, if you look at the growth prospects, we do believe that 5G spends have yet to roll out completely. They haven't completely come out. In fact, I mean, there are numbers thrown & the public inform ation is that by 2030, 5G is expected to have a global impact of $1.3 Tn, right, on the global economy, and that is not just operators. It's across, you know, it's from operators. It is from healthcare providers. It is from, so overall, right? So, we do bel ieve that that's the kind of revenue that is expected to be rolled out. Now we believe that that we are in the right space with this business to be able to take that forward. So, that's number one from a growth standpoint. We have already got demand. I mea n, we have been

actively recruiting SWC has been actively recruiting to try and take this forward and creating 5G use cases, and we have talked to you before about investments we made already in setting up labs in Bangalore or setting up labs in Mysore on 5G. We announced a partnership with Mavenir, with Qualcomm. If you have done, there are others that we have not taken names, but we have done work. There is a lot of work that we have done with one of the largest operators in the US actually to connect 911 calls to rural areas in the US. So, there is a lot of these case studies work that we have done along with the Orchestra Technologies acquisition that we had done. So, the uptick that we saw in our Orchestra acquisition and the work that we have been able to generate from there gives us the confidence that this is an area that's up and we will see tailwinds from a spend standpoint over the next two years at least.

Now in terms of Sustainable Spaces, again, various numbers being thrown, but the market siz e seems to be about at about $240 Bn by 2025 is what they are talking about across infra, building, utilities, mobility, public safety etc., which, again, I think is the right place to do and take it forward. And that we are not going to be selling directly to them only, but we have got

hyperscaler partnerships. I mean, you have seen this partnership we had with Microsoft. There are others that we have announced masking the name, which I can't name because, you know, we don't have the permission, but there a re these hyperscalers we have got partnerships with that

are addressing these spaces, and these capabilities we bring will address it.
So, if you look at the growth profile, I do believe it's in line with the growth profile that LTTS has shown traditiona lly without the COVID aberration that we had. So, you should look at the growth profile in a similar manner.
Akshay Ramnani: And so just to confirm that despite headwinds from ram p downs from Indian government contracts, we should still expect the growth o n this run rate what they have reported on FY '22.
Amit Chadha: Yes, absolutely. In fact, as you will see, see like Rajeev mentioned, and like I said in the early days, you will see more of it coming along. You know, we have confidence that we will turn around. We will take the case studies and the qual ification s that we are getting from this business and leverage it globally. That allows us to be able to change the profile of some of the business that we are doing in the customers we are doing so that gro wth continues to happen and margins improve.
Akshay Ramnani: And just another clarification that this $1.5 Bn, would that include another round of acquisition? Or are we done? Or what are your thoughts there?
Amit Chadha: So, we have an active pipeline of M&A prospect that we continue to look at. I am fairly … when we made a commitment to you, if you remember last year, two years ago, September, we told you three things. $1 Bn run rate by 22 -23. We committed to you 18% EBIT in the medium term. We committed to you $1.5 Bn run rate by FY 25. We had a little bit of acquisition built into that $1.5Bn. The $1 Bn did not have acquisition. So, we delivered $1Bn to you in constant currency in Quarter 2. We delivered 18% actually the quarter following that, a nd we have stayed in that trajectory, right, in spite of wage hikes etc. I am again reconfirming the $1.5 Bn at this stage is doable. Do we need another tuck -in? I don't think so. Will we get another acquisition? We will see.
The right price, if we get th e right size, right technology, because we don't look at an acquisition only because of revenue. We look at an acquisition, we look at market potential. We look at, of course, top line, bottom line. We look at the tech assets because we are not an IT compa ny. We are an Engineering Technol

ogy company. So, we look at the tech assets. We then look at the ability to grow and expand. And of course, the qual ification s and reference case studies. So, we take all of that into account. So, if there is another one, m aybe we will do it, and then maybe we will come back and give you another number for FY25 or FY26, but story to be played. We are right here. We will continue to engage.
Moderator: Thank you. The next question is from the line of Mukul Garg from Motilal Os wal Financial Services. Please go ahead.

Mukul Garg: Thank you, and my apologies, first of all, if you have already answered this as I joined a bit late. I just wanted to understand, you know, from Rajeev, how should we look at the EBIT margin of this acqu isition? Because then obviously, there is a fair bit of capital intensity to this business, and while you have shared 8 % - 10% EBITDA margin. Is it also possible to share the EBIT and PBT margin for this business?
Rajeev Gupta : So, Mukul, let me clarify, a nd like you said, you may have joined a bit late. I did respond to this question earlier. So, we continue to look at this business over the next two months. We have identified initial levers. The levers being, one, we would see more projects in the Managed Services and in Opex space. That's one. Second, take this business globally to existing customers, to new customers, right, and that should be more margin accretive. So, if I look at in the medium term, our aspiration remains to see this business in the 18% margin trajectory. We will come back with more details as we see this business over the next two months in our Q4FY23 closure, and we will clarify further on this. So, I hope, Mukul, that should address, but we will certainly come back with more details as we look at this b usiness over the course of next two months.
Mukul Garg: No, Rajeev, so I heard, you know, this part of your answer, but because I still just if it will be possible for you given that you just acquired this entity, historically, or maybe most recent period if you can share what kind of, you know, below EBITDA line item what kind of numbers are because, you know, we have seen historically, especially for the large project companies profitability being very, very low due to high depreciation, amortization or i nterest expenses? And also, if you can share, you know, the way you have arrived at the valuation, does that also include some assets or IP you are taking over or a majority of the valuation is the skills and the projects which they already have? Project v alue obviously will get impacted as you will ram p down the Indian government projects.
Rajeev Gupta: So, I think interesting questions, Mukul. Certainly, happy to respond to those. So, one, beyond EBITDA, this profile of business is not asset intensive. So, from a balance sheet standpoint, we

are not taking over assets that will load on to the balance sheet. Second, there is not a high interest cost, right? So, that will also not be a burden beyond the EBITDA. So, hopefully, that should give you some comfo rt. The third part, your question, and maybe can you repeat that, Mukul, because you had quite a few questions. I just wanted to clarify all of those. The third question was on?

Mukul Garg: The third question was on the, you know, when we look at the INR 800 Crores, which you have paid for this asset, are you also onboarding some, you know, some physical assets or technology IP in addition to the business as well as the team which are valued separately?

Rajeev Gupta: Yes. I did respond to the fact that thi s is not a business with high physical assets, but certainly, this is a business that brings in technology. Amit earlier talked about Fusion platform, gEdge Data Center solution. So, these are certainly all technologies that have been baked in as part of the valuation. Again, I r

eiterate this is not an asset intensive business and certainly does not bring the burden of higher interest cost.

Mukul Garg: Thanks for answering this aspect. You know, in terms of I think obviously you guys will probably come bac k in the next quarter with more details. But in terms of when we look at the areas where overlap was limited or the skill set which LTTS had was less, if you can just highlight a few points where it was probably something which will accelerate rapidly for you something an opportunity from a global aspect which you did not have right now?

Amit Chadha: So, Mukul, one, from our Telecom Operator and Infra, so we look at Hitech , right. You look at Hitech as Telecom Operators, Telecom Infra, which is the Nokia, S iemens of the world, the Nokia, Ericsson of the world. You got Semiconductors . Then you got Consumer Electronics. You got ISV , you know, these hyperscalers.

Now if I look at this particular business , this business is largely a Telecom Operator's business and they have operated, right. And we have operated largely in the OEM space, though with the Orchestra acquisition, we did get the 5G part with some operators. So, like I said, we work for 4 of top 10 across US and Europe in terms of operators. We work for 6 of top 10 OEMs globally. So, I believe that this adds our ability to go to current clients with a much wider offering. Second, it allows us to be able to expand into other operators in US, Euro pe and the Middle East, right. So, that is one clear area that we see provide us that upside. Second upside that we get is that we have been largely working, if you look at , Building Management etc., so I will not give names here on this call, but we work with a lot of these guys who create that equipment . So, refrigeration equipment or metering equipment etc., but we didn't have the ability to stitch a solution and take it to say a city or take it to an airport or even take it to our own clients in Oil & Gas or Chemicals segments that have got large plants, and they want to, you know, let's say they want to make the whole thing Smart. They want to implement a 5G network and also want to do Wi -Fi 6. We didn't have those qual ification s. We may have capabiliti es in parts, but to do the whole thing to scale, we didn't have that. So, this brings that, and it allows us to be able to participate in some of these RFPs etc., that continue to get rolled out.

And third, cyber security has been an area that we have bee n keenly doing. In fact, we have talked about Digital Products and some of you that have been to our centers in Mysore have seen that we do, a lot of work there . We had some very good talent that we have got there , but that coupled with the SOC that we have got we believe is a high powered , high growth story that we can take forward .

Mukul Garg: Understood . That's really helpful , and thanks for a nswering my question . Best of luck for the acquisition .

Moderator: Thank you . The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead .

Mihir Manohar: Thanks for giving me follow -up. Sir, largely, I wanted to understand , and , you know, I understand that it's difficul t at current juncture to see what kind of synergies could pop up . But the background that I am coming from is that, you know, we are paying INR 800 Crores for this

acquisition that will get added to our Net Worth and across the next 18 to 24 months , there are some of the programs , which are getting concluded , and we will not go for renewal and, you know, so with the revenue ramping down or in the existing business we are paying INR 800

Crores . So, just wanted to understand , I mean , the existing $200M of Telecom & Hitech Business, which is there , I mean

, what kind of number are we looking at over the next two years so as to understand as to what the sweating of the asset will happen ?

Amit Chadha: So, Mihir, we look at synergy , like I already explained just now for Mukul Garg, we do see growth expansion opportunities , right . We have always been topline focused with a sustainable bottom line company . That's been our mantra , right . So, with that said , we do see synergies in if I tell you from a technology standpoint , right , we do see the fact that we have done some 5G use cases more than 100 . Smart World has done about 100 use cases in 5G . Together when the labs come together is a great story . We don't need to build our own NOC . That NOC now exists in Next -Gen Communication with them .

We have our i-BEMS platform and UBIQW eise platform , that synergize technologically with the Fusion platform that SWC brings is a huge plus for us . We have got OT and product security capabilities . We have got SOC capabilities along with full life cycle threat management , again , A plus B . So, we see those synergies.

With that said , given that we see synergies , and I already mentioned prior , that the profile of growth of this business is similar to our business . We do believe that we will be able to accelerate growth in a profitable manner as we move forward .

Moderator: Thank you . Ladies and gentlemen , we will take one last question from the line of Sameer Dosan i from ICICI Prudential AMC . Please go ahead .

Sameer Dosani: Hi, Amit and Rajeev. Just one, actually, two clarifications. I joined a bit late, but what is Managed Service part of the portion where we would be trying this new acquisition? So, we are trying to increase the Managed Services portion, right ? So, what is the proportion now ? And what is the plan to take up it, you know, what is the plan or a milestone that you would be trying to get it up to ?

Amit Chadha: So, we are today doing, I don't know Rajeev would give out exact data we will come back in Q4 and give it , but I should say that the business , and again like I said , Sameer , see if you look at the business , look at it this way that last six years was being incubated by L&T and had done a lot of projects etc . Whatever projects are getting over , actually are converting to Managed Services because you have to then manage whatever you have built etc . We traditionally have been in Managed Services . So, as you go forward , you will see a lot more content in India , in Middle East , APAC, US, Europe in Managed Services . And that's one of the reasons why we are betting on the fact that we woul d be able to turn around the margins of this .

We are fairly confident of what we have done with our recent other acquisitions . So, we have done three acquisitions in the high -tech spaces you are aware . We did O rchestra Technologies .

We did Esencia . We did Graphene before that . So, all these t hree if you look at it have been over a period of time allowed us to be able to grow our top line in a sustainable manner . We believe this will do that as well .

Sameer Dosani: But any ballpark number what would be the percentage? 10? 20? 30? I mean, just overall j ust to understand .

Rajeev Gupta: So, Sameer , maybe I can add to what Amit was sharing . So, Sameer , first, yes, we will come back with more details as we are looking at various aspects of this business , but the part that I would want to add , right , like we said at the opening of this call , this is a business that was seeded in 2016 as a unit of L&T. The first six y ears really has been at the back of a lot of investments in terms of technology , people , labs. Going forward , the pipeline is more representative of the Managed Services . So, I think in addition to the fact that , of course , like we said, we should be able to take th

is business even further . We will come back with more details and give clarity in terms of the breakdown in the profile of this business .

Sameer Dosani: Understood . And second , what is the government part of the business that you would look to ramp down or not renew ? Right now, what is the percentage of that revenue ?

Rajeev Gupta: So, we did respond to this earlier , Sameer . The current business is largely representative of the government business , and these have been projects that commenced over the last few years and likely will continue over the course of the next 18 plus months or so .

Sameer Dosani: And lastly , I think that valuation question was not answered . I think , what is the valuation bas is right now , I mean , on which we have arrived at INR 800 Crore value ?

Rajeev Gupta: So, the valuation has been arrived using the platforms , the technology . We talked about Fusion . We talked about gEdge . Of course , the people , also various assets in terms of labs etc ., these are some of the things that have been factored in as part of the valuation .

Sameer Dosani: Correct . And 18 % EBIT margin would be including the amortization hit that would come , right ? Because that would also be there involved .
Rajeev G upta: So, Sameer, to clarify , the current business of LTTS is operating at 18 %+ EBIT levels . We h old the aspiration of a sustainable EBIT margin over a medium term . There certainly will be some impact . We will come back with those details , but clearly , there is going to be a curve , and we will bring this business back over a period .
Sameer Dosani: That clarifies . Thank you .
Moderator: Thank you . Ladies and gentlemen , that was the last question for today . I now ha nd the conference over to Mr . Pinku Pappan for closing comments .
Pinku Pappan: Thank you everyone for joining us on the call today . I know it was a long day for you , and I really hope, you know, we get to interact in the coming days and especial ly on Jan 19th when

we report our Q3 results . With that , let me say goodbye , and it's a goodbye from all of us here at the LTTS . Thank you .
Moderator: Thank you . Ladies and gentlemen , on behalf of L&T Technology Services Limited , that concludes this confer ence call . Thank you for joining us , and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: May 2023

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Bandra (East), Mumbai — 400 051. Dalal Street, Mumbai - 400001
NSE Symbol: LTTS BSE script Code: 540115

Subject: Transcript of Earnings Conference Call for L&T Technology Services Limited (LTTS) for the quarter and year ended March 31, 2023

Dear Sir / Madam ,

Please find attached the transcript of Earnings Conference Call organized by the Company on April 26, 2023 , for the quarter and year ended March 31, 2023 , for your information and records.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prajakta Powle
Company Secretary & Compliance Officer
(M. No. A 20135)

Encl: As above

L&T Technology Services
Q4 FY23 Earnings Conference Call Transcript

For the Earnings Call held on April 26 , 202 3, 18:30hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,

MR. ABHISHEK SINHA – COO & EXECUTI VE DIRECTOR ,
MR. ALIND SAXENA – PRESIDENT SALES & EXECUTIVE DIRECTOR
MR. RAJEEV GUPTA – CFO,
MR. PINKU PAPPAN – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to L&T Technology Services Limited Q4 FY23 Earnings Conference Call. As a reminder all participant lines will be in th e listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note th at this conference is being recorded.
I now hand the conference over to Mr. Pinku Pappan, Head of Investor Relations. Thank you, and over to you, sir.
Pinku Pappan: Hello everyone, and welcome to the earnings call of L&T Technology Services for the Fourth Quarter and Full Year FY 23. I am Pinku, Head of Investor Relations. Our financial results, investor release and press release ha ve been filed on the Stock Exchanges and is also available on our website, www.ltts.com . I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap the management remarks in 20 minutes and then open up for Q&A. The aud io recording of this call will be available on our website approximately one hour after this call ends.
With that, let me introduce the leadership team present on this call. We have Amit Chadha - CEO and MD, Abhishek - COO and Executive Director, Alind Saxena - President Sales and Executive Director, Rajeev Gupta - CFO. We will begin with Amit providing an overview of the company 's performance and outlook, followed by Raj eev, who will walk you through the financial performance.
Let me now turn the call over to Amit.
Amit Chadha: Thank you Pinku and thank you all for joining us on this call today. I trust and hope all of us are doing well.
I would like to start by welcoming my colleague of more than 12 years at LTTS – Alind Saxena to the Board of LTTS. He was elevated earlier today to President Sales and Executive Director. Alind is a graduate from IIT Kanpur, has lived in the US and Europe for more than 2 decades, been with LTTS since 2009 and a member of the executive leadership team for the past few years. Prior to this appointment, he was the Chief Sales Officer responsible for North America and Asia.
With that, let me provide the key highlights of our Q4 performance :
• In USD terms, we had a sequential revenue growth of 2.8%, with four verticals – Medical, Plant Engineering , Telecom & Hitech and Industrial Products growing in excess of 4% sequentially.

• We sustained the EBIT margin at 18.7% as we continue to strengthen the operating model to make it sustainable.
• Our large deal engine continues to fire with a $40 M win in this quarter and 3 additional deals of TCV $10M plus each.
Overall, when we look at FY23, we are quite happy with our performance and the milestones we've achieved :
• Growth : We crossed a Billion dollars on a run rate basis and grew by 16% in constant currency during the year. Three of our five verticals grew in double digits – Transportation (at an industry -leading organic 22%), Plant Engineering and Industrial Products . When we look at the geo wise split, all 3 geos, US, Europe and ROW grew in double digits.
• Large deal s: In FY23, we closed a total of 18 deals greater than $10 M TCV, which includes 3 deals in the $40 – 60M ran

ge ; and 3 in the $15 M range.
• Technology Quotient : We continue d to file patents at the rate of about 50 + every quarter, taking the total to 222 for FY23. Cumulatively we have now filed 1,090 patents as of FY23 – of which 363 are our own and 727 on behalf of the customers. Patents showcase the innovation culture that we have in the company and how our engineers are helping customers leverage advanced technologies for their products and services.
• Operating model : Our FY23 EBIT margin was the highest ever at 18.5% , on the back of consistent focus on strengthening the operational playbook. PAT for the year was at 1,170 Crores – again a milestone as we crossed the 1,000 Cr mark. PAT has also grown at an 18% CAGR over the last 5 years , demonstrating consistency in operations .
• M&A : We acquired S mart World & Communications (S WC) – which has been the largest acquisition for us yet. The combined offerings of LTTS and SWC give us scale and an end -end portfolio coverage. We are gaining momentum in building a large pipeline of deals here. We have already closed 3 deals – which includes one 5G deal that we have announced to the press and one with a Telecom Infra OEM leveraging SWC capabilities which we have closed in the current quarter as reported in our results.
With that, let me now provide the segmental performance and outlook.
Starting with Transportation ,
• We continue to invest in Transportation capabilities – the current investments are in the software defined vehicle space and setting up higher wattage EV labs for Auto, Trucks and Off Highway equipment electrification.

• There is a good pipeline of opportunities for connected vehicles and V2X solution development.
• In Transportation, we have filed 27 patents for ourselves in the last 2 years – which is nearly 50% of the overall patents that we have filed in this domain, giving you a clear indication that our pace of innovation has picked up in this sector.
• Leverag ing SWC, we are entering conversations to set up data centers and SOC operations for autonomous and connected vehicles.
• In Q4, we had a flat quarter as we had ramped up some deals in Q3 and stabilized in Q4.
• During the quarter, we have signed a $40 M plus deal with a US Transportation major for a complete transformation of their tech nology stack cutting across design and development, analytics, etc .
• Additionally, we have signed 2 $10M plus deals in Transportation, which puts us in a good position for growth in Q1 and beyond.
Overall, Transportation had a stellar year – we grew 22% in FY 23 organically, and this is now a $350 M annualized business. We continue to see strong growth prospects in this business.

In Plant Engineering ,
• Demand in O il & Gas (O&G) and Chemicals is driven by digital twin and asset reliability where digital technologies are being leveraged in a big way.
• We are leveraging our own Asset Health care Solutions, which is a Digital Manufacturing AI framework that will proactively address asset and plant shutdowns.
• In CPG , as well as in O&G and Chemicals, the broad trend is towards localization, capacity expansion and setting up Engineering Value Centers.
• As we had indicated in previous quarter , we saw a good bounce back in Q4 with a 6% growth sequentially, which is broad -based across the three subsectors.
• We have won multiple sub -$10M deals with MNCs to set up their newer plants including in countries like India.
Plant engineering grew at an impressive 16% this year, and we are optimistic on the growth momentum continuing.

At Industrial Products ,
• Digital demand is increasing with customer spending and manufacturing new product and Application development.
• We are seeing strong traction in Digital Products and Services as well as in AI and Digit

al Manufacturing.
• IP as a segment has always been very innovative, and we have filed 131 patents for

our customers in the last 2 years alone.
• We are investing in capabilities that help companies transition towards Green Energy like Battery energy storage and Containerization.

• As part of our Sustainability big bet, we have executed projects in Electrolyzer Design for Green Hydrogen and see more opportunities coming up.
• Eaton – one of our long -standing customers has engaged LTTS to work on projects related to Sustainability, where we will leverage SWC capabilities around Smart and Sustainable Spaces. Again, our press release has been issued to this effect.
• In Q4, we had a 4% sequential growth led by Machinery and Building Automation.
For the year, Industrial Products grew at 10%. We see a good pipeline of opportunities in the digital space and expect growth to be strong in the current fiscal too.

In Telecom and Hitech,
• We are in conversations with customers wanting to make their supply chains more resilient as well as optimizing cost and efficiencies.
• With SWC, we won a deal with the Telecom Infra company to set up a complete 5G network to validate their next gen 5G product.
• We also won a deal with a North American rail operator for 5G private network deployment.
• Cyber security expertise is another area that we are leveraging SWC capabilities by partnering with cybersecurity providers to build products for OT security.
• There were ramp downs in the Semcon space , however we were able to offset that with growth in other sub-segments like Telecom OEM, Service Providers, Media and Entertainment.
• So overall we had a good 4% growth in Q4 despite an overall challenging environment and this puts us in line to continue to grow as we go forward into next year
Additionally, SWC capability will give us a bigger play in 5G NOC and SOC globally. There are a few deals in play that we expect to close in the quarter.

Lastly, in Medical ,
• Again, a very innovative segment – we filed 32 patents of our own over the last 2 years, which is the majority of the overall patents we have filed in this segment. As I had indicated earlier, the pace of filings have increased over the last two years, and these solutions are world -class.
• We are investing in Digital Health care Solutions and AI enabled solutions for QARA.
• We have been diversifying our growth in Medical with more contributions coming in from Europe and ROW.
• Overall, we had a strong quarter with 7% growth led by ramp -up on deals that we have won recently.
• We are seeing a good pipeline of deals , however, deals take a little bit longer to fructify in Medical .

Medical growth for the year was in single digits, though the rebound in Q4 has created a good momentum. The deal pipeline gives me confidence to confirm this will grow faster in FY 24.
Let's now get on to outlook :
Even as the global GDP normalizes to pre -COVID levels, there are 3 clear areas that will attract ER&D investments and increase the total addressable market pie for people in our segment.
These three are around
1. Energy Transition and Electrification,
2. Digital and new-age technologies for a variety of use cases that cover User experience, Automation , Communication etc.
3. Business transformation to optimize costs and increase returns thereby increasing outsourcing and offshoring.
There are some data points we will take.
• Digital transformation spend s continue and as per latest market reports will grow from

$800 B currently to $1.4 Tr in 2026, led by Cyber Security, AI, Hyper automation, enhanced speeds of Connectivity, better and higher Computation and Cloud adoption.
• The global AI market itself is expe

cted to grow from $400 B to $900 B in 2026, with spends towards hardware, software and services . Industry specific models will need to be created which will create a great amount of opportunity for us.
All these indicators dovetail with our bets around EACV, MedTech, Next Gen Communication , Digital Products and AI & DMS.
• We do believe US, Europe and Japan will continue to fire at similar levels of spend on innovation technology as they have, while parts of Middle East and India will also see an uptick.
• Our large deal traction continues to scale up across US, Europe and Japan. We are starting to make some inroads into Middle East and to be played out. We see large deal opportunities across five segments, both in digital and next gen product development as well as cost optimization and related initiatives.
• We've made some good progress in SWC – with full integration of the people and leaders so far.
• Rajeev will talk a lot more about this , he's leading that effort from the executive leadership team.
• The joint offerings across Next Gen Comms, Smart and Sustainable World and CyberSecure have been taken to customers and we are seeing a good pipeline for that. Till date, like I said, we have won 3 deals and do expect to announce more shortly.
• Looking ahead, we see another strong year of growth. For FY 24 our guidance in USD constant currency terms is 20% plus. Within this, organic growth will be 10% plus, while the rest will come from SWC.
• I would also like to reconfirm our aspiration to hit the $1.5 Bn run rate in FY 25.
With that said, wishing you all the best and great health. I will hand over to Raj eev and then stay on for questions.

Rajeev Gupta: Thank you, Amit.
Good evening to all of you, and I hope you're keeping safe and healthy.
As you may have seen from the results filing, FY 23 has been a landmark year for us – crossing the milestone on $1 B in revenue run-rate with growth across segments, achieving consistency in operating margins through the quarters to touch 18.5% for the year, which is the highest we have reported and PAT for the year crossing the ■ 1,000 Cr mark.
We are also happy about the consistency in FCF and cash generation , which has helped end the year with nearly ■ 3,000 crores of cash . We also did our largest acquisition till date, which will be effective from 1st of April 2023.
I shall now take you through the details of our Q4FY23 and full year financials, starting with the P&L.
For the Quarter,
Our revenue was at ■ 2,096 crores, a growth of 2.3% on sequential basis. Our double -digit YoY growth trajectory continues with Q4 revenue up 19% on YoY basis.
We sustained EBIT margin at 18.7% – flat when compared to Q3. We absorbed higher employee related costs through operational efficiency and G&A improvements.
For the Year,
Our revenue was ■ 8,014 crores, a growth of 22% over FY 22, our second consecutive year of grow ing 20%+. Performance was led by Transportation, Plant Engineering and Industrial Product s segments.
EBIT margin for the year was 18.5%, an improvement of 20 bps over FY 22.
Moving to below EBIT
Other income for the quarter was at ■ 39 crores, slightly lower on a sequential basis due to lower forex gains.
Effective Tax Rate for Q4 was 28 .0% and for FY 23 at 28.6%, slightly higher than expectations for the year. This was due to conclusion of certain past year assessments in Q3, we expect this to stabilize in the 27.5% range going forward.
Net income for the quarter stood at ■ 310 crores, which is 14.8% of revenue, up 2% on a sequential basis, driven primarily by higher Revenue .
For FY 23, Net Income was ■1,170 crores, 14.6% of revenue, up 22% , in line with revenue growth.

Mo

ving to Balance Sheet, let me highlight the key line items.
DSO was 75 days at the end of Q4 compared to 77 days in Q3, while unbilled days reduced to 15 days in Q4, a two -day improvement over Q3. The combined DSO including unbilled stood at 90 days, which is well within our target range of less than 95 days. This is also the lowest level over the last few years.
Let me now talk about cash flows – In FY 23, Free Cash Flow was ■ 1,132 crores, a healthy 97% of Net Income. Our Cash and Investments rose to ■ 2,974 crores by end of Q4FY23, an increase of nearly 40% vs end of FY 22.
On Capital Return : the Board today recommended a Final Dividend of ■ 30/share, taking the total dividend for FY 23 to ■ 45/share. This translates to a dividend payout of 41% for FY 23 and the highest payout so far.
Our Return on Equity stands at 26% for FY 23 vs 25% last year, again higher on account of increase in Net profit to ■ 1,170 crores in FY 23 versus ■957 crores in FY 22.
Moving to revenue metrics : On a sequential basis, $ revenue growth was 2.8% in reported terms and 2.2% on a constant currency basis, led by Medical Devices and Plant Engineering segments.
Segment margin performance for the Quarter : was better in 2 out of 5 segments on a sequential basis. Transportation margins were lower in this quarter due to costs related to initial ramp up of certain deals and certain one -time investments made in capabilities on new -age technologies.
Segmental margin performance for the Year: was better in 4 out of 5 segments, led by Plant Engineering and Medical Devices.
Now let me comment on operational metrics :
The onsite :offshore mix came in line with our expectations. Offshore percentage now stands at 57% for the quarter. Our aspiration is to improve this ratio to 60% levels in the medium term.
The T&M revenue mix increased to 71% in Q4 and is likely to maintain at these levels.
On client profile – which indicates the number of Million dollar plus accounts – has shown a sequential improvement in the $5 M and $1 M plus categories. The client profile numbers have seen an improvement over the past few quarters , this trend will continue in the coming quarters.
A key highlight that I would like to share here is that our top account crossed the $40M mark in FY23.
Client contribution to revenue – All three categories – Top 5, Top 10 & Top 20 continues to be in the same range as Q3.
Headcount increased sequentially by 584 employees, while attrition moved down to 22.2%. Our aspiration is to get below 20% levels of attrition. This will be achieved through various employee engagement measures.

Realized rupee for Q4 was around ■ 82.2 to the US dollar, an appreciation of 0.5% versus Q3.

Let me now provide an update on our SWC acquisition :
We have successfully closed the transaction effective 1 April 2023 and integrated around 800 employees of SWC into LTTS. An Integration office was set up to focus on Day 1 readiness and Operating model – which helped us manage the transition smoothly.
We continue to run the synergy program over the next 180 days, and we'll focus across 3 tracks :

• Revenue – priorit ies being internationalization of customer base, expansion of services portfolio and creating large deals opportunities. As Amit mentioned, we are seeing a good pipeline of opportunities – with 3 international deal wins so far leveraging the SWC offerings.
• Margins – expanding margins through internationalization, business mix optimization and G&A optimization.
• DSO and Working Capital – improv ing collections and transform ing into a solutions and services play to get into more asset -light deals.

Before I conclude, let me give some visibility on the margin trajectory going forward.

• Our EBIT margin stands at 18.7% for Q4 and 18.5% for FY 23. With the addition of SWC,

we aspire for EBIT margin to be in the range of 17% in FY 24 on a consolidated
basis.
• With the transformational levers that we have identified and started to execute, we
maintain our aspiration to get back to 18% EBIT levels by H1 of FY 26.
Summin g up, we had a good performance across parameters in FY 23 and are excited about our
future growth prospects.
Thank you. And now I hand it over to the moderator for Q&A session.
Moderator: The first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: Thank you. A couple of questions. Firstly , on the guidance. If I look at organic guidance at 10%, seems a bit weak, given the momentum we have seen in four of the five verticals in the 4Q numbers. So can you just throw some more light on what kind of headwinds are you expecting going into FY24, which has led you to come up with a weak guidance at 10% on an organic basis?
Secondly, on SWC, it seems like the revenues were just $100 M in FY23, while the FY22 number, what you had shared, it led to revenues of around $140 -150M. So, has SWC seen revenues contract over the last year? Just a clarification on that. And lastly, can you just talk about this D OJ settlement, what you paid of around $10 M, more color on that in terms of what is it related to some one or two clients or was it across multiple clien ts in the US? And what has been the reaction from the clients because of the settlement done by you?

Amit Chadha: Yes, hi. Thank you so much. Number one, I believe that what we've guided is 20% plus with the focus on the word 'plus', right? And we are just starting the year. We are not declaring FY24 results yet. I do believe and I have a lot of optimism as I enter the year. If you look at it, there are three clear areas where we're seeing money is being spent, Energy Transition & Electrification, Digital – which includes Cyber, AI, Automation, Connectivity , Computation and Cloud adoption. And finally, a lot more outsourcing and offshoring.
So at this stage, given where the world is right now, I do believe that we're very confident in this 10% plus across segments. The two areas which are a little bit of a concern to provide a balanced view here or Semcon and hyperscalers. Our exposure to hyperscalers is very limited. And in fact, the areas we're working with them on are seeing expansion. Semcon , of course we had a decline in the current quarter, but we overcame that. And in spite of that, Telecom and Hitech grew 4%. So that's where we are on that.
With regards to the -- and I will hand over to Raj eev on the SWC part. But on the D OJ part, as we had outlined in the press release that we did, this was a settlement without admission of guilt or liability. And this was for some stuff that came to our notice for the past. It is behind us. We have put in very strong controls, including ha ving a general counsel appointed in the US A, and a strong team and processes to back this up. Our clients have been very supportive to us. And if anything, what we have taken away is that they have appreciated our transparency, our strong processes, and the way we have been working with them and conducting ourselves over the last few years. Rajeev, with that said, if you would like to add color on SWC .
Rajeev Gupta: Thanks, Amit. Bhavik, let me address the question on the SWC revenues. So in respect of SWC revenues, the portfolio of contracts that we've taken over from L&T aggregate to ■ 800 crores in revenue for FY23. We will consider this to be the baseline. These are also contracts that are strategic in nature and will result in better performance for LTTS combined in future.
Amit Chadha: I would also like to confirm that the D OJ settlement has had absolutely no impact on any of our customers or any deals or conversations.
Moderator: Tha

nk you. The next question is from the line of Akshay Ramnani from Axis Capital. Please go ahead.
Akshay Ramnani: Hi, thanks for taking my question. So, first question was on SWC. So , you mentioned about getting i nto asset -light deals. Would you expect that process to be a headwind on revenues as we transition? And if yes, how long do you expect the transition period to continue? And also you had earlier mentioned that some of these Government contracts have come up for renewal over the next 18 months and in most likelihood you may not go ahead with renewing those contracts. So are we on track? And what percentage of revenues can those contracts be?
Amit Chadha: Okay. Thank you so much, Akshay. Number one, as we have said, S WC is three parts. There is Telecom which now we have integrated completely into our Comms , and we are calling it Next Gen Comms. In fact, you see our website, may have either been changed or will get changed from 5G to Next Gen Comms. There, we are seeing 2 areas of spend. 1) We are

seeing a lot more 5G trials going on. And therefore our business in that area has picked up with a couple of old Telecom Operators that were our customers in North America. 2) There are customers that are coming out with devices that can get rolled out into tunnels, into large expans es or campuses , etc. and they are asking us to test those devices, look at the hardware, look at the firmware, look at the software layer, etc . and we are again leveraging that. That is a second sub -part of what's happening in Telecom Hitech. These are the asset -light deals that we're talking about with our pure play services that we're getting involved in globally. Like I said, we announced one deal with 5G. We announced one today masking the customer's name. And as I go forward, you will see a lot more exciting wins in this area because the pipeline is great.

Second is Cybersecurity. It was very small for SWC . It was a bigger part for LTTS. However, they had an asset called SOC – which is a Security Operation Center in Chennai, a physical asset which we have taken over, which is basically a building with computers, algorithm etc. Now the advantage of all that is that we have already got 2 wins in that area. We are very close to getting a 3rd and 4th win in that area and signing up go -to-market partnerships with customers & with providers that will differentiate us. So that is again asset -light, a lot more to do w ith services.

The Third part is Smart Cities. And there we are trying to diversify from Smart Cities to Spaces. That will include airports, will include campuses, buildings etc., and we were doing buildings already. Again, the whole goal is to move to a master software systems integrator, right? These will be deals that will have a bigger technology quotient and that's how we see this coming together and we're very pleased with the progress we've made in the last two months.

Now the other thing on the Government contracts is that the Government contracts are all time -bound. You do a project, you get an extension, you get the next bid and we are working through those as we progress.

Rajeev Gupta: I can add to that. Akshay, so most of these Government contracts, right? And in the current business, the entire revenue is on Government contracts. Now these contracts had a high Capex element to start off with and now we are entering into the Opex or the services part on these contracts. So whe n you talk about renewals, it is not that we will turn down the renewals. We will still do renewals more on the services part of it or the Opex part of it. So it should actually be a plus factor as we move ahead.

Akshay Ramnani: Okay. Got it. If you can a lso touch upon will this transition period have a revenue impact? And my follow -up question is to Rajeev, you mentioned abou

t getting to 17% margins in FY24. You had earlier talked about that 18 0-200 bps impact in Q1, also Q2 is a typical wage hike quarter for LTTS. So , does that heavy lifting happen in H2? Or how are you thinking about the quarterly progression of margins?

Amit Chadha: Number one, we have taken into account transition , the contracts that are ending, new contracts coming, pipeline, internationalization of the pipeline. In fact, the sales team for the entire SWC related businesses have already been hired. They were brought on board right after we annou nced the acquisition in January and then we hired them in anticipation of closure. So,

they're already on board and already productive, right? So, we've taken all that into account when we've given you this 20% plus guidance. And as we go through the quarters and as things change, we'll continue to update you as we have always updated you.

Rajeev Gupta : Akshay, as far as margins, in the previous quarter, I did guide that we'll see an impact of about 180-200 bps on EBIT levels. I'm glad to share that it is now more narrow towards 180 bps. I already talked about that our aspiration for FY24 is to be in that 17% range. Of course, internally, we will continue to push for higher achievement. At this point in time, I'm just setting out what is the more realistic part, but we'll continue to play as it goes around. Second part of it is the increments happen in Q2. So when I have shared this aspiration, it factors in the increment that will be rolled out in Q2.

Moderator: The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Hi. Thank you for taking my question. And congrats, sir, on a very good strong growth on a broad -based level. So , sir I think, Amit, I think I would just maybe touch upon this. I think after many quarters, we have seen such a broad -based growth almost across all the segments. You spoke about, a bit about the Transport ation vertical. So maybe a bit more on that, if you can just maybe give some light as to the reasons that we had QoQ dip in this quarter? And do you think basically this could reverse in the coming quarters or the weakness might continue for a couple

of them?
And a broader, larger -level question would be how are you seeing the overall demand environment? We've always basically considered the ER&D spend as more discretionary in nature, given the overall weak ness and slowdown in the US and Eu ropean economies. Are we seeing any impact on the deal flow or conversations with the clients or in terms of the pipeline that we are looking at in the near future?
Amit Chadha: So thank you so much, Vibhor. Number one, I'd like to confirm, we don't provide QoQ guidance , but I always think of the investor community as part of the family and employee community of the company.
So, I'm going to dispel this fear and tell you that our growth i n Q1 as projected today for Transportation is above 4% sequentially. So I want to just dispel that notion that there was a problem. What happened was that we had a jump in Q3 because some of our contracts started and we requested our clients and they agreed that they wanted some work to be done quickly, so we ramped up extra there. And the refore, we stabilized, I would say, in Q4 is how I see it. The good news is that, you've seen the deal wins that we've had in the current quarter, they've all gone operational. And I am confirming to you that growth is back in Q1 in Transportation for sure, right? And we are already into Q1, right? If I look at demand, Vibhor, Electrification is a big spend area across US, Europe and Japan for Auto, and not just Auto, for Trucks and Off Highway as well . And the new design cycle for Aerospace is starting up for hybrid aircraft. So that bodes well for that sector.

Second, if I were to go to Industrial, people are asking the question two times when they place the order for sure, but we are seeing digital d emand continuing to grow in that area a s we see it today. So I'm confident that this will continue into FY24 as well.
Third, I'll tell you where the issues are as well. So Hi tech, Semcon, there's a little bit of stress in the system for sure. We've seen it in the current quarter. We will see it in the Q1 also, but it's being overshadowed by spends coming out in the Telecom Operator and the Telecom OEM segment and M& E segment. In fact, there's a couple of interesting deals going on. Let's see when it gets closed. But this will help us in growth in revenues in Q1 and beyond.
Plant, of course, continues to chug along. CPG – a lot more smaller plants coming up. I n fact, you will be surprised a number of building, if you go and just get the data from the Government on the number of building permits and factory points that are being pulled by MNCs for India, it's just, flowing off the wall and we've already won significant amount of MNC -based contract to do engineering for their plants that they are building in India and Southeast Asia. And that again is a very positive sign. Oil & Gas, with oil prices where they are, continues to spend on Digital Transformation.
And Medical is the only area where we didn't do well, right, in the last year. But given where we are in Q4 and the fact that now Europe and Japan – where we inv ested in these Geos for Medical has opened up, I'm fairly comfortable.
So net -net, I'm a little worried about Semcon and Hyperscalers. But our exposure to Hyperscale rs is not too much there. So, I believe that brick -and-mortar will prevail. As we always say, top line – vanity, bottom line – sanity , cash – reality, you will see a lot of these companies doing well and coming to rescue in this current year of FY24.
Moderator: Next question is from the line of Rajiv Berlia from Citi. Please go ahead.
Rajiv Berlia: Thank you for the opportunity. I just want to understand what happened in other segments. We see a good drop in the other segment line item around 190 bps QoQ ?
Rajeev Gupta: Rajiv, could you clarify your question, what do you mean by other segments?
Rajiv Berlia: Other expenses. So, in the other expenses segment, if I see , in the line item other expenses, I see a 190 bps drop on a sequential basis.
Rajeev Gupta: So I think, Rajiv, what you're referring to are really the common costs that get allocated across segments. So , there was certainly a drop in terms of those common cos ts and largely, this is because we had strong collections in the quarter which led to lower provision for doubtful debts.
So that's what you see, Rajiv.
Rajiv Berlia: Okay. And similarly, in the employee cost, I see a 180 bps kind of a drop. And in the other expenses, I see 190 basis points of an increase. So , I just wanted to understand. So other expenses -- so it's just that there is an increase of 190 bps and employee cost, if I see, there is a drop of 180 bps?

Rajeev Gupta: So two things on this, Rajiv. One, as far as the other expenses, this is to service some of the projects, we do increase third party contractors. And also, you could have some software costs related to those projects, right? That leads to the incre ase in other expenses.
As far as the employee cost, we continue to optimize on pyramid and a large part of that we've been able to achieve QoQ through induction of freshers and those freshers go through training and tho se freshers of course are then deployed onto projects, right? That leads to the reduction on the employee benefits cost.
Moderator: The next question is from the line of Abhishek Shindadkar from In Cred Ca

pital. Please go ahead.
Abhishek Shindadkar: Hi, thanks for the opportunity. I might want to revisit that employee benefit expense again. So , if I reconcile the expense line item and the cost of sales in your presentation, it appears, which you also alluded, that there was a higher subcon tractor expense. So, could you just elaborate, one, was it for any particular vertical, if you can?
And the second is a broader question for Amit. So historically, one of the key strengths of LTTS was to kind of mine accounts and transition them from the lower buckets to higher buckets. If I see the recent presentation, it seems that we only have 1 $30M account versus 2 at the end of Q4 last year. While the $20 million has seen an improvement. It could also be that one has come off to the other bucket. Any changes that we need to do in terms of sales, presales, mining, which can help us kind of go back to the 2 or 3-year-ago period where we had a couple of $30 M plus accounts? Thank you for taking my question.
Rajeev G upta: Abhishek, let me address your first question. And I already talked about the fact that, look, on employee cost, we continue to optimize pyramid. And the other expenses, this is as a result of increase in third -party contractors and software costs rel ated to projects. We can certainly take this offline, Abhishek, so that we can provide more colour and details. And to whoever else would like to understand, we can certainly talk about it offline. With that, I'll hand it over to Amit to clarify on the top account.
Amit Chadha: Yes. So Abhishek, thank you so much for asking that question. Like I think Raj eev said in his commentary, I would like to confirm. See, we don't look at -- and I've shared this with a lot of you earlier in the past that I don't look at trailing 12 months, I actually look at annualized run rate for the quarter and the past quarter to s ee as to where I'm heading with my accounts, right?
So I would like to confirm to you that we have one account that is now safely sitting above a $40M run rate, right? We also have a couple of other -- so there's three other accounts that are clearly safely above the $30 M run rate and then you see the accounts that are in $20 –30M and then the $10 –20M and the $5 –10M. So, I clearly see that. If you wait for next quarter, you will start seeing some of that impact coming up in a positive way in the reporting as we do it.
And if you look at year -on-year, actually , as we have reported, you can see the $20 M plus has gone from 6 to 9, $10M plus has gone from 22 to 24. So there is a gradation improvement there.
We continue to focus on account mining. We continue to focus on winning strategic new

accounts. Clearly, the company is being run from a sales standpoint and account mining and account sales is two separate parts. And next time when we meet, we will definitely have Alind meet you as well and spend more time on this subject.
Moderator: The next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.
Apurva Prasad: Thanks for taking my question. So, Amit Sir, first question is on the $10 M plus TCV wins, even from a full year point, it looks a lo t lower versus where it was the previous year. So , is it any part within the strategic bet or big spend areas as you highlighted earlier, which you don't see playing out as envisaged?
Amit Chadha: So, Apurva, thank you so much for that. See, if you look at it, the last year, so if I compare FY22 to I compare FY23, I can confirm to you that the total TCV that the company has generated is at similar levels or slightly higher because, you know, the base is higher, so slightly higher than FY22. Having said that, you're absolutely right that the number of $10M plus, the double -digit deals, as we call them, is a tad bi t lower. Right . So, I admit

it. But the number of $5M plus deals
and the number of $2M plus deals that we have had, where there's a greater amount of ACV impact rather than TCV impact , have been higher for us. And that's how we've chu gged along, if you ask me, QoQ consistently at approximately 3%. But for Q3, which was shall I say, it was a quarter that had the perfect storm of furloughs etc. that came together.

So I would not be worried. We are currently going through the process of making sure that as we come back to you next quarter, we continue to give you the guidance. But I can also tell you that some education has been needed on our part that $9M is not $10M and $8M is not $10M. So we are working through that right now.

Apurva Prasad: Sure. And I have ano ther question for Raj eev. Raj eev, this is on the segmental margin against Telecom and Hitech, which has historically always lagged. So what would be your medium term view out here in terms of convergence closer to company average post -SWC integration? And the second part is on your outlook for the overall DSO consolidated for next year and the OCF, which was at about ■ 1300 crores or OCF to EBITDA, which is 76%. How do you see that for next year?

Rajeev Gupta: So, Apurva, let me take the Telecom margins first and then I'll clarify the other questions. On Telecom margin, we've been at that 12.4% range , around that mark. Now, we may have clarified this in the past. A lot of our investments are stacked in the Telecom segment. The acquisition that we made of Orchestra Technologies, we still continue to record some costs on earnouts in this segment. That should taper down in FY24, which will help the margins go up. Having said that, with the SWC acquisition, we will likely see a reduction in margins. And that's again more as an impact of consolidation than anything else.

We believe this is going to be a segment that will flow business into the other segments. So you should take it to be where we do a lot of our investments in Telecom, which finally can evolve either in a Transportation segment or it could evolve in a Medical segment or for that m atter,

Telecom itself, right? It's like ly that it will remain within this 10% plus range with SWC acquisition.

Second on the DSO – combined DSO – our aspiration for FY24 will be to come at a range of 115 – 125 days. And we will continue to optimize like we've done in case of LTTS. 90 days combined, both billed and unb illed has been by far the lowest in the last few years , and we will look at optimizing for SWC as well. So the range will be betwee n 115 to 125 days. Apurva, sorry, I lost your third question. Could you repeat that, please?

Apurva Prasad: That was on the OCF, OCF for next year, that's all .

Rajeev Gupta: On the Free Cash Flows, like I said earlier, for FY23, we came in at 97% Free Cash Flow over PAT. Our endeavor will be to continue to optimize. We can come back to you on this. We have still not modeled it. But if I were to split between LTTS, I think our endeavor will be to continue to look at, right, above the 80% plus threshold in terms of FCF t o PAT . As far as SWC, with the improvement in DSO, we feel the FCF should improve. But we will model this and come back to you in Q1.

Amit Chadha: I would like to just say one more thing. We just want to be sure about this. And we had mentioned this in January when we announced SWC acquisition as well and I think Rajeev alluded to it today as well. So there is a team that's been put in place that's working full time on making sure that the processes of both SWC and LTTS are harmonized and brought together.

Plus, as we have shown you over the last three years, that we have consistently improved margins and DSO and free cash flow over the year. And that same process is being implemented for SWC . And we are very readily agreed to it.

And we are working together as one team. So we do think that we will be in a much better position as we move forward.

Moderator: Thank you. The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Hi. Good eve ning. So , my question was around SWC. I think you mentioned that when the Capex kind of revenue comes off, there will be continuity on the Opex kind of revenue. Well, one would sort of imagine that this would mean that the revenue goes off for a bit, but margins do improve. Could you shed a little light on that dynamic, please? So that's the first one.

And the second one, in terms of the three, how do we think about the globalization of these contracts, internationalization rather? So for that, typically, what would be the margins of the international contract versus the 8 -10% kind of EBITDA that we have for SWC? And typically, what would be the size of these contracts roughly, just so that we're able to sort of understand on an ongoing basi s how this sort of evolves over a period? Thank you.

Amit Chadha: Yes. Hi. Thank you so much, Nitin. Good evening. Number one, as Capex contracts, we look at very hard and seriously and only pick up ones that are adding value to our technology quotient and journey. We are taking that all into account as we have given you the guidance for next year.

So we have taken all that, what will ramp down, what will ramp up. We have done that math, and that's how we have provided the guidance, right? Numbe r one.
Number two is that the Opex spends that are there, those contracts are at our constant margins, so not to be worried. Now, in terms of globalization . I had written to about 100 customers I talked about last time, right after we did the acquisition, announced it. I got a very positive response. We actually have hired the entire team that we needed to augment and hire and we are averaging a good number of meetings on a weekly basis in terms of the interest areas, not just from Telecom Operators, M&E and Telecom Infra companies , but our traditional customers, because people are getting up and saying, we want to implement 5G, go after cybersecurity, etc. So we are definitely seeing that. In fact, E aton coming out and making an announcement that they work with us on SWC itself is an indication of that.
So therefore, I'm fairly comfortable in sharing that as we move forward in the quarter, you know, some of these guys are working on pure product development R&D. They may not want us to do a share of our news article or whatever, but we'll do our best to share as much as we can. But I do believe that there's a clear path, like Rajeev has defined a path on profits optimization, DSO optimization. There's a clear path to taking it to the global world, a path that Alind is leading himself, along with the CBO s that we have hired in that area to take it forward.
The skills that they have got, so I shared this earlier, see about out of the 800 odd people that we have taken over from SWC – the family has come together , that's how we'll put it – about 600 odd people have got industry experience from the Hitech sector, and they were laterals that were admitted into the SWC family. So, I do believe there's the right kind of talent that can work towards offshore contracts, etc .
Now, what is the typical size of these contracts? The typical size of these contra cts for Telecom Infra & Operators will be in the same range as what we generate between, you know, that $5M to $15/20/25M. If we're lucky, even signing a multi -year $50M contract, $40M contract. So, right, right in that range. Cyber security contracts will be slightly smaller. They may be maybe in the range of ACV being between $2 M to $6 M, but then there's a lot more clients that will take advantage of that. And therefore,

the revenue can pick up very very quickly. So, that's where we see that going in terms of things. So, we're fairly comfortable with the trajectory of growth as we go forward.
Moderator: Thank you. The next question is from the line of Mihir fr om Carnelian Capital. Please go ahead.
Mihir: Yes, hi, thanks for giving the opportunity and congratulations on the broad set of growth. I think I largely wanted to understand on the offshoring side of things. I mean, you made an initial comment that you are seeing more offshoring happening in the coming years. So, if you can throw some examples, what is giving you the confidence that there is increasing offshoring happening? So, that was my first question.
My second question was on the $40 M contract that we have won. So, if you could throw some more light as to what is this contract exactly and then what the ramp -up happens for this

particular contract. And the third question was on the SWC. Like, you know, when we see SWC, currently it's a full Government business which is there , having a DSO of more than 400 days and there could be some ramp -downs also.
So, just wanted to understand, you know, what could be the dropout rate from the current business which could be there from S WC given the fact that we are looking at some dropout happening when the renewables would come? So, just wanted to have an understanding around that.
Amit Chadha: So Abhishek, you have to cover the offshoring, then I'll take the next one.
Abhish ek Sinha : Yes. So, on the offshoring front, like Rajeev had mentioned in his commentary, our mid -term aspiration is to go to about 60 %. We are currently at 57 %. Do we have the confidence? We definitely are taking steps internally with our delivery leaders as well as sales leaders, putting more processes in place and engaging the customers to increase this. We believe that this is definitely possible given where the world has moved from a hybrid perspective. Amit, you're up.
Amit Chadha: Yes, sure. So, in terms of, I'll address SWC and then I will go to the $40M contract. So, the SWC, look, as far as we are concerned, SWC will bring in that additiona l above 10% that we are talking about for next year in terms of growth. And we have taken into account all these contracts that are ending, new contracts that are starting, etc . And we have done the entire math

and algorithm on that one and we a re fairly comfortable with SWC bringing in right, profitable growth, sustainable growth to us. I mean, that's our mantra.
Now, in terms of $40M contract, this is over 5 years like we have announced and actually is to help product development and enhancement of this Transportation major that we have signed. And this, we believe, will be a long -term relationship for us as we go on. It is a new customer that has been added to LTTS. And the exciting part is there is work on autonomous, there is work on electrification, there is work to be done on AI. In fact, there is a certain part of working on large language models. And I believe that this truly has much more potential than the $40M that we have announced. Again, you have known us for a long time. We want to be able to commit what we can deliver and deliver what we commit. So that's why we have gone with this $40M number. Otherwise, the potential is a lot higher in this space. I would also like to confirm that this deal is already in execution as of Q1 with billing happening for the company. So that's where that is. Thank you so much.
Rajeev Gupta: I just want to add one point to address the DSO in SWC. Like I mentioned, we are running a synergy track, right? And DSO and Working Capital is one of the stream s. So at least I wanted to convey to everyone, we are mindful of the DSO of the current bus iness. We already have identified areas, both from a process improvement stan

dpoint and second from a mix of deals
that have been either catered to within SWC or that likely will win in the near future to be able to see that DSO coming down. So hopefully t hat should help you understand how we will address the DSO of this business going forward.

Mihir: Sure. Just one last clarification. I mean, you know, if you can talk about like what is the revenue dropout rate that you are considering for next year from S WC?
Rajeev Gupta: So to give more color to what Amit talked about, all of this has been factored in the 20% plus guidance that we provided. Amit mentioned about 10% plus coming from organic and the remaining coming from SWC. All of this has been factored. So again, would like to give the assurance that beyond this, we d o not see anything that is going to be detrimental to the business that we have acquired.
Moderator: Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. Pinku Pap pan for closing comments. Thank you and over to you, sir.
Pinku Pappan: Thank you everyone for being with us on this call today. We hope we have been able to answer most of your questions. If there are follow -ups, happy to engage with you through the course of this quarter. With that, on behalf of the entire management team here at LTTS, we would like to wish you a very good day and hope to see you soon. Thank you so much. Bye -bye.
Moderator: Thank you. Ladies and gentlemen, on behalf of L&T Technology Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Jul 2023

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NSE Symbol: LTTS BSE script Code: 540115

Subject: Transcript of Earnings Conference Call for L&T Technology Services Limited (LTTS)
for the quarter ended June 30, 2023

Dear Sir / Madam ,

Please find attached the transcript of Earnings Conference Call organized by the Company on
July 18, 2023 , for t he quarter ended June 30, 2023 , for your information and records.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prajakta Powle
Company Secretary & Compliance Officer
(M. No. A 20135)

Encl: As above

L&T Technology Services
Q1 FY24 Earnings Conference Call Transcript

For the Earnings Call held on July 18 , 202 3, 19:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ABHISHEK SINHA – COO & EXECUTIVE DIRECTOR ,
MR. ALIND SAXENA – PRESIDENT SALES & EXECUTIVE DIRECTOR ,

MR. RAJEEV GUPTA – CFO,
MR. PINKU PAPPAN – HEAD, INVESTOR RELATIONS

Disclaimer: Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statements. L&T Technology Services Limited (LTTS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies a nd gentlemen, good day, and welcome to L&T Technology Services Limited Q1 FY24 Earnings Conference Call. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recor ded.

I now hand the conference over to Mr. Pinku Pappan, Head of Investor Relations. Thank you, and over to you, sir.

Pinku Pappan: Hello everyone, and welcome to the Earnings Call of L&T Technology Services for the First Quarter of FY24. I'm Pinku, Head of Investor Relations. Our financial results, investor release and press release have been filed in the stock exchanges and are also available on our website, www.ltts.com . I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website approxi mately one hour after this call ends.

With that, let me introduce the leadership team present on this call. We have Amit Chadha – CEO and MD; Abhishek – COO and Executive Director; Alind Saxena – President Sales and Executive Director; Rajeev Gupta – CFO. We will begin with Amit providing an overview of the company's performance and outlook, followed by Rajeev who will walk you through the financial performance.

Let me now turn the call over to Amit.

Amit Chadha: Thank you Pinku and thank you all for joini ng us today on the call. Trust all of you are doing well.

Let me provide you key highlights on our Q1 performance :

- We had a quarter of growth despite the macro challenges and slowdown in decision making in some pockets.
- Overall, we grew by 10% YoY in constant currency. The comparison on Y oY is more like-to-like given the fact that H2 is always higher than H1 for the Smart World & Communication (SWC) business.
- Our revenue grew by 0.6% sequentially organically with Transportation leading the growth at 4%, while Medical and Industrial Products had about 0.5% to 1% growth.
- Overall, organic sequential growth was 7.5% YoY in constant currency .

- Operational performance was strong with EBIT margin at 17.2%, which is post the addition of SWC . PAT was at ■ 311 crores , up 13% YoY.
- Our large deal engine continues to fire with a total of 6 deals above $10M, of which one is a $50M TCV deal that we signe d this quarter. All deals have moved to execution.
- On other dimensions, happy to share that we filed 55 patents for our customers and ourselves taking the cumulative count to 1,145 patents . We were rated as a Great Place to Work (GPTWTM) in India again and Poland for the first time. Attrition is down 330 bps to 18.9%. We expect this trend to continue.

Moving on to segmental performance and outlook.

Starting with Transportation,

- Strong show of 4% QoQ growth that was broad -based across the sub -segments – Auto, Truck s & Off Highway and Aero.
- Demand continues to be strong, led by EV and Connected Cars in Auto, Electrification in Trucks and Off Highway , and Avionics in Aerospace.
- We won a $10M+ deal with a Transportation customer who had earlier

chosen us as
their preferred engineering partner.

• We continue to invest in Transportation capabilities for the future like software - defined vehicles (SDV) . We are working on creating a digital architecture for a future state SDV that will require a centralized platform with high comput e processing power, cybersecurity , and high -speed connectivity. We again filed 8 patents in Transportation in this quarter. My colleague, Abhishek, as required, will provide more details on SDV .

• In the connected car area, we are seeing incremental opportunities to manage SOC/NOC – by leveraging our SWC capabilities.

Overall, we see a good pipeline of opportunities across all 3 sub-segments and expect the growth momentum to sustain.

In Plant Engineering,

• This differentiated segment remains on solid footing. Q1 was a one -off as we were impacted by decision making and s upply delays by customers that slowed down the pace of ongoing projects.

• We see a bounce back in the next quarter as the pace of decision making, regulatory and other factors have seen an improvement in June and July.

• FMCG customers are undertaking capacity expansion as we move towards more localization. We won a $15M deal from a global Agri food company to provide engineering design servic es for the ir new plant in Europe . Will also help us set up a local office in Europe for Plant Engineering and strengthen our European presence.

• This large deal, along with a few 5-10 million dollar s deals that we won, gives us good growth visibility in Q2 and the coming quarters.

• Across all 3 sub -segments of O&G, FMCG and Chemicals, we are seeing good opportunities on the sustainability side with companies wanting to use advanced technologies to recycle water, waste plastic, etc . to meet th eir sustainability goals.

We are confident of growth in Plant Engineering in Q2 and beyond.

At Industrial Products ,

• We grew slightly on the back of good demand from the Machinery and Electrical segment though we were hit by decision delays in Building Technologies and Power segment s.

• We see a rising adoption of Digital in multiple areas like Supply chain and productivity improvement under the larger Industry 4.0 initiatives.

• This is leading to an increased scope for deploying AI, private 5G and cybersecurity as spends in software platforms, factory automation and sustainability increase.

• We are focused on making accelerators and reusable solutions that can be used to reduce th e time to market and improve ROI for customers. Th is segment filed 20 Patents in this quarter and remains a flagship segment in Innovation.

• We won a $10M deal in Q1 with a US customer to optimize supply chain and improve manufacturing efficiency.

Overall, we see a good pipeline of opportunities in the digital space and expect the growth momentum steadily to build up in Industrial Products.

Moving on to Telecom & Hitech ,

• Organically, we had a marginal decline, although when combined with SWC, we were up year on year.

Let me discuss organic Telecom & Hitech business first :

• The key highlight of the quarter was a $50M deal with a US based Hitech customer to enable new opportunities for digital video platform. We will enhance their suite of

products and optimize it for better user experience using AI , ML and Generative AI as we move forward.

• We are seeing more such opportunities in the Media sub -segment as customers look to engage us to develop their next -generation digital platforms.

• As we had indicated in the previous quarter, there is a weakness in the Semiconductor side. While this industr y is still in inventory correction mode, we are moving up the capability spectrum and winning some deals in key areas – I would like to highlight a post-silicon validation deal th

at we won in Q1, which will involve setting up a design studio offshore.

• As we partner with chip companies to develop new -age chips for cloud computing , data center as well as Automotive industry, our growth is set to pick up.

• We are also seeing good opportunities as global ER&D companies move manufacturing from China to India. O ne of the $10M deals we won in Q1 is of this nature as we partnered with a global technology giant to provide next -gen Wireless and Product engineering from design labs that we set up in India exclusively for the customer.

On the SWC business ,

• We have fully integrated this into our Telecom & Hitech organization , with a dedicated sales team and leadership in place in the US, Canada, Europe, Singapore, and the Middle East.

• The operational improvements will be discussed by Rajeev in his commentary.

• Let me share the progress in 2 channels that we've activated for SWC :

o Our gameplan of taking SWC global has seen early wins, including critical partnerships with telecom service providers, equipment manufacturers and execution of these deals should start in Q2.

o I am thankful also to our enterprise customers who are actively engaging with us on specifi c opportunities in nex Gen communication, some of which should close shortly. We were awarded Cybersecurity deals which have already started execution.

• The SWC business requires an ecosystem play. To th is end , we are working out partnership with key players :

o You would have seen the announcement of LTTS partnerin g with Palo Alto Networks to provide enterprise s with Operation s Technology (OT) and

cyber security services. Teams have been formed on either side to take it forward.

o Another one is a partner with Bharat Sanchar Nigam Limited (BSNL) to drive and enable global enterprises in their private 5G network deployments.

o With Qualcomm in North America, LTTS is working together to offer 5G driven next -generation connectivity solutions. This leverages LTTS's chip - to-cloud expertise.

In Q1, we had a few wins in nex Gen Communication s overseas, and we see the momentum building with the pipeline increasing.

We believe the measures we have taken will create a robust foundation for future growth and transition this business from domestic only to a mix of domestic and international business.

Summing up, we do see growth in the combined Telecom and H itech portfolio driven by Media and Telecom. However, the Semcon challen ges may persist for another quarter.

Lastly, in Medical ,

• We see strong demand for Digital as customers prioritize areas like Medical device - as-a-service (MDaaS) , Connected devices and Cyber-security.

• In Q1 we signed a $15M deal to design and develop a Digital Surgery Platform that will connect with the customer ’s robotics, surgical and operative devices, and be use d to deliver better outcome for patients.

• We are building reusable solutions for various areas like Complaints management and QARA .

The pipeline of deals gives us confidence that our growth momentum should improve as some of the large deals close.

Let me now discuss the outlook .

• Our growth is tied to our long and strategic relationship with customers. Happy to share that we are the first customer advisory council in Washington DC , comprising of CXO s, board members of 16 of our customers with a collective market cap of $2T and a revenue of $400B.

• These organizations are advising us on our direction and investments so that we can bring more relevant offer ings to the market, build stickier relationships, thus helping us to elevate our customer lifetime value journey.

• The lar ge deal we won in the quarter are an affirmation that our customers continue to spend on transformation technologies. We remain front and center as a ch

oice ER&D
service provider who can deliver speed -to-market , cost synergies and innovation.

• We are accelerating our investments in 3 emerging technologies, AI, SDV and Cybersecurity.

• I talked about our investment in SDV and our partnership with Palo Alto Networks for cybersecurity.

• In AI, our focus will be on the Auto, Manufacturing and M edical segment s, and we will partner with Hyper-scaler and Sem iconductor companies with joint development or readily deployable solutions. We are strengthening our AI team in the coming months to achieve our goals.

• Let me conclude by sayi ng that we grew in Q1 despite delays in decisions and deal closures getting pushed out. The pace of deal closure s has improved from June onwards which combined with a healthy large deal pipeline which is bigger YoY and QoQ , gives us the confidence of growth momentum strengthening in the coming quarters.

• We maintain our FY24 USD revenue growth guidance of 20% plus in constant currency.

• We also reconfirm our aspiration of $1.5 Bn run rate in FY25.

Let me, with that, wish you good health. Will stay around for questions. Thank you so much , and I now hand over to Rajee v.

Rajeev Gupta: Thank you, Amit.

Good evening to all of you, and I hope you're keeping safe and healthy.

I'm pleased to share our Q1 FY24 performance – It has been another quarter of good results with healthy addition of deals and operationally strong performance.

This is our first quar ter of reporting financials after completion of the SWC acquisition. In compliance with Ind AS requirements applicable to common control transaction, we have restated our past financials to include SWC from 1st April 2022.

As a result, all figures in the Investor release includ ing the comparison s reflect th is restatement.

Let me take you through the Q1 FY24 financials.

Through the commentary, I will elaborate on the restated combined financials that include s SWC in all the comparable quarters , as well as organic numbers excluding SWC.

Starting with the P&L

First, to address Revenue

Organically , Revenue for the quarter grew 0.6% on a sequential basis and 12.6% on YoY basis in INR terms.

On the combined financials , Revenue for the quarter was ■ 2,301 crores . A YoY comparison is more accurate indicator as Q1 FY23 numbers have also been restated to include SWC. On a YoY basis, our double -digit growth trajectory continues with Q1 revenue up 14.7%.

SWC business at current state deliver s higher revenues in H2 as compared to H1 on account of seasonality.

Moving to EBIT

Earlier in our Q4 commentary, we had indicated that we aspired for FY24 combined EBIT margin to be in the 17% range.

I am pleased to sh are that our Q1 FY24 combined EBIT margin came in at 17.2%.

Let me explain the evolution of margins from 18.7% that we reported in Q4 FY23 to the 17.2% in Q1 FY24.

Organically, EBIT margin was slightly down on account of investments made for large deals.

Amit has refer red in his opening comments , we have won, a $50 million deal in Hitech segment.

As we had highlighted earlier, SWC business has a lower margin profile. Hence, on a combined basis, Q1 FY24 margins have come at 17.2%.

Overall, we've been able to integrate SWC as planned and maintained operational performance within the range that we had aspired for.

Moving to below EBIT
Other income came at ■ 35 crores, slightly lower on a sequential basis due to lower income from investments . This was primarily due to cash outflow of purchase consideration of ■ 800 crores for SWC acquisition at the beginning of this quarter , which led to lower interest income.
Effective tax rate for Q1 was 27.6%, in the same range as our expectation of 27.5%.
Net income f or the quarter was up 13% on YoY basis , and came in at ■ 311 crores, which is 13.5% of revenue.

Moving to Balance sheet , let me highlight the key line items.
To begin with DSO .
DSO for the organic business was 92 days versus 90 days that we have reported in Q4 FY23.
As indicated in our previous commentary, SWC is a high working capital business and had DSO of over 400 days at the time of acquisition. We are pleased to inform tha t we have improved on the DSO of this business since then.
On a combined basis, Q1 FY24 DSO has come at 117 days within our expected range of 11 5-125 days for FY24. We will continue our efforts to improve on combined DSO.
On Shareholder funds .
Shareholder funds was at ■ 4,817 crores at the end of Q1 versus ■4,951 crores that we have reported at the end of Q4 FY23.
As per accounting standards applicable to the common control transaction, the excess of purchase consideration paid over the net ass ets acquired is shown as a reduction to shareholder funds. The reported value of ■4,817 crores, therefore, reflects the adjustment of this impact.
Now talking about cash flows.
Our Free Cash Flow came in at ■ 228 crores, which is a healthy 73% of Net Income. This reflects our operational rigor on improving combined DSO .
Our Cash and Investments rose to ■2,394 crores by end of Q1 FY24, which is after payment of ■ 800 crores for the SWC acquisition.
Moving to revenue metrics :
On the combined financials , $ revenue was up 9.1% in reported terms and up 10.0% in constant currency terms on a Y oY basis.
Organically , $ revenue saw a 0.6% sequential growth in both reported and in constant currency terms , led by the Transportation segment.
The segmental margin performance was better in 2 out of 5 segments on a sequential basis.
Our Telecom & Hitech margins came in at 8.8% in Q1 vs the then reported 12% margin in Q4 FY23. This is on account of lower margin profile of SWC business , and investment made on large deal win. We expect the margin trajectory to improve as we transform SWC business.

Moving on to operational metrics
To begin with onsite:offshore mix ,
Offshore percentage now stands at 59.3%, compared to around 57% then reported in Q4 FY23.
This increase reflects the fact that currently SWC business is completely offshore based.
Talking about T&M revenue mix,
Fixed price percentage is at 35.6% compared to around 29% then reported in Q4 FY23. SWC business is largely executed on a fixed price model.
Client profile – which indicates the number of Million dollar plus accounts – has shown a sequential improvement in the 30 M+, 20M+, 10M+ & 1M+ categor ies. The client profile numbers have seen an improvement over the past few quarters, and this trend will continue in the coming quarters. SWC has added a few large customers to our client base including one $30M+ account and 3 additional accounts of $10M+
Talking about client contribution to revenue –
On a combined basis, Top 5, Top 10 & Top 20 have shown a slight uptick as compared to Q4.
Moving to Headcoun t

Headcount stands at 23,392 at end of Q1 vs 22,233 then reported at end of Q4 FY23. This sequen tial increase of 1,159 employees includes the addition of around 800 people from the acquisition of SWC.
On Attrition , pleased to share that it declined to 19% levels . This is as a result of our various efforts on employee engagement. We believe it will continue to trend downwards.
Realized rupee for Q1 was at 82.2 to the US dollar, flat compared to Q4 FY23 .
Before I conclude, let me give some visibility on the EBIT margin trajectory going forwar d.
We continue to focus on profitable growth and maintain our operational rigor . This will help us achieve our aspiration of 17% EBIT levels in FY24.
In Q 2 FY24, we will offset headwinds from wage hikes that are effective July'24 through a combination of growth and operational efficiencies . This is

as per plan to roll -out wage hikes
committed to our employees.
In the medium term, we aspire for 18% EBIT level by H1 FY26.
With that, thank you to everyone. Operator, now we can take the questions please.

Moderator: Thank you very much. The first question is from the line of Mukul Garg from Motilal Oswal Financial Services. Please go ahead.
Mukul Garg: Amit, just one question from my side. And I think – sorry about this being a recurring topic. But given the delays and push outs which you saw in the first quarter, what is giving us the confidence of delivering a 10% organic growth in FY24? What really are you seeing in terms of client visibility that suc h issues might not recur anytime over the next 3 quarters? Because currently, if I kind of do a rough number crunching, it looks like your compounded quarterly growth rate would be upwards of 4% for the next 3 quarters. If you could just help us walk throu gh what really is behind this confidence of maintaining the revenue growth?
Amit Chadha: Thank you, Mukul. So , a couple of things here, and I'll answer it broadly. So , we look at growth, right? Number one, some of the deals did get delayed in terms of deci sions. We were expecting them to be signed end of April, early May, but they got signed towards the end of June, right?
Second, if I look at Plant Engineering, it was not a deal problem. It was more a – getting input s from customer on time problem . So, that book of business still is with us and therefore can be accelerated, executed. So , I don't have a problem there. I have an issue in Semcon, which I don't know if it will be a 1 quarter pain or is it a 1.5 quarter pain, right? So that's the only blip that I see.
But given the fact s that First, pipeline is stronger now than it was a quarte r ago and YoY ; Second, the 6 deals that we have won , those have gone into exec ution , and Third, there are other deals in the pipeline that we are expecting to close or very close to closing , I do have confidence of retaining the guidance.
Now also, on S WC, it's H1 to H2 business, H2 being much better than H1. So overall, that 20% plus holds that we are at this stage.
Mukul Garg: Right. Sir, just a quick follow -up on that. Given that you have seen scaling up in these 6 deals in the last few months, is the confidence also kind of baking in a fairly strong second quarter, which giv es you enough buffer for any potential trouble down the line in the second half?
Amit Chadha: Yes, Mukul. See, I'll tell you what we did. So , after I went back in April, we have spent time talking to the clients, working with them through their decision -making process.
One, reality is where a deal would take 2 signatures , it now takes 4 signatures, right? That's the reality. So how do we get that done quickly – is the whole thing that we continue to work on .
Second, I'm betting on the fact that some of the deals that we are sitting on in Semcon or in Consumer Electronics will close faster than what I saw in Q1. And third ly, I do expect H2 to be better than H1 as we stand today.
We are working on all 3, in fac t, I should confirm to you that net headcount will go up by at least 750 people in Q2 as compared to Q1 , and we're already on our way to making those offers, people have been joining us . So fairly comfortable and confident.

But we'll keep you updated, Muku l. I mean we've always been very transparent, very direct, and we thank you all for your confidence in us. So , we continue to work on this and come back to you. We, in fact, hosted a client advisory council first time ever in our history. So about 1 6 clien ts controlling a huge amount of revenue and market cap came together, spen t some time with us. So , we've got some trends from them. We've got some information on – why don't you ap

prove what you don't approve also. So fairly good conversations, candid conversations, I'm fairly comfortable.

Moderator: Thank you. The next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: My first question is on SWC. So , on the numbers that is reported, w hich is 1Q F Y23 and the 4Q FY23 I just wanted to understand that in this business, is there some variability involved in other expenses because they don't change much as a percentage of revenues?

Rajeev Gupta: Sulabh , this is Rajeev here. I'll take that qu estion. So , like I said, we've had to restate financials of the previous quarter to include SWC. So , what you see in terms of other expenses is more like-to-like. And hence, there is nothing in addition . We don't expect that the other expenses will increas e or decrease materially. This pretty much reflects what is the reality of that business.

Sulabh Govila: Sure. Understood. Maybe I'll take that offline. My second question is with respect to Plant Engineering business. So , in the past 2 to 3 quarters, we'v e seen some volatility in this business. We saw a decline in Q3, and then we saw a sharp bounce in Q 4, and we thought that the vertical has sort of recovered. Now the issues could be different in different quarters , but just trying to understand that what' s giving us the confidence that the volatility which we have seen in the past 2 to 3 quarters will not recur in the coming quarters?

Amit Chadha: Sure. So , if I look back at our Plant Engineering and I'm scrolling through data as I look at it for you, righ t. If I look back at FY22 , if I go back to FY22, and I see there was a constant increase QoQ , every quarter, right? I come to FY23, and yes, there was a one -off decrease in Q3, but it continued to the upward trajectory, right? And if I look at Q1 now, we've had a blip, and we are sharing with you that some of these decisions – design decisions from the customers were delayed and it was not a budget issue. And therefore, with the backlog that we have got, the new orders that we have signed , with the rigor that we have put in, I do believe that this will be in the past.

Additionally, we are winning new digital factory and digital plant deals from customers in Plant Engineering that give us the confidence that we will see upward trend from here. In fact, now we are adding some resources that we can immediately , hands on de ck, to make sure we're able to deliver. I also want to share that now we have established outpost in the US for c lients in Plant Engineering, that should help us in terms of engaging a lot more local talent , and the same will be happening in Europe. So , we’re fairly comfortable with it.

Rajeev Gupta: Sulabh, this is Rajeev again. You may have seen, of course, our SEBI financials and tr ied to compare the other expenses for any variability. To clarify, in this quarter, there are lower

subcontracting costs and of course, a lower legal cost as well and not hing to do in relation to the SWC business. Again, I just wanted to add because it ’s more like -to-like. I hope that clarifies your points on other expense.

Moderator: Thank you. We have the next question from the line of Nitin Padmanabhan from Investec. Pl ease go ahead.

Nitin Padmanabhan: So, when you look at the SWC business on the numbers that we have reported, is the Q4 to Q1 dip the usual sort of seasonality in the business. And typically, if you could give some color in terms of typically what's the s ort of the mix between first half and second half, how does it normally look?

Amit Chadha: Rajeev, do you want to take that?

Rajeev Gupta: Sure. So , Nitin, to your point, yes, this business is seasonal in nature. Typically, you will see H2 to be better off compared to H1. In terms of mix of business, you will see H2 to be at 60% vs H1 at 40%. So th

at's the reason we say that you tend to see H2 to be better off compared to H1.

Nitin Padmanabhan: Sure. And the variability from Q4 to Q1 that we have seen this time, is there a common feature of this business? Or do you think as we – you spoke about, I think, one $30M and three $10M deals, as these deals keep adding up, that should sort of come off? How should we think about it at least as we go over the next 12 to 24 months?

Rajeev Gupta: 2 points here. One, the point that I made that H2 is better than H1, and hence, you're seeing that Q4 had better off revenue for SWC when compared to Q1. That's one. Second, when you compare Q1 of this year to Q1 of last year, in fact, we have done better, right? I hope that clarifies your point, Nitin.

Moderator: Thank you. The next question is from the line of Vimal Gohil from Alchemy Capital

Management. Please go ahead.
Vimal Gohil: My question on SWC has been answered . Second question is on the industry per se. We have seen a lot of influx or a lot of news on lot of global companies setting up GCCs in India. And there has been news of a lot of aggressive hiring from them. How do we participate in this particular trend? Do we partner with them in this entire process of setting up their centers? Or do we look at these GCCs as our potential competition?
Amit Chadha: Sure. Vimal, thank you. So , I'm part of the – I just joined the NASSCOM Executive Council and the only ER&D company member on the council other than gentlem an who's been co -opted from the ER&D council. So here, GCCs are an opportunity. If I look back and I look at the number of STEM graduates coming out of colleges in India, it's huge. It's more than 2 million people coming out per year in STEM, right? So , they will find their ways to Global Competency Center s (GCCs)
Now here's the good news and the silver lining. All the business that was potentially going up to Ukraine or going up to Russia or going up to other parts of Eastern Europe has started getting

diverted to India. A significant part of what was being given to China has been given to India. So, if I look at it, the India pie itself has grown, right?
Second, if you would have talked to me 15 years ago, I would have said they are all competition. But I've learned, the industry has learned, everybody has learned to co -exist. In our customer premises, often there are discussions that happen about green badge and red badge or blue badge and red badge. Blue bad ge or green badge is their own employees, while red badges are people like us. They continue to look at – what is core , they will keep ; whatever that could be contextual or that was core yesterday could be given to us today .
Additionally, GCCs focused on only their area of focus. So , an Automotive GCC will focus on Automotive. Telecom will focus on Telecom. But if they need cross -vertical domain expertise, they will not be able to deliver that. For example, I've been executing a number of connectivity projects for a lot of my Auto customers who have their centers here, but I work with their teams in Europe and US, and they give me work dir ectly, right? So that cross -vertical domain expertise that we bring is not there with GCCs because they are single cylinder focused.
Lastly, the fact to be considered is that the world is moving to a lot more fixed price , consolidated work kind of model. S o therefore, we are the gainers there because they look at us and they actually let us deliver on an envelope basis rather than worrying about attrition etc. So, I do welcome GCCs being here. We've been hiring from them. They've been hiring from us. It's a two-way street. I do welcome the whole ecosystem being built up in India because overall, it adds to the fundamentals of the ER&D business and companies like us.
Vimal Gohil: Amit, just a follow -up to that. How do you look

at our cost structure versus the GCC cost structure? Is there a significant differential for our potential customers to say that the Indian ER&D service providers like us still have a better edge in terms of executing projects at a much better cost efficiency versus them doing within the ir captive or in -house?
Amit Chadha: Vimal, 2 things here actually. Number one is that GCCs, their cost structures are higher than us. That's clearly the case. One, t hey work on a cost center model, and we work on a profit center model, right. Two, because they are single cylinder, they can't offer a lot of career growth or job enrichment to their software engineers or hardware engineers, etc., because they have to do the same work , and in our case, we are able to provide that.
So, I will not say we pay less, our cost structures are lower. But if I look at the total package of what we would be able to offer to our engineers, which is career growth, which is job enrichment, which is job rotation, plus customer interactions , is someth ing that we are able to provide that are not there in an in -house setup. So , we do believe that's there. But having said that, I again will reiterate , together we are creating an ecosystem that is good for India and good for sourcing from India.
Moderator: Thank you. The next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: I just want to check on the growth in North America. It looks like we've seen some good revenue addition there. It's almost as good as what we saw la st year. So , what were the things that came in well this quarter .

Rajeev Gupta: Ravi, Rajeev here , I'll take this one. So , it's more relative in terms of when you look at the growth for North America, and that's probably because we have restated the SWC financials in Q1 as well as in Q4. And because SWC is a cyclical business, you're seeing, of course, Q1 to be lower relative to Q4. And consequently, the proportion of business that you see shows a growth in North America when compared, right? So , it's just relative. That's what I would say, Ravi.
Ravi Menon: And Amit, on the semiconductor, we are starting to see the decision cycle get better. So , I want to check, but you also said that you don't know if it's probably one quarter pain or more than one quarter. So , could you just explain that?
Amit Chadha: I'll answer it 2 ways, right? I will share but I will then request my colleague, Alind, to add to what he's seeing in the market as well. One, from a Semcon standpoint, there is a little bit of pain that's there in terms of , you know, they are shifting ; consumer electronic devices are not being sold so much , so the demand is not there. They are all trying to switch to data center chips and AI chips today . All of a sudden, AI is the only word they use, everybody uses, right, including all of us.
So therefore, there's a shift happening, in fact, and we see that spend coming. Now will that come in a quarter, will it be 2 quarters? To be seen. I would request Alind to add on the color of the market as he sees today in North America.
Alind Saxena: So, we have worked with more than one Semcon companies . Totally if you look at about 4 or 5 Semcon companie s. If you look at the trajectory, which is broadly driven by AI and then by default the requirements that the data center for them to be up and running, we see that continuing. There are chips which are going to come in markets which are going to change fundamentally the way that c ompute is going to happen. We are lucky that we are involved in quite a few of them. We do believe that in about a quarter's time, we will see the growth trajectory come back up again, and we are confident of the progress there.
Ravi Menon: And are you using those downturns or semiconductor to deepen your capabilities in any areas, a

ny white spaces maybe in the analog side or anything else where you think you lack?
Amit Chadha: So, it's Amit again . From a capability standpoint, I do believe that we have capability across the spectrum . We are working towards -- in fact, we've executed projects now on 7 nanometer (7 nm) chip as well , and we continue to work on different areas and are tying up with this global ecosystem as well. So , we just have to start ; some of these have to get signed off and start.
Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: My first question is, last time in the Q 4 earnings call, we said that more than 20% constant currency growth and the organic growth would be more than 10%. Whether that assumption

changed? Or do you expect that growth could be slightly higher in the case of SWC calculation because the first quart er run rate for SWC o n YoY has been healthy. So , whether the 10% plus organic growth guidance still stand?
Amit Chadha: Sandeep, thank you. So , the way we look at it is, number one, as you've seen in the numbers, we have reported SWC mostly in the Telecom segment, right? Because operationally, we have integrated. I mean there are leaders from our SWC family that today are responsible for 2 of our centers in India, execution centers. There are leaders, senior leaders from the LTTS heritage side, that are res ponsible for the nex Gen communication business, which has been integrated between both of them.
So, we do commit to that 20% plus constant currency, and we are watchful that we won't sign lower margin deals and that has been a conscious effort. And shall I say, cadence developed in the last 3 months in the company to ensure that. I'm confirming 20% plus constant currency , H2 better than H1. And broadly, the split will be what we have told you.
Sandeep Shah: Okay. So organic growth will also be more than 10% ?
Amit Chadha: At this stage, 20% plus, yes, organic 10% plus and that's where we are. But you should know that both teams have merged and integrated.
Moderator: Thank you. The next question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: Just one question from my side. Just going back to the guidance, how should we look at the mix of growth within your portfolio? Do you expect all verticals to show strong growth going forward , or do you think that some verticals will do bett er than the other s and hence they will do the heavy lifting to offset weakness in maybe some other verticals. Just a color on that would be helpful.
Amit Chadha: Sure. In fact, I'm going to answer this in 2 ways if I may. One, I'm going to give you an indu stry view and then I'm going to ask my colleague here, Abhishek, to talk to you about what we are doing in SDV and AI because that's a huge path forward for us.

So, from an industry standpoint and growth standpoint, I do believe that Transportation will continue the strong growth we've had because of the differentiated story of EV that we have created and the early investments in SDV that we are doing.
When it comes to Industrial Products, given the fact that we are seeing deal closures happening for us in digital as well as software platforms and people discussing AI in a very interesting manner for shop floor application for us. We believe that growth for that will continue, not maybe at the same rate of Transportation, but better than what we have done t his quarter . We do see the growth continuing.
Plant, we do see the growth coming back next quarter and then continuing from there. Our backlog is fairly strong, and people continue to call us for designing of newer plants, expansion,

etc., and with this outpost we are creating in the US which has already been staffe

d, we are very
confident that it will grow.
Now the two areas that I am a little conservative about – one is Hitech, even though nex Gen communication will continue to grow given 5G cybersecurity, I don't know how long the pain in Semcon and Consumer Electronics will continue. I do believe it's a quarter off, but we don't know. So that's something that I'm a little concerned about at this stage and cautious is the right word.
And fin ally, in Medical , we've had some good traction, some very nice dialogue around connected platforms, QARA , AI. But it's, again, how much do they want to give and do in the same quarter is to be seen. So that's where we broadly see it. I would invite my coll eague Abhishek, to talk a little bit about investments we are making in AI and SDV that will help us in terms of growth as we move forward.
Abhishek Sinha: Yes. Thanks, Amit. So clearly, with our customers, Amit earlier mentioned about the Advisory Council , we are clearly seeing SDV, AI and Cybersecurity as the 3 legs – where we see a lot of investments are coming in.
The good news is, from a timing perspective – the SWC acquisition that we made the whole NGC, next -gen communication skills that comes through that and the cybersecurity area are a direct fitment into the SDV space. And why I say that is because if you look at the software kind of vehicle architecture , a lot of it is a high compute architecture and what that means is the skills that come from 5G , internet and such areas are directly relevant for the way the vehicles are going to be designed. And interestingly, cybersecurity is a sweet spot for us becau se vehicle SOC is something that need automotive skills and deep cybersecurity skills , and this acquisition gives us both in a very nice way. And that is probably going to be one of the key differentiators as we get into the space. I mean as we speak, we'r e already doing at least 4 or 5 SDV programs for most of the customers in Europe right now, and we see a decent pipeline on the SDV front.
Coming to AI, our sweet spot there is going to be Manufacturing , Automotive and Medical. Here also, I think the domai n expertise that we bring to the table – it's very clear that AI is not just going to be about technology, it's about domain as well , and our deep domain expertise in these areas definitely helps us take some good strides ahead. So we will be, of course, f ocusing on these 3 segments. But apart from that, the investments we have done over the last couple of years – we have patents on some AI -specific solutions as well. That should help us. The work we do with hyperscalers, Semcon partners , I think this is a great recipe for different domain segments coming together to provide domain -specific AI solutions to customers.
In both these areas, we are investing big time in internal trainings and the partnerships with various entities in the ecosystem itself. And y ou will definitely hear more from us in the coming quarters on these areas.
Moderator: Thank you. The next question is from the line of Rohan Nagpal from Helios Capital Management, India. Please go ahead.

Rohan Nagpal: One quick question on your India business , notice that there is a significant reduction in the -- there's about a $10M reduction in your India business. Is it just on account of SWC seasonality or what is going on here?
Amit Chadha: Yes, that's largely SWC. I don't see it another wa y.
Rohan Nagpal: Okay. And then one of the things you mentioned was the deals that you've signed have already

gone in for execution , they're fairly swift . Could you provide some color on the timeline of deals in terms of what is the typical timeline from s igning to execution? And some color on the pipeline that you're currently seeing?
Amit Chadha: Sure. When it comes to the deals that we signed, the $50M deal was something that we

had been
pursuing for more than about 4 months. And it took time and , we wer e waiting, we were investing and waiting, right? And it took a lot of decision, approval, etc., to go through with that, but it's already moved to execution, and we have gone live. Now the other 5 deals that are there, the $10M+ deals, they have all gone into execution , I want to confirm , towards the last week of June, right, and ramping up as we speak and should get to steady state sometime in this quarter. So, we are continuing to work on those.
Now as an example, one of the Hitech deals that we signed, $10M+, not the $50M+, that took us 3 months multiple meetings to sign. So , what we have done as a team is that we've improved our funnel. We've increased the number of deals that we are chasing. We have hired more salespeople. Th ey are on the ground and leaders as well . And I believe that, therefore, we are comfortable with the fact that we'll have to put in more effort to be able to do this. The moment the deal gets signed, right, the ramp up is fairly immediate. So , these are no t long -term that they'll take 6 months, 9 months to do. Ramp up is immediate.
Therefore, we've beefed up our recruitment engine as well as well as Abhi shek is very passionate about the Global Engineering Academy , which is also running full time to make su re that we are able to repurpose people, turn them around, etc.
In fact, in one of the deals that we signed, which was not a 1 $0M deal because it's a shorter period , we had invested in hiring and holding about 100 + resources for some period, and they have gone live now and billing. So , some of that training upfront , before execution , is required. And we have more deals on the back of these that we are working on , we will continue to update you as we close them.
Moder ator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Advisors. Please go ahead.
Mihir Manohar: Sir, largely wanted to understand on the synergy, which is the SWC acquisition. So , which are the internal KPIs that we are tracking? And how are we progressing on those KPIs -- that internal KPIs , that will be really helpful. My second question was on the deal pipeline. I mean, you mentioned the deal pipeline is quite strong, has improved materially. So , if you can quantify what is the QoQ or a YoY improvement in deal pipeline that will be really helpful.

And specifically, which are the areas where you are seeing good deal pipeline in that context? And my last question was just on the external environment. I mean you are appearing to be more optimistic on the external environment when compared to your earlier commentaries. So , if you can throw some more color, I mean is the external environment worry just behind us? And how do you see the external environment per se? Yes. So those were the questions.
Rajeev Gupta: So, this is Rajeev here. Let me take the part on the synergies from SWC acquisition. So , we've, of course, briefed this earlier as well – 3 areas that we are working towards. The integration did conclude as of Apr il 1, 2023 , so both the companies are now together. And we are reporting SWC under our Telecom & Hitech segment.
In terms of synergies, 3 areas:
First, internationalization of revenue. Amit did talk about that we've beefed up our sales leaders in U.S., i n Europe, in Middle East. And clearly, the idea is to build pipeline. Some of that progress indeed has happened.
Second is in terms of improving the EBIT margin. SWC has been a lower margin business, more so because most of the revenue has been India -based, right? And of course, taking it international will help us getting comparable margins much like our heritage business.
Third is in terms of improving DSO. DSO because the deals that we're executing in India are deals that are like -- are with

the government entities. So , as we do deals with global customers,
we will see DSO terms closer to what we have in heritage LTTS business.
These are the 3 areas. We'll continue to update.
We did mention that our aspiration in terms of the combined EBIT margin is 17% levels. In terms of DSO, the range that we maintained combined is between 115 to 117 and we will continue to update on that.
Of course, Amit did reiterate in terms of the growth aspiration, which is 20% plus, including the SWC acquisition. A mit, do you want to take the second one?

Amit Chadha: Sure pipeline – where and its external environment. If I look at external environment, the fact that we are in 5 segments is what gives us confidence when one goes down, another goes up ; It is a portfol io. That's point number one. Number two, being an end -to-end engineering provider from mechanical to hydraulic electrical to plant engineering to digital skills , and in that across the track from VLSI to hardware to software , firmware – all that gives us t he confidence that we are fairly in the right place.

Now having said that, I'll tell you where the problem is.

One, t he problem is that some of these deals that we are talking about, and we have chunkier deals like the $50M that we closed in our pipeline. So , the number of $50M+ deals, the $25M+ deals for us at this stage is higher than it was last quarter, or same quarter last year. That is driven

by the fact that some of the investments we made in EV, some of the investments we made in digital manufacturing, some of the investments that we made in VLSI capabilities and digital skills is coming to bear. Now, so that 's what gives us the confidence. Now the issue is, firstly, instead of 2 signatures, deals are taking 4 signatures. The reality, I will not shy away. I will acknowledge it. I mean I sh ould tell you the number of miles that Alind or even Rajeev, Abhishek, our HR head Lak shmanan , is putting on in the last 2 quarters is much higher than they would have traveled over the last year because clients need that reconfirmation from the entire management team and not just one or two people, right. Secondly , in Semcon and Consumer Electronics, like I said, there's a little bit of pain left. I cannot quantify for you how long, but that's the reality. Third, any project that doesn't have a profit pool or a revenue pool associated and is being done for the love of mankind or womankind is getting delayed.

So, these are 3 realities that are there. But having said that, we continue to be agile. We continue to look at various areas like I requested Abhi shek to talk about today on SDV and AI. We are thinking ahead of the market , and I believe that these investments will carry us forward.

Moderator: Thank you. The next question is from the line of Aniket Kulkarni from BMSPL Capital. Please go ahead.

Aniket Kulkarni: Yes. So just a small question from my side. It is regarding the ROE number which you are doing right now. So , are we comfortable at these numbers? Or is there any specific bracket where we want to be going forward?

Rajeev Gupta: Aniket, th is is Rajeev here. So of course, you may be looking at ROE at a quarter level, but we certainly try to aspire for an annualized number. At this stage, we are comfortable in terms of the ROE, where we are or rather where we ended for FY 23. The aspiration ce rtainly is to improve at the back of 18% EBIT margins by Q1 FY26. So , we believe over the period of these next 5 -6 quarters, we should be able to improve the ROE. But at this stage, we are comfortable with where it is.

Moderator: Thank you. Ladies and gent lemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. Pinku Pappan for closing comments. Over to you, sir.

Pinku Pappan: Thank you all for joining us on the call today. We hope we were able to answer mos t of your queries and happy to do follow -ups with you through the quarter. With that, we're signing off from this quarter's call and have a good day and wish you all a great day ahead. Thanks.

Moderator: Thank you. On behalf of L&T Technology Services Limi ted, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Oct 2023

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October 23, 202 3

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra -Kurla Complex Phiroze Jeejeebhoy Towers,
Bandra (East), Mumbai — 400 051. Dalal Street, Mumbai - 400001
NSE Symbol: LTTS BSE script Code: 540115

Subject: Transcript of Q2 FY24 Earnings Conference Call

Dear Sir / Madam ,

Please find attached the transcript of Q2 FY24 Earnings Conference Call organized by the Company on October 17, 2023 , for your information and records.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prajakta Powle
Company Secretary & Compliance Officer
(M. No. A 20135)

Encl: As above

L&T Technology Services
Q2 FY24 Earnings Conference Call Transcript

For the Earnings Call held on October 17, 202 3, 18:30hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ABHISHEK SINHA – COO & EXECUTIVE DIRECTOR ,
MR. ALIND SAXENA – PRESIDENT SALES & EXECUTIVE DIRECTOR ,
MR. RAJEEV GUPTA – CFO,

MR. PINKU PAPPAN – HEAD, INVESTOR RELATIONS

Disclaimer: Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statements. L&T Technology Services Limited (LTTS) does not undertake to update any for ward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day, and welcome to L&T Technology Services Limited Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in t he listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note t hat this conference is being recorded.
I now hand the conference over to Mr. Pinku Pappan, Head of Investor Relations. Thank you, and over to you, sir.

Pinku Pappan: Thank you. Hello, everyone, and welcome to the earnings call at L&T Technology Services for the Second Quarter FY24. I am Pinku, Head of Investor Relations. Our financial results, investor release and press release have been filed with the stock exchanges and are also available on our website www.ltts.com . I hope you've had a chance to go through them. This call is for 60 minutes. We will try to wrap the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be availab le on our website approximately 1 hour after this call ends.
With that, let me introduce the leadership team present on the call We have Amit Chadha – CEO and MD; Abhishek – COO and Executive Director; Alind Saxena – President Sales and Executive Director ; Rajeev Gupta – CFO. We will begin with Amit providing an overview of the company performance and outlook, followed by Rajeev, who will walk you through the financial performance.
Let me now turn the call over to Amit.
Amit Chadha: Sure. Thank you, Pinku . Happy Navratri to one and all. Thank you so much for joining us on the call today.
With that, let me start with the key highlights of our Q2 performance :
• We grew at 3.2% sequentially in constant currency. The growth was broad based after 4 quarters with all segments growing sequentially.
• Transport and Plant Engineering led the growth with around 4% growth in each.
• Our deal wins were strong – 7 deals of $10M plus of which six were above $15M each. We also had two significant empanelment de als. Like our growth, the deal wins were also broad -based in nature.

• Our operational performance continues to be healthy with EBIT margins of 17.1% - nearly flat on a sequential basis even as we absorb the wage hikes of our employees and investments into capability building.
Let me now start and provide a more detailed segmental view and outloo k:
Starting with Transportation,
• We had a good quarter with 4.4% Q oQ with all 3 sub-segments – Auto, Trucks & Off Highway and Aero growing.
• Similar to our investment in EV 2 years back, we are accelerating training and capability building in SDV or software defined vehicles , to take advantage of the next wave of spending.
• Automobile s will require an architectural transformation as processing shifts from multiple domains to a central high performance and compute architecture under SDV.
• We are partnering with US headquartered chip majors to build the se next generation chips and softwar e for SDV.
• We plan to have a round 1,800 resources trained in SDV over the next few quarters in line with the demand. There are multiple proposals that are under discussion currently with OEMs and Tier 1s.
• Our EV play continues to be strong

with Trucks and Off Highway customers also
moving up the investment curve towards high power EVs.
• In Aero, we have seen multiple new build conversations starting as a refresh cycle is beginning.
Overall, we are excited about the number of large deals in the pipeline and new technology conversation we are having with our customers, which should continue to drive growth in Transportation.
In Plant Engineering,
• We had a strong quarter with nearly 4% Q oQ growth that was broad -based across FMCG, O&G and Chemicals.
• O&G customers are investing across the spectrum in Shale, low -carbon energy, carbon capture and renewables. They are also making changes in the refinery as they refit themselves for greener fuels.
• In FMCG, there is a continued capacity expansion happening with automation and digital twin being the investment focus.

The deal pipeline in both the U.S. and Europe continue s to be healthy that will drive strong growth for us in Q3 and beyond.
On Industrial Products ,
• We had a slightly softer growth in Q2, which was led by Electrical Machinery and Power and Utilities while Building Automation had challenges.
• Digital manufacturing and the use of AI and robotics is driving demand for us .
Customers are enabling such technologies to improve internal efficiency and speed up time-to-market.
• In Q2, we won a large deal with a global machinery company to set up a software center of excellence in India , catering to their digital transformation needs.
• Sustaina bility is another driver of growth as customers look to measure and track carbon footprint over their product life cycle.
While growth momentum has continued, the pace has been slow on account of decision -making delays and some stress in the sub -billion c ustomer set. We continue to see growth in IP, which will be driven by digital products and digital manufacturing.
In Telecom & Hi tech,
• We grew by 2% sequentially despite challenges in the Semcon and Consumer Electronics portfolios.
• In Semiconductors, we are engaging more on the new age chip sets that are designed for AI and cloud computing workload s – which has allowed us to keep growing despite the challenges.
• Our Palo Alto partnership is progressing well. We are in discussions with multiple enterprise customers to provide Operation Technology (OT) and cybersecurity services.
• We won our first large deal of $10M+, leveraging SWC capabilities in the global market. As part of th is deal, we'll be helping our Global customer in establishing a 5G center of excellence. Our superior end -to-end technology stack for wireless and 5G communications that is becoming a key differentiator for u s, helped us win the deal.
• In the Nex Gen Comms and Sustainable Smart W orld space, we won two large orders in India – one for setting up an advanced communication system for a metro rail , and the other for implementing a state -wide smart metering system.
• In the Media side, we are also seeing large deal opportunities with vendor consolidation and cost optimization being the key driver s.

Overall, we are optimistic that with the key pipeline and deal s we are likely to close, growth will continue. Near term we might still see some volatility in the Semcon side, although the Media and Nex Gen Communication s parts are likely to keep growing.
Lastly, in Medical ,
• We had a good quarter as we improved on the growth momentum sequentially.
• Last quarter, I talked about how we are seeing traction improving in the large deal pipeline in Medical. Happy to share that we won two deals in Q2, each of them close

to $20M in TCV.
o In one, we will be developing a next-generation platform to bring ou t
products faster into the market. In the other deal, we will help our customer
in sustenance and m

anufacturing optimization.
• Digital, especially in areas like process automation, optimization and productivity
improvement po wered by AI solutions are seeing increased demand.
• Cybersecurity is another focus area for our customers in Medical.
Q3 will be a soft quarter for us in line with seasonality, although we expect growth to bounce
back Q4 onwards.
Now a few highlights on our Digital Engineering and Technology progress .
• Our engineers continue to innovate. We had a total of 53 filings in Q2 , and as you are
aware, the pace of patent filings has increased – our cumulative filings are near the
1,200 mar k from around 1,000 a year back, and I'm happy to share that this is 10th
quarter in a row that we have filed 50 patents for ourselves and our customers in the
quarter.
• The innovation culture in the company promotes ideation and cutting -edge solutions.
• I would like to highlight that in the EACV domain Everest has rated LTTS as the #1
service provider in Electric , and among top leaders in Autonomous and Connected.
• Similarly, ISG for their Manufacturing Industry Services rated LTTS as a leade r in
digital factory and manufacturing solutions and also in Agile product development.
Let us now discuss the Outlook
• We are investing in software defined vehicles, A I & cybersecurity, and will have close
to 2,000 employees train ed over the next few quarters. Our collaboration with
hyperscalers and chip companies is helping us develop AI solutions and services that
address needs for industry like Auto, Manufacturing and Medical.

• These conversations are helping us to advance the resilience, growth and
transformation agenda of our customers, while also adding more large deal
engagements to our pipeline.
• The deal pipeline we see makes us very optimistic about our growth sustaining – and
you can see this is also reflected in our headcount addition in Q2.
• Having said that, there has been increased uncertainty with the events that have
unfolded over the last few weeks – and these developments are still evolving. As a
result, we are seei ng a wider range of how Q3 and Q4 could play out for us.
• We are therefore revising our FY24 revenue growth guidance to 17.5% to 18.5% in
CC.
Summing up, we had a good quarter, and the deal wins and customer traction make us confident
that our investments are helping us to be on the right side of the future work and expansion.
With that said, I wish you all a very happy upcoming festive season.
And I will now hand over to Rajee v. Thank you.
Rajeev Gupta: Thank you, Amit. Greetings to all of you.
I am pleased to share that our Q2 FY24 performance – it has been another quarter of good results
with healthy addition of deals and consistent operational performance.
Happy to note th at after fully integrating SWC within LTTS, we have seen our first large deal
win in the global markets leveraging the joint capabilities.
With that, let me take you through Q2 FY24 financials, starting with the P&L.
Our revenue for the quarter was ■ 2,387 crores, a growth of 3.7% on a sequential basis. Our YoY
growth for Q2 came in at 4.6%.
We have been able to maintain EBIT at 17.1% after absorbing wage hikes and investments in
technology that Amit highlighted. These headwinds were offset through op erational efficiencies,
better SGA leverage and cost optimization measures. The EBIT margin is in line with our
aspiration of 17% for FY24 .
Now moving to below EBIT.
Let me talk about Other Income.
Other Income was ■ 29 crores, lower on a sequential basi s due to lower income from
investments.
Effective Tax Rate (ETR) for Q2 was 27.6% in the same range as our expectations of 27.5%.

Net income for the quarter was 5% on Y -o-Y basis and came in at INR315 crores, which is
13.2% of revenue.

Moving to Balance Sheet. Let me highlight the key line items :
DSO came in at 102 days at the end of Q2, flat as compared to Q1. Unbilled days was 16 in Q2 compared to 15 days in Q1. The combined DSO, including Unbilled stood at 118 days compared to 117 days in Q1, which is within our target range of 115 -125 days for the year.
Let me now talk about cash flows.
Our YTD Free Cash Flows were ■ 430 crores, which is at 69% of Net Income.
We continue our efforts in improving collections and maintaining healthy free cash flows and we will see further FCF improvement in H2 FY24 .
Our Cash and Investments stood at ■ 2,270 crores at the end of Q2 versus ■ 2,394 crores at the end of Q1. This was slightly lower due to final dividend payout of FY23 of nearly ■ 320 crores.
As you would have seen today, the board approved an interim dividend of ■ 17/share.
Moving to revenue metrics.
On a sequential basis, $ revenue growth was 3.2% on constant currency basis and 2.9% in reported terms. We saw a broad -based growth in Q2 , with all segments growing quarter on quarter, led by Transportation and Plant Engineering segments.
The segmental margin performance was bet ter in 3 out of 5 segments on a sequential basis , with improvements in Transportation, Telecom & Hitech and Plant Engineering segments.
Now let me comment on operational metrics.
The Onsite:Offshore mix was at a similar range as compared to Q1. Offshore percentage now stands at 59.6%. We are working on measures to gradually improve this metric.
The T&M revenue mix was 64.2% in Q2 in a similar range as compared to Q1. We expect this to continue at the same level going forward.
Client profile – which indic ates the number of million dollar plus accounts has shown a sequential improvement in the $30M+ categor y. The client profile will continue to improve in the coming quarters.
Client contribution to revenue all three categories, Top 5, Top 10 and Top 20 have shown a slight improvement as compared to Q1, and we expect this trend to continue going forward.

Headcount increased sequentially by 488 employees, while Attrition dropped by 220 basis points to 16.7% as we see an impact of various employee engagement measures as well as the industry - wide trend coming down.
Realized rupee from Q2 was around 82.84 to the U.S. dollar, a depreciation of nearly 1% versus Q1.
Before I conclude, let me give some visibility on EBIT margin trajectory going forward.
We continue to focus on profitable growth and maintain our operational rigor. As Amit mentioned, in the short term there are headwinds to growth arising from the current macro environmen t. We are proactively taking measures to balance these headwinds through productivity gains and cost optimization.
We maintain our aspiration to be at 17% EBIT levels in FY24 and to get back to 18% EBIT levels by H1 FY26.
With that, wish everyone a happy festive season ahead. We thank all our stakeholders for their continued patronage.
Thank you. Moderator, we can take questions now.
Moderator: Thank you very much. We will now begin the Q&A session. We will take our first question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Great to see a mix of very broad -based growth across all the segments , so congrats on that broad - based growth. I just have a couple of questions. In the industry at this point of time, w e are seeing two phenomena . One is the new deals are taking time to get closed or start execution. The second is the existing deals , the discretionary part of those deals is being put on hold or being delayed. What in your case has led to that small discre pancy in the revenue, which led us to downgrade our guidance? And what do you see -- how do you see those things playing out over the next 2 to 3 quarters.
Amit Chadha: So Vibhor, thank you so much

. Vibhor , so let me say a couple of things. One, if I look at the last
quarter, when I had come to this call and before that as well, I've been talking about the fact that

the number of deals that we have got in our pipeline – $10M+, $20M+, right -- and $50M+, even three -digit deals – is higher than where it was last year. And the deal velocity is slightly slower. The average deal size is slightly longer. I talked about this last time.
So, the results have been that we've been able to sign the 7 deals that were $10M+ in Q2, right, out of which 6 of th em are $15M+. Actually, a couple of them are more than $20M+, a couple of them are exactly $20M, etc. So there has been that colour . In addition to that, in the current quarter also, that is Q3, which is progressing right now, we have signed $20M+& $ 10M+ deals, three deals that have been signed in the last two weeks as well.

So from that standpoint, the funnel is bigger, and we are seeing those closures. Now the reason that we've been prudent and cautious slightly in terms of the guidance to saying 17.5% – 18.5% , though our internal targets are to reach the original numbers that we had told you , is that the market in the last 3 weeks /5 weeks has changed slightly. One, you are aware of the UAW strikes from mid -September that has been happening in the US, whic h has put a pause on a couple of projects that we were working on. We don't know when that's going to lift off.
Second, with this developing situation that's happening in the world, we are not totally sure as to which way will this come and sit. Though we don't have too much operations in Israel. It's very small, and we continue to pray for our small team that's there. But what will be the indirect impact, we're not sure.
And therefore, I shared with you also that we have an algorithm that we use for computing this. So -- and we have taken that into account, and that's why you're seeing the revised one. We will come back again in January & if things turn, we will let you know. But we continue to work, we continue to be optimistic. We continue to be hir ing. We continue to invest in technology.
Vibhor Singhal: Sure. Great to hear those words of optimism from somebody at least in the industry. Thanks for that Amit.
The second question I had was on the Telecom segment. Now in this quarter, we have won this deal as you mentioned, with the SWC capabilities being added . Now traditionally, in the Telecom and Hi tech segment, we've been more towards Telecom and Hitech than the Telecom service providers, the TSP s. Will that mix change? Or has that mix already changed in favo ur of Telecom service providers because of SWC integrating into the business? And do you think that could increase the growth that this segment could see given the Telcos globally are bleeding. There have bee n very few monetizable cases of 5G & Telcos across the world has not been able to ramp up there, let's say, ARPUs or their revenue profile because of 5G adoption?
Amit Chadha: So see, it's more than just 5G or Telco providers , it is two or three things tha t we should look at . We also look at cybersecurity for this segment as a horizontal offering across enterprise as well as Telecom, right? One, what's happened is with the 5G – with the SWC acquisition, our skill level, our skill depth, our expertise has definitely gone through a shift and a change towards the positive way . That is helping us in having more mature conversations with Telecom Infra OEMs as well as Operators and actually, at times, it's really spi lling over also with some of the Media work that we are doing that borders on this. So , it's helping us have those conversations.
The deal we have closed, which is a first Smart World deal , a $10M+ deal. We had closed a smaller one earlier . This is the first $10 M+ deal for this business , we ha

ve closed with a US
customer. In Q3, i.e., in the last two weeks, we have closed the cyber deal of $10M+, again, with an international customer, these are at LTTS standard margins, right? So , it is helping us change the conversation.
The Second thing that we are seeing, and we talked about the deals we have won in India with Smart World, is we are proud to say the work that we have won in Smart World in India actually

has a component of softwa re that we have developed in -house that we're going to be deploying as well, right? So that is a value -add service that we are providing.
Third, with the work that we are doing with Telecom, we are able to go to Semcon companies, we're able to go to Teleco m Infra companies and work with them to be able to bring them to India together. So , it's becoming like a ‘sell with,’ ‘solution with ’ conversations that was not happening prior to Smart World.
Lastly, we are getting to finally own an entire end -to-end pro ject work that again was not there

earlier. Again, story to be p layed out. Early days, we've made the investments. We have stood up our team in the Middle East, our full sales team in the Middle East. We've seen some smart city opportunities there as well. The pipeline is there. So , to be played out Vibhor, but definitely for the better. And per our plan, as we had thought about when we purchased this business.
Moderator: Thank you. We have a next question from the line of Akshay Ramnani from Axis Capital. Please go ahead.
Akshay Ramnani: Congrats on good execution on margins. So , my first question was on SWC seasonality. So , during last quarter's earnings call, you mentioned that SWC has a seasonally stronger H2. Now when I try to look at the numbe rs where you have given revenues for including SWC and excluding SWC for FY23 and take the difference out there, it appears that in Q2 of FY23, SWC is having strong sequential growth & it also appears that H1 was stronger than H2 in FY23. So , can you pleas e clarify on the SWC seasonality? And also maybe comment on how did SWC is performing Q2 of the current quarter , if you may add did you also see that seasonal uptick in this quarter?
Amit Chadha: Sure. So , thank you so much, Akshay. In fact, if I take away the SWC revenue from the quarter , same quarter last year, the growth is approximately 16% for us as a company, right? But having said that, if I look at the SWC business now, see, the whole goal of integrating SWC , buying SWC and integrating it together a s one team, one company, one division was that we would like to take this business internationally, investing in a full -scale sales team in Middle East, investing in a full -scale sales team in the US as well as parts of Europe. The whole idea was – 1) take the business international , 2) take away the seasonality to the extent possible and cyclic ality to the extent possible 3) to improve margins in India and become value -added rather than just being a reseller /provider. I think all those dots we are trying t o do. Again, these are early days. It's only the second quarter that we have run together. So , to be seen as we go forward, there are some good deals that are in the pipeline for the business as well.
And now we don't call it Smart World anymore, we call i t NGC, Nex Gen Comms. So , we do have a pipeline for the Nex Gen Comms business, and we are actively working and pursuing to try and close some of these deals internationally as well as in India. So , to be seen and to be played out as we move along. And we' ll keep you updated as things develop and go forward.

I do want to just say one more thing. We have packaged two of the solutions that our NGC business has created. We have packaged it. We won our first order for the license as well, and we are doing more

in that area. So , to be played out, to be seen.
Akshay Ramnani: My question on SWC seasonality part, I think remained unanswered …
Amit Chadha: I'll address it, yes. So , look, I'm not going to look in re ar view mirror and say what happened last year. We are playing it in the current year as we are, and we'll see how Q3 and Q4 do, to be played out.
Akshay Ramnani: Okay. And my second question is on headcount additions. So , the sub -500 QoQ addition while it is positive , but I guess still lower than maybe your estimate of 750 net adds at least in Q2. This is despite a reduction in attrition. So , is it fair to say that this was because of demand deterioration through the quarter? And also is our utilization now c loser to peak levels because looks like that was one of the levers to margin this quarter ?
Amit Chadha: So, thank you, Akshay. Very valid question. Actually, the way you have to think about it is that if we get a signal that future, so we normally know what kind attrition numbers we will have a quarter in advance, right? Because there is a notice period and we' ve got an algorithm with HR that does that very carefully. So , we do see attrition levels stabilizing. That allows us to be able to leverage the bench better, have a smaller bench, if I may, and tune hiring to make sure that we are not losing so many peopl e, be able to actually free up some people that are there and have them work, improve utilization . improve pyramid , etc.
So, with all that, I would not read too much between the 500 + to the 700 +. We've had some joining that have been there in the first wee k of October as opposed to September. That's all there is to it. We will continue, like Rajeev mentioned , we are a path of profitable, sustainable inclusive growth, right? And you will see us being careful as we continue to be always , in terms of how many we need, what can be re -purpose internally, etc. In fact, our training institute has been working overtime and reskilling people as well & that's how you will see this going forward.
For the record, about 2,000 freshers we had hired last year. So far, we've onboarded & we're getting a similar number this year. We've already onboarded more than 1,000 so far, and the remaining offers that are there will be honoured in the next two quarte rs, there's a plan for it as we move forward. We are, in fact, starting to discuss college campus hiring for next year as well

and finalizing those numbers as we speak.
Moderator: Thank you. We have a next question from the line of Sulabh Govila from Morga n Stanley. Please go ahead.
Sulabh Govila: So, first is with respect to the guidance that we've revised, I just wanted to understand what's the split of this guidance ex of SWC? I mean, on an organic basis, what's the number that you're looking at for FY24 ?

Amit Chadha: So Sulabh, thank you so much for asking. Actually, we had mentioned this in the last call that we look at this now as an integrated business. And we don't look at it as two businesses anymore because now the international deals are being one , that means some of the Smart World resources are being used, NGC resources are being leveraged for that. There is work that is happening in India where we are leveraging some of the LTTS heritage resources as well ; So, it's now become one team. So , we ar e guiding at this stage, 17.5 % to 18.5% and comfortable with the upper part of the spectrum.
Sulabh Govila: Understood. Then with respect to margins, Rajeev, the sharp decline in SG&A expenses that we've seen this quarter, and this is especially with the n umber of sales employees increasing. So just trying to understand what has led to this sharp decline? And how much of this is sustainable going through the quarters?
Rajeev Gupta: Yes. Thank you, Sulabh. So let me clarify, the increase in headcount that you

see is largely on
the enabling side . As we grow, we also need to ensure that our enabling functions are able to cope up with the increase in demand and of course, the scale of bu siness that we operate in. See, some of the reduction that you see in the SG&A side, is actually planned for, right?
One of that comes from the synergies from SWC acquisition. We talked about it. We ran the process on integration. We have now concluded. W e merged the two businesses. A lot of the non-billable resources that used to be part of G&A , now are moving into billable roles. Second, facilities have been consolidated. That has been another area that has given us benefit. So , the synergies are truly t ranslated.
Second , given that we see that there are challenging conditions that's always prudent to think optimization . We indeed optimize our G&A costs. So , areas like travel, welfare spend, all of these areas we have carefully looked at and optimize d upon.
Third is we've had lower stock option cost in this quarter relative to previous quarters.
Then also looking at our variable pay provision. We've looked at it in relation to the sales targets and accordingly adjusted for it. So , these are a few reasons where you see.
Now in terms of sustaining the levels, we believe that we have been in the range of 10%. We believe we will continue to be in the range of 9.5% to 10%. While I mentioned this, there are, of course, a lot of opportunities that we see on the gross margin side. I'll probably add on to it because for us looking at all of the cost in one stack is important. So , while we've seen the gross margin come down this quarter , it is truly because we value our employees as an important stakeholder. We did go through with our increments and we feel there's a good opportunity on improving the utilization on freshers.
We also believe that there are going to be further opportunities in terms of optimizing on subcontracting or TPC cost , offshoring, we mentioned about it and travel, right? So , these are all areas that we're going to continue to play upon. And between gross margin & SGA continue to see that we maintain our aspiration of 17% EBIT for FY24 .

Sulabh Govila: Sure, Rajeev. So ju st a quick follow -up. So does that mean that there is some sort of conservatism baked in the full year guidance and 18% expectation in 1H FY26 because the way we absorb the wage hikes in this quarter, ideally one would imagine this happens throughout the y ear. So , there should be more tailwinds to margins and 2H versus what we are implying right now?
Rajeev Gupta: So Sulabh, in a way, I would say, yes. A lot has to be seen in terms of how we see revenue translate. Amit did talk about some of the headwinds. In the current environment in the last month or so has not been that great. We believe it all played out well, we should be able to come slightly better off. But of course, we have to see that through . Of course, Q3 also is one of the most challenging quar ters, right?
Now all of the costs we have planned , keeping in mind that these challenges are being addressed

for. So like I said, we maintain our 17% EBIT levels in terms of aspiration for FY24 and continue to look at the stack of cost as to how do we opti mize or allow the scalability in terms of investing in technology.

Moderator: Thank you. We have our next question from the line of Karan Uppal from Phillip Capital. Please go ahead.

Karan Uppal: Yes. Thanks for the opportunity. So, Amit, one question on t he longer decision cycles you have mentioned in the press release. So is the slowdown in between cycles across verticals for you or some verticals are more stressed than others at this point of time. And how confident are you to achieve the guidance becaus e it still requires 2% to 3% CQGR you're in H2?

Amit Chadha: Karan, thank you. I'll answer

your second question first and the first question second.

So, I would like to confirm to you that internal targets are higher than the guidance, and we will continue to strive to see that we meet those and do well, right? So unequivocally, I want you to think about this. And we have baked in some amount of happening s in the last few weeks, like I said in one of the earlier answers.

Now number two, do we see a slowdown happening across. See more than a slowdown, I would call it caution . There is caution in terms of conversations, there are clients that are having with us. They are wanting to wait and watch how things turn out, right? Because there's a lot of these reports coming out every day that are fairly counter to each other. And every client is looking at their own market, they're looking at their own cost stack, etc. So , we are seeing decision -making cautious. We are seeing people asking us more data before they make a decision.

What we are doing to address that is to pile up more proposals. So, we are trying to see how we ramp up our pipeline to a much larger e xtent. In fact, my colleague, Alind Saxena, is driving that initiative of seeing, what can we do in terms of improving the pipeline.

Alind, would you like to share a few words on what we're doing around the pipeline?

Alind Saxena: Thank you. So , across the sectors if we look at the five different sectors that we play in, we today have sufficient pipeline and we have made some provisions for backups in case some of the

decisions get delayed. And we are seeing a fair amount of reception back from the customer s on that. We are fairly confident that, we are going to be able to close them in time to make sure that we meet our guidance as we go through. And as we look forward, we see the momentum continuing and being stable over the next few months and few weeks t hat we have in front of us. Thank you.

Karan Uppal: Okay. Second question, Amit , is slightly on the longer side, specifically on SDV -related area. So do you want to highlight any investments you are making maybe on the capability side or on the labs? Any l arge deals in the pipeline within this area , because peers have started announcing pretty large deal in software defined vehicles. So any update from that side will be very helpful .

Amit Chadha: So, on the SDV side, see, as we look at the SDV stack, we look at it as a hardware layer , we look at it as a compute layer , embedded layer and then the software layer and then the data layer. So there are four parts to SDV that we are discussing here.

So, one, we are in active dialogue , conversations have engage d in a partnership model with silicon majors, where we are getting our people – One, trained on the latest chips and how will they be leveraged on high -performance computing chips. Second, we are -- we have won smaller contracts, and then we are looking at bigger contracts to do semiconductor design for these high -performance chips for SDV.

Second, with OEMs and Tier 1s, we are working closely to ramp up work for them. There are double -digit deals that we are currently in play in our pipeline in the SDV ar ea that we are trying to actively pursue and close and ramp up.

Third, we've actually leveraged our Global Engineering Academy to try and develop the skills internally and retrain people.

Fourth, there are tools that we have developed around leveraging Ge n AI. There's a tool called EvQUAL , it's on our website , that's hosted on AWS. There is a Digital Twin for digital cockpit we have built. There is Ethernet simulator we have built. There is hawkBit, another one that we have built. There are various components that we have built that are leveraging for the OEMs and Tier 1s as we move forward. So , deals in play, deals in progress, a ramp -up happening across US, Europe and Japan.

Moderator: Thank you.

We have a next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Thank you. Amit, if I heard you right, the only area that you really called out softness, it was

semiconductors. And Q3, historically, it hasn't been really bad for LTT, if you want to look at
it. Is anything di fferent this time?
Amit Chadha: So one, we do expect there to be a softness in Medical, right? I'm calling that out. Number two,
Semcon and ISV, my belief is that the pain will be over by Q3 and in Q4, things should turn
around in Semicon and ISV. So there 's another quarter of pain left in that particular area.

Outside of that, regular furloughs, Ravi, the only thing that we don't know is that because of the
UAW strike since mid -September, some of our projects were put on hold . And we are not sure
whether w e'll be able to leverage the working days in this quarter to work on it or will it slip to
next quarter. So some of that is what's going on.
Having said that, we're still cautiously approaching the quarter. That's why I said in my
commentary that Q3 there it's still got to play out, right? In addition to that, there's a couple of
deals going on that we have got that could help us in the quarter , this and next one, if we are able
to sign them. So again, an active discussion ongoing if I may, Ravi.
Ravi Menon: And I know for you, Transportation is not just Auto, but really strong growth there. But in Auto
should we worry about the EV transition because we have been reading reports at EV sales are
not really going through as expected and automakers are actually seeing bigger inventories of
EV vehicles now?
Amit Chadha: So Ravi, there are two parts here. Number one, we are not just Auto. We are, like you said, we
are Auto, we have Commercial Vehicles, Trucks & Off Highway, Aerospace and Rail. So we
are across the segment. That's number one. Number two is that our -- though we are rated highest
in EV, and I'm truly complementary of the ent ire team that came together to deliver it, we are
not a single trick pony. There is other offerings that we have got in the area that we are
leveraging, right?
In fact, the investments in SDV that we are doing, we believe is the future, like AI. So , AI,
cybersecurity, SDV as well as next -gen compute and next-gen comms is the future. So , we'll
continue to invest. And not just that, I would go a step further and say that one thing that we've
been able to leverage very successfully, like for SDV we did.
We too k a 50 -member team from our Semiconductor practice and a 50 -member team from our
Consumer Electronics practice, and we put that as a seed team for SDV and said, "Go build and
let's go ahead and grow", right? We have done that for EV, if you remember three years ago by
taking 100 people from Industrial Products and power electronics.
So we will cross leverage skills from SDV and automotive to other areas if required to
supplement. And that is exactly the reason why we are in five verticals, and I do believe that this
will be a shock absorber for others in case there's a slowdown in one area. But we remain actively
engaged across. Pipeline again, is higher than it was same time last year and continues to grow.
And a targeted effort being made towards SDV, Alin d spoke about it, running a specific program
in the company to ramp up the pipeline.
Moderator: Thank you. We have our next question from the line of Bhavik Mehta from JPMorgan. Please
go ahead.
Bhavik Mehta: Thank you. Couple of questions. Amit, the decision -making delays, what you mentioned, is it
just on the deal closures or also in terms of project ramp -up because it seems like the deal
closures have been strong for you. And then assuming that, it's more on the conversion side

where there 's is an issue, is that a fair un

derstanding? And secondly, if I look at the geography,
it seems like a lot of the growth was driven by Europe and India, while US was soft. So any
colour on the US geography in terms of what verticals are taking in headwind s over there? Thank
you.
Amit Chadha: Sure. So Bhavik, thank you. So Bhavik, number one, when I say decision -making delays, I'm
referring to a couple of things here.
Number one is that the deal tenure that we were winning has increased ; if we were winnin g deals
that were 2.5 years long, now those deals that we are winning now are on an average about 3.2
years long, right, is what's happened. So therefore, there is a longer ramp -up and then get to a
stable phase and then potentially closure.
Second, what i s happening is that in July, when we came in and talked to you & then we did

roadshows in August, right? At that point of time, and now what we've seen is, September, October, though, we've been successful, right? I mean three deals – two $20M+ & one $10M+ just in the first two weeks of October that we have signed , that we have l anded . But I still feel that there is a sort of a wait and watch kind of hesitation that's coming across that we are seeing. People are talking about next year, right? So – 'let's d o this, let's do this. Well, let's start in January, ' right? There're others they're saying, let's start and then let's start smaller and then we will ramp up with you. But we want to bolt down resources, we want to bolt down plans and take it forward. So there is some amount of wait and watch that we are seeing creep into conversations.

Having said that, there is still vendor consolidation. There is still new age areas that people are ramping up in and that is giving us an advantage. In fact, I would say most of the wins we are getting now is in newer age areas rather than the older sustenance engineering – older areas that were there. So that's number one.

Number two, you are absolutely right. Europe has done very well for us. In fact, I remember about 2.5 years ago, one of the calls, there was a worry that in Europe, are y ou serious , will it grow? And we had said that we will grow Europe. I would complement the team that delivery and the sales leadership team in Europe. We've done extremely well in the last couple of quarters. And knock on wood, I do see that growth continu ing. This is across DACH, Nordics, Netherlands, and France. And we are clear we are not in other geos, these are the geos, and it's not just Transportation, it is Transportation and the Digital Manufacturing that we are seeing growth in.

Not only that, but Japan has also grown for us. And I'm, again, complement ing the team that has worked hard Japan to grow not just automotive but Automotive, Hitech and Industrial Products. So we are seeing that. We are actually trying to see if we can get into Plant Engineering in Japan now to be seen how it plays out, right?

India, of course, the growth is part of the Nex Gen Comms business that we have had, etc.

U.S. Now where ar e we seeing a little bit of headwinds. We are seeing headwinds in the U.S. in semiconductor and ISV space. And that did have an impact on us in the current quarter. We could have done maybe $1 M potentially more this quarter, had the UAW strike not happened , that cut us off about $700- 800K this quarter. So that -- there's a little bit of this there. But we have expanded our sales engine. We are all guns blazing. We've started ideation processes on a continuous basis. So, to be seen how things are, but to be worked out, to be played out, and we'll continue to keep you engaged and updated as things progress.

Bhavik Mehta: Just a follow up on that. Any early signs on furlough from clients, what are you hearing from clients in the combination regarding the Decem ber quarter furlough it is higher or lower or status qu

o compared to historical value level?

Amit Chadha: So similar to last year, Bhavik, but to play out to play out. I still have a hunch, it may turn out to be slightly better, but we don't know yet. So, to be played out Bhavik. Truly to be played out.

Moderator: Thank you. We have a next question from the line of Abhishek Shindadkr from In Cred Capital. Please go ahead.

Abhishek Shindadkr: Hi, sir. Thanks for the opportunity and congrats on good execution. And just a clarification on the data point that you mentioned that the revenues could be $800 K to $1 M higher before the UAW strike. Should we also assume a similar number baked into your guidance in terms of why the reduction happened from – especially from this project?

Amit Chadha: So Abhishek, thank you. Abhishek, I was giving an example on quantifying a certain situation when I gave that number, right? The point is that there are – I mean you are aware of the macros that are developing right now with the kind of uncertainty that's there. So, there is a general caution Abhishek that we are baking into the guidance that we are providing, Abhishek.

Abhishek Shindadkr: Got it, sir. Thank you for taking my question and best wishes for the year.

Moderator: Thank you. We have our next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Yes, thanks. Thanks for the opportunity and congrats on a good execution, especially on the margins. Amit, t he first question is, if I look at the ask rate to achieve the next guidance at the upper end, which you are confident is roughly around 3.4%. And in our previous calls, we have said for SWC, the H2, which be heavier versus H1. So, is it fair to assume tha t the organic growth could be lower than 3.4% on a Q oQ basis, that is what you are assuming in the guidance, excluding SWC?

Amit Chadha: Sandeep, thank you. Sandeep, everything is organic now, that's the way we look at it. So , we are baking in some pluses and some minuses. While international, meaning the U.S., like the colleague prior to you saw very rightly, the U.S. was a little light, while Europe, India did better. So, this is to be p layed out. There are deals in the pipeline right now that we have to sell and deliver to achieve this guidance. I mean let me be very clear in that. And there are deals in the

U.S., there are deals in Europe, there are India deals, there are Middle East deals t hat we are working on. So , to be seen how it plays out, Sandeep.

Sandeep Shah: Yes. Yes. Just a clarification Amit, you also, in one of your statements, said the organic growth in this quarter on a YoY is 16% or something else, there is some mistake in my hearing as a whole. And what is your view on the Consumer Electronics, which we were expecting some amount of slowdown in the 1Q outlook?

Amit Chadha: Let me answer your first question, and I'll request you to repeat your second. So , Sandeep, what I was sa ying was we have re -casted last year financials, and we've added Smart World in last year's financials, right? If I was to not add them in last year's financials and only add them into current year financials, like I would do to any company I would buy tha t was not joint ownership or whatever they call it, the right word , then you would have seen 16% YoY . That is what I was referring to.

Sandeep Shah: Okay. Okay. Now it's clear. And the second question was on consumer electronics where you're slightly expec ting a pain in the 1Q earnings call. Any change in the outlook?

Amit Chadha: So, when we say ISV, we include some of these Consumer Electronic companies in that space as well. So ISV and Semcon, we've been signalling that -- there was -- we saw cuts in work being given to us and that impacted us negatively in Q1and in Q2 . We do expect it to impact us in Q3 as well. And we expect stuff t o turn around

in Q4 because we believe that some of the new products coming out will require workforce to be added.

In fact, some of the work that we've done in Gen AI, where we have developed tools and we've actually taken – we've created manufacturing u se cases that we have done in Gen AI around predictive maintenance , that we have done in AI -powered optical inspection, around demand forecasting, around software defined endoscop y for real -time video, all this work that we have done is going to help us ac tually capture some market share in ISV and Semcon. And we believe that will help us as we move forward.

Moderator: Thank you. We have a next question from the line of Surendra Goyal from Citigroup. Please go ahead.

Surendra Goyal: Yes, hi. Good evening. Amit, just trying to understand some of your comments better. So , you said and I think, you also said earlier that last month or so or last few weeks that trends have shown a little bit of a slowdown, but on the other side, you also said that furlough, you expect them to be better than last year. And last year, we were in a fairly robust demand environment. So, I was just trying to understand what is your thoughts process there.

Amit Chadha: So Surendra, what I'm saying is that, look, do we expect -- because this conversation was, I think I had with some of you that said do we think it will be a Christmas quarter, right? And at this stage, looking at what we've been seeing in the later part of September, we don't think it's going to be a Christmas quarter, ri ght? Having said that, it has to be played out because the cues that we are getting from different customers is different, right? So , to be played out, like I said, and

that we have taken into account when we have given the revised guidance. I'm sorry if I sounded contradictory there but I want to be clear that we do not expect a Christmas quarter.

Surendra Goyal: Sure. And just one clarification, Amit. Was your earlier guidance conservative as well or was that realistic?

Amit Chadha: So, Surendra, whenever we provide guidance, we always look at various items. We look at things happening , we look at our ability to win , our differentiators & we bake that all in. And that's how we do this. Now we don't have a crystal ball and we will continu e to improve ourselves and work on this is what I would say so. Surendra, the one principle we follow as a management team is that if we know something, we will make sure we don't surprise you, we let you know. That is the credibility we want to build with you and that's what we stand for.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Pinku Pappan for closing comments. Over to you, sir.

Pinku Pappan: Thank you, everybody , for joining us on the call today. We hope we've been able to answer your

questions, and if you if you have any follow -up, please reach out to me. With that, we are signing off, and we look forward to interacting with you coming days in the quarter. Have a good day, and goodbye from all of us. Thank you.
Moderator: Thank you. On behalf of L&T Technology Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Jan 2024

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Subject: Transcript of Q3 FY24 Earnings Conference Call

Dear Sir / Madam ,

Please find attached the transcript of Q3 FY24 Earnings Conference Call organized by the Company on January 16 , 202 4, for your information and records.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prajakta Powle
Company Secretary & Compliance Officer
(M. No. A 20135)

Encl: As above

L&T Technology Services Limited
Q3 FY2 4 Earnings Conference Call Transcript
For the Earnings Call held on January 16, 202 4, 19:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ABHISHEK SINHA –COO & EXECUTIVE DIRECTOR ,
MR. ALIND SAXENA – PRESIDENT , SALES & EXECUTIVE DIRECTOR ,
MR. RAJEEV GUPTA – CFO,
MR. PINKU PAPPAN – HEAD, INVESTOR RELATIONS

Q3 FY24 Earn ings Call
January 16, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the L&T Technology Services Limited Q3 FY 24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this call is being recorded.
I now hand the conference over to Mr. Pinku Pappan, Head of Investor Relations. Thank you, and over to you, sir.
Pinku Pappan: Thanks, Zico. Hello everyone, and welcome to the Earnings C all of L&T Technology Services for the third quarter of FY24. I am Pinku, Head of Investor Relations. Our financial results, investor release and press release have been filed with the stock exchanges and are also available on our website, www.ltts.com. I hope you've had a chance to review them. This call is for 60 minutes. We will try to wrap the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website approximately 1 hour after this call ends.
With that, let me now introduce the leadership team present on this call. We have Amit Chadha, CEO and M D; Abhishek, COO and Executive Director; Alind Saxena, President, Sales and Executive Director; Rajeev Gupta, CFO. We will begin with Amit providing an overview of the company performance and outlook, followed by Rajeev, who will walk you through the financ ial performance of the company.
Let me now turn the call over to Amit.
Amit Chadha: Thank you, Pinku. I wish everyone a very Happy New Year as well as a very Happy Lohri, Pongal, Makar Sankranti, based on what you celebrate.
With that, let me start with the key highlights of our Q3 performance :

• We grew by about 1% sequentially with all 5 segments growing for the second quarter in a row, which is a good sign , shows secular growth.

• Medical led the growth with 2.4%, while Transportation and Telecom Hi tech grew by about 1% each.

• We are pleased that 2 of our business units - Europe and Industria l Products, have now scaled to USD 200M run-rates on an annualized basis each.

• Our deal wins were healthy – 6 deal wins of $10M+ TCV, which includes one $40M, one $20M deal and a third one was a $10M+ deal in Cyber. Additionally, we had 2 significant empanelment wins .

• Our operational performance continues to be strong – We improved our EBIT margins to 17.2%

• Last quarter, we had talked about how we were investing in SDV or software D efined Vehicles , AI and cybersecurity .

• We made notable progress in each of these areas, and I shall provide details of the same in my segment commentary.

• In December, we held our second client advisory council meeting, consisting of 16 members with a combined market cap of $2 Tn, and revenue of $400 Bn. We also hosted the second Digital Engineering Awards along with ISG and CNBC. We gained a lot of perspective and insights from these meetings which is baked in our growth strategy.

Let me now start with Transportation ,
We see a continu ed build -up of deal discussions around new technology across all 3 sub-

segments - Auto, Commercial V

ehicles and Aero.
• SDV is where the next big wave of spending will happen. Last quarter, I talked about how we had started engaging with multiple customers across OEMs and Tier 1s to help them in their SDV journey. You would have also seen our announcement of partnering with AWS to accelerate the development of SDV .

• I am happy to share we won an empanelment with a US Auto OEM to define their SDV architecture. In this multi -year partnership, we will help them in the development of the system, software architecture and integration. This is a milestone win for us and will help us in our ongoing SDV discussions with multiple OEMs and Tier1 's in US and Europe.

• I also want to highlight that SDV is becoming relevant in Commercial Vehicle segment too - which follows the same trend as Auto - by investing first in EV and now SDV. With a US construction and mining giant , we have been working on their EV platform, and now we are helping them on SDV architecture too.

• We continue to see EV related spending moving from new products to our product optimization, benchmarking and performance improvement.

• On the Aero side, we won a large deal in avionics. We are also having deal discussions with a few new logos in new -age aerospace like electric /hybrid aircraft, building on our earlier wins.
Overall, 3 large deal wins and the SDV win in Q3 give us a lot of comfort of strong growth continuing in Transportation.
In Plant Engineering ,
• We had broad -based growth across FMCG, O&G and Chemicals .

• The key highlight of Q3 was the start of a significant relationship with bp - as part of which, we will help them in operational excellence and low -carbon initiatives.

• This marquee client win reflects our 2 decades plus Plant engineering design expertise combined with digital transformation capabilities, that we've been investing in.

• The broad demand trends across all 3 sub-segments are similar - as customers invest in new capex due to more regionally self -sufficient supply chains, embark on plant modernization to increase efficiency and look at sustainability investments - like reducing energy consumption and moving towards greener fuels.
We are excited about the pipeline and strong customer spending outlook that gives us confidence of Plant Engineering growth continuing.
At Industrial Products ,
• We are seeing good growth within Machinery and Power sub -segments although Building Automation remains challenged.

• Demand is driven by customer investments in digital platforms, need for higher product efficiency, factory optimization and sustainability.

• Lifecycle assessment is an emerging area of demand - we are working on AI driven automat ed solutions that will reduce time to market for our customers.

• Cybersecurity continues to be of interest as legacy systems and products are getting connected and modernized.
We are optimistic on growing in IP , which will be driven by digital products and supply chain resilience.
In Telecom & Hi tech,
• We are seeing signs of a turnaround in Semcon with the spending freeze in the past few quarters being lifted slowly.

• In Q3, we won a large deal with a Semcon major to consolidate their labs.

• Demand is strong in the VLSI chip design space for 5G and AI related chipsets.

• In addition to the alliance with Palo Alto, we have now signed a $12M deal in cybersecurity with a Telecom Network OEM. We are seeing a very good acceleration in our Cybersecurity practice post the addition of SWC talent. This deal is our second large deal

leveraging SWC in the global market.

• We are seeing good opportunities in network automation and digital infrastructure management as Telcos look at cost take -outs and performance improvement.

• We are partnering with Telcos to help enterprise customers leverage next generation communication networks for industrial automation, security, and material handling.

• In Media and ISV, we are seeing more cost takeout s and vendor consolidation opportunities as focus turns towards higher productivity and efficiency.
Overall, we see a good pipeline in Telecom & Hi tech and expect growth to continue gradually improve as the deals get closed.
Lastly, in Medical ,
We had a good performance in Medical, led by the ramp -up of a large deal win that we won in Q2.
• Demand is driven by 3 key areas:
o Digital platforms to enhance patient experience and diagnostics
o Complaint s handling and remediation
o Digital manufacturing and supply chain optimization.

• We see a great potential in leveraging AI in Healthcare - For e.g., we have developed an AI solution for Complaints Handling that is finding good traction with customers. This differentiated solution combines AI with domain specific cont ext like regulation to improve process efficiency.

• You would have also seen our press release of our collaboration with NVIDIA to develop Gen AI and Advanced Software -Defined Architectures for Medical Devices .
Overall, we believe budgets will be constrained in Medical in the short term, but we see consolidation and AI driven opportunities to help drive growth forward.

Now a few highlights on our Digital Engineering and Technology progress :
• Our engineers continue to innovate. We had a total of 51 patent filings in Q3 & as you are aware, the pace of filing has increased - our cumulative filings are at around 1,250 from around 1,000 a year back.

• In AI, which is one of our 3 investment focus areas, we have filed a record 53 patents till date across segments like Transportation , Medical and Industrial Products .

• We have partnered with the likes of NVIDIA, AWS, Google Cloud, which will help us create AI and automated solutions to address our customers' priorities.

• The result of our investments can be seen in industry rankings - Zinnov, in their 2023 rankings, have rated us as leaders across 14 engineering domains and an overall ER&D leader for the 8th year in a row . Additionally, we've been rated as leaders in Data and AI Engineering Services , Digital Engineering Services and Industry 4.0.
Let me now discuss the Outlook :
• The common themes emerging from customer discussion is that spends in CY24 will

either increase slightly or remain the flat but will not see declines.

• Second ly, clients are actively considering core vs contextual spends and there will be deals as they try to move contextual work to providers like us.

• Third , there will be cost takeout and value engineering opportunities on product and supply chain as customer s focus on higher productivity and efficiency. The contour, size and colour of deals will change and will require deployment of next -gen skills.

• As an outcome of this, we have seen our pipeline improve over the last quarter, deal velocity being similar to Q2.

• We are working on multiple double -digit deals in SDV, AI, Digital and Next G en comm unications that will help our trajectory.

• We are expecting strong wins in Q4 , and for FY24 we re -affirm our revenue growth guidance of 17.5% to 18.5% in constant currency.
In summary, it is my belief that winter is over and spring is around the corner.
With that, thank you. I will stay back f

or questions, and I now hand over to Rajeev.

Rajeev Gupta: Thank you, Amit. Good evening to all of you and wish you a very happy new year.
Our Q3 FY24 performance was healthy with double digit YoY growth both on revenue and profitability , and improvement in operating margin.
Let me now take you through Q3 FY24 financials, starting with the P&L.
Our revenue for the quarter was as ■ 2,422 crores, a growth of 1.5% on sequential basis. Our YoY growth for Q3 came in at 12.3%.
EBIT margin grew by 10 bps to 17.2%, largely driven by gross profit margin improvement. The EBIT margin is in line with our aspiration of 17% + for FY 24.
Moving to below EBIT ,
Let me talk about Other Income
Other Income was ■ 49 crores, higher on sequential basis due to onetime gain from release and consolidation of facilities.
Our effective tax rate for Q3 was 27.6%, in the range as our expectations of 27.5%.
Net income for the quarter was up 13% on a Y oY basis and came in at ■ 336 crores, which is 13.9% of revenue.
Moving to balance sheet, let me highlight the key line items.
DSO came in at 102 days at the end of Q3, flat as compared to Q2 ; Unbilled days was 18 days in Q3 compared to 16 days in Q2. The combined DSO, including unbilled stood at 120 days compared to 118 days in Q2, which is within our target range of 115 -125 days for the year.
Talking about Cashflow.
Our YTD Free Cash Flow was at ■ 628 crores, which is at 65% of Net Income .
This fiscal, we have incurred higher capex for technology investments and consolidation of facilities. We aim to improve collections and DSO to drive higher FCF conversion going forward.
Our cash and investments stood at ■ 2,273 crores at the end of Q3 versus ■ 2,270 crores at the end of Q2. This was flat due to interim dividend payout of nearly ■180 crores in November.
Moving to revenue metrics.
On a sequential basis, $ revenue growth was 0.9%, both on a constant currency basis and in reported terms. We saw a broad -based growth in Q3 with all segments growing quarter -on-quarter, led by Medical Devices segment.

The segmental margin performance was better in 3 out of 5 segments on a sequential basis, with improvement s in Transportation, Telecom & Hi tech and Plant Engineering segment.

Now let me comment on operational metrics.
The Onsite:Offshore mix has moved slightly towards Onsite as compared to Q2. Offshore percentage now stands at 58.7%. We continue to work on measures to gradually improve th is metric for our aspiration of 60%.
The Fixed Price revenue mix was 38.5% in Q3, higher compared to Q2 on account of movement in milestone -based contracts.
Client profile – which indicates number of million dollar plus accounts, has shown a sequential improvement of 2 customers in the $20 M+ category. The client profile will continue to improve in the coming quarters.
Client contribution to revenue – Has shown a slight improvement in the Top 5 & Top 10 Categories as compared to Q2. We expect revenue from

top customers to improve going forward
as we are running targeted programs on client mining.
Headcount decreased sequentially by 582 employees on account of initiatives to improve productivity, while Attrition dropped by 90 bps to 15.8% as a result of both internal employee engagement measures and reflecting the industry wide trends.
Realized rupee for Q3 was around 83.3 to the US dollar , a depreciation of around 1% versus Q2.
Before I conclude, let me give some visibility on EBIT margin trajectory going forward.
Despite a challenging year, we have delivered consistent margin so far and continue to remain focused on maintaining FY24 EBIT margins at 17%. This will continue to happen through a combination of revenue growth, operational rigor, productivity improvement s and cost optimization measures.
Amit has already highlighted that ; we are seeing all 5 segments grow and have a good pipeline of opportunities across segments. With technology shifts towards SDV, AI, Next Gen Communication and Cybersecurity , we will continue to make necessary investments to support capability building and future growth.
Having said that, we maintain our medium -term aspiration of 18% EBIT levels by H1 FY26.
With that, I now hand it over to the Moderator for questions. Thank you.
Moderator: Thank you very much. We will now begin the Q&A session. The first question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes, hi. Thanks for taking my question and c ongrats on a very solid performance. So, Amit two questions from my side. One question is a very t hrilling concluding statement from your side that the winter is over and spring is around the corner.
So just wanted to understand, I mean, what has changed vis -à-vis three months ago that gives you this confidence? I mean, the deal wins had been strong for us through the year, and we have been giving quite solid performance as well. We are looking to grow 17.5% - 18.5% this year now, which we were also expecting at the end of the last quarter. So, what has changed in the client conversations or the outlook or the demand environment which gives you the confidence to basically say that?
And then I have a follow -up question . Basically , a bit on the mathematics of the revenues. I mean, last time, I think we had discussed that SWC business has a seasonality for better H2 than H1. This quarter, the Telecom business doesn't appear to have grown sharply on a Q oQ basis. And now as per the maintained guidance, the ask rate for Q4 becomes very high, around 5% - 8%. So, is that seasonality in SWC more Q4 driven? And how does this math for the guidance work out to be?
Amit Chadha: Vibhor, thank you so much. So, number one, Vibhor, when we talked in October, what I had mentioned to you was that we were polling our customers, talking to them, asking them what's happening, where is their head right now in terms of spend, etc.
So, what we have seen is, as we continue to close deals quarter -on-quarter , and I had also shared with you that deals are taking longer – that has not changed. Deals are taking longer to close, they are taking double the amount of time, effort, etc .
We had built up a good set of deals that were in play and that have because just by the sheer volume of those, they continue to close on a regularized basis, and that's what we have announced a nd you've seen that . There are still deals in play right now as I speak that potentially could close in the next couple, three weeks that will help us in the current quarter as well & this is across the board. This is not just SWC. I want to confirm that.
As we have talked to our clients, what we take away is that we believe 4 things that come out at a very broad level. 1)

Software Defined 'everything ' is something where people continue to
create spend areas for CY24. 2) Broad commentary from our customers and their actions thereon have been that they don't see cuts in CY24. They see steady or slightly higher in CY24. So, we are starting to see some of those ramp -ups for ourselves as well. 3) People are going to a lot more regionalized and localized supply chains, and that means a lot more work in Plant Engineering and Digital Manufacturing , and we are seeing that as well as a positive. And finally, there is an acknowledged shortage of talent, engineering talent in Europe, and we have seen advantage of that as we've seen Europe growing for us .

So, with all that said, if I may, we do believe that CY24 should bode well. And again, we continue to work on this. We continue to have conversations. We continue to meet our clients and be in the marketplace. In fact, I'm actually heading out tonight , I am flying back. Very short trip. I want to stay in the market if I can. Our President Markets is leaving today. We want to

make sure that we are as much in the marketplace with our clients as possible, and that gives us a little bit of confidence as we stand today.

Vibhor Singhal: Got it. Very helpful , thanks for that detailed expansion. My second question, if you could take that please, in terms of the maths for Q4, which appears to be quite high in around 5% - 8%. So, is that going to be a seasonality thing driven by SWC? Is that going to be a recurring feature of the business now that we have this, when you had mentioned H2 to be better than H1?

Amit Chadha: So, thank you so much Vibhor, to ask that. So let me state this. My math in constant currency is approximately between 4% - 7% sequential growth. And I can confirm to you that as we stand today, I am fairly comfortable between that 17.5% - 18%, and we are working towards the upper half of the range. There is a number of deals in play. We are anticipating some large deals that will add revenue in Q4. In addition, there is a ramp -up anyway committed for Q3 deals – that have started. So, I hope that gives you a complete answer.

Vibhor Singhal: So just to extend on that. So, you got that math. So that 4% to 7% growth you're seeing is going to be a broad -based growth, and this is not necessarily driven by some seasonality in SWC?

Amit Chadha: I am confirming that the 4% to 7% growth will be secular across verticals, barring Medical, which I said will be muted in the immediate term.

Vibhor Singhal: Got it. Thank you so much, Amit. Thanks for taking my questions and wish you all the best.

Amit Chadha: Yes.

Moderator: Thank you. Next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh: Yes. Thanks for the opportunity. Two questions. First, just want to understand about the two empanelment agreement which we highlighted. Can you just provide more detail, whether the deal which we announced, that is part of that deal or these are two separate things? And this quantification may be separate. So, if you can provide some sense about the quantification or maybe potential size of this engagement. And whether it is different in the way we earlier used to have deal signings. So, if you can provide some context to it.

Second question is about the medium -term aspiration, $1.5 Bn, which we indicated. Can you provide some sense? Because it still requires significant growth trajectory to continue. So, like Q4, we expect 5 -odd percentage kind of thing for next four quarters. So, if you can provide some colour around it. Thanks.

Amit Chadha: Thank you so much. So let me address the $1.5 Bn first, and then I'll go to the others. Our aspiration to be $1.5 Bn remains. It did bake in some amount of inorganic part, and therefore, we are evaluating it. So please allow

us, when we come back in April – at the end of the March
quarter, to come back and give that clarification to you. We have an active M&A pipeline as well. So please allow us till March to come back and give that clarification completely to you. But the aspiration is there. It still remains, that's number one.

Now on empanelment, etc, I'll answer it two ways. So, there are six $10 M + deals, okay? And of that six $10 M, one is a $40 M deal, the second one is a $20 M deal. The third one, which I want to call out is a cyber $10 M +deal. And then there are three other $10M + deals.

In addition to this, there is an empanelment with bp. We are calling it an empanelment. It's the beginning of a relationship which we will work together on and build up in the areas of green energy as well as digital transformation. We will work with them. And we are going to work very hard to see how we ca n get this to a top 10 client for ourselves. We're working very hard

with our customer, developing that relationship. There's a team already working, and it will contribute positively to the revenues of the company for FY24.
The second one, I would request my President Markets to talk about a little bit, and that is an empanelment for Software Defined Vehicles with an Auto OEM. Alind, over to you, if you want to give a little colour on that.
Alind Saxena: Right . Thank you, Amit. So, as you are aware, we have made broad investment in SDV over the years. We have created some solutions. This is one of the fulfilment that has come through. There is an increased traction that we have on SDV. There is a lot of work which is going to be done by the OEMs as they take control of the complete vehicle history and future. So, we are one of the selected parties. The ramp -up has actually already started in different geographies. We expect it to continue over the next few quarters, with the majority of that happening between this quarter and next quarter , and then it will stabilize, or it will grow as we see the demand come back. But we're excited about this.
We also can confirm to you that there is another one that we are working on with a major Tier - 1, which we should see in the next few weeks come through as well. Both of them add to the SDV story that we are developing, and this is to be played out over the next year.
Dipesh: Thank you.
Moderator: Thank you. Our next question is from the line of Ravi Menon from Macquarie. Please go ahead with your question, sir.
Ravi Menon: Hi. Thank you for the opportunity. I just wanted to ask about Automotive. Do you think that if the European Union dilutes 2035 sunset for ICE engines, that could be potential headwinds in the traction we've seen in Automotive?
Amit Chadha: Thank you so much for that. Look, I would look at the Automotive spends coming out actually in multiple areas. So, it's not just electric. The Transportation spends are coming out in Software and Connectivity . They're coming out in Electrification , of course, Hybridization . They're coming out in Connected Mobility , in the area of additive manufacturing and in interiors . So, there've multiple parts.
In fact, think about a car as an experience zone, a transmission zone and connected zone. I mean, that's broadly how you look at a car. So, there are various kinds of spends that are happening. And we believe that that should continue. Also please realize that the kind of work that we get

is generally about , on a model year, that's about four years out. So, these short -term blips here or there don't impact the design cycles. If anything, they're a lot more planned, etc. So, at this stage, for Q4, for next year, we do think Transportation will continue to grow across Automo

tive
and Commercial vehicles.
Ravi Menon: Great. Thank you for that detailed answer. And on Aerospace , you had been empanelled by Airbus, if I recall right, as one of the strategic vendors. So, I know that unlike say, one of our competitors, we don't have any manufacturing facility as such. So, do you think this is a disadvantage for you in Aerospace compared to peers who have that capability?
Amit Chadha: No. Because look, Manufacturing is a very different ball game. We are not a manufacturing entity. We are a n Engineering & Technology Entity. We are in fact seeing, in the Aerospace and Rail & one of our wins, $40 M+ win has been in comms in the rail network area , we believe that there's a lot to be done on connectivity around & there's a lot of stuff to be done in avionics, and we'll see how things progress.
Ravi Menon: Thank you so much and best of luck.
Moderator: Thank you. Our next question is from the line of Bhavik Mehta from JPMorgan. Please go ahead with your question, sir.
Bhavik Mehta: Thank you and Happy New Year to the management. So, three questions. Firstly, just on the quarter itself like what surprised you positively and negatively in terms of the demand in the different verticals.
Secondly, last time, you had spoken about pressures in Telecom & Hitech, Plant Engineering and Medical. Now you highlighted that Medical still remain under pressure but is the worse over in terms of demand for Telecom & Hitech and Plant Engineering and will we start to see growth accelerate from here on?
And lastly, on the guidance, 4% to 7% for the fourth quarter. How much of this confidence is coming from the deals which have already been won and you started ramping up v s the deals you are aiming to close in this quarter? Basically, trying to understand what is the risk that you miss the guidance when you report in April? Thank you.
Amit Chadha: So let me address it this way. The positives that we saw in the current quarter was 1) All five segments grew & that is important for us. 2) Positive sign for us was the lowering of our attrition

rate because our attrition rate came down further. 3) 53 patents that we have filed in AI & then there's a lot of others in terms of the deal wins, etc, that we have had.
The negatives, very honestly, if I look at it, was that I would have potentially hoped the number of vacations and the number of furloughs could have been slightly lower and would have helped us a little bit in this quarter. But no harm done, because I do see that work life balance is becoming very important for our colleagues across the world and people are taking serious vacations or seriously taking vacations. So, we are seeing that impact coming in the last 2 years on us, and it's a trend. I'm seeing t hat & on a different conversation, I'm happy to dwell more

into details. But we've seen that, post -COVID, people taking a lot more vacations than they normally do. So that was & not strictly a negative, but was one of the things that we had hoped for differently.
Now let's go to guidance and our confidence. So, if I look at it, it's a 4% -7% growth sequential that we are looking at constant currency. So, if I take 4% -7%, I think 4% -5.5% – do the translation – We talked to you already about the fact that the lower end of the guidance – I'm fairly confident about. It's the upper end zone of the guidance that I'm working towards. So, if you translate that to the quarter, that's what I'm working towards. And we'll see how it goes, and we'll keep you appraised as we move forward. So, the lower end of the guidance includes already the stuff that is ramping up and the upper end will include stuff that we'll win as we take forward.
Bhavik Mehta: Okay. Just on the vertical, so Telecom & H

itech and Plant Engineering going to grow from here on? Or do we see some pressure out like in Medical?
Amit Chadha: I'm sorry, can you repeat that, Bhavik? It was a little unclear.
Bhavik Mehta: I was asking, the Telecom & Hitech and Plant Engineering verticals, have we reached the bottom over there and can we start to see growth accelerate from here on? Or do you think it's going to be gradual recovery which might take another three to six months.
Amit Chadha: Thank you. So, Plant Engineering, we are hiring very actively. And I do believe that you will see growth from here on & don't see a problem in Plant Engineering . Hitech as well, you will see growth will be there. It will be a slightly more gradual than Plant Engineering . Plant Engineering will pick up faster and prior to Hi tech in terms of % growth.
Bhavik Mehta: Okay, that's helpful. Thank you.
Moderator: Thank you. Our next question is from the line of Akshay Ramnani from Axis Capital. Please go ahead.
Akshay Ramnani: Hi, thanks for taking my question. So, first question is on the geography side. So, Europe has been doing very well for us for the past 4 – 5 quarters & US at the same time has been flattish. So, can you explain this dichotomy and help us understand which verticals in Europe are doing well and which verticals in US are pulling the growth down?
Amit Chadha: Okay. So, I'll give this thematically . So, if I look at Europe today, Europe is growing on the back of three or four things. Number one is Transportation , number two is there is growth in partly Industrial Products and partly Plant Engineering . There is not a lot of Medical in Europe, it's very small. So that's where you're seeing the growth areas coming from. Digital Manufacturing , which plays into Industrial Products & Plant Engineering as verticals and even in Transportation. So, we're seein g that growth in these four areas. So, Transport ation , Industrial Product , Plant Engineering, and D igital Manufacturing – which is a horizontal , is where we see growth in Europe. And you are right. The team has done very well. We are proud of the team. I'm thankful to our delivery and sales leaders that have together made this happen. If you remember, some

quarters ago, there was a question with Europe strategy & I had promised you that we will come around, and I'm happy that, that growth is very visible.
Now let's go to the US. The US has got all five verticals & we've been constantly challenged in Telecom & Hi tech area. And at one time, there was a we ak Semcon, there was a weak ISV, and that had been the problem. In the current quarter , currency wise it has shown a degrowth. But I want to confirm to you that from a geography standpoint, which includes some India currency billings or rupee currency billings , US has grown but n ot on the same pace as Europe, but it has grown. Leading the growth in US today is by Plant Engineering, Transportation , IP and Medical, while H itech has been pulling it down.

I do have confidence that as we move forward into the subsequent quarters, there are some deals that are being talked about within the US & in Europe and as they fructify, you will start to see this balance getting better.
Last, R OW. I do want to confirm that Japan in constant currency grew for us yet again in this quarter , and you will continue to see growth in Japan. Japan is largely focused on Automotive , IP and a little bit of Hi tech. And all 3 of those have done well for us.
We are trying to build Medical in Europe & Japan , we are trying very hard. It takes a little bit more time because this is a conservative sector. Work continues to be done in this area. But I assure you, same time next year, I should be able to give you more in Medical & in both thes

e
areas.
Akshay Ramnani: Thanks for that detailed answer, Amit. So, another dichotomy which I wanted to tie in was your comment on the winter being over, and the headcount metrics which we saw are reducing this quarter. So, I guess last quarter also, we fell short of our initial target of getting 75 0 net adds. In H2, we were supposed to onboard 1,000 additional freshers, but it looks like it didn't happen in Q3. So, can you help us reconcile this dichotomy of a good demand visibility but a reducing headcount in Q3?
Amit Chadha: So, winter and spring also comes with wearing sweaters and taking them off and wearing jackets and taking them off . So, part of de -layering happened as winter got over. So, we have de -layered the organization. On a serious note, we have reduced some areas, we have consolidated certain areas and functions, and you have seen that impact in headcount reduction in support staff between last quarter and this quarter. That is over. What we had to take as actions is complete. So, you will see positive headcount going forward, but we are improving our utilization in billable headcount – though we don't announce the exact utilization numbers anymore, but we've actually improved utilization by more than 100 basis points , and that has helped us in being able to bill more as we move forward. You will see positive headcount as we go forward. And that's part of our balancing act as we move forward to take it forward.
I also want to confirm to you that we have made whatever offers we had made to campuses, we will honour all of that and conclude getting everybody on board with the time we end March. And we have made close to about 1,200 offers for next year to freshers already, and we are actively looking at how many more we need as we move forward.

Akshay Ramnani: Thanks for taking my questions.
Moderator: Thank you . Our next question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.
Abhishek Shindadkar: Hi, good evening. Thanks for the opportunity and wish everyone a happy new year. Sir, my first question is on the organic growth. I know you may not dissect the number the way we would like. But if I had to ask you that what we did until now and your commentary of Q4, is it a fair assessment that the organic growth for the current year is relatively better than what we had thought at the start of the year?
Amit Chadha: So, Abhishek, a very happy new year to you as well my friend. See, look at it this way, we've actually merged the whole thing . In fact, I was telling the Board also today. If you say SWC for me now, it's actually an accounting method that I'm having to do it externally, do it for purposes of comparing stuff , but I can tell you that operationally, it's all one team now. There are people that were supporting our India programs have now actually been deputed to support the cyber win that we have h ad where we have started work . There's a telecom project with an operator & an OEM that we had won last quarter, and same team is supporting them as well. I look at some of the work, I have had to fly in a couple of people from India into the Middle East to have conversations on some comms project. In fact, some of our international talent & domestic talent have worked hard to win this $40M win that we have had, etc.
So difficult for us to parse it. But I do want to say that our overall growth that we've had this year, of course, we've had surprises, and we've continued to share with you whenever we have seen those, etc. But as we move forward, I believe it's one team providing a lot more secular growth as you see things go forward.
Abhishek Shindadkr: Thanks, sir. Thanks for the elaborate answer. My second question, again, is more about FY25. I know it's a little early but given your commen

ts that standing in FY24 Jan, you appear to be
more confident than in Jan 23 – So, if I take those two comments and again go back to the organic guidance that you started off last year, would it be fair to assume that next year's guidance, at least the base case scenario, should be the starting point of last year?

Amit Chadha: So, Abhishek, my request will be please allow us another couple of months to go back, talk to clients, look at how things are going because it's a developing situation. We of course are optimistic, but I want to be a little cautious here.
That's why I said spring is around the corner, I didn't say 'spring is here .' So, allow me to travel to 'spring i s here' and come back to you. Please allow us April, and I promise you that we will again come back, provide a detailed colour to you on where we see things. But like I said, initial client conversations, CY24 looks to be better than CY23. No reductions that I've heard of.
Abhishek Shindadkr: Great. Thank you for taking my question and best wishes for the year.
Moderator: Thank you. Next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Yes, thanks. Thanks for the opportunity. Amit, the first question is one of your large peer on the engineering R&D has called out that he's seeing green shoots on the discretionary engineering R&D spend. So, are also witnessing the same? And if yes, is it across most of the industry segments which we operate?
Amit Chadha: Sandeep, I will say that if I look at the five segments, right, that we operate in, I definitely see more regionalized supply chains creating more opportunity in Plant Engineering and Digital Manufacturing. If I look at Hi tech, we do believe that AI as well as Semcon will play a better part in FY25 and CY24 as opposed to others . If I look at Industrial Products, there is some pain still in some subsegments, but anything connected to Oil and Gas seems to be growing.
If I look at Transportation , OEMs are doing well. Select Tier 1s are in a problem, but there are select Tier 1s that have transformed themselves and their business models and are doing well . If I look at Medical, I continue to see them being conservative. But there is enough and more work to be done once they get over the conservatism .
One reality also is, Sandeep, that legacy spend is not growing. And that has been part of the challenge that we've had in FY24 as well, and the spending that we are doing, investing and creating AI solutions, in building next -gen CoEs , tying up with AWS, Google and NVIDIA, filing these patents in AI, all this is to be able to refresh the skill set. We've actually trained more than 2,000 people already in AI. And the whole goal is, we are aware, we know legacy spends will continue to go down.
So, I may answer it another way. In three years' time 60% of what we are doing today will be different while we continue to grow. We have to acknowledge it and then we have to invest in it, I can promise you, growth will continue. But if we continue to depend on legacy spend, it will be a problem.
So those wheels are turning. Like they say, change the wheels on the bus while it's running. That's what's happening right now.
Sandeep Shah: Okay. This is really helpful. Amit, is it possible to share the split in terms of legacy revenue v s digital revenue for us?
Amit Chadha: See, again, I may again say it another way. More than 60% of our revenue is digital. But what was digital three years ago, today have moved to being into support mode and therefore wants to be minimized. So, look at it this way. See, there will be more optimization. And when I shared with some of you a case last time, there's a Gen AI model that we have created & it's called our eAI framework that we've created, and

it's on our website. And we were able to take a particular test case & machines that we were testing in 1,700 hours, we were able to do it in 176 hours. So that's the kind of cut that you're looking at. So, unless you are clear, unless you are able to ramp up, unless you are able to provide more value, and like we have done, we've gone into hardware . So, Gen AI is not just software and data, its actually hardware, which is HPC, Hyper-Computing , Embedded Software Development as well as AI apps and Data. And that's why you've seen us tie up with NVIDIA, with AWS, with Google because we believe in this four -layer architecture, and that's where we think we will prevail and be relevant as opposed to others.

Sandeep Shah: Okay. Thanks for the detail answered. Just one observation. If I look at the 4QFY23, my comment s – including SWC, we have grown at 10.4% sequentially. And within that, almost 74% of the incremental growth has been driven through SWC. But I think this year, we are saying fourth quarter growth may not be skewed towards SWC seasonality, it would be evenly spread

out. Is it the right way of looking at it?
Amit Chadha: So SWC does have a seasonality in Q4, and that will be there. But I'm confirming to you that the other three verticals other than Hi tech will also grow. And this is a quarter in play, so we'll see what percentage they grow at.
Sandeep Shah: Okay. Thanks, and all the best. Congrats on a good execution.
Moderator: Thank you. Our next question is from the line of Girish Pai from Nirmal Bang Equities Private Limited. Please go ahead.
Girish Pai: Thanks for the opportunity. Amit, when you said the winter is over, is that applicable only to you or for the broader ER&D players in the market?
Amit Chadha: Look, I do believe and somebody quoted our peers, the larger peer as well about green shoots. You heard us talk about – somebody talks green shoot, somebody says winter and spring. So broadly, I think that I do see that & I'm not being biased because I'm responsible for L&T Technology Services or an engineering company, I'd say in general for the industry . Look, I do believe that ER&D has a different cycle than IT. ER&D is being leveraged by customers far and wide to create new revenue streams, to be able to fortify their market positioning with more, better products; at times, shoring up their bottom line by being able to improve the supply chain path. So, there is a direct correlation to top line and bottom line by ER&D.
So, I have seen, in my more than a decade in this sector, that this sector actually helps clients pull out of a bad year. It helps clients in improving and changing their services to their customers, and therefore it's a tool. So, I would say that the green shoots or winter done spring around the corners, seems to be an industry phenomenon that you should look at.
Again, to be seen as you move forward. And step by step as we move forward. I assure you, as we come back to you in April, we have conversations with you between now and then, we'll continue to keep you appraised and as we move forward. But one reality is that the pipeline is bigger than we had same time last year . We continue to ideate. We continue to reconfirm, etc, and continue to create proposals and take it to our customers, and value propositions.
Girish Pai: Okay. My second question, there have been a lot of media reports around slowdown on the EV side. There's some discussion around inventory buildup and all that. So, is that having any impact on the Auto ER&D services side?
Amit Chadha: So, look EV, there's no I mean, and I'm sure you guys read a lot more on the subject, that EV component suppliers are in a problem because a lot of those components are being provided from China at different price points to wha

t European and US Tier 1s are ab le to provide at. That is creating a kind of a shift where a lot of US and European Tier 1s are trying to get to lower

price points on the equipment, on the components that they are supplying by doing value engineering , etc. So, there is that spend that is there.
But there is bigger spend in Software Defined Vehicles that is coming out by the OEMs and a lot more work happening on the S OC side for Automotive that is there. And I believe that overall, the spend may remain the same, the colour of it may change from one pocket to another.
Girish Pai: And lastly, you mentioned about 4% to 7% as a range for growth for 4Q. Does the 7% depend on some of the deals that you're going to win in the quarter and 4% is broadly in the bag because it's based on your deals won by 3Q?
Amit Chadha: My dear friend, I should say it like this. I do feel very comfortable with the lower end of that 4% to 7% range that we have talked about. But I can't say it's in the bag because I have not invoiced it yet, the quarter is not over. But I'm reconfirming to you that the lower part of that 4% to 7% is I'm comfortable with. The upper part of the 4% to 7%, we are working towards, and there are deals in the quarter that have to be closed and there is an immediate ra mp-up to those, and we know what th ose are, etc.
Moderator: Thank you. Mr. Girish Pai may we request you to return to the question queue for follow -up questions. Our next question is from the line of Surendra Go yal from Citi Group. Please go ahead.
Surendra Go yal: Amit, Happy new year. The billable headcount reduction of 2% is not usual ahead of a sharp recovery, 4% to 7% kind of growth, at least based on what we have seen in the sector in the past. I'm just trying to understand, what are we missing here? Is the nat ure of deals changing significantly? Are there more system integration driven business or anything that we should be kind of aware of when we are thinking about this dynamic?
Amit Chadha: Sure. Thank you. So here are the following – the things between Q3 and Q4 that you should think about. Number one, the number of working days in Q4 are higher than Q3 and the number of leaves and furloughs in Q4 are much lower as compared to Q3, So that's one reality.
The second one is that we have optimized headcount and we have been able to improve

utilization and we will continue to do that as we move forward. Third, we have had people join us earlier in the quarter now rather than later in the quarter, and that will again give us that. So there will be an element of system integration that will come in as well. So, it's all those four playing out together .
Surendra Goel: Understood. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question of our Q&A session. I would now like to hand the conference over to Mr. Pinku Pappan for closing comments.
Pinku Pappan: Thank you, everyone, for joining us on the call today. We hope we were able to answer most of your queries. We look forward to interacting with you down the quarter and helping you

understand more about our journey. With that, moderator, we can close the call. I wish everyone a very good day, and goodbye from all of us here in the management team. Thank you.
Moderator: Thank you. On behalf of L&T Technology Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: May 2024

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NSE Symbol: LTTS BSE script Code: 540115

Subject: Transcript of Q4 FY24 Earnings Conference Call

Dear Sir / Madam ,

Please find attached the transcript of Q4 FY24 Earnings Conference Call organized by the Company on April 25, 202 4, for your information and records.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prasad Shanbhag
Company Secretary & Compliance Officer
(M. No. A 30254)

Encl: As above

L&T Technology Services
Q4 FY24 Earnings Conference Call Transcript

For the Earnings Call held on April 2 5, 202 4, 19:30hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ABHISHEK SINHA – COO & EXECUTIVE DIRECTOR ,
MR. ALIND SAXENA – PRESIDENT SALES & EXECUTIVE DIRECTOR ,
MR. RAJEEV GUPTA – CFO,

Disclaimer: Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statements. L&T Technology Services Limited (LTTS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day, and welcome to L&T Technology Services Limited Q4 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presen tation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pinku Pappan, Head of Investor Relations. Thank you, and over to you, sir.
Pinku Pappan: Thank you, Sagar. Hello, everyone, and welcome to the earnings call of L&T Technology Services for the Fourth Quarter of FY24. I am Pinku, Head of Investor Relations. Our financial results, investor release and press release have been filed on the stock exchanges and are also available on our website www.ltts.com I hope you've had a chance to go through them. This call is for 60 minutes. We will try to wrap the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call would be available on our website approximately 1 hour after this call ends.
With that, let me introduce the leadership team present on this call. Amit Chadha – CEO and MD; Abhishek – COO and Executive Director; Alind Saxena – President Sales and Executive Director; Rajeev Gupta – CFO. We will begin with Amit providing an overview of the company performance and outlook , followed by Rajeev , who will walk you through the financial statements and again outlook.
Let me now hand over this call to Amit.
Amit Chadha: Thank you, Pinku, and thank you all for joining us on the call today.
With that, let me provide the key highlights of our Q4 performance :
• In USD terms, we had a strong performance of 5.1% in constant currency , led by Telecom and Hitech, Plant Engineering and Transportation.
• Our EBIT margin s came in at near 17% levels.
• Large deal wins have been strong with one USD 100 million, one USD 30 million, two USD 20 million and two USD 10 million deals , in the quarter. Additionally, we won one significant empanelment in the O&G sector.

Overall, when we look at the full year FY24 , we are happy with our performance and the milestones we 've achieved :
• Growth: We grew by 17.9% in constant currency during the year. This reflects the growth o n our FY23 revenue prior to the restatement due to SWC , and in constant currency based on 4Q FY23 exchange rates.
• We've now crossed $1.2 Bn in revenue on run rate basis , in 12 months after we move d past the $1 Bn mark.
• For the year, Transportation grew in double digits, while despite a challenging year, the other verticals came in at single digit growth.
• When we look at geo -wise split, all regions grew positively while Europe had a strong performance at 15%.
• Customer m ining has seen an improvement YoY , with an addition of 4 customers to the $30M plus bracket.
• Large Deals: In FY24, we closed a total of 25 deals greater than $10M in TCV , which includes 1 $100M deal, 3 in the $30M - 50M range and 9 in the $15M - 20M range.
In addition, we had 3 significant empanelment agreements – 2 in Q3 and 1 in Q4.
• Technology Quotient : Cumulatively, we have filed nearly 1,300 patents as of FY2 4

– of which 463 are our own and 833 are on behalf of the customer. Our patent addition continues at the rate of 50 + every quarter , taking the total to 206 for FY24. More importantly, we've filed 54 patents in AI which truly showcases the innovation culture inside.
• Operating Model : our FY24 EBIT margin was maintained at the 17% levels as we integrated with SWC . Profits for the year crossed the ■ 1,300 crore mark , and over the last 3 years h ave grown at a CAGR of 25%.
• M&A : We've successfully integrated SWC and built a stronger portfolio of offering s across next gen comm unications , cyber security and smart and sustainable world. This was our largest acquisition till date and the seamless way in which the integration and joint go -to-market progress ed gives us a lot of confidence in our ability to acquire companies of this size and the leadership bandwidth within the company to be able to integrate such transactions. We are actively looking for targets in ISV, Med tech and Europe Auto.
With th is, let me now provide the segmental performance and outlook.
Starting with Transportation ,

• We are focused on 3 areas: SDV, hybridization and electrification and Vehicle engineering.
• In SDV, we have made further progress from last quarter with more wins. We currently have SDV engagements with 4 Auto OEM 's, 1 Tier 1 s and 2 C ommercial Vehicle (CV) OEM s globally.
• In hybridization and EV, we are moving towards value engineering and continue to see traction. We now have a bigger EV labs in Bangalore to cater to both Auto and CVs.
• In Vehicle engineering we are seeing good demand and we are working with the West Coast Auto OEMs.
• In Q4, we won a large deal with a Tier 1 where we will use AI and digital transformation to advance their clean mobility engineering capabilities.
• Aero and Rail looks promising with a good number of large deals in the pipeline around vendor consolidation, inflight entertainment , and new system development.
Overall, while we had a soft Q4 as some of our deal decisions were delayed, we see a strong rebound in Q1. Transportation gre w 12% in FY24 and we continue to see strong growth prospects strong in this business in FY25.
In Plant Engineering ,
• We had a broad -based growth across FMCG, O&G and Chemicals .
• We are capitalizing on demand in 4 areas : 1) capacity expansion programs 2) new automation & refresh 3) digital adoption for operational efficiency 4) green energy.
• For example, we are supporting one of our European customers for the ir strategic investments in Green Hydrogen .
• In Q4, we won a large deal with a Middle East O&G major , to provide EPCM services under our differentiated engineering value centre model.
• We also won an empanelment with a global oil major to provide plant engineering services for their global assets across all refineries. With this we have established significant inroads with 4 Global O&G majors.
New capex and plant modernization will continue to drive demand and we are optimistic of strong growth in Plant Engineering in Q1 and for FY25.
At Industrial Products ,

• Machinery and Power sub-segments continue to do well however given softness in commercial real estate Building Automation remains challenged.
• We are seeing strong traction in Digital Products and Services as well as in AI and Digital Manufacturing .
• New areas like Energy Management systems and green power for data centres are opening up interesting opportunities for us.
• Customers are spending on product repurposing and cost reductions resulting in Value Engineering as well as Supply Chain related deals.

Though we grew

by 5% in FY24, we had a de -growth in Q4 due to delayed decisions and tepid demand. We expect growth to pick up second half of FY25.
In Telecom & Hitech,
We had a very strong quarter driven by seasonality in SWC business as well as growth in the Hitech portfolio.
• Semiconductor has grown well. As we had mentioned in the previous quarter, with the spending freeze being lifted slowly, we are seeing good opportunit ies in new chip development especially in AI.
• In Telecom, we had a strong growth from lab -as-a-service and AI based network automation . But we expect some volatility here as Service providers are still looking to conserve cash and spending very cautiously.
• The SWC business which has a stronger Q4 due to seasonality did very well. We see a strong year ahead with the pipeline and the wins we had like the $100M deal win with Maharashtra cyber where we will architect and operate a sophisticated cyber intelligence centre by leveraging AI and Digital Forensic solutions. This is a great example of how LTTS and SWC with a more end -end portfolio w on against more established competition leveraging global alliances and know -how.
• Across our Hitech portfolio, we are seeing multiple large deals in play as customers are looking at managed services and vendor consolidation which could help accelerate our growth in the coming quarters.
Overall, we remain optimistic about FY25, given the rebound in Semiconductor and ISV, although we may see some weakness in Q1.
Lastly, in Medical ,
• We see good demand from digital platform development, complaint s handling and remediation and Digital Manufacturing .

• The deal pipeline is slowly building up and productivity improvement and process optimization using AI will be a big factor to win deals. For example, our AI solution for complaints Handling has seen a strong reception with customers due to productivity gains generated.
• Cybersecurity is also going to be a big driver going ahead due to FDA regulations.
Although we grew by 5% in FY24, the softness in Q4 was on account of renewal deals getting delayed as customers are being cautious. We do expect the momentum to pick up from Q2 onwards and a better FY25.
Let me now discuss how we are repositioning LTTS for the future :
In 2021, we made investments in to six big bets and buil t scale and large deal traction around it – which has led to a 16% CAGR in revenue (USD) and 25% CAGR in profit growth over the last 3 years.
• Our aspiration is to capture higher market share and improve the growth trajectory.
• With tech cycles are shortening to 3 years , there is a necessity to future proof the growth prospects of LTTS. We are therefore streamlining and simplifying our organization into 3 main segments to drive higher customer intimacy, scalability and future growth trajectory , and improv e our innovation quotient.
• Under this 'Go Deeper to Scale' strategy we will have 3 segments – Mobility, Sustainability and Hi -Tech .
o Mobility will include Auto , Commercial Vehicles and Aero .
o Sustainability will include Industrial Machinery and Building Tech , Electric Power & Utilities , FMCG and Oil & Gas.
o Hi-Tech will include MedTech, Semiconductor , Hyperscalers and NexGen Comm unications .
Supporting these 3 segments, we will hav e 3 horizontals :
o AI and software defined everything (SDx)
o Embedded systems including VLSI
o Digital Manufacturing Solutions
Sales and delivery which were separate and reporting to CEO will now be combined and roll up to the Segment Heads who will be the P&L owners too. This cohesive structure will provide greater empowerment to the Segment Heads that will enhance our agility, enable fa

ster decision
making, domain specialization to unlock higher value for customers as well as employees.

Now let me discuss the Outlook :

• In the immediate near term, we are dealing with decision making delays and rising geopolitical risks.
• Factoring the current economic scenario , our guidance for FY25 is for a USD constant currency revenue growth of 8 -10%.
• Our aspirations to touch the $1.5 Bn run rate in FY25 remains.

Let me end by thank ing you for all your support and encouragement. I now request Rajeev to take over. Thank you.

Rajeev Gupta: Thanks, Amit.

Good evening to all of you and hope you're keeping well.

As we wrap up FY24, our performance for the year across all metrics – Revenue Growth , Margins , Free Cash Flows and Return on Equity (ROE) have held up well, despite a challenging year.

Some highlights :

• Dollar revenue growth of 17.9% in constant currency was in line with our guidance.
• We maintained our EBIT margin at 17.1% for the year.
• Profit for the year crossed the ■ 1,300 crore s mark.
• Our free cash flows were at a record high of ■ 1,251 crore s.
• ROE at 27% continues to be within our aspirational band .
• And we successfully integrated SWC – our largest acquisition till date.

With that, let me take you through the details of our Q4 FY24 and full year financials , starting with the P&L .

For the Quarter ,

Our revenue for the quarter was ■ 2,538 crores, a growth of 4.8% on a sequential basis.

EBIT margin for the quarter came in at 16.9% - lower by 30 bps when compared to Q3 . This was largely on account of higher subcontracting expense as we kept our SG&A steady.

For the year ,

Our revenues were at ■ 9,647 crores a growth of 9% over FY23. Performance was led by Transportation while all verticals grew positively.

EBIT margin for the year was at 17.1%, in line with our aspiration of 17% + for the year.

Moving to below EBIT

Other Income for the quarter was at ■ 43 crores, slightly lower on a sequential basis due to onetime gains in the previous quarter.

Effective Tax Rate for Q4 was 27.5% , and for FY24 it was 27.6%. This is in the same range as our expectations of 27.5% for the year, and we expect this to stabilize around the same range going forward.

Net Income for the quarter stood at ■ 341 crores, which is at 13.4% of revenue.

For FY24, Net Income stood at ■ 1,304 crores, 13.5% of revenue, and up 8% YoY .

Moving to the Balance Sheet , highlighting a few key line items :

Our Q4 DSO was at 100 days compared to 102 days in Q3, while Q4 unbilled days reduced to 14 days when compared to 18 days in Q3. Combined Q4 DSO including unbilled stood at 114 days, a 6 -day improvement when compared to Q3. This is slightly better than our target range of 115 to 125 days that we had set for the year as we accelerated collections during the quarter.

Talking about Cash flows – In FY24, Free Cash Flow was ■ 1,251 crores – an all -time high in absolute terms and a healthy 96% of Net Income . Our Cash and Investments improved to ■ 2,883 crores end of Q4 FY24 – broadly in the same range when compared to FY23 year end, this is after paying for dividend during the year and ■ 800 crores for the SWC acquisition.

On Capital Retu

rn : The Board today recommended a final dividend of ■ 33 per share taking the total dividend for FY24 to ■ 50 per share . This translat es to a dividend payout of 41% for FY24.

Our ROE stands at 27% for FY24, driven by increase in net profit to ■ 1,304 crores in FY24 versus ■ 1,212 crores in FY23.

Now moving to revenue metrics : On a sequential basis, $ revenue growth was 5% in reported terms and 5.1% on a constant currency basis, led by Telecom & Hitech, Plant Engineering and

Transportation segments.
Our Segmental margin performance for the quarter , was better in 3 out of 5 segments on a sequential basis, with 2 segments crossing the 30% margin level. Plant Engineering segment margins were lower in this quarter due to the initial ramp -up of a large deal won during the year.
Segment al margin performance for the year , was better in 3 out of 5 segments with Transportation, Industrial Products and Plant Engineering showing improvements.

Now commenting on operational metrics for the quarter :
The Offshore mix was flat at 58.7% vs Q3, and we continue to work on measures to improve this ratio to 60% levels in the medium term.
The Fixed Price revenue mix was 39.5% in Q4. We expect the ratio to be between 35% and 40%.
Client profile – which indicates number of Million dollar plus accounts – has shown a sequential improvement in the 30 M, 10M, 5M and 1 M plus categories. The client profile numbers ha ve seen an improvement over the past few quarters, this trend will continue in the coming quarters.
We now have 5 customers giving us more than $30M annually.
Client contribution to revenue – continues to be in the same range as compared to Q3. We expect revenue from top customers to improve going forward as our targeted client mining program comes to fruition.
Headcount increased sequentially by 514 employees, while Attrition came down by 100 bps to 14.8% , this is in line with the industry wide trend as well as our employee engagement initiatives.
Realized Rupee for Q4 was at 83.2 to the US dollar , a slight depreciation of 0.2% versus Q3.
Before I conclude, let me provide some visibility on the margin trajectory going forward.
• We're excited to unveil our new strategy of 'Go Deeper to Scale' to streamline and consolidate our organization into 3 segments – Mobility, Sustainability and Hi -Tech .
• The objective is to create a cohesive structure that will help improve client intimacy, domain specialization and innovation.
• The reorganization will entail investments in people and new technologies, which will be front -ended beginning start of FY25.
• In addition, we're factoring decision -making delays to continue , due to rising geopolitical risk and continued tightening of financial conditions in the US markets.
• This will lead to softness in EBIT margin for FY25 ranging at 16% levels while our endeavour will be to achieve higher levels in the medium term.
With that, I conclude my commentary. Thank you and I hand over to the moderator for Q&A session.
Moderator: Our first question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Congrats on a very solid performance. Amit, so my question was on the overall growth environment and the growth target that we have set for FY25. Now last quarter you mentioned that the winter is over, and the spring is around the corner. So , do you believe this gu idance is a reflection of that a nd or do you believe the macro has changed a bit since then which led us to

maybe a slightly lower guidan ce than what we were expecting o r maybe on the other hand, maybe slightly better than what we were expecting?
Amit Chadha: Sure. So , I think spring looks like 5.1% sequential growth if you ask me .
Vibhor Singhal: Absolutely. But we knew this was driven by the SWC seasonality?
Amit Chadha: No, no, it's not just SWC seasonality. We also grew Semiconductors in this quarter , we also grew Hyperscalers in this quarter and that's how we've been able to get to this.
So let me give you a little bit of colour. So, Vibhor, as we look at it today. Internal targets that we've got are higher , but we have baked in the kind of political uncertainty, e tc., going on right now in the world. See, we are seeing very clearly, and I'm going to talk in terms of my new Segments here, if you don't mind.
If I look at Mobility, we will see spends coming out in the software defined vehicle space continue to happen. We've now got I think about 8 empanelment s with OEM s and some TCV signed, and that gives us a lot of confidence in the spend there.
In the sustainability segment, we are seeing new spends emerge and come in the Oil & Gas as well as Chemicals and the CPG are a, therefore the verticals that we've got will grow in that area

definitely into next year.
In Hi-Tech segment , I do see in the Med Tech area there will be expansion for QARA and others .
In the areas of CMT which is the other part of Tech, (Communications , Media, Telecom and Technology) – I do believe that Semiconductor as well as Hyperscalers will provide us that growth. And there are some opportunities with Operators and Infra companies to try and help them with lab -as-a-service, et c.
So those are the positives that we are seeing. The kind of caution that we have still got is in Sustainability , the Industrial area is sort of soft right now. So , we are looking to see how we can leverage Digital Manufacturing Solutions , AI and SDx solutions in that area.
Second, we are still not clear on 5G spends and how Operators will behave i n the medium near term. And that again, is something that we are looking to see how we can leverage AI to try and do some more stuff in. So , we took all that into account when we have given you this guidance.
So, this is not a target this is a guidance. And like I said our aspiration remains, and we'll continue to update you as we move along.
Vibhor Singhal: Got it. Got it. Just a bit on the trajectory of this number that we are looking at, given that we've ended the year on a very strong footing in terms o f exit rate both QoQ and Y oY. This 8% to 10% guidance, do you expect this to be more spread throughout the year? Or do you think it could be more backended given the geopolitical uncertainties that you mentioned, which might maybe get addressed in the later half of the year?

Amit Chadha: So see the way we have done the trajectory right now, we do see a muted Q1. But we are still working through the numbers , we are only on 25th April today. And there are deals in play right now. And as we move forward, we will see where we get to, but we are very comfortable in the 8% to 10% range at this stage. And with these new Segments coming along, we actually hosted a 2 day workshop on Monday and Tuesday in our Development Centre in Lonavala. We flew in our leaders. We had 40 people together. And there's a lot of positivity in the organization at this stage. We've elevated roles of leaders, et c. So I do believe that this will give us the push forward and push up as we move forward.
Vibhor Singhal: Got it. That's very useful. Thank you so much Amit. Thanks for taking my questions and wish you all the best.
Moderator: Thank you. T he next question is from the line of Bhavik Mehta from JP Morgan. Please go ahead.
Bhavik Mehta: My q

uestion is to Rajeev on margins. Can you elaborate on what kind of inve stments and costs we are going to bring, which is driving this 1 00bps drop in margin for FY25? And when can we see margins start coming back to that 17% level? That would be helpful.
Rajeev Gupta: Sure, Bhavik. So , see like I said that one, we are unveiling our new structure. Amit talked about the fact that we are elevating leadership within the organization to drive growth within this new organization that we are talking about, that will entail investments in people and technol ogy. We are also pivoting in three segments, which is Mobility , Sustainability and Hi -Tech. So that's going to be one area that we will invest.
The second is, like Amit talked about, the geopolitical factor, the macro environment. And we've seen a very recent phenomena that somewhere has led to what we have aspired to be a higher growth in terms of this year to sort of lower the aspiration and the growth. At the back of growth we see, of course, the margins to be relatively lower than where we aspired, which has been originally at 17%.
While we will continue to look at improving margins, we believe the factors which is leading to investments, a new reorganization and of course, the geopolitical and macro factors, the margins may likely come to about 16% levels, while we'll continue to en deavour to be higher as the year goes by.
Bhavik Mehta: How should we see these investments spread out between Gross Margins v s Sales and Marketing costs ?
Rajeev Gupta: So, we will continue to invest in Sales. Like we have said earlier, our scale has b een at industry level. On the G &A side, we believe we've optimized quite a bit. So largely the investment will be at the Gross Margin level because this is essentially where you want to build solutions and capability. So that is where it is going to be. I will also request Abhi to add specific investment that we will have at the Gross Margin level.

Abhishek Sinha: So, on the solutions front where we are investing. One on the Digital Manufacturing side clearly, we are looking at investments, some we have done and some we are enhancing on the Asset Health care Solutions for predictive -prescriptive analytics for plants and manufacturing shops. We're also looking at investing in developing product and process integrated digital solutions. Then of course, there's this big thing on GenAI. We cannot keep away from t hat. So , the GenAI enabled pluggable modules for automat ed generation of unit test scripts frameworks, scripts and so forth. Also looking at how to create smart PIDs especially in the manufacturing set up to reduce the cycle time for legacy plant optimization, modernization of plants , there is work being done on the hardware virtualization .
Digital Twin areas, again, what's happening on cloud -based virtual digital cockpit development. So multiple areas, but all of these are, of course, something that came out of the workshops we have been doing around the segments that we have carved out.
Each of the segment leaders have come up with this very specific investment asks and I think this is the right time for us to invest in as we dive deeper into the segments and get more technology focused than we already are, for us to be able to be dominan t experts in the areas.
Bhavik Mehta: Okay. That's helpful. And just lastly, how should we look at the margin trajector y from a quarterly perspective? Does the 17% go down to 16% immediately in Q1 or will it be gradual over the quarter s of FY25?
Rajeev Gupta: So, the way we see it, Bhavik, I think Amit talk ed about Q1 to be muted and largely coming out from the seasonality of the SWC business. So look, when it is about Q1 and Q2, we are going to likely see the margins to be relatively lower than what we have seen all of FY24. But as we progress between Q3 a

nd Q4 the margin trajectory will come back . So, when I look at 16% levels take that to be an average across the year, with Q1, Q2 to be lower and Q3, Q4 to be higher.
Bhavik Mehta: Okay. Thank you.
Moderator: Thank you. O ur next question is from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon: Thank you for the opportunity. W ith the cybersecurity win in the state of Maharashtra these kinds of deals are what SWC was doing I think pre -integration and we've never looked upon the India -centric deals as something that can generate even company average profitability. Is that different here?
Amit Chadha: Yes. This is different this time for the simple reason that this is not a win only on cybersecurity to buy some components and put them forward. In fact, this whole deal is about trying to buy and integrate and actually, first of all, to architect a solution around AI -enabled solution, which then works with various kind of product areas and will protect critical infrastructure from cyber - attacks . This is a master software deal rather than being only an SI deal.

Second, there are home grown solutions that we're going to be implementing with this that we take forward. We have leveraged global know -how of relationship with Pa lo Alto, IBM, Cisco and others a nd we are putting this together, including threat intelligence, et c. So, this is very different from what we have normally done. We won it because of the home -grown solutions and widgets, et c, we have built. And we believe this will help us scale up the cybersecurity business globally, internationally much further faster.
Ravi Menon: And these sorts of deals , I guess, there are a lot of them that enterpr ises give out as a standalone or separate from infrastructure services?
Amit Chadha: Yes. This is outside of infrastructure management services. This is not infrastructure management, a nd this is software related. And we've, in fact, even engaged in two banks in India , one bank in the U S which is supporting them on cybersecurity as well. So that's how we are growing that. I can confidently tell you that cybersecurity will be $100M business with us in the next few years annually.
Ravi Menon: And in t ransportation, you were talking about how you delivered 12% and the outlook is still good, a ny things that you could add about the slowness in EV sales and any uncertainty around that, any changes in client behaviour?
Amit Chadha: So, I would actually request my colleague, Alind to give you colour on Mobility because he's going to be leading that segment .
Alind Saxena: Amit already talked about this, we are now engaging with 8 major OEMs in that space. And if you look at the spend over the last, I will say few quarters, it has very naturally shifted from working with the Tier 1s to the OEMs , and what we are seeing is an excessive amount of interaction with them and areas around SDV, Vehicle Architecture , Hybrid and EVs.

So, a little bit colour on software defined vehicles , we are looking at two major areas within that. One is called the experience zone, and the other is the ADAS piece of it, both of which are coming up very fairly well. And if I would talk about the Tier 1s, we are seeing that in the Tier 1s, Hybrid is another area that we are investing today along with fuel cells, in addition to electrification where we have already done, that is picking up traction as well.
So, both these areas, whether we talk about OEMs or we talk about Tier 1s, they are looking at alternate ways to conduct business , and our investment in both these areas are positioning us well to be able to cater to these needs for both short term and long term.
Ravi Menon: Thank you everyone.
Moderator: Thank you. O ur next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Just wante

d a broad view with regards to the guidance for FY25 and the $1.5 Bn revenue run rate aspiration that you had and which you are still sustaining. So, are we essentially planning to

do an acquisition through the course of this year to simply get to that milestone? That's question number one.
The second question was with regards to Transportation verticals. While you mentioned that you've won some deal in the current quarter, but some of our peers are and given what one has been picking up on the industry, are we seeing some slowdown, some sort of a pause in this vertical in terms of customers reas sessing their priorities?
Amit Chadha: Thank you. So, number one, M&A, yes. There are various candidates we're looking at in ISV and MedTech in North America, Auto in Europe, and we will work towards it and see what we can get to. I do want to say very clearly, and we've already always said this, we will not take pressured stances of doing an acquisition just because we have to. So please rest assured, it will be a c onsidered decision like all other decisions that we have made, a deliberative one that will add value to the company a nd the organization and the larger stakeholders. So , 8% to 10 % organic CC locked , we will work to come back as we go forward and provide better picture as we move forward . M&A is in progress, we'll keep you updated. But we will not take hasty decisions and steps. I just want to be very clear on that.
Number two on Mobility , look the colour of spend is changing like my colleague Alind told you, he's based in Chicago, he actually has spent his life in this area. So SDV is an area that we've invested in. We have won empanelment , we have won OEM contracts. We started working, ramping up area definitely. EV, the colour is changing to Value Engineering . So, from new product development, a lot more area work happening there. And third, Vehicle Engineering in terms of crash analysis, simulation, body -in-white, etc. And so, we're getting work in that area with new age OEMs as well.
So, we do believe that Mobility in FY25 is a double -digit growth for us. And a lot of that work is starting in Q1. And we actually see more offshoring happening in our favour in this area. And Mobility is not just Auto, it's CVs, and we are starting to see early signs of potentially work coming out in Aero as well to us.
See, finally, it depends on what solution differentiators you create , and are you able to gain market share? I'm happy to share with you that your company is gaining market share over others in this space. And like Rajeev talked about, the investments we are trying to make, like we made during COVID, if you will recall, that we opened an EV lab while COVID was going on, and a number of people asked us at that point, are you really serious why are you investing, and it paid off for us.
Similarly, we believe this is the right time to invest before the curve turns around and grows and therefore, provide a differentiated offering. So, we don't need to take pressure on margins. Structurally, we continue to operate at those levels that we've operated in earlier, but claw back, invest, and then grow.
Manik Taneja: One more question for Rajeev. Just wanted to understand, like you mentioned that our growth in the current quarter was a combination of the SWC seasonality and some growth in other parts

of the portfolio , if you could help break that up between the two contributors. That's question number one.

The second thing is with regards to the margin outlook that we are sharing for FY25 and the investments that you're talking about, if you could help us understand which areas are these going into given the fact that talent market essentially is in a far be tter shape as well as you're talking about further offshoring

in certain portfolio segments. So, it would be great to get a detailed perspecti ve on that?

Rajeev Gupta: Sure. So, you talked about the breakup in terms of the growth between SWC and the other revenues. We've talked about this earlier as well. We do not report the financials separately, but I can tell you this, that it is a mix of growth which is in the telecom sector between our telecom business and of course, the SWC business.

When you talk about the investments, I think Abhi did talk about several of the areas that we're investing in. Maybe I'll also again request Abhi to share the investments once again because we did talk about the specific areas where we're making these inve stments.

Abhi, you want to add up to that?

Abhishek Sinha: I think the key point here is that like I said earlier based on the new reorg anisation we are doing, we asked each of the segment head how would they like to run their business? And instantly the segment heads, of course, went strong with the teams and came back with very specific areas where they wanted to make investments in.

Manufacturing solutions definitely is one key area which touches Process Industry and Industrial Products areas on the Digital Twin side and the other areas to of course, including predictive analytics and so and so forth.

GenAI was another hot topic that came up from multiple segments, saying we'd like to invest because conversations are going with the customer multiple segments again, more on the, I would say on the V&V side and on smart PID creation on the Process Industry side for plant modernization.

There was a lot of demand on creating solutions around virtualization, cloud -native frameworks. So, I think what we are seeing is a lot of this is stemming from the segment heads taking a fresh look at how they'd like to bootstrap their respective organizations and go from there. And I think it's only fair for us to give them the platform which helps th em grow faster as we move forward.

Rajeev Gupta: Maybe I'll just add to what Abhi said , I think Amit alluded to it. What you need to be comfortable with this as an organization, I think we reiterate our aspiration of becoming a $1.5 Bn organization exiting FY25. Of course, there are areas that we're going to invest in like Abhi said, and we feel it's the right time for us to make the investment and we embark on with this new reorganization to see benefits over the course of next 3 years.

Moderator: Thank you. T he next question is from the line of Rajiv Berlia from Citi. Please go ahead.

Rajiv Berlia: Hi, Sir. Thank you for the opportunity. T wo questions from my side. Just want to understand , In 4Q revenue increased by ■ 115 crores on a sequential basis while your othe r expense also increased by ■ 135 crores on a sequential basis.

And the second thing is I just want to understand on the cybersecurity deal. Has the deal started ramping up in 4Q o r if not, then what is the timeline for th e ramp up for cybersecurity deal?

Rajeev Gupta: So, I'll take the first part, and I'll request Abhi to add to the second part of your question which is the ramp -up on the cybersecurity deal. So, on the first part of your question in terms of the increase in revenue and tied to the increase in other expenses. So of course, like we said, the increase in revenue is a mix of increase in our SWC business and as well as in our organic business on the t elecom segment side.

When you look at the other expenses, a large part of that increase is coming from subcontracting and software related costs, right? And that's how we've seen the increase to come in. I will request Abhi to add in terms of the ramp -up on the cybersecurity.

Abhishek Sinha: On the cyber deal, yes, the ramp -up has definit ely started. We are in the detailed requirements stage right now. And like Amit very clearly said that

this deal is unlike the usual infrastructure deal that someone has, it is more of a system integration, if I may, whereas, I would say, only 50% software integration more unlike the usual infrastructure deals that we get.

And that makes it very exciting because it gives us tremendous opportunity to use the software assets we have and also create new assets which can be relevant for other similar deals. In fact, we have put a separate cell. And that’s another investment, that is a pretty parallel track working with this program whose only job is to identify the common assets and IP that can be created for similar deals, which we believe is going to be the way forward in this space, not just in India, but outside India as well .

Rajiv Berlia: Thank you.
Moderator: Thank you. T he next question is from the line of Karan Uppal from Phillip Capital India. Please go ahead.
Karan Uppal : Two questions from my side. Firstly, on margins. So, Rajeev we had our medium -term aspiration of reaching 18% margins by H1 of FY26. So, given that now we are targeting 16% for FY25, so are we pushing that 18% margin target? That's first.
And second, on SDV. So, we are hearing multiple ER&D players getting empanelled on SDV initiatives by OEMs. So, is the outsourcing very high around the SDV area o r OEMs want to recreate the new architectures really fast and are spending aggressively within in -house as well as outsourced vendors like us?
Amit Chadha: Sure. See SDV basis is that car used to get customized, and car used t o get delivered with different features. Now with SDV what's going to happen is that the same car will be delivered

to you, but with features that may be different and that too all leveraging software, correct? So, the software -related spend of SDV is definitely increasing, right?
Now while we are looking at various options while investing, we are making sure that we are going for higher margin deals. So, the offshore content is higher , our differentiation is higher, etc. And we've also got empanelled with a number of these players like I talked about. And we are happy to share that given the fact that we continue to make these widgets, etc, the quality of revenue that we are getting in Transportation or Mobility is better than we use d to have some years ago.
And I think that there is a play for a differentiated player like us plus going down to becoming Mobility , Sustainability and Hi -Tech, you will see Mobility being able to compete on a one -on-one basis head -to-head with people in that space a nd with the higher margin profile that we have got, we believe that with differentiated assets , we will do better.
Rajeev, you want to take the first question.
Rajeev Gupta: Sure. So first, on the FY25 margins, see the softness that we've indicated as always, I mean th is is the worst -case scenario. W e aspire to do better, and we will let y ou know as the quarter goes by because there are still opportunities that we are seeing can allow us to offset the investments .
So, aspiration of doing better margin continues but we definitely indicate wherever the softness is. So, this certainly is the worst -case scenario that we are letting you know. In terms of the aspiration of coming back to 18% levels by H1 FY26, we'll take a few quarters and we'll come back to clarify.
There are certainly aspirations during the year, one, of course, to get to that $1.5 Bn exit rate by FY25 which includes certain investments, certain other areas that we're looking at. So, we will take a few quarters and come back and clarify on the aspiration for 18% margin going forward.
Karan Uppal: Okay thanks and all the best.
Moderator: Thank you. T he next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta : Just want to get sense about the investment. Typically, any busine

ss investment requirement
over the course of the business cycle. So, most of the investment in businesses is all kind of investment. The investment which you are referring to is any specific intervention which we are making, which can have a medium - to long -term growth trajectory difference. If you can provide some clarity on those investment plans? Second question is about the salary hike cycle related thing. Now last year, we gave somewhere in July, the salary hike, any changes we plan to make this year?
And third related question is about Q1, Q2 trajectory. You said Q1, Q2 margin will be lower, and we will recover in Q3, Q4. Anyway, it implies considering 100 bps kind of margin lower

than expected for the full year. Q1, Q2 maybe below 16% kind of margins. So if you can provide some clarity?
Abhishek Sinha: Yes. So let me just take the first question with regards to other investments, short term, medium term, long -term as a company policy and strategy and then the approval framework that we have we always look at long -term investments.
To give investment, one of the things I can speak about earlier was software defined everything

while there is a lot of talk of SDV from an Automotive or Transportation or Mobility perspective. But we do realize t hat software defined everything when it comes to products especially the Industrial and Medical segments. So, we are investing in integrated digital platforms, which will enable connected intelligent products in some of the segments to create software defined everything requirements that the indus try has.

Likewise, the legacy plant modernization is a need now and will remain for a very long time because plants do get old. They need to be modernized and it is a great solution to invest in as we go forward. Digital twin technologies again, Asset Healthcare solutions again these are all investments which are medium to lo ng term. Amit, Rajeev, you can probably take it forward.

Amit Chadha : I'll talk about the second one. Salary a t this stage appraisals have started, a nd we've just ended the year. So, we celebrated the beautiful qu arter that we closed a nd the year that we had in spite of difficult time we celebrated that with our employees. You would have seen on LinkedIn various images of Estrella's that was done on 4th of April for all our employees.

So, we continue to be motivated to make sure that employees march with us as we move forward. So currently, the view is to do the increments in the July cycle as planned, as we always do. And if there's any changes, we'll let you know, but that's where it is.

Rajeev Gupta : Yes. So let me respond to the margin question. Look, we have guided for an aspiration of 16% for the year. And like we've done in the past; we tend to provide a view on margins for the year. I wouldn't want you to read that, look, there is a QoQ view. I think we continue to work. And there are opportunities .

When you look at growth, quality of revenues. Amit talked about it in terms of Mobility and other segments that we've now organized into. There are also productivity improvements, right, in terms of operational efficiencies. We've talked about SWC, the opportunity on internationalizing that business continues to be.

So, there are these opportunities, and I would want you to read that, look, there is a QoQ view on the margins. I say that the aspiration is 16%, but we will endeavour to do better as the year goes by.

Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. Pinku Pappan for closing comments.

Pinku Pappan: Thank you everyone for joining us on this call today evening. We hope we were able to answer most of your questions and I would be happy to address t

hem if you have follow -up. With that, we're signing off today and look forward to interacting with you through the course of the quarter. Wish you all a very good evening and this is bye -bye from all of LTTS here. Thank you.

Moderator: Thank you. On behalf of L&T Technology Services Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Jul 2024

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NSE Symbol: LTTS BSE script Code: 540115

Dear Sir / Madam,

Subject: Transcript of Q1 FY25 Earnings Conference Call

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Q1 FY25 Earnings Conference Call organized by the Company on July 18, 202 4.

Kindly take the above information on records.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prasad Shanbhag
Company Secretary
& Compliance Officer
(M. No. A 30254)

Encl: As above

L&T Technology Services
Q1 FY25 Earnings Conference Call Transcript

For the Earnings Call held on July 18, 202 4, 19:30hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ABHISHEK SINHA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. ALIND SAXENA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. RAJEEV GUPTA – CFO,
MR. PINKU PAPPAN – HEAD, INVESTOR RELATIONS

Disclaimer: Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statements. L&T Technology Services Limited (LTTS) does not undertake to update any forward -looking sta tement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY25 Conference Call of L&T Technology Services Limited. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that th is conference is being recorded.

I now hand the conference over to Mr. Pinku Pappan , Head of Investor Relations. Thank you and over to you, Mr. Pappan.

Pinku Pappan: Thank you, D orwin. Hello, everyone , and welcome to the earnings call of L&T Technology Services for the First Quarter of FY25. I am Pinku, Head of Investor Relations . Our financial results, investor release and press release have been filed on the stock exchanges and are also available on our website, www.ltts.com I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call would be available on our website approximately 1 hour after this call ends.

With that, let me introduce the leadership team present on this call . Amit Chadha – CEO and MD ; Abhishek – Executive Director and President ; Alind Saxena – Executive Director and President ; and Rajeev Gupta – CFO. We will begin with Amit providing an overview of the company performance and outlook , followed by Rajeev, who will walk you through the financial statements and performance .

Let me now turn the call over to you, Amit.

Amit Chadha: Sure. Thank you, Pinku, and thank you all for joining us on the call today.

With that, let me provide the key highlights of our Q1 performance :

• In USD terms, our Revenue went up 6% YoY, though on account of SWC seasonality it declined by 3% QoQ in line with what we had guided last quarter.
• Large deal wins have been healthy with two USD 30 million, two USD 15 million, three deals with TCV of USD 10 million , in the quarter. Additionally, we also got a significant empanelment in this quarter.
• In order to prioritize growth, we have made investments in Sales and Technology under our "Go Deeper to Scale" strategy. Our trajectory on both revenue and margins from this quarter on will be upwards.

Before I do the segmental outlook, I would like to report our progress on AI :

• In AI, we have filed a record 61 patents till date across segments in Transportation , Medical and Industrial Products . We are collaborating with NVIDIA for Medical , AWS for Transportation and Google for multiple segments.
• We have launched 6 solutions in the last quarter alone in Gen.AI for Driver Experience , Annot AI for Autonomous Driving , AiCE & AiCH for Medical QARA , and Secure AI which for cross -segment s. Some of these have been implemented for clients in production environments.
• We continue to remain focused on enhancing our solutions in AI @ software development lifecycle , AI @ product development lifecycle , AI @ test automation & process automation.
• AI has f

inally become a revenue generator – we have won 2 significant empanel ment deals, one with the Middle Eastern oil customer and a second with an auto major in Europe and both are showing a lot of interest in ramping up with us. We are also seeing increased interest and traction in this area and the pipeline is significantly highe r than two quarters ago last quarter in this area.

With t his, let me provide a segmental performance and outlook .

Starting with Mobility ,

• Mobility is now a $400 million run rate segment for us . Our growth of 6% + was the strongest in the last 6 quarters driven by Auto and followed by Commercial Vehicles and Aero .
• As you know we have been investing in EV, Hybridization, Vehicle Engineering and SDV. Our Q1 performance was result of deals across all these areas.
• In total we won 3 large deals in Mobility – One USD 30 million, Two USD 15 million deals , across OEMs and Tier 1s.
• While EV opportunities continue, the spends are shifting to SDV. We are accelerating our SDx competencies and building a proprietary framework. Some of th ose components are ready and others will be ready later this year.
• The deals we have won in SDV is helping us to open new engagements and deeper collaboration with OEMs and Tier-1s.
• In Commercial Vehicles , EV continues to be a strong growth area, while in Aero we are seeing large deal opportunities in Avionic equipment development.

Overall, looking at the pipeline and the deals we have won, we expect the growth momentum in Mobility to continue in the coming quarters.

In Sustainability ,

• We had strong growth in the Plant engineering sub-segment , which is firing on all cylinders - led by new capex projects , spent on plant modernization and digital twin. The growth in this sub -segment helped us notch a slight growth on YoY basis offsetting the decline in the Industrial sub-segment.

• Customers are looking to do more offshoring and our model of establishing high value engineering centers is helping us capitalize on this opportunity and win deals.
• In the Industrial sub-segment, the supply chain inventory is at an all -time high for many of our customers leading to a dip in spending and budgets. In addition, deal decision -making delays led to large deals getting pushed out which led to a decline QoQ .
• We are investing in asset management solutions, and in Variable speed motors , and motor drives and controls. This will be the next engine of growth in IP in addition to AI led solutions in Digital Manufacturing .
• We won a $30M deal in Digital manufacturing with the North American OEM which will ramp up in Q2.

We believe that the worst is over for this sub -segment and expect Sustainability as a segment will get back to the growth part from next quarter onwards.

Finally, Hi-Tech.

• We had good growth in the Semcon sub -segment. We see strong demand from customers for AI chip design and we have signed up COE’s for post -silicon activities.
• In Semcon, we are building differentiated capabilities and are executing programs in next generation advanced chipsets.
• In the Medical sub-segment, we are seeing customers spend on Sustenance engineering, QARA , Value analysis and Value engineering, Digital manufacturing solutions for operational excellence. We are investing in building Patient experience platform and GenAI based accelerators for QARA .
• In the Comms and Media sub-segment, our performance was impacted by the seasonality in the SWC business and a few 1-time programs that ended in Q4 in Telecom. Customers are looking for cost optimization and more soft

ware and AI based solutions for improving network operations.
• In the ISV sub -segment, we're investing in an AI build out for the software development life cycle for continuous integration, continuous development target ed to Hyperscalers and software platform companies.

We see multiple large deals in play across Telecom , Semcon, ISV and MedTech that gives us the confidence of growth for Hi-Tech rebounding from Q2 onwards.

Now, a few highlights on our Technology and Innovation charter :

• Our engineers continue to innovate. We had a total of 47 patent filings in Q1 and our accumulative filings now stand at 1,343.
• We have been ranked as a Leader in the Everest Connected Product Services assessment across Product Engineering, Embedded Engineering and Design Engineering.

With that, let me now discuss the Outlook :
• I am encouraged by our pipeline that's 2x of last year with deals across segments and more $40- 50M deals than earlier and slated to close in the next two quarters.
• Customer s spend is broadly focused on consolidation, cost optimization, leveraging AI and advanced technologies, leading to efficiencies and faster go -to-market.
• We are comfortable with our guidance of 8 -10% revenue growth. We see growth in all the three quarters ahead and expect H2 to be better than H1.
• Our aspiration of $1.5 billion continues.
Before I end, I would like to announce that we plan to host an Investor and Analyst Day on August 27th in Bangalore. We will be provid ing additional details in the coming days. Pinku will get in touch with you.
That said, thank you so much. I'll be around for questions and hand it over to Rajeev.
Rajeev Gupta: Thank you, Amit. Good evening and hope you all are doing well.
Let me start by saying that this has been a quarter in line with what we had guided for FY25.
Q1 FY25 revenue and margin were impacted due to :
• Seasonality effect of our SWC business,
• Investments in strengthening leadership on account of reorganization to “Go Deeper to Scale” and prioritize for growth
• Building segment -specific solutions and horizontal solutions like SDx, AI/Gen.AI, Digital manufacturing labs and Asset Health Platforms .
With that said, let me now take you through Q1 FY25 financials , starting with the P&L .
Our revenue for the quarter was ■ 2,462 crores, a decline of 3 .0% on sequential basis, mainly due to the seasonality effect of our SWC business.
Our YoY growth came in at 7 .0%.
EBIT margin for the quarter came in at 15.6% in line with the aspiration of 16% levels for FY25.
Moving to below EBIT
Talking about Other Income ,
Other Income was 49 crores, slightly higher on sequential basis due to our continued efforts of consolidation of facilities.
Effective Tax Rate (ETR) for Q1 was at 27.4% , within our expected range of 27.5%.

Net Income for the quarter was up by 0.8% on a YoY basis and came in at ■ 314 Cr, which is 12.7% of revenue.
Moving to Balance sheet, let me highlight the key line items :
The reorganization was i

mplemented by middle of the quarter and has now stabilized. This resulted in rebalancing of portfolios leading to delayed invoicing and collections moving into next quarter.
In addition, we saw an impact of delayed collections in our SWC business due to the general elections. We believe this will stabilize in Q2.
Our Q1 DSO was at 102 days compared to 100 days in Q4. Unbilled days at 23 in Q1 compared to 14 days in Q4. The combined DSO including unbilled stood at 125 days compared to 114 days in Q4 which is within our target range of 115 to 125 days for the year.
Consequently, our Free Cash Flow was negative ■ 89 crores.
Our Cash and Investments stood at ■ 2,784 crores at the end of Q1 , vs ■ 2,883 crores end of Q4.
Moving to revenue metrics :
In $ terms, we reported revenues at $ 295 million as compared to $ 305 million in Q4, a decline of 3.3% in reported terms and 3.1% on a constant currency basis.
Moving to operational metrics :
The Onsite :Offshore mix improved mo ved slightly towards offshore compared to Q4 . Offshore percentage now stands at 58.9%. Our aspiration is to improve the offshore ratio to 60%.

Client profile – which indicates number of Million dollar plus accounts – has shown a sequential improvement in the 30 M & 5M+ category. The client profile will continue to improve in the coming quarters.
Client contribution to revenue – Has shown an improvement in the Top 20 Categories as compared to Q4. We expect revenue from top customers to improve going forward as we are running targeted programs with our strategic clients.
Headcount was 23,577 in Q1 compared to 23,812 in Q4, while attrition was stable at 14.8% in Q1.
Realized Rupee for Q1 was around 83.4 0 to the dollar, a depreciation of 0.3% compared to Q4.
Before I conclude, let me give some visibility on EBIT margin trajectory going forward.
• Our operating playbook continues to provide opportunities for margin improvements through levers like Quality of revenue, Offshoring and Pyramid optimization.

• With the current environment and our revenue outlook, we see the EBIT margin trajectory in H2 to be better than H1 , and
• As Amit already highlighted in his commentary that we are pivoting on revenue growth. I reiterate that we maintain our EBIT aspiration of 16% levels in FY25.
Thank you. With that, now I hand it over to the moderator for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Just wanted to prod you with regards to the margin outlook. If you could first of all give us a sense of the hiring outlook for the year as well as the wage hike plan for the year and also well on the segmental margins specially in verticals like hi -tech and mobility?
Amit Chadha: So, I am going to break up the question here. So, you talked about hiring outlook, talked about margin outloo k.
Manik Taneja: Wage hikes for the year and also if you could talk about the puts and takes for the segmental margin performance across different industries.
Amit Chadha: What I will do is let me provide you hiring and wage and then I'll request my colleague Rajeev to weigh in on the margin outlook and segmental margins. So, as far as we are concerned,

we continue to recruit actively freshers as well as laterals. Having said that, there are two things that we are seeing in our business. Number one, we are seeing automation, so that straight line impact of headcount to revenue is slightly changing. As you see, mobility increased, you saw QoQ , YoY you saw the others increase, but plant engineering expanded as a sub -segment QoQ itself, medical expanded as a sub -segment QoQ, but the headcount went down about 300 people. I would not worry about i t because we are leveraging more from the same team . Number two , we are continuing to optimize and reduce management layers with this new segmentation that we have done. Number three , there is the performance appraisal that we have done and every year where we do some kind of HR action on the lower performance, we are doing that. Having said that, you will see positive headcount coming in next quarter onwards and for the entire year you will see an increase in headcount that will happen across the company a s we move forward. We don't give exact numbers on laterals, but I want to confirm to you that about 1,800 offers to freshers have been made and people will continue to join, and we will honor those letters just like last year. Now, in terms of the wage hike we are concluding the appraisal process. It's still not done. We expect to complete that in the next week or so and then we will go ahead and provide increments for the year. For the purpose of your calculation, you can assume that these will come into effect from October.
Rajeev Gupta: Yes, I can take the question on the margin or rather the EBITDA by segment. So, Mobility as a segment EBITDA is at 18.8%, Sustainability segment has an EBITDA of 27.1% and Hi-Tech has an EBITDA of 12.6%. That's how we are now reporting into our new segment.

Manik Taneja: Rajeev, I looked at the headline numbers. I am just trying to understand the puts and takes on the margins for each of these industry verticals.
Rajeev Gupta: Could you clarify when you mean by puts and takes?
Manik Taneja: If you could talk about the different factors that have impacted margins for each of the industry segments.
Rajeev Gupta: So, I will give you broad highlights. So, in terms of Mobility , of course, directionally we saw a large deal beginning in Q1. So, when I compare our EBITDA margin in Q1 for mobility at 18.8%,

it came down slightly , largely because of the new deal that started off in Q1. When we look at Sustainability 27.1% compared to 28.8% in the previous quarter. Amit did talk about the fact that, look, Plant Engineering continues to grow whereas we saw challenge on Industrial Products , but that's largely fo r a quarter. We should see it coming back. That's the major reason why you saw margin on Sustainability came down. On the Hi-Tech side, 12.6% in Q1 compared to 15.6% EBITDA in Q4. This was largely because of the seasonality of SWC business. We have always mentioned that our SWC business has better traction in terms of revenue and margin in H2 compared to H1.

Moderator: The next question comes from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Could you talk a bit about what led to really good growth in Europe and similar in the US? I mean, I wasn't aware that SWC has much exposure to America, but it looks like America has had a sharp decline. So, what's caused that?

Amit Chadha: So, Europe growth has been based on the deals we have been winning and the investments we have made. As you're aware, we announced a deal with a Tier-1 and that helped us there and has helped us expand Europe, not just that one deal, we've been seeing expansion in our Auto OEM as well as our Industrial and Plant Engineering relationships, Aerospace relationships that we have announced in the past. So, all that combined, Europe has done very well for us, and we continue to

be excited about the g eography as it holds promise for the company and continues to accelerate. I do want to confirm that Europe this year will grow faster than the company outlook that we have provided. Now, in terms of SWC, yes, there was a seasonality we spoke about. And the re was a one-off program that ended in March for the same segment in the US and therefore you see that decline QoQ , and YoY we have said. Having said that, we are pleased with the performance of Semcon that has finally turned around and the capabilities th at we have built in VLSI, Semcon design, RTL, PD, all of that is working out for us, including establishing based on empanelment we had announced in the past on Semcon companies that have ramped up for us. So, that has worked out in our favor. I had also talked to you, if you remember about two years ago that we would make targeted efforts to get into Hyperscalers . So, I am happy to share with you that a couple of these Hyperscalers now are either almost $10 M or pas sed $ 10 M run rate for us as accounts and we are truly looking at seeing as they continue to spend money on how we can expand that.

Ravi Menon: Just a follow up on the EV side. We've heard about the Tier-1 German OEM restructuring the software part of their business with about I think 1,400 layoffs. So, are you expecting that there will be any impact due to that or are you even a beneficiary of this?

Amit Chadha: So, again, not getting into specifics, because I don't know which Tier-1 you're talking about, there's a lot of Tier-1 actions going on, but so not getting into specifics, all I will say is that there are two or three things that are definitely happening in the Auto industry. Number one , OEMs are pulling in software work in -house. And that means that instead of just integrating stuff, they're building larger teams. Now, knock on wood, that's been positive for us, and we are expanding with the OEMs in Europe and the US as well as the new age ones in California. So, we continue to ramp up with them. As far as Tier-1s are concerned, there is restructuring, there is a lot of these consolidation deals that are floating out there. Last quarter, we had won a deal in Europe from a Tier-1 where we won a consolidation opportunity and gain market share over competition, and this quarter, again there are opportunities that we are looking at, we have won one of them, there are others we are pursuing, and we'll see how we get up there. And th erefore, I had mentioned that there are deals in Q2 and Q3 up for closure that we are w orking closely on right now.

Moderator: The next question is from the line of Karan Uppal from Phillip Capital. Please go ahead.

Karan Uppal: Amit, firstly, I want to check on the Auto business. So, one of your larger peers has mentioned significant weakness in the European Auto segment due to a pullback in the EV -related spends. Are you witnessing something like that? Second is on the Maharashtra government cyber security deal which you had won. So, when is that expected to ramp up? And the third question is on that $1.5 billion aspirational target, is it still targeted for FY25 or are you pushing this to next year?

Amit Chadha: Let me start the last question first which is close to our heart. Our $1.5 billion aspirational run rate is FY25 goal and aspiration and various things in play. We will see as to where we end up. Number two, Maha Cyber has ramped up; however, there are other deals that close right and therefore that seasonality of SWC comes in , and you will see Maha Cyber ramping up over the next couple of quarters as well. But we are being judicious on the kind of deals that we pursue, and we win, plus there was an election cycle impact also on not just collections like Rajeev mentioned, but also on order inflow. So, we are working on that and seeing where we can work on. Now, in terms

of Auto,
in EV space the work has changed from Product Development to Value Engineering . In fact, we are doing a tear down of various vehicles without naming them to see as to what we can learn on components, what can we learn on manufacturing techniques, assembly techniques and operation techniques, right, that we can then offer suggestions and service offerings to our other customers. Having said that, some of these EV spends are getting replaced with extension of programs on ICE, Software -defined vehicles for ICE vehicles as well as for EV and hybridization, plus there is a significant amount of discussion that we are doing now on model year 2029 for alternate fu el technologies as well. So, am I worried about Auto and EV at this stage? What I will say is that we saw this about two quarters, two and half quarters, three quarters ago and we've been investing in the SDV area and the Hybrid technologies area. In fact, the deal that we took over with the Tier-1 in Europe was in that direction to fortify our position. I am happy to share the center where we took over has got certified by other OEMs as well as by actually now Aerospace customers who

use the same skills. So, I do believe that we are in a positive path forward, though we are cautious and watching as things develop. But most importantly, and I am sorry, I am going to say this , I have said this last quarter as well. See, I do believe we have to invest because what was current today or yesterday will not be current tomorrow and that is something that we will continue to do on an ongoing basis.

Moderator: The next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh Mehta: Two questions. First is whether Q1 performance was in line with your expectation or weaker or better than expectation and if you can highlight factors driving that difference? The second question is a slightly medium term. Now, if I look at your segment a nd the way we now club three segments, there is a big var iance in margin profile of all three segments. Can you help us understand how one should look for medium term perspective, whether this gap to sustain or it will narrow down, and what factors likely to lead to the trajectory change?

Amit Chadha: So, look, the company is pivoting to revenue growth, right? We took your feedback actually and others feedback and said, muted revenue growth. So, Q1 was broadly in line with what we expected and that's why we had said to you last quarter, will be muted, but having said that, we would have got more, we have done more. But having said that, it's in line is what we had said. But it is onward. and upward from here.

Rajeev Gupta: So, to answer your question in the medium -term outlook for the margins in each of the segments, so like you said, Mobility and Sustainability , they are on the higher side of the margin and will continue to hold up well. On the Hi -Tech side, like we said, Hi -Tech includes as sub-segments, Smart World, MedTech, Comms, Media and Tech. Smart World, there is an impact of seasonality. We believe you will see that to normalize as we go forward. MedTech is a sub -segment with high margin, right, typica lly that's been at about 30% levels of margin. So, we feel that the gap between Mobility , Sustainability and Hi -Tech will narrow down. We will continue to run programs to also improve margins in the Hi -Tech segment and you will see that going forward.

Dipesh Mehta: So, whether with this mix change, now, because at least in near -term you are indicating different growth prospect for each segment, and medium -term, considering Mobility is showing better trajectory at least for near -term perspective, do you think this can have implication on a blended margin or do you think broadly expected improvement kind of trajectory across segments will not have any material impact because of mix cha

nge?

Rajeev Gupta: So, let me answer it this way. See, we've already shared the aspiration for FY25 for overall EBIT margins to be at 16% levels. And in terms of the mix, I mean, we did see strong growth coming in Mobility . We are seeing good growth in Plant Engineering . Of course, Medical has shown growth in this quarter. We believe that will continue to show growth in future quarters also. So, while we've given aspiration for FY25 to be at 16%, Amit talked about the IAD to happen end of August, we will come back and clarify to you our medium -term aspirations on EBIT. We definitely aspire to do better. Our aspirations for FY25 are more short -term and near -term, but I will certainly come back and clarify in the IAD on the medium -term outlook on EBIT margin.

Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Sir, I wanted to understand what the seasonality impact of SWC , If you can quantify both at the

company level and second also in the North America region? I just wanted to understand what the underlying growth is after removing the seasonality impact of SWC. The second question was just on the SDV. You mentioned that you are signing a couple of SDVs. If you can provide some details as to what kind of OEMs are this and what size of contracts are this, that will be helpful.
Rajeev Gupta: So, let me take the first one in terms of the SWC margins and the impact on the overall that you mentioned about. Look, we don't provide specific margins in terms of SWC , we've mentioned that in the past as well. But what I can definitely let you understand is that, look, this is a project -based business and its fixed price in nature. So, what happens typically is when these projects get executed, they are milestone -based , right? As the milestones get achieved, there are contingencies as part of the margins that get released, right, because we tend to bake that as part of our contingencies and that's how usually the projects get executed. We feel that given the seasonality of SWC business and more of revenue and margin in H2 this will normalize, right. So, we wouldn't want to call that to be an effect that's more worrisome. It's more of just a Q1, Q2 phenomena. We saw very similar to the same phenomena in FY24 as well. I'll hand i t over to Alind in terms of the SDV part.
Alind Saxena: Hi. So, SDV is getting increased traction from our customers across the board. We have recently signed some deals with North American OEMs. We also have signed deals with the Tier-1s in Europe. In fact, we had partly executed some of the solutions in CES as well earlier in the year and we are working on solutions in the SDV space, which are AI -based, and we would be talking more about that in the forthcoming investor meets that we have gone along. But it's a very broad -based concept that is ca tching. And outside of Auto, we're also seeing tractions in some of our Trucks and Off-Highway customers as well which are in the earlier life cycle of implementation and those are the ones that are increasing for us as well.
Mihir Manohar: I mean on the SDV side, I wanted to understand more on your revenue rather than the margins. If I rephrase my question, without considering the SWC seasonality, what would have been the growth at the company level and at North America level?
Amit Chadha: So, to respond to that, if you look at the SWC seasonality, that's what you see largely in India, okay? and the India revenues. On the US part, I mentioned there was one program that was a one -off program that ended in March and that is the impact you're seeing in North America.
Mihir Manohar: Just a last question was on the guidance side. Guidance of 8 %-10% still implies like 4% -6% kind of growth depending on the quarter, that appears to be quite steep. So, just wanted to u

nderstand
the assumptions and the logic that we are building behind maintaining the guidance of 8% -10%.
Amit Chadha: Three components here. A certain part of the guidance , significant part gets covered based on the backlog that we have. There is a part of the guidance that will get covered by the deals that we will

win. So, that's where we are on that. Having said that, like I said, our pipeline is about 2x to what it was same time last year. Our TCV wins have been higher than what they were earlier. And given the fact that it's a much bigger pipeline and we know dec ision -making of a number of our $50 M deals, $25 M deals, $40 M deals will happen in the next say 8 to 12 weeks, will swing us in our direction. Having said that, I am confirming that we are fairly comfortable with what we have stated as guidance. If you r emember, we also had an uphill task in Q4 of last year and we did deliver. So, we are cognizant of that and working towards it as a team.
Moderator: The next question is from the line of Abhishek Bhandari from Nomura. Please go ahead.
Abhishek Bhandari: So, Rajeev and Amit, just one small clarification. When you say to the $1.5 billion run rate in some quarter of FY25, does it include any inorganic means, because otherwise from $300 million what you started in Q1 $297 the growth numbers are actually out of sync of your 8% -10% guidance for FY25?
Amit Chadha: Very valid question. Of course, it does bake in inorganic means. If you remember, we had shared with you earlier that also that we have created a separate M&A section in the company and there are various prospects that we continue to look at and continue t o engage with. So, you should assume that there will be an inorganic action between now and end of the year and we are working hard to see diligently as to what is reasonable for us to pick up at a reasonable valuation and that actually lines up with our s trategy of Automotive in Europe ; ISV & Hyperscalers in North America ; and Medical in North America. These are the only three areas we are looking at. Again, I have reiterated in the past and I will say it again, A) If we don't have anything in this area, we will not acquire ; B) We will not acquire at unreasonable sums and multiples ; C) We will acquire for capability, not for market, because we have the market reach. So, we will do it for a combination of factors that are strategic to us. And yes, I am confi rming that there is inorganic action that is in play in the company, and we'll see what happens, but these are ongoing discussions at any given time.

Abhishek Bhandari: Amit, one follow -up to previous Mihir's question on the breakdown you gave around the building elements of 8% -10% guidance for FY25, basis the deals what you've already won at the end of Q1, would you say 60% -70% of whatever growth number is already in pocket and the remaining would be the work -in progress for the remaining nine months?
Amit Chadha: So, see, like I said, a considerable part of the guidance is already backlogged into the company, but there are deals that we have to work on. See, we just started Q1. I am confirming one thing that you should take away; we will grow every quarter hereon top line and bottom line. Allow me a little leeway if you can. I hope that given our credibility with you and what we delivered to you in Q4 and met what we had told you, allow me some time and we will come back, and we will keep on updating you. In fact, one of the things we are working on now which we haven't done in the past and I will admit that as our learning, we don't do a lot of these press releases on what we win. We do a lot of stealth mode. You will see more press releases coming out on our wins as well as our partnerships as we go forward in the next few weeks and that should give you an indication of progression in the company and the pi vot th

at we are doing on a growth trajectory.

Abhishek Bhandari: Last question, Amit. There are chatters around a possible macro improvement maybe after the rate cut cycle begins in US and US election ends sometime in November. The question on that is how much of a business is discretionary or dependent on tailwind fro m these kinds of things , do you think there could be a meaningful lift both in terms of client conversations leading to higher deals and certain growth improvement because of that?
Amit Chadha: So, see what we are definitely seeing is that, like I said, pipeline at 2x, significant part of that is actually equally divided is proactive deals and reactive deals. Reactive is the client issues an RFP paper , proactive is what we pitch, right? The one predominant thing people are interested in is cost conservation, reducing their costs as well as cash conservation if they can, and third is around getting the market faster. When we go to people with AI, techno logy, etc., they come back and say, tell us the value this will create. Will it reduce headcount? Will it increase market reach? Will it improve my customer experience and therefore improve my sales, what will it do? And that's where we are right now. Any cycle to turn takes time. If you ask me, reasonably speaking, the guidance we have given you is baking in a little bit of everything, but if there is a lift off like you're talking about on a complete change in segment and people start spending mo ney in big numbers, of course, the guidance will improve and change. But at this stage we are not factoring in big lift offs. I think by the time it has an impact into Engineering , if something changes immediately, you will see an impact in our calendar ye ar or next year. But the good part is that a number of programs that we work on are actually model years and work done for future years. So, that's where we are.
Moderator: The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain: I am sure this is asked in a different way already, but just trying to understand that generally the confidence that you are emanating is coming from the deal you have won what you see in the pipeline and stuff like that. So, in general view in terms of h ow timely are you seeing these deals are ramping up from signing period, are these back to the way it used to be historically, and do you think the guidance range should be more seen skewed towards the lower end this point, or you think it is eq ual possibility through the range?
Amit Chadha: I am so sorry. Can you repeat your question because there's a problem with the phone here?
Rahul Jain: So, what I was saying is that, if you could say that what is the general ramp up that we are seeing in our deal, is it from signing to ramping up, is it normalized the way it used to be or you're seeing some bit of changes in that? And secondly, at this p oint you think guidance range is equally skewed to the entire band or it's more towards the lower end at this point?
Amit Chadha: So, if I look at say take the example on deals where everyone is different, right? If I take the example of Maha Cyber right, that ramped up early on, right, as we had talked about and started off immediately. FORVIA which we announced, right, also ramped up immediately in two parts, first, Bangalore and then Germany. If you remember, we announced OEM deals in SDV. Those have taken a little bit longer to ramp up and are ramping up right now as we speak. So, it is not one-size-fits-all. Deals ar e being signed and then they are being ramped up. It depends on the specific situation of that customer, right. It's not even a segmental thing I should tell you, right. It's

on the health of that customer and the need of that customer. But clearly if we're not able to show

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how will it address in our top line or bottom line or market access point, they are not interested in doing the deal. Now, in terms of guidance. Look, I wi ll maintain that 8% -10% band right now and leave it there for now and we'll continue to update you as we move forward. But there is work to be done in the year for sure. Otherwise, we would consider the year closed and we would be in April.
Moderator: The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Just wanted to check back on your comments a few months back when you've spoken about spring and then summer coming in. In that context, how should one be assessing our Q1 performance and have you had some negative surprises in that backdrop?
Amit Chadha: So, in the same backdrop, my comment now is onward and upward, if that helps you.
Manik Taneja: Did the Q1 performance come as a negative surprise?
Amit Chadha: No, it did not. Like I said, I answered this question earlier. I'll repeat myself. Listen, we knew the seasonality that was going to come in SWC . FY23, please look at the restated results and look at FY24 and you will see that there was a seasonality from Q4 to Q1 that time as well, the same one. The only difference this time is that the pipeline is 2x to what it was last time and because the pipeline is 2x, there is a lot more decision to be made and taken in the next 12 weeks, which was not the case, the pipeline was half at that time. As you remember, we ran the G45 program. We continuously run the large deals program and that has helped us in terms of showing up the pipeline and discussions. In addition to that, the play in AI we are having to put in AI in a lot of bids that we are making right now that is in consolidation. So, with all that, it is a different time and like one of your colleagues earlier said as well that with the markets easing up, we do believe that we are in a much better place.
Manik Taneja: With regards to the India domestic deal that you won with one of those PSU departments, if you could help us understand the typical trajectory for that business and should we probably be seeing a significant bump up in the second quarter given Q1 also had the impact of elections in India?
Amit Chadha: So, yes, we said that H2 for SWC is better than H1 and that's how they operate, and we operate in SWC, and you will see that liftoff happening in H2 in that business as opposed to H1. The rest of the heritage business will continue to see an increase in Q2 onwards as it did in Q1.
Moderator: The next question is from the line of Mayank Babla from Enam Asset Management Company. Please go ahead.
Mayank Babla: I just wanted your view on one aspect. So, given the upcoming election, I remember the last time there were certain curbs on China, there was a certain revenue impact in our client. So, given that there are a lot of news articles about this upcoming curb , can this be a potential source of risk for us?

Amit Chadha: So, at this stage we are closely monitoring the situation. But I, to my mind, don't think there will be a revenue impact from the elections or plus/minus from China. I think what you will see is as consumption patterns change and as different opportunitie s come up, you will see that the deployment of the technology solutions we have built will help us in winning more market share and that is what I would take as a positive as opposed to a negative.
Moderator: The next question is from the line of Dipesh from Emkay Global. Please go ahead.
Dipesh: Just one clarification. I think in an earlier question you mentioned about M&A is part of the guidance working. Whether it is for the $1.5 billion aspiration or even for 8% -10% we consider some of the contribution from M&A, because last time you indicated for $1.5 billion, not for 8% -10%? So, just want to get

that clarified.
Amit Chadha: You're absolutely right. 8 -10% constant currency is organic growth guidance, and the $1.5 aspiration includes M&A. The 8% -10% organic does not.
Dipesh: The focus area which you said for M&A, if you can provide some more color and more detail in terms of what specific area you are looking for, because Auto in Europe is a very wide, similarly ISV, if you can provide some more detail around it?
Rajeev Gupta: While Amit did provide color on that, see, there are three areas we want to build our M&A capability into. One is of course on the Auto side in Europe. Now, particularly this is in the newest technologies like SDV, all of these factors, right. And the reason Europe is of course, it gives us a lot more market breadth within that region. ISV, Hyperscalers in North America and rightfully so, because we see a lot of spend pattern developing in those companies. And third, MedTech because we feel there's a good opportunity, right. Medical has been a strong forte for us. We are looking to build more solutioning on the healthcare side and hence on the MedTech side, right. And we will continue to look for the right level of targets to help us scale these capabilities.
Dipesh: Any sense on comfort range or something around there?
Rajeev Gupta: So, see, in terms of the ticket size, I mean we are open to look at anything that could range from

$50 M to about $150 M. That's the range. Of course, we do have thresholds. They should be at the right levels of margin so that we do not dilute the overall company level margins and of course we need to come at the right levels of valuation so that we are going to be able to make it value - accretive for our stakeholders.
Dipesh: The range you said is for consideration, right, rather than revenue?
Rajeev Gupta: For revenue.
Moderator: That would be our last question for today, ladies and gentlemen. I would now like to hand the conference over to Mr. Pinku Pappan for closing comments. Over to you, sir.

Pinku Pappan: Thank you, all for joining us on the call today. We hope we were able to answer most of your questions, and if there are any follow -ups, I would be happy to address them. With that, we are signing off and I look forward to meeting some of you through the quarter. Have a good day and good evening. Thank you.
Moderator: On behalf of L&T Technology Services Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

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Dear Sir / Madam,

Subject: Transcript of Q2 FY25 Earnings Conference Call

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Q2 FY25 Earnings Conference Call organized by the Company on October 16 , 2024.

Kindly take the above -information on records.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prasad Shanbhag
Company Secretary & Compliance Officer
(M. No. A 30254)

Encl: As above

L&T Technology Services
Q2 FY25 Earnings Conference Call Transcript

For the Earnings Call held on October 16, 202 4, 17:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ABHISHEK SINHA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. ALIND SAXENA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. RAJEEV GUPTA – CFO,
MR. PINKU PAPPAN – HEAD, INVESTOR RELATIONS

Disclaimer: Certain statements in this release concerning our future growth prospect s are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statements. L&T Technology Services Limited (LTTS) does not undertake to update an y forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day, and welcome to the Q 2 FY25 Conference Call of L&T Technology Services Limited. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pinku Pappan , Head of Investor Relations. Thank you and over to you, Mr. Pappan.
Pinku Pappan: Thank you, D orwin. Hello, everyone, and welcome to the Earnings Call of L&T Technology Services for the Second Quarter of FY25. I am Pinku, heading Investor Relations. Our financial results, investor release and press release have been filed on the stock exchanges and are also available on our website, www.ltts.com .
I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website approximately 1 hour after the end of this call
With that, let me introduce the leadership team present on the call today. We have Amit Chadha – CEO and MD; Abhishek – Executive Director and President; Alind Saxena – Executive Director and President; and Rajeev Gupta – CFO. We will begin with Amit providing an overview of the company performance and outlook, followed by Rajeev, who will walk you through the financial statements and performance.
Let me now hand the call over to Amit.
Amit Chadha: Sure. So , I hope I'm audible. So , thank you, Pinku, and thank you all of you for joining us on the call today.
If I look back at 2021, we created a vision, a mission and a value charter. And based on that, we are repositioning our brand as Purposeful . Agile. Innovation . This embodies the fundamental way of how we will do business and deliver meaningful transformation for all our stakeholders.
• Purposeful – stands for our vision of building a sustainable tomorrow and a better world, leveraging technology and delivering inclusive growth for all stakeholders.
• Agile – relates to our ability to learn, evolve and adapt to changing technologies, market dynamics while harnessing the imagination of our engineers.

• Innovation – involves anticipating and investing in future technolog ies, systems and processes to bring world -class solutions to our clients across products, processes and operations.
As we continue to pivot on growth, this refreshed positioning will help us accelerate 'engineering the change ' for our clients. I'm confident this will create a platform for the future and establish LTTS in 3 strategic segments – Mobility, Sustainability and Tech, and build each of them into standalone billion -dollar units over the coming years.
With that, let me provide the key highlights of our Q2 performance :
• We had a strong quarter with revenue growing by 3.9% sequentially, which was broad -based across Regions and Segments . Sustainability led the growth with 6.5%, Mobility grew by 5% and Tech by nearly 1%.
• We won two $20 Mn deals, four $10 Mn deals and two signif

icant empanelment
agreements. These wins have been across segments.

• Our customer mining has seen steady improvement on YoY and QoQ basis. The number of $30 Mn accounts has increased to 7 now, up by 1 QoQ and 3 YoY . Similarly, the number of $10 Mn accounts has increased to 33 now, up by 2 QoQ and YoY .
• In line with our earlier commentary, we have made focused investments into our 3 segments – and w e are starting to see the results in terms of pipeline , deal wins and revenue growth including this quarter . These investments have impacted our EBIT margin in H1. We expect with growth improving and larger deals in our strategic areas, the EBIT margin trajectory will move upward.
With this, let me provide segmental performance and outlook.
Starting with Mobility ,
• we had a strong 5% growth in Q2 on the back of 6% in Q1, driven by large deal ramp - ups in SDV and Hybridization .
• As we had highlighted during the Investor and Analyst Day, a lot of the SDV development is happening at the OEM end and our exposure and presence at OEM 's, especially with the European and US OEM has increased significantly over the last year.
• The key value proposition that we offer to our customers is advanced automotive solutions across ADAS, virtualization and AI for specific use cases, digital twin , connected Apps , SDV / Digital cockpit – all of which accelerate the time to market and help them stay competitive.

• In Trucks and Off Highway, we continue to see good demand as Hybrid and SDV adoption continues to rise.
• We launched LTTSiDrive – our proprietary framework for accelerating SDV implementation, applicable for both Auto and Trucks and Off Highway. We've already won 2 programs – one each in US and Europe leveraging LTTSiDrive.
• Within Aero and Rail, we are beginning to see more deals in Rail. We signed a partnership with Etihad Rail for the development of digital solutions and creati on of an intelligent transportation system. We have multiple solutions in Rail leveraging AI and augmented reality that ha ve been successfully deployed by customers.
Overall, we see a robust deal pipeline for Mobility . However, Q3 will be slightly soft on account of seasonality . We expect this to rebound in Q4.
In Sustainability ,
• In line with our expectations, we saw a strong rebound in Sustainability performance at 6.5% growth.
• As compared to Q1, where only Process (Plant Engineering) was firing , in Q2, we had Industrial performing equally strongly.
• We are seeing a turnaround in Industrial as customers are looking ahead and investing as they see a more promising outlook.
• These investments are towards automation in the form of digital platforms, manufacturing and supply chain optimization.
• As a result, there's a strong demand for setting up centres of excellence for clients around the same.
• In the Process sub-segment , we continue to see demand in projects engineering and plant modernization.
• Leveraging digital technology is a priority for our customers – one of the large deal wins in Q2 is with an O&G customer where we are developing a digital twin of the refinery – which allows the customer to see an integrated 3D view of all the assets in the refinery.
• Similarly, in an empanelment, we are a Projects engineering partner for a new plant where we are setting up a command center, that will allow them to remotely control and manage the refinery.

• In the CPG sub -segment, the C+1 strategy is benefiting us , as customers are setting up new plants and expanding operations in India. We are, therefore, seeing an uptick in

project engineering in India from our global clients.
• Leveraging our deep expertise in Industry 4.0, we have now launched our proprietary Factory Next framework for the factory of the future –

covering smart sensors, edge,
robots, I ioT and data lakes. Our framework enables cobots to enhance productivity .
this is getting good traction. We have started two deployments in the US
In summary, for Sustainability , we are seeing a good number of deals in the pipeline – both at Process and Industrial and expect the growth momentum to sustain in Q3 and beyond.
In Tech ,
• We had a good growth in our Semcon and ISV sub -segments.
o With our Hyperscaler accounts, we have won 2 deals – one on device and other on platform engineering. These have gone into execution in October.
o Given the tailwinds in AI, Semcon sub -segment continues to ramp -up for us with multiple programs across the value chain.
• In Comms and Media, while performance was soft in Q2, we are seeing a few transformational deals that could potentially close in Q3 in the area of network management and vendor consolidation.
• In the Med -Tech sub-segment, we continue to see a rebound led by our strategic focus areas of QARA, Digital Health and Digital Manufacturing
o As part of our collaboration with a leading AI Semcon major. We're building an AI solution for a customer for image enhancement and vision care.
Overall, with the pipeline in large deals in play, we expect Tech growth to improve in Q3, led by our work with Semcon, Hyperscalers and Med -Tech.
Now , a few updates on our Technology and Innovation Charter:
• Our engineers added a total of 51 patents filings in Q2 and our cumulative filing s stands at 1,394.
• The innovation is also reflected in the rankings we have been ranked as leaders by :
o HFS and IoT services.
o Avasant in Digital engineering Services
o Zinnov in data and AI.

• To help customers accelerate their AI /Gen AI journey, we have launched GenIQ – a software development platform for AI applications.
Let me now discuss our outlook :
• Our pipeline continues to grow at a very healthy pace with a good number of large deals in the $ 25 - 100 Mn range.
• We are tracking these deals closely and expect a good number of closures in Q3 and early Q4. In fact, some of these would have closed in Q2 itself, but got delayed due to elections and macro -related uncertainty .
• The common thread in most of these deals is clients are excited about LTTS' differentiated solutions and positioning and want to leverage our expertise as they continue to develop new products and transform their operations, manufacturing and supply chain.
• This priority was further validated during our recent concluded client advisory council meeting, which consist s of 16 members, with combined market cap of $2 Tn and a revenue of $400 Bn.
• We are thus confident of broad -based growth continuing in the coming quarters and reaffirm our FY25 guidance of 8 -10% revenue growth in constant currency and aspiration of 16% EBIT margin levels.
Before I close, I do want to reconfirm that we stand strong in wanting to build three $1Bn segment s and get to revenues of $2 Bn with 17 -18% EBIT margin in the medium term. This ambition has been met with excitement by our employees, leaders and support from our key customers and board members. We remain committed to this journey.
With that, I now hand over to Rajeev. Thank you and look forward to taking your questions.
Rajeev Gupta : Thank you, Amit. Good evening to all of you.
I would like to start by saying that our 'Go Deeper to Scale ' strategy is indeed showing encouraging results. We had a strong quarter with broad -based growth and deal wins across Segments and Regions .
As we had indicated during our Q1 commentary and Investor Analyst Day, we are pivoting on growth. Accordingly, we've been making investments ahead of the curve in building new tech capabilities and adding leadership in Segments for Delivery and Sales across the glo

be.
Consequently, this has impact ed H1 FY25 EBIT margin.
With that, let me take you through Q2 FY25 financials, starting with the P&L.

Our revenue for the quarter was ■ 2,573 crores, a growth of 4.5% on a sequential basis. Ou r YoY growth for Q2 FY25 came in at 7.8%.
Our gross margin remained flat. However, on account of investments in sales and technology, our SG&A as a percentage of revenue increased by 40 bps sequentially. Hence our EBIT margin for the quarter came in at 15.1%, slightly lower compared to Q1 FY25.
Now moving to below EBIT.
Talking about Other Income .
Other Income was ■ 53 crores, slightly higher on a sequential basis due to forex gain.
Effective Tax Rate for Q2 was 27.4% within the range of our expectation of 27.5%.
Net income for the quarter was up 1.3% on a YoY basis and came in at ■ 320 crores, which is 12.4% of revenues.
Moving to the balance sheet. Let me highlight the key line items.
Our Q2 DSO was at 99 days compared to 102 days in Q1, unbilled days was at 17 days in Q2 compared to 23 days in Q1. The combined DSO, including unbilled, stood at 116 days compared to 125 days in Q1, which is within our target range of 115 to 125 days for the year.
Let me now talk about cash flows.
As a result of improvement in DSO, our Q2 free cash flow came in at a healthy ■ 417 crores, leading to YTD free cash flows at ■ 328 crores . We will continue the effort to improve cash flow during the rest of the year.
Our cash and investments stood at ■ 2,849 crores at the end of Q2 versus ■ 2,784 crores at the end of Q1. This is after final dividend pay -out of nearly ■ 349 crores in Q2.
As you would have seen today, the Board approved an interim dividend of ■ 17 per share.
Now moving to revenue metrics :
On a sequential basis, $ revenue growth was 3.9% in reported terms and 3.4% on constant currency basis. We saw a broad -based growth in Q2 with all segments growing sequentially, led by Sustainability and Mobility segments.
Moving to operational metrics.
The Onsite :Offshore mix was at similar range as compared to Q1. Offshore percent age now stands at 58.3%. We continue to work on measures to gradually improve this metric to our aspiration of 60%.

The T&M revenue mix was 62.5% in Q2, slightly lower as compared to Q1.
Client profile – which indicates a number of million dollar plus accounts, has shown a sequential improvement in the $30 Mn, $20 Mn and $10 Mn-plus category. The client profile will continue to improve in the coming quarters.
Client contribution to revenue – has shown an improvement in the Top 20 & the Top 10 category as compared to Q1. We expect revenue from top customers to improve going forward as we are running targeted programs on client mining.
Headcount was at 23,698 in Q2 compared to 23,57 7 in Q1, while attrition has slightly gone down as compared to Q1.
Realized rupee for Q2 was around 83.90 to the US dollar, a depreciation of around 0.6% versus Q1.
Before I conclude, let me give some visibility on the EBIT margin trajectory going forward.
As mentioned by Amit and me,

we have prioritized investments in H1 FY25 to accelerate
growth, build leadership and technology solutions ahead of the curve. We expect this will lead to a step up in revenue growth and better quality of revenues, providing us with a path of $2 Bn revenue aspiration and EBIT margin of 17 -18% range in the medium term.
In addition, we will continue our improvement efforts on operational levers like offshoring, pyramid optimization, higher productivity using tools and reusable platforms and indeed SG&A optimization.
For FY25, we reaffirm our revenue guidance of 8 -10% and expect H2 EBIT margin to be better than H1 and continue to aspire for a 16% EBIT level for the year.

Thank you. Now I hand over to the moderator for questions.
Mode rator : Thank you very much. The first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta : Hi thank you. A couple of questions. Firstly, Amit, if I look at the ask rate for the next two quarters now, it has gone up significantly. Now I understand that 4Q is a seasonally strong quarter because of SWC, but how should one think about Q3 given it is typically a weak quarter from a seasonality perspective, and we did highlight that mobility growth could slow down because of that? So, what gives us confidence of still achieving even the lower end of the guide? And was there a thought process at least cut the guidance at the lower end because it just seems like the top end of the guidance is out of reach right now?
Amit Chadha: Yes. So Bhavik, we are reiterating and holding our guidance. There was a similar question that was asked last quarter as well. On the ask rate, we are well aware of ask rate . And given the pipeline that we have got and the order conversion we've got, we are fairly comfortable with

where we are. I would not like to state whether we are at the top end or bottom end, but there is work to be done, but we are fairly comfortable on where we are right now.
Bhavik Mehta: The second question was on margins. I remember last time, it was mentioned that margin trajectory should improve from Q2 onwards, and we have seen margins declining this time despite not having wage hikes. I'm assuming we'll have wage hikes in Q3. So how should we think about margin trajectory from here on?
Rajeev Gupta: Thank you, Bhavik. This is Rajeev here. So , I'll answer two parts of the question. One, of course, the improvement on the EBIT margin. We indeed see EBIT margins improving from Q3 onwards. And on the wage hikes, yes, we plan them to be in Q3 and will be effective from November onwards. So , we will see likely two months of impact in Q3 for increments. Just to complete, the point, we should likely see in a full quarter an impact of close to about 100 bps to 125 bps on account of increments. The fact that this is two months in a quarter, it will be lower impact to start off with, but conscious of the fact , we aspire for 16% EBIT levels, and we'll be able to absorb this increment in Q3 as well.
Moderator: The next question is from the line of Ravi Menon from Macquarie. Please go ahead
Ravi Menon : Congrats on a very good quarter. I wanted to understand why Tech was flat, more or less this quarter, despite SWC, which should be slightly positive to the seasonality? And second part of the Maharashtra cybersecurity deal , wasn't there any revenue this quarter?
Amit Chadha: So, in Q2 Tech grew about 1% . Like I said, that the Hyperscalers did well for us in this quarter. There was a couple of specific areas where the projects got over, etc. But Q3 will be a good quarter for Tech as well as for Sustainability because we've got the visibility right now, in fact, close to announcing a significant collaboration with an AI major. We'll do that, and you will see that coming out. So , we're fairl

y comfortable there. Now in terms of cybersecurity, it continues to grow. We don't call out cybersecurity as a percentage of revenue just like AI, but both AI, Gen AI projects as well as cybersecurity in OT as well as products, cybersecurity continue to expand for us. We are actively hiring in these areas.
Ravi Menon : I was asking specifically about the Maharashtra cybersecurity deal that we had.
Amit Chadha: Yes. So that was launched. There's some work still to be done in that area. So , I was thinking, you were talking about cybersecurity internationally in the US and European clients. So specifically, to Maha cyber, it got launched. Congratulations to the Maharashtra government for thinking ahead of the curve and helping us execute or asking us to execute the project. It's not completed yet; it has been launched. There's other work to be done there. So , it will continue for a little more time.
Ravi Menon : There seems to be no fixed asset increase on your books even though the Maharashtra cybersecurity got launched?

Amit Chadha: There’s a little bit of hardware assets, but largely a software project, like we had mentioned that Maha cyber actually is more like a traditional LTTS project , if you ask me the way we have executed it . We run it as a software program. And that is a marked departure from what SWC used to be. In fact, we have a pipeline now that is built up for SWC in the Middle East as well. And as we move forward, hopefully, we should be able to announce some closures there as well.

So we are on that trajectory, and we have committed to you on SWC that we'll start to internationalize it, take it to more master , software SI , the asset light . So, we're working on all these directions right now.
Ravi Menon : Thanks for the clarification. And Q3, how should we think about SWC? I know that Q4 is supposed to be really good. But how is the seasonality for Q3?
Amit Chadha: Think about Q3 as a growth quarter in revenues and margins. And on the previous question, I want to reiterate, when Rajeev had made commentary about 2 quarters ago, he had said H1 margin s will be lower than H2, and that's what has happened. And if you look at it, the gross margin is maintained. The increase is only in Q2 in SG&A, which is sales cost, which has started to give us backlog and then will give us revenues as well as tech investments where compute, storage costs are fairly significan t that we have had to incur for AI investments and SDV and factory Next launch.
Moderator: The next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.
Sulabh Govila : So, my first question is on the deal wins. I just wanted to understand, we had called out in the analyst meet that our pipeline is 2x of last year. And on top of that, we expect win rates to improve, which would translate into higher number of deal wins being reported going forward. So just wanted to understand by when one should expect to see a higher number of deal wins on a realistic basis? By when do you think that can happen?
Amit Chadha: Sulabh, thank you. So , see, if you look at the deal wins, the absolute value TCV deal wins are higher in Q2 as opposed to Q1. That's number one. Two is that we have a significant number or a large number of $50 Mn deals as well as a couple of $100 Mn deals and a lot of $25 Mn deals. And we are comfortable to say that we are trying to get them closed in Q3 for us and then operationalize in margins towards the en d of Q3 and then Q4 from there.
Just like the Maha cyber deal that we have got, which is fairly quick paced. So , we are looking at some of this to come in. And we will start seeing some of that reflecting out either in press releases or through the quarter or at the end of the quarter as we go forward. We've actually appointed a large deals leader, Chief Business Of ficer for Stra

tegic Initiatives in large deals ,
based out of Dallas , Texas, and we have reorganized the team and we're taking it forward.
Sulabh Govila : Understood. And with respect to Mobility as a segment, just wanted to understand what you are hearing and seeing on the ground, particularly in Europe with respect to how OEMs are behaving? Have you seen any sort of project cancellations? Or have you seen any pause in the ongoing projects that ar e going on? So just wanted to understand what's the outlook from your perspective there.

Amit Chadha: Sure. See, we had a strategy about 8, 12 quarters ago that we will start to improve our OEM dependency and reduce our dependency on Tier 1s. That has played out well for us because now, the percentage revenue from automotive and Trucks & Off Highway that we do with OEMs has seen a quantum shift towards OEMs as opposed to Tier 1 s. So, Tier 1 s exposure has been, I will not say minimalized. We love the work that we do for anybody. We respect our customer relationships. But in our top 30 accounts, we've got OEMs now more than Tier 1s, right . So that's number one .
Number two, when it comes to OEMs in the US and Europe and the one that we work with in Japan that we had shown the recording to you during the IAD, they continue to work with us. We have not seen any slowdown there.
Tier 1 s, there's a couple of them that are in a problem, and we are actually creating deals to help them overcome some of their transitionary pressure that we've got. I've got my President and Executive Director colleague here. He'll add to this Mobility now on in terms of the work that we're doing in other areas.
Alind Saxena : So, in addition to what Amit said, what we are also seeing is an increased spend on the SDV side. And for most of our customers here, we are seeing those requirements come up throughout. So that we do see continuing. Now on the traditional engineering that we have been doing, there are deals that we are working on, which are on consolidation, which will we believe, help perhaps in Q3, Q4 as we go through on increasing our revenue and footprint in our customers. But that's making us more strate gic to our customers. And that trend, we believe, will continue from the point where we are at today.
Sulabh Govila : Okay. Understood. And last question on margins from my side. Rajeev, when we say that there is a 2 -month impact of wage hikes in this quarter, which is roughly about 80 b ps. So, what are the tailwinds you have on the margins, which will negate this, and you'll be able to deliver a growth on Q oQ basis on the margins?
Rajeev Gupta: Sulabh, to understand your question, of course, you did the math, right? I mean, 2 months in the

quarter, about 80 basis points on the increment side. Your question is more to understand what
are more tailwinds that can likely have an impact of margin. Did I get that correctly?
Sulabh Govila : Yes. So , what will help you negate this headwind, which is there...
Rajeev Gupta: Understood. I mean first and foremost, Amit talked a lot in terms of pipeline, large deals, quality
of revenue. These are all tailwinds that will help in terms of margin accretion. The second is,
look, a lot of the investments that we called out indeed hav e played out in H1. So that's behind
us, right? So , like we've said earlier, H2 margins will be better than H1. So , you will see margins
increase anyway in Q3.
Last but not the least, we'll continue to see productivity improvements. So , this is on account of
optimization of pyramid , in terms of offshoring and also as we continue to see Fresher intake,

we will see a lot of deployment on some of the newer deals that should lead to margin
improvement.
Sulabh Govila : Just a quick clarification. When we say better quality of deals, does that t

ranslate into higher
gross margins than the deal?
Rajeev Gupta: Yes, it does. And in addition to that, right, and these have been all focused initiatives, we will
also see likely accretion coming from improvement in b ill rates, right? These are focused
initiatives that we do, and we tend to target an X amount of dollars coming from improvement
in bill rate.
Amit Chadha: I'll add that we've sequentialized. If you ask me, we planned this out to make sure that when the
investments were there, we didn't do the increments. And now that we've got tailwinds coming
in the margins, we are doing the increment. So, it's a thought -through strategy to be able to
deliver the 16% level that we initially guided at the beginning of the year.
Moderator: We have the next question from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan : Yes. On the margins, do you think , whatever increase we have seen in the SG&A, is there any
element which will not be there next quarter, or everything will be growth driven in terms of the
margin offsets broadly?
Rajeev Gupta: So, see, I've already mentioned to that. Again, maybe I'll sound repeating what I mentioned. A
lot of the investments that we called out in terms of AI, SDV, Factory Next future, building the
leadership, all of that has taken place in H1, right? So , when you talk about going forward, these
are not going to repeat, right? So , you will see some of that normalization come into SG&A
costs. Our SG&A costs have indeed increased if you look at it on a YoY basis. We see they will
normalize between tha t 10% level, and that's what we're working towards.
Nitin Padmanabhan : Got it. That's very helpful. On the Maha cyber deal. Do you think is there's any milestone
payment that could come through considering they've gone live that should also help the margin?
Or it would just be the SG&A benefit?
Amit Chadha: Are you asking us payments? Are you asking us revenue?
Nitin Padmanabhan : Revenue. So, any milestone revenue that comes through, which will flow through and add
margin.
Amit Chadha: See, there is various elements there. There are payments to be made, etc. and yes, there is a
milestone payment that will come through that will also help. So, these are all part of the
planning that we have done at the beginning of the year as we saw these projects unfold. So
that's why our comfort for delivering growth in the margins comes from s ome of these elements.
Nitin Padmanabhan : Got it. Got it.

Rajeev Gupta: I can just add to that, right. So, Maha cyber as a project, this is a fixed price project, right? And
all these milestones are planned, and all revenue recognition is tied to those milestones being
achieved. And we are, in fact, on target in terms of achieving those milestones, which, of course,
will trickle down in terms of revenue.
Nitin Padmanabhan : Okay. That's very clear. Now on the growth, I think what the guidance is implying is 4.5% to
7% kind of CQGR for the second half. Now I think based on your comments, it's basically based
on the deals that are already in the bag plus closures that you expec t in Q3 that will drive a
stronger Q4 along with the SWC seasonality that should help you land within the range. And so
-- is that the broad thought process? Is that a fair characterization?
Amit Chadha: Yes. I couldn't have said it better. Thank you so much. You're absolutely right. And there was a

couple of deals that we were hoping that we'll close it this quarter. They wouldn't have increased our revenues, because this was the revenue we had planned. B ut they should slip into October and close. So that's where we are broadly, but we are comfortable in that right now.
Nitin Padmanabhan : Okay. But you are not worried? There's no worry on any extended furloughs or any such thing considering macro at this point in

time? We're not seeing anything on the horizon?
Amit Chadha: We are seeing furloughs in automotive , like I said, and that's why we said it will be a little soft. The other areas don't get so impacted by furloughs, but this is a work in progress. We are fairly comfortable with the stage, like I said, but there is an election uncertainty that we'll go through, and we'll see where it goes.
Moderator: We have the next question from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja : And I know you've answered a lot of questions around the implied arithmetic's, etc. But Amit, when you spoke last quarter, you have spoken about a very strong pipeline, and which was reiterated even during the Analyst Day. In the current quarter, when you spoke, you said that you did see some delays due to election related uncertainty etc. Do you think -- and given what you're talking about third quarter, do you think we'll probably see good deal s versus now and thereby helping us in terms of growth in Q4 o r probably just gets push ed through the next year given the typical seasonality of OND quarter ? That's question number one .
And the second question was for Rajeev. If you could help us understand how the fresher intake for FY25 has progressed through both Q1 and Q2. And the likely trajectory in terms of fresher onboarding for the rest of the year?
Amit Chadha : So, the pipeline is, YoY , bigge r. QoQ, bigger, number one . Number two, the number of serious $100 Mn deals, $50 Mn deals, $25 Mn plus deal s is higher than where it was two quarters ago, right? We continue to work with our clients to get these two closures. The reality is that there is a little bit of question around which way policies will be after the US election, reality. We do think that when we spoke to you last time, we were expecting some of this.
Having said that, nothing is grinded to a halt. Decisions continue to be made. And if all goes for whatever we forecast right now at this stage, we will have a decent Q3 and a bumper Q4.

Rajeev Gupta : Yes, I'll take the second part of the question. So , in terms of fresher intake. For FY25, we planned around 2,000 freshers to be hired. We've been implementing that. So accordingly, we've seen freshers in Q1 and Q2, that intake has indeed happened. In fact, this year, our fresher intake will be higher than what it was last year. Last year, we did close to about 1,500 freshers hiring. So , like I said, we will do close to about 2,000 fresher hiring in FY25.
Manik Taneja : Would it be possible to get the number for H1 and thereby probably trying to understand the impact in terms of...
Rajeev Gupta : We don’t share s o much of specific information , but we'll certainly let you know the annual plan that we have. That's where it is.
Moderator: The next question is from the line of Vibhor Singhal from Nuvama Equities.
Vibhor Singhal : Congrats Amit and team for a very solid execution in this quarter. So , Amit, just wanted to dwell on two aspects. One is on the Mobility segment. You mentioned that you are looking at a seasonal weakness in Q3 in the Mobility segment. Are we certain about the fact that the weakness that we're looking at is more of seasonal and not much of structural? We've had a couple of auto OEMs, some of the profit warning s.
We've had, a couple of your peers already talk ed about weakness in the auto segments, specifically in Europe and specifically in Germany. Where spend s on most assets have been curtailed. SDV continues, but I think those are also kind of talked about in harsh tones . So, any colour on that would be very helpful?
Amit Chadha : So Vibhor thank you, I'll do a little bit and then I'll request Alind to add. See, when you look at Mobility , the reason we've said seasonality is because normally, last year also, and if you look at two years ago, these guys

leverage our Q3, their Q4 holidays to try and offset some of their costs, and therefore, we see that seasonality coming.
Now -- and I will say very clearly, OEMs, we continue to see expansion. And I knock on wood, as I said, with our differentiated solutions. But Tier 1 s has been a little bit of a challenge. They've had a challenge themselves, and they have passed their challenge on to us. Having said that, because our Tier 1s are in a challenge and we, as nice and good partners, are trying to find solutions where we can help them pick up some of that work . And leverage our capabilities, like we had done the deal with FORVIA in Q1. We similarly can do some more of those deals, and that is where the pipeline is very strong to see what can flow. We clos ed this quarter, and that

operationalizes in Q4 for us and helps us in growing.
Second part is the investment in SDV. I'm sorry, actually Alind should talk about it. The investments made now...
Alind Saxena : No, I think Amit covered it. So, you know that we have launched the new solution, LTTS iDrive, which is picking up speed, which is getting attention, and which is helping us move. Now to your point, very specifically about the industry and specifically in Europe. So, we are not seeing

large cancellations or stoppages of work. There is a slowdown, which is there for sure. So, the growth trajectory, especially short -term in Q3, maybe like we have said, would be muted. Otherwise, we remain very aspirational of continuing our presence and our strategy with our customers. We think that that's going to play out well for us in long -term. This is the time to align with our customers and be able to continue to provide those services at good quality, which I'm very thankful that our team is doing, and we'll stay focused on that and move on.
Vibhor Singhal : Amit, the second question, is on the Maharashtra Cyber Security Project. So just want to understand the dynamics of it. So, you mentioned there is some bit of work left on this -- in the project. After that, we will probably get a milestone payment. And post that, does this project come to an end? Or is there some other maintenance revenues that will keep clicking on for the next forthcoming years as well?
Amit Chadha : Let me say that see Maha cyber, there's some stuff that we can't share specific to a contract, there is stuff that we can't. So, what we can share i s there is work to be done and completed. It's been launched. A part of it is live, there is other parts that are not live that need to get done over the next three to six months. Beyond that, there's an O&M phase that we have got in this that we will execute over a five-year period. So that's where that is that we are doing.
Vibhor Singhal : I'm assuming the O&M part, of course, be significantly lower than the kind of work that we're doing at this point of time, but it will continue for the five-year is what you're expecting?
Amit Chadha : Yes, yes.
Moderator: The next question comes from the line of Ruchi Mukhija from ICICI Securities.
Ruchi Mukhija : So, you guys mentioned about a weak seasonality in Mobility due to furloughs. I wanted to check, is this broad -based across client or skewed in few accounts only?
Amit Chadha : Yes. So, is it broad -based to specific clients? Let's say it's largely broad -based. I mean this is a Detroit phenomenon . This is a Europe phenomenon, yes.
Ruchi Mukhija : In other two verticals, do we have any early indications for furloughs from the clients?
Amit Chadha : No. Normally, no. So , we don't have early indications of furloughs for Tech. We want to actually confirm for Sustainability , actually, in the Process area, they are asking us to ramp up, right? In Tech, also, the orders we have won, we talked about today, we are ramping up in Q3. Tech will ramp up Q3 for sure. Sustainability will ramp

up Q3 for sure.
Mobility, all I'm saying is soft. Allow us some time to work it. The quarter is not done yet. We continue to work across the globe and my colleague, Alind talked about LTTS iDrive and others. These are license revenue programs. We in fact generated a couple of those this quarter. So, we continue to work on those a bsolutely.

Look, again, Ruchi, so I can say this not just to you, but everybody. See we've always been , our whole goal has been to be transparent and be upfront, so we don't create any surprises. We had come in the year; we had told you about the margins. We're following our trajectory. Revenues we have followed our trajectory a nd that's why we're saying Mobility may be soft but work to be done. The quarter is not over just actually -- the quarter has just started.
Ruchi Mukhija : Appreciate this. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Abhishek Shindadkar from In Cred Capital. Please go ahead.
Abhishek Shindadkar: Hi, good evening and c ongrats on a good quar ter. I have couple of questions. The first one is regarding the furloughs, especially for the Aero and also your comments on the Tech furloughs.
So, the commentary by one of the OEMs in Aero has been relatively weak, s o any colour in terms of furloughs for that space?
And the second is on the Tech side. So, is your commentary on furloughs driven by the ramp -up of the project o r it is generally in the Tech space, furloughs this year could be lower than l ast

year? That's first question. The second question is for Rajeev. The accounts receivables number or the absolute increase has been material over H1 compared to the revenue growth.
Now is this largely relate d to one cybersecurity project o r are we seeing -- generally seeing a delayed cycle across customers a nd the last one is for Amit again. Any comment on the sequential decline in the number of active clients? Thank you for taking my questions.
Amit Chadha : Okay. So , Abhishek. Thank you. Let’s divide this up. Aerospace furloughs, Alind , would you like to say something? Does this impact us or not impact us?
Alind Saxena : Not majorly. I mean we have seen furloughs previously in Q3 as well and this is a regular phenomenon that happened. Yes, and we are referr ing to one particular customer a nd there will be some rippling effect of that down to some of the customers that we work with , but that's something which is manageable that we are working with, and I don't see any major impact on that beyond what we have already talked about.
Amit Chadha : Now on Tech, see the fur loughs are a normal phenomenon, b ut as you win deals, you're able to overcome that because you're ramping up, but it’s b roadly arithmetic. And therefore, I'm saying Tech will increase, confirmed pipeline, confirmed bookings that will help.
That said your third question was sequential decline. I'm trying to see where there is a sequential decline i n clients. Is there a material n othing. In fact, I thought that we had improved. I thought somebody will complement us today that the number of 50 Mn accounts and all that has gone up. Let me just see Abhishek I don't think - so there is no material impact.
Abhishek Shindadkar: Got it. And maybe Rajeev can answer on the accounts receivables.

Rajeev Gupta : Yes, Abhishek, let me answer on the accounts receivables. I was just waiting for Amit to conclude. So, look, Abhishek, I tend to guide in terms of the DSO . Our range is between 115 to 125. We came in at 116 days which is the lower end of the DSO guidance, and we continue to work to improve this.
Now movement in t erms of accounts receivable, et c given that we are a growing business, you will always see that. So, I will not have you worry about the fact that loo

k for one quarter, you see an uptick because largely we'll continue to manage how we look at DSO and optimizing and of course improving on the free cash flow.
Abhishek Shindadkar: Understood . And just a follow -up to that w e have been referring to a milestone payment also. So, assuming that comes in, would our free cash flow to net income number be similar to FY24 in FY25?
Rajeev Gupta : Yes. We aspire to maintain that. In fact, I did clarify it even during the Investor Analyst Day, it's following a very similar pattern like we had in FY24 where our H2 free cash flows were better than the H1 free cash flows, you will likely see that same t rend mapping out even in this year.
Abhishek Shindadkar: Absolutely. Thank you for taking my questions and best wishes for the rest of the year.
Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah : Congrats on good execution. Rajeev the questions -- sorry to harp again on the margins, b ut if I look at the aspiration and target is 16% versus first half being 15.3%. So, second half you have to do 16.7% kind of an EBIT margin to achieve the full year at 16% versus that we have wage hikes which is coming into play in Q3, Q4 and there wo uld be a ramp -up in SWC business which is generally the low margin business versus your traditional export business. And we are starting on a base of 15.1%. So, what can go wrong in terms of achieving this target?
Rajeev Gupta : So, Sandeep, I think some of the parts I have already talked about, but maybe I'll kind of repeat and reiterate that. So, one we did call out that look H1 will have investments. Consequently, we'll see H2 to be better compared to H1 in terms of EBIT margin . So, you're starting off with a better base compared to w hat you're seeing in H1. It will definitely improve on the account that we will not see those levels of investments in H2.
Second, you have tailwinds in terms of growth. Amit talked about deal wins, growth, all of that is mapped in Q3 and Q4 which also will aid in terms of margins. Another part is that look our productivity improvement initiatives continue, and we will see benefits from those. See the fact that we've got revenue growth plan. We've got some of the initiatives already working. We continue to aspire for the 16% level, right? Now what can go wrong is the fact that, look we see large deals coming, which may have a s tart. But as of now, I think some of that is already factored in. So, the fact that look we continue to follow the revenue part should allow us to meet the 16% level for this year.

Sandeep Shah : And that's the bookkeeping for the Maharashtra cyber security project, is it fair to assume the bulk of the Phase 1 of the revenue in terms of the project completion could be booked in Q4 and Q1 of next year rather than Q3 of this year?

Rajeev Gupta : So maybe without getting the specifics because we already talked about bookkeeping, I'll probably keep it at a level which is understandable. We talked about the fact that Maha cyber is a fixed price project and it is milestone based. So, as we meet the milestones, we recognize the revenue. I think Amit , already talked about the fact that, look you've got a capex part of this deal, which continues to be executed.

The remaining part of it is over the next 3 to 6 months, then follows the maintenance part, which is going to be over the course of next 5 years. We are on course, and that's at least to ensure that look, we are -- and like I said, some of this is already planned for. It's not that we will see any one-off bump because of it, it's all planned for in Q3 and Q4.

Sandeep Shah : Okay , thanks and all the best.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global . Please go ahead.

Dipesh Mehta : A couple o

f questions. First about SG&A. You indicated about some normalization of SG&A spend. Do you expect absolute number to go down because of the investment which we made, and you highlighted in a few areas where we made investment? AI, SDV leadership all that stuff . So, first question, whether absolute amount of reduction you are expecting or absolute remain same revenue growth will drive some kind of percentage benefit?

Second question is about headcount. If I look at headcount addition remain muted, considering the ask rate what we are aiming for in H2. Do you expect headcount addition to mirror it, reflecting the ask rate? Or you think there is enough utilization potent ial available , which can require much lower headcount addition entering into H2?

And last question is about segmental margin. If I look Tech and Sustainability margin, segment margin remain under pressure for both the segments. So, if you can provide some details on what is playing out because Sustainability had a good quarter, but margin remained under decent sizable pressure kind of thing?

Rajeev Gupta : Dipesh, let me answer to all 3 of your questions. So first, on the SG&A side, I think both will play out, both the percentage and the absolute will play out. I already talked about that SG&A should normalize at about 10% levels. So, we should see certainly an improvement. And part of that will come because you're seeing growth. Part of that will come in absolute as well, right .

Second, in terms of the headcount addition. What you may have noted over the past few quarters, I think we've got the headroom to deliver growth with the headcount that we've had, even going forward, at least for the next couple of quarters, we see the headroom. Some of th at has been planned consciously given that we have some large deals going on. So, we've got the headcount ramp up. Keeping in mind that these deal wins have transpired or likely to transpire. So, you will

not see a lot of headcount addition coming in the next 2 quarters. And that also dovetails to the fact that look, you will see revenues drop down to margins.

Lastly, on the segment margin. So, if you look at Mobility at about 19.4%, that indeed has improved compared to Q1. If you look at Sustainability, it has been around that 25% to 26% level. What you saw in Q1 was probably slightly better off compared to where it has been. So, it's kind of normalizing between that 25% to 26% level. Wherever there's an opportunity to see revenue and optimize in terms of cost, you will definitely see that trickle down in terms of margins for Sustainability.

Tech, it's a mix of a lot of businesses, including Smart World. Like you've known Smart World relatively is at lower margins compared to the other businesses. But what you will see in H2, this business also will have improved margins relative to what we've seen in H1. So those are some of the points I wanted to share for your questions, Dipes h.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. Pinku Pappan for closing comments. Over to you, sir.

Pinku Pappan : Thank you all for joining us on the call today. We hope we were able to answer most of your questions. If there are questions that you'll still need clarification on, I'll be happy to answer them. And we really hope to meet all of you during the course of this quarter. With that, on behalf of the leadership team here, we are signing off and have a good day. Thank you.

Moderator: Thank you. On behalf of L&T Technology Services Limited, that concludes this conference.

Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Feb 2025

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National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra -Kurla Complex Phiroze Jeejeebhoy Towers,
Bandra (East), Mumbai — 400 051. Dalal Street, Mumbai - 400001
NSE Symbol: LTTS BSE Script Code: 540115

Dear Sir / Madam,

Subject: Transcript of Q3 FY25 Earnings Conference Call held on January 15, 20 25

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Q3 FY25 Earnings Conference Call organized by the Company on January 15, 202 5.

Kindly take the above information on record .

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prasad Shanbhag
Company Secretary & Compliance Officer
(M. No. A 30254)

Encl: As above

L&T Technology Services
Q3 FY25 Earnings Conference Call Transcript

For the Earnings Call held on January 15, 202 5, 19:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ABHISHEK SINHA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. ALIND SAXENA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. RAJEEV GUPTA – CFO,
MR. PINKU PAPPAN – HEAD, INVESTOR RELATIONS

Disclaimer: Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statements. L&T Technology Services Limited (LTTS) does not undertake to update an y forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day and welcome to Q3 FY25 Earnings Conference Call of L&T Technology Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pinku Pappan. Thank you and over to you, Mr. Pappan.
Pinku Pappan: Thanks, Renju . Hello, everyone , and welcome to the Earnings Call of L&T Technology Services for the third quarter of FY25. I am Pinku. Our financial results, investor release and press release have been filed on their stock exchanges and are also available on our website , www.ltts.com .
I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website approximately 1 hour after the call ends.
With that, let me introduce the leadership team present on this call. We have Amit Chadha – CEO and MD; Abhishek – Executive Director and President; Alind Saxena – Executive Director and President and Rajeev Gupta – CFO. We will begin with Amit providing an overview of the company performance and outlook, followed by Rajeev who will walk you through the financial performance.
Let me now hand the call over to Amit.
Amit Chadha: Thank you, Pinku. Let me start by wishing all of you and your families an amazing 2025 filled with happiness, prosperity and health.
The last quarter , Q3 has been a strong one. Let me share key highlights of our performance:
• Revenue grew by 3.1% in constant currency led by our Tech and Sustainability segments where the demand outlook has been steadily improving.
• Tech led the growth with 11.1% , followed by Sustainability with 4 .0% in constant currency.
• Our ‘Go Deeper to Scale’ strategy under which we made focused investments in the first half of the current fiscal has started yielding early results - visible in our deal booking s, growth and margins .

o In Q3, we had the highest ever large deal bookings aided by eight deals across segments - one $50 Mn deal, two $35 Mn plus deal, two $25 Mn plus deals and three $10 Mn plus deals.
o We continue to see a robust edition to the large deal pipeline - on the back of engagements with customers on both new -age product and platform development and business transformation.
o In line with our aspiration, EBIT margin in Q3 has improved by 110 basis points to 16.2% excluding non -operational expenses on account of M&A.
• Additionally, Intelliswift acquisition was completed earlier this month. My compliments to Rajeev and the entire M&A team and Intelliswift leadership. Intelliswift will help us enhance our AI, digital and software product engineering capabilities , and expand the addressable market for us, thereby offering us a higher growth trajectory in the future.
• Over the years, we have been building a platform to recognize and celebrate engineering innovation being done by our customers. In Decemb

er, we held the 3rd
edition of the Digital Engineering Awards jointly hosted with ISG and CNBC -TV18.
• I am happy that this time , the event witnessed a record 230 -plus nominations
showcasing groundbreaking contributions . This prestigious platform underscores our
commitment to innovation while fostering deeper client intimacy and vital industry
collaboration.
Now let me take you through our segments
Starting with Mobility
• First, the positives:
o We continue to see a growing deal pipeline in the key growth areas of SDV and
Hybridization.
o There are a good number of consolidation deals in Auto and Commercial
Vehicles across all geos – US/Europe and Japan. We won two large deals in Q3,
one a vendor consolidation deal with global Tier 1 , and another with a new age
OEM for EV product design.
o Aero & Rail are also seeing a gradual upswing with more deals in pipe. We are
in discussion leveraging our AI based solutions that address Operational
efficiency requirements of Airline and train operators.
• Now let me address the challenges which are in addition to the furloughs that impacted
us in Q3:

o Select OEM ’s and Tier 1 ’s are going through challenges and that is
leading to pause in some projects and spending
o There is weak demand in Agriculture and Construction sector due to
uncertainty around potential changes in tariffs
• Therefore, we declined by 5.2% in constant currency in Q3 , with some parts of
the portfolio doing well while others got impacted.
• We are, however, not slowing down on technology investments, the cutting -edge
solutions that we have developed for SDV - like LTTSiD RIVE – which is our
proprietary framework for accelerating SDV implementation , are helping us win
new engagements and expand our presence.
Overall, for Mobility we see a good number of large deals in the pipeline including at Tier 1’s
and OEMs where vendor consolidation is giving us gains. We expect Mobility to show muted
growth in Q4 but grow for sure and then pick up from Q1 onwards on the back of deals and new
end programs that we are likely to start in the current quarter. So , this segment will grow in the
current and next fiscal.
In Sustainability ,
• We had another strong quarter with 4 .0% growth in both Process and Industrial
firing well.
• At Industrial , we're seeing large deals in the pipeline , in the $20 Mn + and
upward range. These are proactively created deals that are getting seeded by
aligning with the customer's business transformation linked priorities.
o For example, we signed a large deal with a U S based machinery
company for the Oil and Gas sector that help them on design and
development of software and connected platforms.
• Within Industrial, the Energy sub -segment is seeing an upswing in spends –
especially in electric controls and micro grids.
• In Process segment, we continue to see strong demand across O&G and FMCG,
in project engineering and plant modernization . Key clients continue to ramp up
with us.
• We won a large deal to set up an Integrated operations center for a European
O&G major. In addition to Plant Engineering expertise, we will cross pol li-
Innovate our SWC capabilities also, as it involves setting up an integrated
command center for the plant s. We expect to win more of such deals cross -
leveraging segmental capabilities across our O&G customer base.

• In another large deal, we expanded our engagement with an O&G major to

enhance their operational processes by leveraging our offshore engineering
centres .
• Within FMCG, we see strong demand for plant modernization, digitization – as
customers want to improve operational predictability.
Overall, for the Sustainability segment, we see an increased large deal pipeline – both at Process
and Industrial and exp

ect the growth momentum to sustain.
In Tech ,
• We had a strong rebound with 11.1% growth led by C ommunications , ISV , Media
and MedTech sub -segments.
• In com munication s, demand is strong in the areas of network performance
management, network monetization and AI -driven automation.
o We signed a $50 Mn deal with a global network provider – again
leveraging our SWC capabilities , to provide Product Integration Services
and to leverage AI frameworks to drive automation.
• In the Media sub -segment, we see product development and sustenance large -deal
opportunities.
o With a European media and entertainment company, we won a large deal
to design, develop and deploy next-generation entertainment and
broadband products worldwide.
• In the Med -Tech sub -segment, demand is being driven by QARA and Digital
Manufacturing - where we are leveraging our factory of the future framework.
o We won a large deal with a global healthcare OEM to support them in
complaints handling, remediation and supply chain optimization.
• Our software -defined endoscopy solution in collaboration with NVIDIA is finding
good traction with OEM 's and healthcare providers.
• In SWC, we are building a pipeline in the Middle East where we see opportunities
in Smart City Safety & Security and Smart Operations.
• We are quite optimistic on the ISV segment which is getting rolled up under the
new sub -segment called Software and Platforms , as customers are spending
heavily on new platforms and technologies. This will allow us to immediately have
3 Hyperscaler accounts which are 20 Mn+ each with a wider footprint. Equally

importantly, we will now be able to address a service -led sector namely Retail,
Fintech and Healthcare which are new and promising markets for us .
• For example, the ER&D spend in Fintech totals about $143 Bn of which $8 Bn is
only addressed by service providers. Similarly, in retail there is a total spend of $
47 Bn out of which $4 Bn is addressed and in healthcare a total of $400 Bn is there
of which only $14 Bn is addressed. These new markets will add tailwinds to our
growth as we look at FY26 and beyond.
Overall, we see a good number of deals in play in the Tech segment and expect growth to
continue.
Now , a few updates on our Technology and Innovation Charter:
• Our engineers added a total of 5 4 patents in Q 3 and our cumulative filing s stands at
1,448. In AI /GenAI specifically , we have filed 174 patents cumulatively.
• One highlight in our AI progress - we inaugurated a NVIDIA AI Experience Zone at
our Bangalore design hub aimed at enhancing AI capabilities for our clients in
Mobility and Tech.
• We have started internal R&D programs on Agentic AI, an autonomous system that
enables automation, autonomous operations , and will improve decision -making.
With that, let me now provide colour and discuss the outlook for the future :
• We are encouraged with the deal pipeline and the good number of large deals – in the
25-100 Mn+ range that we are closely tracking.
• These deals are across segments and have been seeded as a result of focused
investments we have made at the start of the year into new age technologies and
leadership.
• We expect all 3 segments to grow in Q4 FY25 and beyond.
• For FY25 , including Intelliswift our revenue guidance is for near 10% growth while
organically we'll be near 8% .
• And we continue to aspire for near 16% EBIT margin levels for FY25 organically.
• I want to reaffirm our ambition of building 3x $1 Bn segments and getting to a revenue

of $2 Bn with 1 7-18% EBIT margin in the medium term.
With that, I now hand over to Rajeev. Thank you and look forward to taking your questions.

Rajeev Gupta: Thank you, Amit. Good evening to a

ll of you.
I would like to start by wishing everyone a very Happy New Year !
We had a strong performance this quarter across all parameters, Deal Wins, Revenues, Margin and Cash flow. Deal wins like Amit talked about have been the highest ever , Margins in line with FY25 aspiration. We've seen improvement in DSO and Free Cash Flows for the quarter have come in at record levels and all of this despite the seasonality of Q3 and after absorbing annual salary increments.
Additionally, we concluded the acquisition of Intelliswift which positions us well for the future growth with hyperscalers and open avenues for providing services in 3 new markets in the services -led sector namely Retail, Fintech and Healthcare .
With that, let me now take you through Q3 FY25 financials , starting with the P&L .
Our revenue for the quarter was ■ 2,653 crores a growth of 3.1% on sequential basis. Our YoY growth for Q3 FY25 came in at 9.5%.
Gross margin came in at 29 .0% after absorbing wage hikes , and SG&A for the quarter came in at 10.3% of revenue , which is slightly lower than our expected range of 10. 5% -11% of revenue .
Overall, we were able to improve the EBIT margin by 110 bps to 16.2% after excluding onetime non-operational M&A expense. This is in line with our commentary in Q1 and Q2 that H2 EBIT margin will be better than H1 on organic book of business.
Moving to below EBIT.
Talking about Other Income
Other income was ■ 18 crores , lower on a sequential basis due to losses on hedge contracts resulting from USD appreciation.
Effective tax rate for Q3 was 27.4% , in the same range as our expectations of 27.5%.
Net income for the quarter was up 0.9% sequentially and came in at ■ 322 crores , which is 12.2% of revenue. If we exclude onetime non -operational M&A expense, net income came in at ■ 328 crores for the quarter.
Now moving to the Balance Sheet to highlight a few key line items :
Our Q3 combined DSO including unbilled came in at 112 days compared to 116 days in Q2, an improvement of 4 days. Unbilled days was 18 in Q3 compared to 17 days in Q2. We continue to improve this metric as we've mentioned in the past and now aspire for a target range of 110 - 115 days going forward.
Now let me talk about cash flows –

As a result of the improvement in DSO, our Q3 free cash flows came in at a record level of ■ 638 crores , leading to YTD free cash flows of ■ 965 crores which is at 101% of net income.
Our Cash and Investments stood at ■ 3,290 crores at the end of Q3, vs ■ 2,849 crores at end of Q2.
Now moving to revenue metrics :
On a sequential basis , $ revenue growth was 1.7% in reported terms and 3.1% on a constant currency basis. Growth was majorly led by Tech and Sustainability segments.
Now let me comment on operational metrics.
The Onsite :Offshore mix was similar ranges compared to Q2. Offshore percentage now stands at 58.6%. We continue to work on measures to improve to our aspiration of 60% for onshore/ offshore ratio
Client profile greater than $1 Mn – showed a sequential improvement in the 10 Mn+, 5 Mn+ and 1 Mn+ category. The client profile will continue to improve in the coming quarters as well.
Client contribution to revenue – also showed an improvement in the top 5 & top 10 categories compared to Q2. We expect revenue from

top customers to improve going forward as we are
running targeted programs on client mining.

Our headcount for Q3 was 23,465 compared to 23,698 in Q2, while attrition remained stable at 14.4% levels.
Realized rupee for Q3 were around ■ 85.06 to the US dollar, a depreciation of around 1.4% compared to Q2.
With that, let me provide an update on our recent acquisition Intelliswift :
We completed the Intelliswift acquisition on January 3rd of this year.
I take the opportunity to thank my entire M&A team, the promoters and leadership of Intelliswift and, of course, the LTTS leadership team to have seen the conclusion of this acquisition in a record time.
To provide a recap on Intelliswif t, this is a company based in California with about 1,500 employees. Intelliswift serves 4 of the Top 5 Hyperscalers and caters to over 25 Fortune 500 Companies, including 5 of the Top 10 ER&D spenders in Software and Technology.
Starting November, we kicked off an integration management program that will run for the next 12 months to identify and realize synergies on revenue and margins. Over the last 2 months of integration planning , we've already taken steps that has started to show fruition
1. To right size the organization

2. To augment leadership team with senior members from LTTS
3. By launching initiatives to improve margins and
4. Combined ISV business of LTTS and Intelliswift and create d a new sub -segment "Software and Platforms " to super charge growth

Intelliswift as a business has annualized revenues of $100 Mn+ and EBITDA margin in the range of 7% - 8%. This is post taking steps that I just outlined. We still see potential to further improve the margin to double digit as we accelerate revenue growth and reduce SG&A cost by leveraging synergies with LTTS.
Now let me give you some visibility on EBIT margin trajectory going forward.
During H1 FY25, we prioritized investments towards building leadership, technology solutions and capabilities ahead of the curve with the objective to captur e additional market share, accelerat e growth , and improv ing quality of revenues. This was in line with our strategy of 'Go Deeper to Scale' to pivot on growth.
Like I mentioned earlier, our H2 EBIT margins will be better than H1 , and we continue to aspire for near 16% levels for FY25 for the organic book of business.
Starting Q4, we will consolidate Intelliswift financials and expect an impact of around 150 bps on the EBIT margin. For Q4 FY25, at consolidated level, we aspire for EBIT margin to be near 15% levels and will improve to mid 16% levels between Q4 FY27 and Q1 FY28.
Before I conclude, I'd like to announce a change in our Investor Relations function. Pinku, as you all know, in addition to heading M&A for the company will assume a full -time strategic role of leading the integration management office of Intelliswift as w e build our Software and Platforms business. We would like to thank Pinku for steering the Investor Relations functions for the last 8 years and building relationship with the investor and analyst community.
I would also like to welcome Sandesh Naik who now assumes the role of Head Investor Relations for LTTS. He will be connecting with the investor and analyst community starting this quarter. Sandesh joined us from a rep uted Industry house in the country with 20 -plus years of experience in the Investor Relations and Treasury function.
With that, I thank everyone, and I now hand it over to the moderator for questions.
Moderator: Thank you. We will now begin the Q&A session. The first question comes from the line of Sulabh Govila from Morgan Stanley. Please go ahead.
Sulabh Govila: Thanks for taking my question. Congrats on the good deal wins that we reported ,

and the
question that I had is whether we should think of this level of deal wins as sustainable going forward. And given the pipeline that you had right now and if you could also highlight what

would be the average tenure of these deals versus, let's say, what we would have won last quarter?
Amit Chadha: Sulabh, Thank you. So , this is Amit Chadha. So , the deal wins we've got this quarter, we report $10 Mn + wins. So , this has been very robust like we said the best so far. Do we expect this to

continue? We do expect Q4 to come in at similar levels because there is some deals in the pipeline that are expected to close in the very near future as you go forward. Second, the average tenure of these deal is about 3 years.
One colour , I want to provide additionally is that 3 of these deals that we have won are based on our AI, GenAI widgets and solutions as well as proprietary framework that we've established and launched in the last 6 months. Also, the pipeline as we stand today is bulkier and better than it was same time la st year, last quarter , and we continue to operate. In fact, I had mentioned last time that we had reinstitutionalized and organized our large deal engine. We have appointed a senior Chief Business Officer based in Dallas to run this function, beef it up as well as provided extra hands and feet and people by segment in each of the segments that we've got to tailor made some of these deals and proposition that we take to our customers. And we are seeing a fa irly good regard of uptick from our clients in this area.
Sulabh Govila: Understood. My second question is on the Automotive vertical. The outlook that we have provided for Q4 and beyond. So just wanted to understand what's driving that confidence given that a lot of peers have seen ramp -ups being delayed by clients on the deals which have been won very recently as wel l. And then in some cases, there have been project cancellations. So , I just wanted to get your thoughts on the outlook that you have provided here?
Amit Chadha: Sure. So , for us we actually track Mobility, which is Automotive, number one. Number two is Trucks Off-Highway as well as the Agriculture segment , and third is Aero and Rail. Now what we saw in Q3 happe n was that there were furloughs that came in Automotive as well as the Trucks and Off Highway, not in Aero and Rail. We did win a couple of deals like I talked about. Now going forward into Q4, though Automotive will be something that will continue to be in a little bit of a stress in my view for the next couple of quarters, not just one quarter. But because we work in Aero and Rail and because we work in Trucks and Off-Highway, we will see the Trucks part as well as the Aero and Rail part expand. So , I'm confirming that you will see growth coming back in Q4 in Mobility. It will be there and then next year it will continue. Plus, there is a number of large deals. There are consolidation opportunities as well as transformation deals in the pipeline that will help us. Alind my colleague on the board can add a little bit of colour on what we are doing in Mobility.
Alind Saxena: Sure. Thanks, Amit. So, in addition to what Amit has said we have invested earlier in a stack, which we call LTTSiDrive which is primarily around the S DV stack that we are developing. We are seeing increased traction and acceptance of that stack by our customers. In fact, a couple of wins that we have had have been around the solution that we have created. We recently also participated in CES where we had over the last 4 days, close to 120 customers come across and visit that.

And we have achieved a good acceptance of what we are doing. We remain fairly confident that the traction will continue. Aero and Rail just a minute on that both the Rail and Aero there is an incre

ased engagement and particularly in the areas of testing and automation around some of the solutions that we have developed on AI that's gaining traction. We continue to accept that to continue over the next few quarters and fill up th e gap that we would have otherwise.
Sulabh Govila: Understood. Last is just a clarification. The benefit that we were supposed to have on the Maharashtra Cyber deal in terms of the milestone revenue booking, has that completely happened in this quarter or there is some bit of remaining in next quarter as w ell?
Amit Chadha: So it is for the program that we had on Maha Cyber that has been under execution under normal as we go forward. And next quarter also we will see ongoing revenues coming from Maha Cyber.
Sulabh Govila: Thanks for taking my question. I will get back into the queue.
Moderator: Thank you. Next question comes from the line of Abhishek Bhandari from Nomura. Please go ahead.
Abhishek Bhandari: Thank you to the management team and congratulations on the deal wins & the acquisitions. My question is more on financials. So , if I look at your segmental margins for the segment this quarter there was a substantial improvement in the Tech margins. And also , if you look at, I mean if you could explain why this Tech margin has jumped up almost 300 bps on a sequential basis?
Rajeev Gupta: Sure, Abhishek. This is Rajeev here. I'll take that one. So, see in case of our Tech portfolio, I mean, we did see that the EBITDA margins have been lower over the last few quarters and there was a focused effort in terms of improving margins in this particular segment which led to operational improvement. In addition to that, within Tech segment we've seen our Medical segment to be relatively higher which has resulted in what you see almost about 300 bps of incremental margin sequentially in Q3 over Q2.

Abhishek Bhandari: Got it. And is it also a reason why your fixed price contribution went up from 37% to 41%?
Rajeev Gupta: So, see I think we've talked about it earlier. We don't generally see benefits on account of a fixed price or a T&M. I mean they are fairly concentrated across portfolio. So , I would not give colour saying that if fixed price increases, it will lead to additional margin.
Abhishek Bhandari: Got it. My second question, Amit, is to you. While you're reconfirming 10% including Intelliswift and organic is around 8%. The Q4 numbers, if my math is correct is upwards of 6% growth. So , is that confidence coming on back of only residual revenue from cyber projects of Maharashtra and if we get ramp up of the projects and the pipeline or is there anything beyond that?
Amit Chadha: So, there's a little bit of background noise. But if I understand your question, it was where the growth will come from. So, number one, we expect all the three segments and all sub segments to grow number one. Number two, we are aware of the ask rate of Q4 and we are comfortable at

this stage in confirming that we will be able to meet that. Number three is that the deal wins that we've had in the last couple of quarters are giving us that confidence that we'll be able to go forward with it.
So that's where we are plus there's a little bit of seasonality that will come in , of smart world that came in last year as well, but that's good for us. And as you can see the margins have improved. We'll be able to take that forward as we move forward. In addition to that, there's an inorganic part of Intelliswift that will get accounted in ou r books from 3rd January . And that will give us that upper end of the guidance that 10% number that we talked about.
Moderator: Thank you. Next question comes from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Thanks for taking my questions and congrats on a very solid performance and a strong deal win. So,

Amit, I have one question for you and two after that for Rajeev, maybe. So, I think the strong deal win as you have mentioned in the pipeline also appears to be quite strong. Any colour on the conversations that you're having with the clients in terms of their excitement or apprehension either way with the new government had to take charge in US , I mean the macroeconomic data also has been kind of robust. So, are the client conversations happening around incremental spends in the R&D new pockets being open ed up or is it still a tale of caution as we had seen in the last quarter, the pre -election caution and will be some time before we are over that?
Amit Chadha: Yes. So, there are certain areas that are cutting across if I may or that we are seeing growth trends in. So, AI, GenAI, we continue to see increased traction work going on. In fact, we are ourselves investing now in Agentic AI , and when I come back in April, I'll give you a little more colour on that as we move forward.
Second, Software -Defined Everything and NextGen software is something that people are continuing to invest and do projects in. Third, Industrial Automation is attracting with Digital Twin, Digital Thread is attracting spend and budgets for this year. The re -jigging of supply chain continues and therefore, Plant as well as Oil and Gas continue to see that demand.
There's another area we're starting to see green shoots is Compute and Embedded Hardware and I will start quantifying these as we go forward in some of the project wins that we do in the subsequent quarters. And finally, there is consolidation, and transformation deals that are there in the pipeline.
Now when I look at the commentary that people are making right now see , and I'll go segment by segment. If I take the Tech segment barring a couple of Semcon majors which are publicly known to have issues, we see growth to continue in that area in the Tech segment and MedTech as well as well as the Comm Media Tech area.
If I move to Sustainability other than certain parts of Industrial Machinery that we believe are a little bit slower, but Oil and Gas, Chemicals, Electrical Power, Data Center Power, etc, continue to spend.

When I look at Mobility, Automotive is under stress and I'm acknowledging that.
However, Trucks and Fleets, and Aero & Rail continue to invest as we go forward. And then there are subareas, etc. So , I'm fairly confident and comfortable in saying that FY26 will be a better year than FY25.

Vibhor Singhal: Got it. Thank you so much for that elaborate answer. And just to recheck, you don't see any geopolitical impact at least on the verticals that you mentioned, and you expect the momentum to continue in those verticals?

Amit Chadha: See, we are a glocal company, globally at glocal . See, the Intelli swift acquisition has given us another 500 employees just in the US, mostly local citizens. We continue to provide local offers and continue to work on that providing local offers in the US, Europe & Japan. We've got recruitment engines that are sitting there that do that. And I'm fairly comfortable at this stage, unless something comes along tomorrow that I haven't thought of. At this stage, we are fairly comfortable where we ar e sitting for CY25 and FY26.

Vibhor Singhal: Perfect. So glad to hear that. I just have two follow -up questions for Rajeev. So, Rajeev on the margins front, a very strong performance in this quarter. Just wanted to pick your brain a bit more. I mean this quarter; we had growth driven by ROW and India which we would typically associate with maybe not as high -margin projects as maybe US and Europe. And this quarter also had the wage hike impact.

And despite that, we have not just been able to expand our overall margins but also gross margin. So, could you just provide some colour on that and how should we look a

t it going forward as well on the organic basis?

Rajeev Gupta: So, Vibhor, to address we did mention in our Q1 and Q2 commentary that our H2 margin will be better than H1. We had prioritized investments in H1, both in Q1, Q2. Some of these investments have yielded results, both in terms of Revenue and Margin as well and we continue to see the Deal wins that Amit articulated.

Now if I were to really look at summarizing the entire year, I have shared the aspiration that we will want FY25 to come in at near 16% EBIT levels. We continue to work upon that. That remains our aspiration. Now if I look at as a combined business and jus t to clarify the overall question because we are going to consolidate Intelliswift. I've also highlighted that we will come at that near 15% levels.

Now if you look at the breakdown, gross margin came in at about 29% which had probably about 100 bps of wage hike impact, we were able to absorb a large part of that. And hence you saw gross margin come down by about 30 bps. I think there's still possibility of improving. We still have avenues around quality of revenue, improvement in pyramid, operationa l efficiency.

On the SG&A side, you would have already seen it come at about 10.3%. Our aspiration is to maintain between that 10.5% to slightly over those levels. So , there are of course opportunities

that we still continue to work towards to see the aspiration realize for FY25 on the organic part of the business to come closer to or at about 16% level.

Moderator: Thank you. Next question comes from the line of Ruchi Mukhija from ICICI Securities. Please go ahead.

Ruchi Mukhija: My questions were answered, but picking your brain now, can you give us puts and takes now which went to this quarter's margin?

Rajeev Gupta : So, I would highlight two to three things. One, of course, the growth in revenue. I mean quality of revenue always helps us to be able to continue to improve margins, that was one. Second, we had mentioned Q1, Q2 that we are going to make investments those are planned investments, in terms of building leadership in terms of building solutions and capability. Some of those investments have certainly yielded results and we are not seeing those levels of investment in Q3, of course, which leads to improvement. The third is if you look at the i ncrement that we had planned close to about 100 bps was the impact of the increments. The increments are rolled out effective 1st November . So, it was not an impact for a full quarter. And I think given the fact that there were a lot of operational improvements. I talked about specifically in terms of the Tech business, all of these three put together certainly helped us in terms of improving the margin.

Ruchi Mukhija: Next quarter, do we see the ramp -up of the large deal win adding some cost burden?

Rajeev Gupta: See, we've been seeing large deal wins in the previous quarters also. So , I think the blend of the existing business as well as a new business, I think that's working quite well. So , we don't see an impact because of large deals ramp up in the coming quarters.

Ruchi Mukhija: And then last bit, in our Mobility vertical, could you specify how much is the Automotive exposure of ballpark would also do to distinguish how much now good growth of portfolio versus an area where we are facing challenges?

Amit Chadha: So, we don't normally provide the break -up between Auto, T&OH, and Aero. I know what you're trying to do, ma'am, you're trying to figure out as to what will be the percentages. So let me assure you that Mobility will grow on the back of some of the deal wins that we have had plus Aero and Rail, and Q1 onwards I do believe that Auto with the wins we are having will grow

again. That's where we are.
So, it will be lower growth in Mobility. I mean we again working on the quantum, the quarter has not d

one yet just started, but Q1 onwards will be regular growth, but I'm confirming that there will be growth in Mobility in Q4, ma'am.
Ruchi Mukhija: Thank you. All the best.
Moderator: Thank you. Next question comes from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Two questions actually. So , one is on the margins. So , to achieve the 16% organically, basically you need at least 80 bps margin expansion next quarter, but I think you'd have a 50 bps headwind from wage hikes as well and if that's uniform. And obviously, there's a SWC pickup which is also a headwind to margi ns. So just wanted your thoughts on what will drive this in Q4?
Rajeev Gupta: All right. Sure, Nitin. So let me clarify. I think what you said in terms of the seasonality of the SWC business is correct. I mean we tend to see SWC business to be higher in H2 relative to H1. And yes, I think there's been a conscious effort in terms of improving margins on the SWC business as well. So , it's not going to be as much of a headwind compared to what we saw in the previous year.
Having said that, there are a lot of tailwinds that we continue to operate with. One, of course, the growth, I talked about the quality of revenues that will be a positive factor in Q4 as well. The second is I think levers like optimization of pyramid, offshoring, operational efficiencies. These are all areas that we look at in terms of seeing the margins that we aspire for.
I think, the math part that you talked of, maybe I'll request you if you can talk off -line to Pinku and Sandesh because we don't believe that will require us to see the margin uptick to that level, but you can certainly take it offline. Like I said, we con tinue to aspire to come near to 16% level and we believe it's got a fair bit of comfort level around it.
Nitin Padmanabhan: Right. A clarification on , earlier you mentioned EBIT margins will be near 15% levels and improved to mid -16% between Q4 FY27 and Q1 FY28. Did I get that right?
Rajeev Gupta: Okay. Thanks, Nitin, to bring it up. Let me clarify. The aspiration for FY25 on the organic book of business is near 16% EBIT levels, that's one. Second, we are going to consolidate Intelliswift business beginning Q4. The acquisition concluded on 3rd January . As a result of that acquisition, we will see an impact of 150 basis bps on account of that business. That business is a $100 Mn annualized business with an EBIT margin range of 7% - 8%. And we aspire for Q4 as a combined financial to come near 15% level. So that's the second one.
In terms of the integration plan that we put over the next 8 quarters, we see the overall consolidated financials to improve to mid -16% levels between Q4 FY27 to Q1 FY28. So , I hope that's clear, Nitin. I just wanted to break down. There are three steps to it.
Nitin Padmanabhan: Yes. It is absolutely clear. Thank you so much for that. Just one last one is on the Automotive side, it would be great to have your views on how you're seeing customer behaviour across the three regions which is the US, Europe and Asia. How are you seeing relative demand across those three regions and how do you see recovery between those regions?
Amit Chadha: So, Nitin, thank you. Nitin, two things here, I will address Automotive, but my friends and colleagues in Sustainability and Tech are starting to feel very ignored and bad. So, I'll address that as well for you from a demand standpoint. So Automotive, look, if you look at it from a spend standpoint, I do expect that Tier 1s are in a clear challenge and a challenging environment globally across the regions.

And no one region is better than another and you've seen this play out with various results, et c.
Now if you look at OEMs, I do see the West Coast OEMs continuing to spend and the De

troit
majors also making room in terms of expansion. There are a couple of European OEMs that are continuing to spend and, in the Software -Defined Vehicle area , let's be clear. And Japan seems to be a little resilient as well.
So do I expect Automotive to come back to rebound very quickly. No. If I was looking at our crystal ball, I think that it will be Q2 of next financial year. When you see that something

meaningfully coming back in that area. Having said that, Industrial is growing. The supply chain region, the new plants coming up, the Industrial Automation is actually fuelling a lot of opportunity growth and pick up in the Sustainability sector that we call it which is Discrete and Process manufacturing.

We also see the Tech spends coming back and are back already. So MedTech as well as Comms Media, Semiconductor, Consumer Tech, Hyperscalers actually spending very well. Barring a couple of Semcon majors, Semcon also is spending. So I would request when you build a model to keep that in view because that our world of three segments and trying to build a billion dollar in each is what I would focus on, given that we are CrossPolli-innovated across and therefore, we'll be able to weather a storm of Automotive which is a small part of our entire portfolio in a much better manner.

Moderator: Thank you. Next question comes from the line of Vikas from Antique. Please go ahead.

Vikas: Hi, Sir. Thanks for the opportunity. I have two questions. First, following the acquisition of Intelliswift, we were confident of achieving an organic growth of 8% to 10%. What factors have led to this revise in outlook that now we are expecting our organic growth to be closer to lower range, that is around 8% .

And my second question is in the previous quarter, you mentioned election -led uncertainty and macro led to -- that has had some impact on deal booking. Now that Q4 deal bookings are similar to Q3 is what you believe will happen. Is that primarily due to ca tch-up from the first half where closures were weak as previously indicated or this is more structural?

Amit Chadha: I'll answer the second question first. So , deal wins yes, in H2 are stronger than H1. And see, we made some investments in H1 and that have helped us and build the differentiators further that is helping us with the wins in H2. And given where the pipeline is right now, I do expect current levels or similar levels going forward to stay. So that is point number one, plus the structural changes we have made in terms of creating more pipeline, et c.

On the first part look when we came to you at the beginning of the year, we had told you clearly we are at between 8% - 10%. And we have also stated that we will have to sell in the year to be able to get to that 8% - 10%. Now some deals get delayed at times and Automotive slowdown was not anticipated at the level that the Automotive slowdown has happened, but every year you go through something will fall off, something will fall on, this happens. And that's why there is a range.

So, I am actually pleased that we are within that range that we are coming in at. In addition to that, if you remember, we had an aspiration to get to that $1.5 Bn run rate which is organic plus inorganic. And we are pivoting on growth. I actually would like to call out and I'm surprised I didn't see any questions coming in that area, but see we had been missing, if you ask me, in the tech-led, the service -led ER&D which some peer group companies have been leveraging fairly significantly.

The service -led ER&D which is in Fintech, Retail and Healthcare is actually another area that will show expansion and promise. Now it will take a little bit of time and that's why I said that as I look at FY26, I look at FY27 our own models were right up to FY31. We do see that becoming a contributing factor of growth as we move forw

ard. And that is an additional channel your company has opened with the Intelliswift acquisition.

Vikas: Thanks a lot. Thank you.

Moderator: Thank you. Next question comes from the line of Manik Taneja with Axis Capital. Please go ahead.

Manik Taneja: Thank you for the opportunity and congratulations for the steady performance. Just wanted to prod you further with regards to an aspect that you've highlighted with regards to a factor that aided your margin performance in terms of the quality of revenue what would that imply? Is there some element of milestone -based revenue recognition, given what we see from your geographical breakup of revenue?

Is that the way to essentially understand that? And the second question was with regards to SG&A expenses. We went through significant investments in first half. How should we be thinking about this cost on a go -forward basis over the next 4 quarters to 6 quarters?

Rajeev Gupta: So Manik, let me take your question on SG&A first. See, we've talked about a range and in Q1, Q2, we were ranging more towards 11.5% of revenue for our SG&A cost. That has now come down to almost 10.3% levels. What I would guide is to factor a range of between 10.5% - 11% for our SG&A cost because we will continue to look at opportunities.

So, it's always going to be a continuous effort. Now coming to the margin part. I think I articulated the factors that helped us in terms of improvement in margin. One, the fact that look

there has been growth a decent growth that we saw in Q3 which by the way is a seasonal quarter.
If you were to ever compare previous years. I mean, Q3 is a tough quarter to navigate, but we have indeed seen growth coming in this quarter.
And, of course, when I talk about quality of revenue, it essentially means that these investments that we called out in H1 have yielded benefit. A lot of these projects are -- basis new technologies that we've been able to take to the customer and offer th em as solutions and capabilities which has led to higher deal wins. And of course, growth in segments such as Sustainability and Tech.
And within that, particularly Industrial and Medical which are our high -growth segments have started to show improvement. I think we called out in addition to Plant Engineering, Industrial

is showing promise and that indeed is happening. Similarly, in the Tech segment Medical is continuing to show promise from year on and those are a few factors that have aided in the margin.
To me, again, bunching it all together this is what I really call about the quality of revenue which helped us on the margin side. Going forward also, much like what Amit talked about in terms of the growth aspiration to be between 8% -10% that should aid us in Q4 in addition to a lot of the operational efforts to improve margins.
Manik Taneja: Sure. And second question was with regards to the way we are seeing our headcount metric trend. We've been -- while you've been talking about a higher fresher intake through the course of the year, when I look at your headcount addition has been very muted through the course of FY25 year till date. How should we be thinking about this metric going forward given the strong deal activity and your expectations of growth pickup across almost all the segments?
Amit Chadha: If you ask me, there are a couple of things that have fundamentally changed in the industry over the last couple, 3 quarters, maybe 6 quarters, et c. See if I'm going to tell you that our headcount has been flat YoY , we have still delivered YoY 8.7% in constant currency terms. Now where do we go from here? I can tell you that the way we are right now, we've been able to so it's not just improving our utilization. It is A , improving our utilization. B, there's a lot more automation AI that is being leveraged for operations.
Third, there are widgets, e

tc . that we are being able to use. So that therefore, if you look at it we stopped providing utilization at some point because we said it's no longer a relevant metric. I'll be honest with you; I don't think that adding headcount in our industry is going to be a lead indicator of growth anymore.
If anything, lead indicator of growth is going to be TCV intake as you go forward. Also, companies that continue to invest in technology will continue to survive and thrive because the old business is going away. So , if I look at next year and I say that I'm going to do better than current year, please don't expect headcount to get added drastically, though there will be headcount addition.
There is a non -linearity that is coming in, in the revenue growth aspect, given automation given all these aspects. And you will continue to see that play out not just with LTTS, but the industry in general. Having said that, we are reiterating our commitment to add 2,000 plus freshers in FY26.
Work is already underway. That like Rajeev said will help us in the pyramid further and we will continue to work on various other optimization measures, including increasing offshoring, increasing managed projects, leveraging our widgets, etc, to improve t he margin and unlock further value for customers and then for ourselves as well.

And some of you that were there in IAD would have seen some of the tools that we showcased around AI, in Medical we showcased tools in Software -Defined life cycle that is allowing us to be able to execute and testing. That is allowing us to execute projects with lesser headcount.
Moderator: Thank you. The last question comes from the line of Karan Uppal from Phillip Capital (India). Please go ahead.
Karan Uppal: Amit, just wanted to check the outlook on Oil and Gas sub -segment. The incoming US President is quite vocal of increasing the crude oil production levels which ideally should be beneficial for this vertical in terms of Brownfield and Greenfield investments. So how are you thinking about this from next year perspective?

Amit Chadha: So, Karan, I did mention during my commentary as well that Oil and Gas, Chemicals will continue to grow. They're not just that they are doing more drilling or any of that. But there is the output is changing. The chemicals that are coming out of these refineries now as an output is different than it was 5 years ago, 7 years ago .
So, there is upgrade of plants happening. The whole supply chain is being changed there and that is again creating work for us. We are very actively -- in spite of headcount being flat, we are very actively hiring in the Plant Engineering segment. We are also seeing a lot more Digital Thread, Digital Twin, Industrial Automation work coming out in the Oil and Gas, Chemical area. And I expect this to continue through CY25 and beyond, and I see an upside there.
Karan Uppal: Okay. Thanks for that. Secondly, on Auto vertical. So SDV was believed to be a big growth driver for ER&D players. So , do you believe that this SDV opportunity, the large deals in SDV is pushed back by a few quarters due to the stress in OEMs?
Amit Chadha: No. What's happening is, see the SDV spends are there. But like my colleague talked about, Alind talked about that some of these model years that were being developed, they have decided to push the model. So whatever features they were thinking they will develop for model year, let's say, 27 or 28, they're pushing it out for model year 30. So , if they push it out for model year 30, that means that they will take another 2 years, so they're not going to be able to spend that money. That is one.
Second, there was a lot more focus on Electric , Hybrid that was happening and that has sort of pause right now because given the change in direction potentially that may come in US, Europe. US and Europe relax the conver

sion in the rules by a few more, let's say, 3 more years. So , they get 3 more years to do that.
Third, nobody is talking about it, but we're seeing early projects coming out in range extenders. So earlier you would have hybrid means you've got an ICE engine and then you're going to have an electric motor with it. Think about the other way around wher e you actually have an electric stack up and you've got a fuel engine or a gas engine that's a range extender that allows you to buy the vehicle and then drive it not just in a suburban area, but also in the rural area.

So, a lot of that discussion going on. See, I was -- we were at CES like my colleague said, there's a lot of new advancements, but then you need paying customers. And I believe that given a couple 3 quarters, a lot of excitement in new models, but will take a little bit of time is how we see it.
But having said that, a lot of that what is happening and those that were at CES or saw the commentary will realize where last year CES was largely automotive. This year CES was balanced around Automotive, around Off-Highway, around Consumer Electronics, around health care as well as industrial and AI, of course. So, it was a very balanced experience, I would actually recommend that you do get some notes on CES.
We'll be happy to talk more about it. But we will give you the colour and complexion of how the world will grow beyond automotive and in spite of automotive.
Moderator: Thank you. Ladies and gentlemen, due to time constraints we have reached the end of Q&A session. I would now like to hand the conference over to Mr. Pinku Pappan for closing comments.
Pinku Pappan: Thank you all for joining us on the call today. We hope we were able to answer your queries. If there are any follow -ups, we'll be happy to address them. With that, we are signing off for today and look forward to interacting with you through the quarter. And I wish all of you a very good evening and a good day. Thank you. Bye -bye.
Moderator: Thank you. On behalf of L&T Technology Services Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Apr 2025

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NSE Symbol: LTTS BSE Script Code: 540115

Dear Sir / Madam,

Subject: Transcript of Q4 FY25 Earnings Conference Call held on April 24, 2025

Pursuant to Regulation 30 and 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Q4 FY25 Earnings Conference Call organized by the Company on April 24, 202 5.

Kindly take the above information on record .

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prasad Shanbhag
Company Secretary & Compliance Officer
(M. No. A 30254)

Encl: As above

L&T Technology Services
Q4 FY25 Earnings Conference Call Transcript

For the Earnings Call held on April 24, 202 5, 19:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ABHISHEK – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. ALIND SAXENA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. RAJEEV GUPTA – CFO,
MR. SANDESH NAIK – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day and welcome to Q 4FY25 Earnings Conference Call of L&T Technology Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandesh Naik, Head of Investor Relations . Thank you and over to you, Mr. Naik .
Sandesh Naik : Thank you, Ryan. Hello, everyone. I am Sandesh and welcome you all to the earnings call of L&T Technology Services for the fourth quarter of FY25. Our financial results, investor release and press release have been filed on the stock exchanges and are also available on our website, www.ltts.com .
I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website approximately 1 hour after the call ends.
With that, let me introduce the leadership team present on this call. We have with us Amit Chadha – CEO and MD; Abhishek – Executive Director and President; Alind Saxena – Executive Director and President and Rajeev Gupta – CFO. We will begin with Amit providing an overview of the company performance and outlook, followed by Rajeev who will walk you through the financial performance.
I now invite Amit for his opening remarks.
Amit Chadha: Perfect. Thank you, Sandesh, and thank you all for joining us on the call on a busy results day today. You'll have to bear with me with my voice today. I have a little bit of a throat infection, but I'll try and do my best.
We hit 3 major milestones during the quarter :
• Crossed ■10,000 crore in annual revenue . With this, the company has an annualized run rate of $1.4 billion
• Registered highest ever large deal TCV bookings, higher than Q3 as well, which was a record for us in itself
• Surpassed 1,500 patents filing till date

Coming to Q4 Results and highlights :
• Even in a tough market environment, we had the third straight quarter of sequential organic and overall growth in Q4FY25
• Industry -leading revenue growth in USD , was up by 10.7% , led by Tech and Sustainability segments
• Continuing from Q3, our large deal momentum recorded the highest ever TCV bookings , including one $ 80 Mn+ deal, one $ 50 Mn+ deal, along with $ 30 Mn+ one deal, $ 20 Mn+ one deal and three $10 Mn+ deals. Order inflow, as I look at it on these large deals alone, is up QoQ more than 25%
• Half of these deals were won against competition , reflecting our growing market share based on our differentiated offerings, which we had invested in during the first half of the year; AI, Gen AI and other technologies
• We had anticipated better revenue growth in Q4. However, during the quarter, the overall macroeconomic environment created unexpected headwinds for us
o Few of the large deals we won saw delay in ramp -ups and signing of some

large deals got deferred to the end of the quarter. As you're aware, we announced one deal on the 31st of March as well
o In order to support sele

ct strategic customers some of our proprietary software solutions and niche engineering work, which was done, had to be done on an investment basis. We believe this will help us in strengthening our case for larger deals in the futur e, building bigger market share, wallet share as well as growing these accounts further. There are some of these soft agreements we have based on this
• Lastly, the EBIT was 13 .2% for the quarter
o This had the impact of Intelliswift integration during Q4 as we had shared in the previous earnings call
o The higher growth in SWC revenue
o And additional costs on supporting customers and related investments that I just talked about earlier
• We continue to focus on levers to manage our operations effectively
Now for the full year FY25 :
• In FY25 , we delivered a growth of 8.9% in USD constant currency

• As per analyst reports, India Inc. has been growing at 6%. So, we're broadly happy that your company has grown higher than industry
• Sustainability grew 5.7%, Mobility grew 9.3% despite a challenging year while Tech including Intelliswift grew 11.3% in USD Constant Currency
• Europe led the charge recording the strongest growth of ~ 21% for us. All other geos showed positive growth
• Large deals : In FY25 , we closed a total of 32 deals greater than $10 Mn in TCV , which includes one $ 80 Mn+, three $ 50 Mn+ , five $ 30 Mn - $50 Mn range and 10 in the $15 Mn - $25 Mn range. All -in-all, fairly satisfied with what we've been able to close. I do expect this deal momentum to continue
• Technology :
o We are proud that we surpassed 1,500 patents filing in FY25 cumulatively, including 573 filed for LTTS and 929 on behalf of our customers. Of these, 190 patents are in the AI and Gen AI domain alone reflecting our focus on advanced technology. With an average of 50 patents added each quarter, our total filing for FY25 now stands at 206
o NVIDIA invited and partnered with LTTS across three areas - Rail, Med tech and Smart Spaces . At NVIDIA GTC, LTTS showcased TrackE I – an AI - powered railway track inspection tool using NVIDIA Jetson for real -time defect detection and predictive maintenance. TrackE I also won the Etihad Rail Innovation Award this quarter
o In MedTech, the focus is on diagnostic imaging and surgical equipment. In Smart Spaces , LTTS leveraged its advanced AI ‘Fusion ’ platform to set up an integrated command control center at Maha kumbh, enhancing the experience of over 660 million pilgrims
• M&A : We have successfully integrated Intelliswift , allowing us to build a strong portfolio in hyperscalers to address adjacent markets in service -led verticals like Retail, Fintech and Health care. As I go forward into the following quarters, I will start reporting progress first on solutions and then on deals in Retail, Fintech and Health care to you as well
Let me provide you segmental performance and outlook :
Mobility :
• The Mobility segment showed resilience with revenues remaining flat compared to previous quarter like we had guided you in the last quarter

• A year ago, we showcased iDrive, our framework for SDVs. We also launched hyper - personalization and AI for driver experience, all of which resonated with our clients

at the CES. Such investments are paying off for us , not just Auto but T&OH as well
• We continue to focus on winning large deals in technology areas like SDV, Hybrid and AI. Recently we won a notable € 50 Mn deal, which we announced on 31st March, with a European OEM on SDV and expect more such deals in the coming quarters from US and Europe
We believe that overall Mobility segment will stay muted in the immediate term and will witness a turnaround towards the end of Q2.
Coming to Sustainability :
• Susta

inability did well with a 2% QoQ growth in revenues. Higher growth was tapered due to an unexpected delay in ramp -up of deals signed but are now all set to grow in the coming year including April
• Companies are realigning their supply chains with a clear focus on leveraging advanced engineering solutions This includes initiatives like predictive maintenance, real-time asset performance management and leveraging sensor -driven analytics and Industrial AI, all underpinned by LTTS strength in Plant Engineering and Industrial Products . This we believe will help us in growing the Sustainability segment faster in FY26 as compared to FY25
• In Plant Engineering , we continue to see strong demand in O &G and CPG, led by capex projects, plant modernization, digital twins. Key clients to ramp up with us .
o In a large deal in O&G we were chosen by a European oilfield service compan y as their preferred Engineering Service Supplier to support green energy initiatives
o We also expanded our engagement with an O &G major for engineering and enterprise asset management
o CPG continues to spend , and we have created differentiated solutions in that space. We see strong demand for greenfield and brownfield projects in plant modernization, digitization and safety
• In February , we introduced RefineryNext, a solution aimed at transforming traditional refineries into sustainable , intelligent and highly efficient operations. RefineryNext integrates advanced AI -driven tools for predictive maintenance, intelligent asset management and demand forecasting , along with energy optimization and net carbon compliance

• In Industrial , we are seeing larger deals TCVs and a robust pipeline of deals going ahead , because of our differentiated offering in industrial machinery, building technology, electrical power and controls. The focus areas will be Energy and Automation , Semiconductor machinery, Data Centers and Motion & Robotics
o Nearly half the large deals TCV signed in this quarter are in the Industrial Products subsegment, which is one of our most profitable subsegments
o This quarter we signed our largest deal in Industrial products to date, $80 Mn+ Digital Engineering Transformation deal with a manufacturer of industrial products and solutions
o We marked a decade of engineering excellence with Siemens to drive innovation with the creation of integrated digital twins for products and plants
Overall, for the Sustainability segment, we see an increased large deal pipeline and expect the growth momentum to be better than Q4 with both Industrial and Plant subsegment firing at the same time.
Finally, moving on to Tech :
• Tech showed the strongest growth with a ~28% QoQ growth in revenues , led by Smart World and organic Software and Platform subsegment. Additionally, there was an upside of integration of Intelliswift revenues for the quarter. Excluding Intelliswift , Tech still had the highest growth amongst all the segments
• The Software & Platforms did well with growth in both Hyperscalers and key service industry accounts in Health care, Fintech and Retail. We are starting to gain traction with at least, I would say, about 45 senior level meetings done across the Intelliswift portfolio in the last quarter alone. The feedback and response has been extremely positive and encouraging
• The Communication , Media and Consumer Tech sectors are experiencing significant transformation driven by advancements in AI and immersive technologies

• In the Med -Tech subsegment, demand is being driven by Digital Manufacturing , Sustenance Engineering and QARA.
Overall, we expect Med -Tech and software platforms to do well along with Intelliswift in the coming year.
Now let me discuss the outlook for FY26 :
• The ongoing rejigging of tariff -ba

sed supply chain dynamics presents significant opportunities for LTTS to drive growth and deliver enhanced value of its clients. With

AI adoption accelerating in the software -defined everything (SDx) and digital domains – both are core strengths of LTTS, and some of these rejig offerings that we had done in H1 – these capabilities will serve as a key differentiator in securing large , high impact deals
• With Q3 and Q4 having consecutively seen the highest large deal TCV wins so far, we are encouraged by the large deal TCV pipeline that we have built so far
• We continue to see market share gain across our top accounts
• We have multiple $100 Mn deals, $50 Mn deals running at advanced stages of negotiation and hope to take them to conclusion in the coming quarters. I will confirm that Q1 looks to be like a Q4 in terms of deal wins as well at this stage
• At the same time, we have to bear in mind the uncertain market environment and tightening demand conditions, which is causing disruption in the shorter term, but will be beneficial for the ER&D industry over the medium to long term
To conclude :
• We believe our 'Go Deeper to Scale' strategy with our diversified portfolio of 3 segments - Mobility, Sustainability and Tech gives us a balanced approach to the market and not limited to one segment. This gives us the confidence of overall growth even in turbulent times
• We expect FY26 to be a better year than FY25 , with double -digit revenue growth in USD CC terms for FY26
• We would also like to reaffirm our medium -term outlook of $2 billion of revenue
With that, let me thank you for all your support, encouragement through the year. I now hand over to Rajeev from here. Thank you.
Rajeev Gupta: Thank you, Amit. Greetings to all of you.
Let me start by saying that we had many positives in Q4FY25 and for the year FY25 :
• Q4FY25 saw record highest ever deal wins ,
• FY25 revenue crossed ■10,000 crores milestone ,
• Our metrics in terms of DSO and free cash flows for FY25 continued to improve
• Finally, acquisition of Intelliswift and integration during Q4FY25 , which of course is in line with our strategy to build capabilities in Software and Platforms capability for Hyperscalers

With that, I will take you through the financial details of Q4 and for the year FY25 .
Beginning with Q4FY25 financials ,
Our revenue for the quarter was ■ 2,982 crores, a growth of 12.4% on sequential basis. Our YoY growth for the quarter came in at 17.5%.
EBIT margins for Q4 came in at 13.2 %. Let me walk you through the EBIT movement in this quarter.
• Consolidation of Intelliswift financials had an impact of roughly 150 bps on the EBIT margins. We had called this out in our Q3 commentary as well.
• Macro -related headwinds in the quarter impacted anticipated revenues leading to impact on EBIT margins, especially in higher margin segments such as Sustainability and Mobility.
• We did absorb cost to support select strategic customers during these tough market conditions. We firmly believe this will further strengthen our partnership with the customers
Moving to FY25 financials.

Our revenue was ■ 10,670 crores, a growth of 10.6% over FY24. We saw balanced growth across our diversified segments.
EBIT margin for the year came in at 14.9%. Let me explain the EBIT evolution for FY25
• We did make investments during H1 FY25 to augment our Solutions and Capabilities for new -edge technologies and also strengthen leadership across our new segments, Mobility, Sustainability and Tech. This indeed helped us to win record large deals in H2FY25 . And as Amit mentioned, we continue to see stronger pipeline and lot more $50 Mn+ deals that we pursue
• Acquisition of Intelliswift had an impact

on EBIT margins
• Finally, macro -related headwinds in Q4 had an unexpected impact on FY25 margins
Moving to below EBIT
Other Income , for the quarter came in a t ■ 33 crores resulting from consolidation of facilities leading to benefits on ROU.
Effective Tax Rate (ETR) for Q4FY25 was 27.4% and for FY25 at 27.4% as well. This is within our expectation of 27.5%.

Net Income for the quarter stood at ■ 311 crores, which is 10.4% of revenue. For FY25 , net income came in at ■ 1,267 crores, which is at 11.9% of revenue.
Moving to balance sheet. Let me now highlight some of the key line items.
Our Q4 combined DSO, including unbilled, continued to improve and came in at 106 days compared to 112 days in Q3, an improvement of 6 days. Q4 unbilled came in at 18 days, similar levels as Q3. We have improved upon this metric compared to our target range of 110 -115 days.
Talking about Cashflows
In FY25 Free Cash Flow came in at ■ 1,379 crores vs ■ 1,251 crores in FY24, an all -time high in absolute terms and a healthy 109% of Net Income . Our Cash and Investments improved to ■ 2,976 crores end of FY25 vs ■ 2,883 crores end of FY24. This is after paying for Intelliswift acquisition.
On capital return,
The Board today recommended a Final Dividend of ■ 38/share taking the t otal dividend for FY25 to ■ 55/share translating to a dividend payout of 46% for FY25 .
Our return on equity stands at 22% for FY25 .
Moving to revenue metrics
on a sequential basis, our $ revenue growth was 10.7% in reported terms , mainly driven by 27.9% sequential growth in Tech segment.
Talking about segmental margin performance for Q4FY25
Mobility segment margins remained flat in line with revenue growth. Sustainability margins declined majorly due to absorption of cost to support select strategic customers. Tech segment margins have been impacted primarily due to Intelliswift consolidation, cyclical growth of SWC business and lower than anticipated revenues due to ongoing headwinds.
Moving to operational metrics for the quarter
The Offshore mix came in at 55.8%, lower compared to Q3 due to Intelliswift consolidation. We aspire to improve this ratio to 60% levels in the medium term.
The Fixed Price revenue mix was 39.9% in Q4FY25 .
Client profile – which is active number of clients went up by 43 due to Intelliswift acquisition.
The categories of $20 Mn and $1 Mn+ accounts have shown an i mprovement in Q4FY25 .

Client contribution to revenue in Q4FY25 continues to be in similar range as compared to Q3FY25 . We expect revenue from top customers to improve going forward as our targeted client mining programs come to fruition.
Headcount improved sequentially by 793 to 24,258 as of year -end. This is mainly on account of consolidation with Intelliswift.
Attrition remained range bound at 14.3% levels.
Realized rupee for Q4 was around ■86.41 to the dollar, a depreciation of 1.6% versus Q3.
Before I conclude, let me provide visibility on margin trajectory going forward.
With the ongoing headwinds from tariffs and macro -related uncertainties, we remain cautiously

optimistic for the next few quarters though we are quite bullish in terms of our deal wins. Amit already talked about record deal wins in Q4. Q3 also we saw very healthy deal wins. Q1 also we are expecting to see similar levels of healthy deal wins.
We will continue to pivot on revenue growth to gain market share while leveraging on operational efficiency for margin improvement. And reiterate our aspiration of improving EBIT margins to mid -16% levels between Q4FY27 and

Q1FY28.
I thank all of you for your support and your cooperation. With that, I hand over to the moderator for Q&A.
Moderator: The first question comes from the line of Yogesh Aggarwal from HSBC.
Yogesh Aggarwal: Just couple of questions. Firstly, a few clarifications. Sorry if I have missed. So, in the quarter, you added $33 million incremental revenues. How much was from Intelliswift?
Amit Chadha: What's your second question? We'll answer it together.
Yogesh Aggarwal: Okay. The second, Amit is that I mean it's related to the margin impact itself because it looks like the 150 bps was if the full quarter integration was there. Just to clarify on that. The other thing is on the guidance of double -digit growth in next year. Does that include Intelliswift as well because that would mean that 7% - 8% growth would come from there itself? So that's the question.
Rajeev Gupta: Yogesh, this is Rajeev here. Let me take the first 2 questions and I'll request Amit to take the question on guidance. So , your question was the increase, how much of that really is coming from Intelliswift, right? So , we did clarify in our Q3 commentary that Intelliswift is an annualized business of $100 million. Of course we continue to work towards growing that business. So hopefully, that answers the question. We are not splitting the revenues between LTTS and Intelliswift. We report that as consolidated .
Yogesh Aggarwal: So, the full quarter came in fourth quarter?

Rajeev Gupta: Yes. You are seeing the full quarter include Intelliswift barring a few days. Technically, the conclusion of the transaction happened on January 3rd, 2025 . We played out the full quarter if you may see. Second, in terms of margin dilution. Yes, I did call it out in the Q3 commentary as well. We saw roughly about 150 bps of margin dilution on account of Intelliswift consolidation. Having said that, we are working actively on the integration plan and expect to see synergies both in terms of revenue and cost play out in the next following quarters.
Amit Chadha: Now in terms of growth, yes, we have called out double -digit and we do still believe that with the storm coming or with the storm ongoing, the world has stopped giving guidance and saying where they will go, and it seems to be misty. But having said that, with the backlog of deals that we have got; in addition to that, the strong deals win we have had in the last 2 quarters; we believe double -digit growth is assured. Now where will that double digit fall is s omething to be seen.
It's not 10%, it's definitely greater than that, but where will it be? We will talk about it as we progress. And yes, a part of that will come from Intelli swift and a part of that will come from others.
Yogesh Aggarwal: Right. Sorry, just clarification. Since Rajeev said the full quarter was integrated, were you a bit disappointed with the fourth quarter organic growth? I think you did mention some few deals got pushed down. So, is that impacted? Because I think we were expecting a bit better growth in organic terms for the fourth quarter.
Amit Chadha: Yes. Like I said that in Q4 there were, I'll quote again, few large deals. One saw a delay in ramp - ups and signing of deals were deferred to the end of the quarter. Second in order to support select strategic customers, some of our proprietary solutions and niche work was done on an investment basis rather than on a chargeable basis to the customer in order to create good relationships and get larger access to bigger deals in the future. I hope that answers your question.
Moderator: The next question comes from the line of Karan Uppal from Phillip Capital India.
Karan Uppal: Just the question is on next quarter. So, in FY25 , we saw SWC seasonality leading to a weaker Q1FY2 5, so revenue declined 3%. So, are you expecting in FY26 also the quantum to be

similar
and then the growth to pick up in rest of the year? That's the first question.
Amit Chadha: Karan, what's your second question? I'll answer it together.
Karan Uppal: Second question is to Rajeev. So , Rajeev, Tech margins have come up significantly. You explained that it's because of Intelliswift integration. So , should we assume this to be the base for Tech vertical margins? And any color in terms of segmental margins, how those will evolve in FY26 ? That would be helpful.

Amit Chadha: Sure. So let me take the first one, Karan. It's a very good question. Karan, I can confirm we don't want to give QoQ guidance like some peer companies do. But I want to give you indicatively at this stage, Sustainability will definitely grow QoQ . Software and platforms and which includes organic plus inorganic from Intelli swift will grow QoQ . MedTech will grow QoQ .

Mobility I think will grow as well as it looks right now. The seasonality of Smart World is there, but we are trying to beat it if we can. Let's see as the quarter goes, how it comes along. It will not be as bad as it was last year. We are trying to minimi ze it, but that is where I will stop. The quarter to be played out, a lot of work to be done. Rajeev, you want to answer on margins.
Rajeev Gupta: Sure. Karan, as far as the margin, I think first, like I've highlighted, right, and of course I think you read that; the Tech margins had the impact of I ntelliswift acquisition roughly about 150 bps. Second, it also had the cyclical growth of Smart World . Now to answer further to your question in terms of where I see the baseline in terms of the EBITDA margins for each of the segments, I would request that we kind of wait for about a quarter as things are settling down.
We called out a few headwinds. One, of course, that there were a few large deals that we anticipated to start early in the quarter, but it kind of got deferred towards latter part of the quarter. Second, we are continuing to support some of our strategic customers. While we're quoting that as investmen ts, we believe that will strengthen our relationships to have even larger deals from those customers. So, allow us a quarter till we continue to clarify and see some of this evolve there.
Karan Uppal: Okay. Thanks for the answers and all the best.
Moderator: Thank you. The next question comes from the line of Bhavik Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: So, couple of questions. Firstly, on all these large deals which we have been winning in 3Q and 4Q, how should we think about the ramp -up of those deals over the next couple of quarters? Because in 4Q we saw some delays in ramp -ups, but how things have change d if you look at April and how should we expect the trend going forward from a next couple of quarters perspective? And secondly, on margins, Rajeev, how should we think about the wage hike this time around, w hich quarter will you see the impact of that?
Amit Chadha: Bhavik, as far as deal ramp -ups is concerned, the ones that we won in Q3 have all ramped up now and will provide us revenue in Q1 and beyond. Other than the one that we won on 31st March, the other deals have also started ramping up and should provide us positive revenues in Q1. The reason I'm confident about Sustainability growing faster than Q4 is because I know that that is in full flow.
Mobility is where we've been seeing challenges. We had expected a little more growth in Mobility, but some of these deals got delayed. And I expect that Mobility should be either flat or grow but no more degrowth as far as I can see it right now. So that's the only question. In Tech again, we've been empanelled i n a couple of places. Three of the hyperscalers now ar e almost 20 Mn+ accounts for us in an annualized run rate basis.
So, I believe that growth to carry on because Tech is still pumped up about spe

nding on AI and
others, very relevant to what we are doing. Seasonality of SWC is there, but we are trying to

overcome that. So, as we go forward, we do believe that we should be able to continue the path that we are on right now.
Rajeev Gupta: Bhavik, let me take the wage hike question. So, see, we are cautiously optimistic. I think Amit highlighted a lot of large deal wins. Of course, we'd like to see the ongoing headwinds to settle down in this quarter. As a management, we have yet not made any decision in terms of wage hike. I think that's something that will play out during the quarter depending on how we see the macro uncertainty ki nd of settle down.
Amit Chadha: In fact , we just gave wage hikes in November, Bhavik. So, the appraisal process has started, but we haven't made a decision on when to deliver the hikes in CY25.
Bhavik Mehta: Okay. Thank you.
Moderator: Thank you. The next question comes from the line of Moez Chandani from A mbit Capital. Please go ahead.
Moez Chandani : Hi, good evening and thank you for taking my questions. I had three questions. Firstly, in terms

of the large deals that you've signed, is there any change in terms of pricing or timelines for these deals vs the deals that you were signing, let's say, two or three quarters ago? That's the first question.
Secondly, when it comes to geography, in your conversations with clients, is there any particular geography that you're seeing is worse impacted by these macro headwinds, particularly from North America v s Europe? And just thirdly and my last question, your onsite mix has seen a sharp increase this quarter. Is this just because of the Intelliswift acquisition or has there been any other strategic shift in terms of your onsite/offshore revenue mix?
Amit Chadha: As far as large deals is concerned, Moez, we are seeing probably the same kind of deal making that we saw in the past. Just that clients are coming in and asking for better efficiencies, leveraging AI and spot solutions that we have got. So, in fact, a significant part of the deal wins we've had this year quarter and last quarter have been baking in our own solutions and therefore, providing productivity benefits to the customer a nd keeping some of those as well. So that is what we have seen.
Now these unusual requests that came for investments in Q4 and in fact came in the last week of the quarter from two, three of our strategic customers, we have not seen this in the past. We had seen it during COVID as well. So, they came in which we have obliged. But we don't think this is an ongoing thing. Things should from here on I think be okay.
Third, in terms of geography you talked about, there is a lot of consolidation deals still running in Europe that we've got.
The US has got more new tech digital transformation kind of deals running. So that's the broad contours. Lastly, we are starting to get a number of inquiries for Plant transfer, for line transfer, for operational technology support, for creating servitization of people's product lines a s well as

support on the China p lus One strategy where we are providing them sourcing support as well. So that is a new kind of stuff that we've been seeing coming in as inquiries in the last, shall I say, 6 weeks.
Rajeev Gupta: Your question on onsite. This is Rajeev, let me address to it. Yes, majorly it's on account of Intelliswift, partly on account of some of the large deals that tend to start where we do work onsite and then we see it moving more towards offshore. But majorl y it's on account of Intelliswift consolidation.
Moez Chandani : All right. Got it. Thank you.
Moderator: Thank you. The next question comes from the line of Ashish Aggarwal from Sundaram AMC. Please go ahead.
Ashish Aggarwal: I hope I'm audible. Sir, two questions

from my side. First of all, on the guidance given the deal signings tailwind we are seeing both in Q3 & Q4 and as you said in Q1, assuming there is no major macro headwind now from here on apart from what we have seen, is it fair to assume that organically FY26 will be, if not better similar to FY25 ? That's my first question.
And secondly, on the comment you have made about the investments, you have made and some of the software proprietary solutions, etc , which have been provided to the clients. At a later stage, are these reimbursements from the clients or these are the investments you have already made, and this will not be reimbursed from the clients?
Amit Chadha: Number one, I would like to confirm to you that I do believe organically FY26 will be a better year than FY25 if the other shoe doesn't fall tomorrow. Look, I'm being honest . And that's how we are preparing, that's how we are adding. We're adding 2,500 freshers. The first lot of 500 will join in June towards t he end. So , we are on it. So, nothing changes for us. We are preparing for a growth year. Now your second question was I'm sorry, can you repeat your second question?
Ashish Aggarwal: The investments for the proprietary reimbursements?
Amit Chadha: So, look, the way it is in one particular case, it was investments that we had made, and we had implemented the product for them, the widget for them and there was a certain money owed to us and they came back and said that rather than paying you, can you say that this is goodwill generated for us.
We're using it across our entire product family and at some point, we will make you hold, and we need support. In a second case, there was a niche solution that we had developed and worked on, which again was going to be billed on 31st March. We were requested to not invoice and again take it as part of our investment for the relationship. So , we have agreed to both of these and taken it forward. So , we don't see this ongoing, but this is a one -off that we had to accept. We believe this will help us in greater market share. It is in times of these when you support a client that they remember it and then they come back and support you when you need it. I do

believe that this will help us , in growing our accounts, in growing our relationships and getting larger deals.
Ashish Aggarwal: Got it, sir. Thanks a lot.
Moderator: Thank you. We do have a follow -up question from Bhavik Mehta from JP Morgan .
Bhavik Mehta: So, going back to the investments related to clients, is it fair to assume that the revenues to an extent should also come back because you were requested not to bill them last quarter. So, could that be a tailwind in 1Q or 2Q?
Amit Chadha: Yes, Bhavik. May not be on the sa me deal, but other places, yes.
Bhavik Mehta: Okay. And just again going back to the guidance , because you said it is double digit, it's not 10%, it will be more than 10%. Is it fair to assume that 10% is like the worst case you're working with right now?
Amit Chadha: Bhavik, I request you, you've known us for a long time. Let us say 10% and I'm saying double digit. I'm saying better than FY25 , FY26 will be better and that's where it is. And I don't think it's 10%. So let me leave it there. Of course this will be better.
Bhavik Mehta: Okay, fair enough. Thank you.
Moderator: Thank you. There is a follow -up question from the line of Karan Uppal from Phillip Capital India .
Karan Uppal: So, Amit, just wanted to double click on Mobility vertical. So , in this vertical we have seen one large deal of $50 million in SDV space and you also mentioned that there are further deals in SDV, which you are seeing in the pipeline. So fair to assume that within Mobility, auto is doing well, but you are seeing pain in Aero and Off-Highway ?
Amit Chadha: That's not true, Karan. In fact, see, there are

stops in certain places. But overall, we do believe that we've got this differentiated set. My colleague, Alind, can add.
Alind Saxena: So, I'm sure, Karan, you are looking at the markets, you are aware of how our customers are doing there, whether they are in the automotive or in Trucks and Off-Highway or in Aero. So, the pain is there. What we do believe is that this is going to last for about a quar ter or so like we said earlier.
But given the solutions and some of the deep relationships that we have and the deals that we have won, part of which we talked about are consolidation deals, some are carve -out deals which are there. We do believe that the growth will come back sooner rat her than later in this sector.
But still to be washed out and barring anything else happening, we do remain very bullish about this segment, and we'll continue to perform as we go along.
Karan Uppal: Okay. Thanks a lot.

Moderator: Thank you. The next question comes from the line of Sulabh Govila from Morgan Stanley .
Sulabh Govila: So firstly, I wanted to check, I'm not sure if you've quantified what's the sort of impact on revenue this quarter from the investment that you did at the end of the quarter in terms of in the couple of clients that you mentioned?
Rajeev Gupta: Sulabh, this is Rajeev. Let me take that one. So, we will not break it down, Sulabh. We've of course clarified that look, we did see an upside from the Intelliswift acquisition, we've seen a few headwinds. We will not break it down to that level. But what I will suggest is if you can have an offline conv ersation with Sandesh.
Sulabh Govila: Sure. Understood. And is it fair to assume similarly on margins, is it fair to assume that when the revenue comes back, the margin also comes back given that it was just the lack of this revenue that led to the margin weakness?
Rajeev Gupta: I'd say yes, Sulabh, that's how it is. And aside of this, I mean we are also running a very targeted margin improvement plan now in the organization. We are conscious that of course we didn't see these levels of headwinds, right? They all came in beginning of February. So, we are running a lot of efforts to sustain margins going forward, sustain and improve as well.
Sulabh Govila: Okay. Understood. And then I wanted to just double -click on a comment that Alind , just made that we see growth coming back in Mobility sooner than later. I just wanted to understand what sort of data points or what sort of conversations , you're having with clients that are making you believe that that could be the case?
Alind Saxena: So, like I said earlier, we have talked about some of the deals that we have already won earlier in the quarter. And then we have some more transformation deals which are running, which we

hope to close sooner rather than later. And that's the confidence that we have based on our relationship with our customers that they will go through , and that will lead to the growth that we are talking about.

Sulabh Govila: Okay. No. My question was more from a perspective of the pause or the stops that are there in certain places that those getting lifted, if there is a conversation regarding that with the clients?

Alind Saxena: See, that's a broader market question. What we are seeing is and again this is available in public forums. You can find out that some of the programs that our customers are running, they are getting delayed so they're getting pushed out by about a year or so. And hence, the trajectory of the efforts required to bring t hem to fr uition automatically goes down.

So that we will see plus the ambiguity that remains , because of tariffs and the cost that the customers will have to take as they go through. So those ambiguities do remain, but they also lead to opportunity of consolidation, they lead to opportunity of picking up some of these transforma

tion deals that we are talking about and that's what we are riding upon.

We do see that this will remain. The market as such will remain ambiguous for about another quarter or so. Probably towards the end of second quarter of the financial year, we believe that this will start settling down.

Sulabh Govila: Understood. And then just the last bit for me. Amit, we sort of mentioned on order inflow that half of the order inflow that we got this quarter were won against competition. So, assuming half of these are consolidation deals, is it fair to assume that these come in at a lower margin than the company average?

Amit Chadha: No. In fact, when I said won against competition, these were I said 70% of the deals were won in a competitive manner based on solutions we had, right, 30% were single source to us. That's what I meant by that. I would like to confirm to you that all the deals we have won in Q4, as well as the deals we have won in Q3 are at standard segmental margins in which they have been won.

Sulabh Govila: Perfect. So, thanks a lot for taking my questions.

Moderator: Thank you. Ladies and gentlemen, we have reached to the end of the Q&A session. I now hand the conference over to Mr. Sandesh Naik for his closing comments.

Sandesh Naik: Thank you. Thank you all for joining us on the call today. We hope we were able to answer your queries. If there are any follow -ups, we'll be happy to address them. With that, we are signing off for today and look forward to interacting with you through th e quarter. And I wish all of you a very good evening and a good day. Thank you.

Moderator: Thank you. On behalf of L&T Technology Services Limited, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Aug 2025

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NSE Symbol: LTTS BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001
BSE Script Code: 540115
Dear Sir /Madam ,

Subject: Transcript of Q 1 FY26 Earnings Conference Call held on July 16 , 2025

Pursuant to Regulation 30 and 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Q 1 FY26 Earnings Conference Call organized by the Company on July 16 , 2025.

Kindly take the above information on record.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prasad Shanbhag
Company Secretary & Compliance Officer
(M. No. A 30254)

L&T Technology Services
Q1 FY26 Earnings Conference Call Transcript

For the Earnings Call held on July 16, 202 5, 19:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,

MR. ABHISHEK – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. ALIND SAXENA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. RAJEEV GUPTA – CFO,
MR. SANDESH NAIK – HEAD, INVESTOR RELATIONS

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Q1FY26 Conference Call of L&T Technology Services Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing “*” then “0” on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandesh Naik, Head of Investor Relations. Thank you and over to you, sir.
Sandesh Naik: Hello, everyone. I am Sandesh and welcome you all to the Earnings Call of L&T Technology Services for Q1FY26 . Our Financial Results, Investor Release and Press Release have been filed on the stock exchanges and are also available on our website www.ltts.com
I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website approximately one hour after the call ends.
With that, let me introduce the leadership team present on this call. We have with us Amit Chadha – CEO and MD, Abhishek – Executive Director and President, Alind Saxena – Executive Director and President and Rajeev Gupta – CFO.
We will begin with Amit providing an overview of the company’s performance and outlook followed by Rajeev who will walk you through financial performance. I now invite Amit for his opening remarks.
Amit Chadha: Thank you all for joining us on the call today.
First, let me provide the key Highlights on our Q1 Performance :
• In US dollar terms, our revenue was up 13.6% YoY, while our Q1 Smart World seasonality predominantly impacted revenues to decline by 2.9% QoQ .
• Our major markets of North America and Europe continue to grow sequentially.
• Our most profitable segment, Sustainability grew 16.4% YoY and 4.1% QoQ , to cross the USD 100 Mn quarterly milestone , and is now USD 400 Mn + annual business on a run rate basis. Therefore, all three segments are at USD 400 + Mn annualized revenue.
• Based on targeted efforts to pivot on growth and improve our market share, we continued with the large deal momentum in Q1 to surpass USD 200 Mn in large deal

TCV for the third consecutive quarter which includes one USD 50 Mn deal, three USD 20 - 30 Mn deals and six USD 10 Mn + deals. Again, for clarification, we will be going forward report LDTCV which is Large Deal TCV, and these are deals above USD 10 Mn each.
• Our “Go deeper to scale ” strategy and proactive investment in new age technologies are leading to stronger partnerships with clients and a robust TCV booking - the LDTCV booking and TCV booking.
• The EBIT margin held at 13.3% for the quarter.
o This is in spite of the revenue impact of SWC seasonality, headwinds in the Mobility segment and support extended to strategic customers as highlighted in the previous earnings call.
o We expect EBIT margins to see an improvement in the coming quarters as growth gets broad -based across segments.
Now , a few highlights on our Technology and Innovation Charter:

• Today, our engineers have deployed multiple programs for clients i

n AI and have filed
206 patents in this domain. AI is also becoming central in our deal wins and in establishing strategic partnership with our clients.
• Additionally, we are launching P LxAI, our proprietary AI framework, which accelerates product development life cycle for global customers. P LxAI combines smart prompting, contextual intelligence and agentic workflows to significantly reduce product life cycle.
• PLxAI was originally incubated in the Mobility segment but has now been scaled and propagated to other segments using our multi -vertical cross polli-innovation approach .
• Overall, patent portfolio stood at 1,550, out of which 952 are co-authored with clients and the rest are filed by LTTS.
• To address specific areas of client investments in the U.S. market, we inaugurated a new design center in Plano, Texas, focused on cutting -edge technolog ies, cybersecurity and AI. This will help us to expand our footprint in our key markets, helping us gain further market share.
• As an ITAR -compliant facility, the center is also equipped to design, develop and test defense -related products and systems.
• This investment made ahead of the curve underscores LTTS' commitment to delivering advanced solutions in AI & Tech and establish much more nearshore centers tailored to evolving needs of our clients.
With that, let me move to segmental performance and outlook :
We will start with Mobility:
• So, starting with some good news, the Trucks & Off Highway and Aerospace & Rail subsegment did well and grew sequentially and YoY for us .

• The Auto segment continues to be in flux, and let me provide some color around BEV, hybrid and ICE. China's alternative low -cost innovation and stack in this area , is creating disruptions to existing industry causing further challenges to established global players.
• There is continued demand by consumers to get more SDV features, which with high cost of ER&D development OEMs in U.S. and Europe is becoming slightly difficult. Our investment in building solutions like LTTS iDriVe and stacks for EV and hybrid, coupled with our offshore delivery model, which provides a lower cost model as compared to a completely onsite model, have positioned us as a partner of choice for our cust omers basis which we continue to win new programs, which I will detail in a bit.
• There is, however, a short -term pause in some programs and delayed starts in others. We expect these dynamics to keep Automotive muted in the short term for another couple of quarters with growth returning after that.
• On to the deals we have won around SDV, AI, next -gen product design , software design development and digital engineering include :
o A multi -year deal with a U.S. automotive components maker to deliver engineering support, including A SPICE- complian t systems, software , functional safety, cybersecurity and quality assurance.
o We have been named a strategic supplier for thyssenKrupp Steering and TRATON Group.
o A satellite Technology company awarded LTTS a significant deal for software design , development , and embedded engineering for airborne systems.
o Overall, in the Mobility segment, we have won 5 $10 Mn+ deals in Q1. This vindicates our solution stack, and we are actively engaged in securing many more deals.
• The pipeline in Mobility overall remains robust with a lot of action in Auto , T&OH, Aero and Rail. We continue to work with our clients to get these to closure.
We believe that overall , Mobility will stay muted in the near term and expect a turnaround in the second half of FY26.
Coming to Sustainability:
• The Sustainability segment did well with 16.4% YoY and 4.1% QoQ growth , to cross the USD 100 Mn milestone for the first time in a quarter. The large deal closures in the previous quarters are ramping up, leading to further growth du

ring the year.
• More than half of the large deals w ins in Q1 are in the Sustainability segment, which is our highest profitable segment.
• Subsegment details :
• In Plant Engineering , we continue to see strong demand across O&G and CPG, led by greenfield and brownfield capex projects. We are also seeing ongoing demand in

plant modernization for increased efficiency, sustainability and safety -led projects for legacy plants.
o Key clients continue to ramp up with us. In fact, Q2 will see us back with a $50 Mn account on an annualized run rate basis, which is a milestone that we should all be happy and proud about.
o In a large deal of $50 Mn, we were chosen by a Global Energy major for Enterprise Data and Digital Services based entirely on our proprietary tools.
• In Industrial , we continue to see ramp -ups of large deals signed and a robust pipeline of deals going ahead , because of our AI -led interventions in the PDLC offerings.
• A Couple of Details:
o We have signed a strategic agreement with Tennant Company to advance sustainable new product development. We have set up a dedicated offshore engineering center for them.
o We have also signed a definitive agreement to support product sustenance and lifetime development for a Semiconductor equipment manufacturing company across multiple product lines.
Overall, for the Sustainability segment, we see an increased large deal pipeline and expect the growth momentum to continue with both Industrial and Plant subsegments doing well this year.
Now to Tech:
• The Tech segment grew 29.4% YoY as it includes the benefit of Intelliswift revenue for the quarter. Though as expected Q1 is down sequentially on account of the seasonality of Smart World subsegment.
• With the integration of Intelliswift complete, the Software and Platform subsegment with its software and Agentic AI offerings has seen a good response from our customers across hyperscalers, fintech & healthcare.
• The Media & Tech subsegment continues to evolve with new technology areas and experiencing significant transformation driven by advancements in AI and immersive technologies.
o We continue to grow in the U.S. market and have seen some traction in our Semiconductor accounts. We are pursuing some deals in this area and expect to close them shortly.
• In the Med -Tech subsegment, demand is being led by AI investments across Digital Manufacturing , Sustenance Engineering and QARA . All of them have shown good growth despite some delays in decision -making in the U.S. market.
o We have onboarded new logos, especially in Ophthalmology space, which should aid for the growth.
o Overall, MedTech is expected to grow further in the second half of the year as we look forward.

• In the Smart World space, we have developed a domain -centric computer vision ops Platform applicable for Urban & Smart spaces, Public Safety , Energy & Utility and Manufacturing .
o We recently won a Safe City project in India, leveraging AI and analytics to enhance public safety with an Adaptive Traffic Control System .
o Our foray in the Middle East is progressing, setting up a strong foundation. with a pipeline, and we expect that FY26 will be the year when we start revenues from the Middle East.
In the Tech segment, there are various large deals in advanced stages of negotiation, which we hope to sign off in the coming months. This will help us continue Tech's growth trajectory from Q2 onwards.

Before I come to outlook, let me provide some overarching color on the state of the market as we see today:

• Given the dynamic nature of the market, our clients are still a little cautious about decision -making. But based on multiple conversations with a confidential poll that we ran across our client base, a large number of our

clients see things stabilizing, and as a result, H2 potentially being better than H1.

• We are seeing AI become a central area of focus with our clients. The AI wave of engineering R&D is beginning to gain traction, and this is on account of enterprise tech leaders who believe that they are behind their peers in embracing AI to accelerate product development and improve productivity. The poll also finds that 30% of the clients are engaged in full -fledged AI programs, while others are still in POC stage. Therefore, the AI spend appears to be real. This is resulting in deals and programs coming u p for bids and rebids.

• The setting up of localized and regional ized supply chains, along with Software - Defined Everything , Industrial automation in the near term and Robotics and Humanoids in the medium term will continue to drive spends.

With that, let me discuss our Outlook:

• Our unique balance d 3 segment approach allows us to grow in a derisked manner and safeguarding us in the current uncertain market environment and tightened demand conditions.

• I'm encouraged by our robust backlog order book, which has been increasing QoQ and YoY and a healthy pipeline of $50 Mn+ deals slated to close in the coming quarters.

• Backed by an increased order book with a focus on resilience and profitable growth, we look forward to double -digit growth over FY25 while maintaining our medium - term outlook of $2 Bn of revenue.

Thank you all for your continued support. With this, I'll now hand over the call to Rajeev and then stay back for questions. Thank you so much.

Rajeev Gupta: Thank you, Amit. Greetings to all of you.

Let me begin with the key highlights for Q1FY26:

• Our focus on growth has led to another quarter of healthy large deal wins over $200 Mn, which provides comfort that H2 will be better compared to H1. The Sustainability segment now stands at $100 Mn quarterly run rate, and all our 3 segments have crossed the $400 Mn annual run rate. This vindicates our diversification strategy and a well - balanced portfolio, especially during these dynamic times.

• This quarter saw 13.6% YoY growth in dollar terms, though there was a decline in sequential revenues due to seasonality of Smart World business, headwinds from macro environment and challenges in Automotive sector. Despite these challenges, our margins have been resilient and stable compared to the previous quarter.

• We continue to innovate and build next -gen solutions. Glad to share that we have been recognized in the Leadership quadrant by ISG in Aerospace and Defense Services 2025 in Europe , and by HFS in Engineering Research and Development Service Provider 2025.

With that, let me take you through Q1FY26 financials , starting with P&L.

Our revenue for the quarter was ■ 2,866 crores, a growth of 16.4% on a YoY basis and a decline of 3.9% on a sequential basis due to reasons mentioned earlier.

Our EBIT margin for the quarter came in at 13.3%, which saw a slight improvement over the previous quarter. We expect margins to show gradual improvement from here on.

Moving to below EBIT:

Talking about Other Income

The Other Income was ■ 51 crores higher on a sequential basis, majorly due to forex gains.

Our Effective Tax Rate for Q1 was 26.9%, better compared to our expected range of 27.5%.

Net Income for the quarter was ■ 316 crores, up 1.5% on a QoQ basis, which is 11% of revenue.

Moving to Balance Sheet , let me highlight key line items:

Our Q1 DSO was at 98 days compared to 88 days in Q4 ; Unbilled days at 17 in Q1 compared to 18 days in Q4. The combined DSO, including unbilled, stood at 116 days compared to 106 days in Q4, which is still within our target range of 110 to 115 days for the year. We expect this to improve as the year progress es.

Our Free Cash Flow came in negative ■ 28 crores due to the seasonality of our Smart

World
business.

Our Cash and Investments stood at ■ 2,431 crores at the end of Q1, vs ■ 2,981 crores at the end of Q4. This is on account of payment of dividend and balance consideration of Intelliswift acquisition.
Moving to revenue metrics:
In dollar terms, we reported revenue of $335 Mn compared to $345 Mn in Q4, a decline of 2.9% in reported terms.
Talking about segment margin performance for Q1FY26:
Mobility segment margins for Q1 came in at 15.3%, lower compared to previous quarter, stemming from delayed decision -making of large deals, pauses in existing programs and discounts being sought by customers.
Sustainability margins for the quarter came in at 27.4%, showing significant improvement due to the ramp up of large deal wins in both subsegments. We are witnessing healthy pipeline and deal closures in this segment, which will continue to aid revenue growth and margin improvement in the coming quarters.
Tech segment margins for the quarter came in at 9 .0%, pleased to share that our integration plan for Intelliswift acquisition is on track and showing improvement in revenue growth and margins , though we saw a decline in this segment in the margins compared to the previous quarter due to continued strategic support for select programs and customers.
Moving on to operational metrics :
The Onsite :Offshore mix showed slight improvement towards offshore , compared to Q4. Offshore percentage now stands at 56.1%.
The T&M revenue mix was 62.2% in Q1, slightly higher compared to Q4.
With respect to Client Profile , which indicates the number of million -dollar -plus accounts showed a sequential improvement in the $10 Mn+ , $5 Mn+ and $1 Mn+ category. The client profile will continue to improve in the coming quarters.
Our Client Contribution to revenue was slightly muted compared to Q4 in the top 20 category. We expect revenue from top customers to improve going forward as we are running targeted programs on client mining.
The Headcount came in at 23,626 in Q1 compared to 24,258 in Q4, while Attrition came in at 14.8%. We have been leveraging AI and automation for customer projects and also driving internal efficiencies. We now see a trend of non -linearity between revenue and headcount.

The Realized Rupee for Q1 was around ■ 85.48 to the US dollar, an appreciation of around 1.1% vs Q4.
Before I conclude, let me provide visibility on the margin trajectory going forward :
We expect our EBIT margin trajectory in H2 to be better than H1 , based on continued momentum on large deal wins, revenue growth in higher margin segments and leverage on operational efficiency, including AI -led automation.
We continue to aspire for improving EBIT margins to mid -16% levels between Q4FY27 and Q1FY28.
Thank you. I now hand it over to the moderator for questions.
Moderator: We will now begin the Q&A session. The first question is from Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Hi, thank you for the opportunity. The first question was for Amit. Basically, some of your other peers seem to be slightly more positive with regard to the Automotive passenger vehicle demand while your commentary seems to be slightly more somber. If you could just talk about this customer -specific impact because of which you've seen a more muted performance? That is question number one. The second question is with regard to the margin outlook. And while we continue to retain the mid -16% EBIT margin target by Q4 FY27 or Q1 FY28, just wanted to understand if you could broadly talk about how we should be thinking about the scope for recovery across gross margins and SG&A on a go -forward basis?
Amit Chadha: Okay. So, Manik, first of all, on a lighter note, we don't do Automotive only. We do a lot more. We are a diversified player, which

is good news here. Now if I specifically talk about Auto, see
I'll tell you generically and I'm not talking LTTS clients specifically, U.S. automakers are in a flux because they were investing in EV till two quarters ago and now are not sure whether to continue to invest in EV or should they go back to ICE, rig ht? number one . In the case of European players, which is facing competition from China and the Chinese stack and the EV stack, the China EV players are selling cars at 1/3 and 1/4 of the price of the same cars available from the European OEMs. That is putting immense p ressure on them to reimagine the stack. At the same time, SDV features that were being rolled out by U.S. OEMs and European OEMs are being pushed out because of the dynamics in the market. So, that is creating the pauses, that is creating a little bit of dynamism, shall I say. Now the positives are that traditional European ER&D players and the small amount of U.S. players, and they are very few and you are aware of it as well, are unable to service the later gen offerings that are required by the OEMs out there. That is creating an opportunity for companies like LTTS and our peer group. We also announced a $50 Mn win last quarter just before the quarter ended in Auto. I reaffirmed that in terms of the wins we have had in this quarter, I am being cautious on grounds of prudence in the Auto sector. The deals are robust, the pipeline that we have got is robust. Now, it depends on what will close when and if it does, it will turn out as an upside for us. So, that's broadly where I am on Auto. I

also want to reaffirm that we have not paused any investment. In fact, the PLxAI tool came out of Mobility , we could have killed it thinking that nothing will happen in Mobility right now, but we have actually taken it forward. Second, LTTS iDri ve 1.0 was launched last year. LTTS iDri ve 2.0, will be launched in the next two months. We already have production customers for LTTS iDrive 1.0 and we have customers lined up for LTTS iDri ve 2.0 as well. So, signs, like I said, market a little bit of flux but there is an opportunity, let us see where it goes. The year is to be played off. Rajeev, I want to hand it over to you for the margins.
Rajeev Gupta: Sure. So, Manik, to talk about the margins, there are various levers that we are continuing to work on. First, of course, the growth and quality of revenue, right? We have been talking about large deal wins. And particularly, we are seeing good traction of large dea l wins in the Sustainability segment, right, which is, of course, going to improve the mix of revenue within high margin segments, leading to improvement in margin. That is one. Second, we have talked about productivity levers. So, operational efficiency, be it in terms of pyramids, fresher intake, offshoring looking at automation, AI, etc., these are areas that we continue to work upon. Third, from an SG&A standpoint, I would guide that you should model between 10.5% - 11.5% of SG&A cost. Fourth, we have talked about Intelliswift integration plan. This is an integration plan that we have built for the next eight quarters where you will see incrementally margin improving. So, these are all the areas that we are working upon. Largely, what we have talked about is H2 will see better margins compared to H1 because some of the strategic support that we called out for in Q4 continues to be there in Q1 and may extend even in Q2. But thereafter, we expect that some of these strategic supports that we are calling out should turn into either billing or phasing out, beginning Q3. Hence, H2 margins will be better compared to H1. So, those are a few things which gives us the confidence to get to mid -16% levels by Q4FY27 or Q1FY28.
Manik Taneja: Sure, that is helpful. The second question is for Amit. With regards to the strong pipeline that yo

u spoke about and continuous pressure on the European OEM players, do you think probably not FY26, but sometime in FY27, we see a repeat of the kind of growt h that we saw in FY22 and FY23 in the Mobility segment?
Amit Chadha: So, a gain, Manik, we are getting into conjunctures here. We are reading tea leaves too much. My humble request to you, dear friend, is to allow us a quarter to come back to you because there is a lot of play here on Auto like I said, and I am confident that the stack that we have built is there. I am also confident that this is going to come back. In fact, I said that Auto should come back after a couple of quarters. That is what I said. And Mobility will come back because of T&OH and Aero, it will come back from Q3 onwards. And maybe Q2, if we win the deals in the ramp -up happens. So, we are not giving up. What I'm saying is I would like to make sure that I deliver whatever I commit to you all in a call. We really appreciate your confidence in us. So, a little bit of caution there, please.
Manik Taneja: Sure. Thank you. All the best for the future.
Moderator: The next question is from Karan Uppal from Phillip Capital India. Please go ahead.

Karan Uppal: Yes. Thanks for the opportunity. A couple of questions from my side. Firstly, Amit, on the revenue conversion, so the last three quarters were pretty strong from the deal signings perspective. How are you seeing that revenue conversion -- is the revenue co nversion on track or are you seeing some delay due to the macro uncertainty? And the second question is on the overall pipeline. So, the last three quarters have been pretty strong in terms of the deal signings. So, should we expect this $200 Mn deal win number to be a new base for LTTS?
Amit Chadha: So, Karan, thank you. Karan, first, I would like to confirm to you, our aspiration is to stay at this $200 Mn LDTCV every quarter. And I in fact want to start inching upward. And I will tell you what we have changed. Once we have gone to these segments, the three segments externally and seven segments internally, we kind of now have seven sales organizations in th e company. So, I do expect this to start bearing fruit and growing as we go forward. So, Karan, to answer your question straight, the $200 Mn LDTCV should be considered as something that we will continue to try and deliver as you go forward. With the segment approach, we have got LD teams in every segment, and we expect this to continue to fire. Number two, in terms of pipeline, we have a robust pipeline. It has grown QoQ and YoY . Not just that order backlog because of this TCV closures have increased YoY for us and QoQ as well. Now in terms of execution, we are more or less on target in execution. You can see that in the Sustainability growth that you are seeing. Also, I would like to confirm to you that outside of Smart World, the company QoQ has grown sequentially as well, and that is a result of the pipeline getting converted. As I mentioned, in the Automotive segment, there were pauses and some delays that our clients wanted in specific cases and some program cancellations. But that is a one -off from just Automotive . Other than that, the rest of it is all in line and growing.
Karan Uppal: Okay. Just a follow -up. Outside of SWC, you mentioned the company has grown. If you can quantify how much is the growth there ?
Amit Chadha: We do not do that, Karan, but I can confirm to you that the swing of SWC in Q4 was there. And we hope that as we go through the year and we start getting Middle East revenues, some of that will go away. But that is work to be done as we move forward into FY26 and beyond.
Karan Uppal: Okay. And the last question is on the top clients, there has been a decline across the top 5, top 6 to 10 and 11 to 20 client buckets. Could you clarify what happened there and what is the outlook on

top 20?
Amit Chadha: See, that was largely driven by the Automotive decline that you saw in revenues. See, if I look at it, Mobility , right, if you take the percentages out, the degrowth was what, about $2 Mn, right? So, 1.x was a decline in Mobility that we had . So, if you look at it, T&OH and Aero grew to make up and Automotive came down, right? So, overall, we want it to be nice, kind of flattish, but yes, a little bit of decline. But if I look at it, that has what has impacted some of these accounts. But I would not be worried about this. Kindly give us a quarter or so. You will start by seeing some of these improvements . In fact, part of my commentary, I announced that we will in Q2 hit our first $50 million ARR account yet again, and it will start reflecting , you see , we report trailing 12 -months to you, but we see ARR ourselves. So, I would like to provide you

with confidence that you will see this improvement . I would not be too worried about it at this stage.
Karan Uppal: Okay. Thanks, Amit and all the best.
Moderator: The next question is from Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Yes, hi. Thanks for taking my question. Amit, I just want to understand the SWC part a bit more here. As you mentioned, outside of SWC, the business grew. We just have two data points. I think in both years in FY25 and FY26, in Q1, our revenue fell by around $10 million sequentially. Assuming that is all attributable to SWC, I mean, is this a seasonality that we are going to continue to see going forward as well that will have basically a ramp up in Q4 and then a sharp ramp down of almost $10 million in Q1 or do you think this is going to come down over a period of time as we sign more deals? Just an outlook on that because I think, overall, our business continues to be stable, but this is the one which is probably dragging the numbers down.
Amit Chadha: Sure. So, Vibhor, thank you so much. And you have been a guide and a coach to us as well as we move through the years. So, number one , SWC swing this year from Q4 to Q1 was greater than $10 million. And it was made up by the growth of LTTS heritage business and IS organic growth as well because IS also came into a certain base, we have had to grow IS, right? So, IS grew, LTTS heritage grew. SWC, the swing was greater from Q4 to Q1, right? So, we have been able to manage it a little better now. Had Automotive not given us a surprise, you would have

seen a much smaller swing in terms of the decline, right? So, that is a reality. Having said that, we are working hard, Vibhor, to stabilize this. We are very choosy in the contracts that we are bidding for in SWC. We are trying to even it out by getting more work from the Middle East right now. In fact, I want to re quest Abhishek, who is our Director, to talk about this as well a little bit. And then there is other business, Vibhor, work with the segmentation , and more people in the large deals team, more people in the sales team and U.S. and Europe starting to grow for us. We believe that when you come to Q1FY27, the decline should be lower or not there. Our intent is to not be there . Abhi, if you could please add on Smart World, the solutions and what we are doing.

Abhishek Sinha: Yes, thanks, Amit. A couple of points. I truly believe that our growth in the International segments, U.S. and Middle East and the kind of deals we are seeing there, U.S., especially in the data center side and Middle East led by platforms and fusion and another platform that we are building on computer vision. These are the kinds of deals which will be more service -heavy and that should reduce the swing that you are seeing. But again, this is something that we are working on. The pipeline is good, but till it converts, it is not converted. So, let's hope that in the coming quarters, we are able to do

much better.

Amit Chadha: You talk about this vision?

Abhishek Sinha: Yes, that is what I am seeing. The computer vision platform they are building. So, what we have done is the last seven years of work , we have done smart cities. We have more than 50 use cases

of various smart city solutions. We are building a platform where we intend to have a model studio where not just our models, but even customers can try out their models, their data. This is work -in progress. We should be able to release the MVP shortly. And from there on, a sandbox where customers can play on. Something ambitious. And of course, based on what we have uniquely achieved in industry and this platform is what we intend to take to the market in the coming quarters.

Vibhor Singhal: Got it, got it. Thanks for that very comprehensive answer and looking forward to a much lesser decline in 1Q FY27 as we just promised, Amit. Just two quick questions for Rajeev. So, Rajeev, I think if I understand correctly, I mean, SWC business has traditionally been and when we acquired it also, it is a lower -margin business. So, shouldn't Q1 automatically have a margin tailwind if SWC business ramps down in that quarter. I mean, we did see an expansion in Q1 last year and this year as well. So, could you just take me through the math as to why, despite lower SWC revenue, we see basically flattish margins in this quarter or nothing, let's say, kind of a jump in margins?

Rajeev Gupta: So, I think spot on Vibhor, I think I was expecting a question like this. So, really what has transpired is, see, SWC business though you call to be relatively lower margin, still has an impact on the overall margin, right? So, there is a decline on account of SWC seasonality impacting the margins. But what you are also seeing is the strategic support that we have called out continues in Q1, right? There are other programs that Amit highlighted in terms of Auto that also faced some headwinds, right? You had some program pauses. So, there is more than what we have had to deal in Q1 compared to Q4. And that's essentially where you see that despite these headwinds through the LTTS heritage business, particularly wins in Sustainability and growth in Sustainability segment, we have been able to marginally improve EBIT margins and essentially, that's where it is, right? Now if you really bake this out and play forward Q2 and Q3, we are anticipating some of these headwinds will phase out, leading to improvement in marg ins, Vibhor.

Vibhor Singhal: Got it, got it, Rajeev. Just one last bit. The cash flow in this quarter was I think I missed your original comments. Anything to worry about or just basically a quarterly thing and some of the cash flows may be spilled over to the next quarter?

Rajeev Gupta: Yes, Vibhor. I think it might sound like a similar response. Actually, this is a SWC seasonality effect, right? Much like revenue, you kind of see an uptick because we are in projects kind of business. Of course, with milestones being delivered, that follows through with higher cash payment so y ou will see the uptick, you will see cash improving from here on, you would have seen a similar pattern in Q1 last year where we had negative cash flows, but we recovered to deliver almost 109% of free cash flow all of FY25. I mean, hoping to get there, if not 100%, at least do 90% -plus free cash flows.

Vibhor Singhal: Great. Thank you so much for taking my questions and I wish you all the best.

Rajeev Gupta: Thank you.

Moderator: The next question is from Ravi Menon from Macquarie. Please go ahead.
Ravi Menon: Hi, thanks for the opportunity. Congrats on the strong large deal wins. Just wanted to check on the Tech segment where you said that you accelerated some support to customers. Is this in Semiconductors ?
Amit Chadha:

Can I request, Ravi, let us leave it at Tech and let us do it.
Ravi Menon: Sure. Just wanted to understand, Amit, here because it looks like there's a little bit more of that this quarter compared to last because QoQ, despite SWC seasonality, margins have gone down in the Tech segment. So, that is why I wondered if this is like -- it's become a little bit more widespread. Is it more customers or a larger extent of support?
Amit Chadha: No, it's not wider customers. There are two specific customers. And like we told you last quarter, Ravi, this was Q4, Q1 and potentially a little bit in Q2 support that will be done, and that is the end of it. And there are various other measures being taken in the company that we are taking, and that is why Rajeev confirmed to you that from an EBIT trajectory H2 will be better than H1. And it is our goal to try and get there, a lot of work being done right now and work in play.
Amit Chadha: One more thing. Ravi, also, please keep in mind that with the new age solutions that we are launching, etc., we have got a robust pipeline in all the three segments, Mobility , Sustainability and Tech. If some of these deals that we are expecting closure on get closed quickly in the quarter earlier, before the summer holidays, it will help us as well. So, various things being worked on.
Ravi Menon: Thanks so much. I appreciate that. Rajeev, once you are past the Intelliswift acquisition, how should we think about the seasonality of margins in our business here overall, considering SWC -- should Q1 be the low point or Q4 be the lowest for margins, how should we think about seasonality for margins?
Rajeev Gupta: So, Ravi, tempted to almost say that, look, Q1 is the bottom in terms of margins. What probably we are a little vary about is, is there any further shocks to absorb in Q2. Having said that, I think we have got enough and more to be able to improve margins from here on, right? So, you will see gradually margins improve. The reason we are calling out Q2 is because you are still seeing some of the dynamics being played out from a macro standpoint. But we are hoping Q2 is the last quarter and then we will see margins improving thereaft er.
Ravi Menon: Alright. Thanks so much and best of luck.
Moderator: The next question is from Sandeep Shah from Equiru s. Please go ahead.
Sandeep Shah: Yes, thanks for the opportunity. Just a clarification question. We are reiterating the guidance which we have given for double -digit growth in this year. But the last time in the earnings call and the press release, we have mentioned about constant currency versus this time, the press release does not mention a constant currency. So, is it any assumption change in terms of a full year's guidance this time?

Amit Chadha: No.
Sandeep Shah: So, one can fairly assume the guidance is based on Q 4FY25 rates?
Amit Chadha: Q4FY25 Absolutely. Yes, sir.
Sandeep Shah: Okay. Okay. And directionally, one can assume this growth would be more back -ended rather than second quarter may pick up significantly?
Amit Chadha: Need to be worked. I mean internal goals are much higher. You say Man proposes God disposes, right? So, I led out with my friend. See, you will see growth in revenue from here on. No second doubts about it. How much can we grow in Q2 and then take to Q3 and then to Q4 is to be worked on.
Sandeep Shah: Okay. Okay. And Rajeev, just a clarification. This quarter, we had 11.9% in terms of SG&A, which I agree because of the lower revenue base. But you are saying one can model 10.5% - 11.5%. So, what are the extra things which we are doing beyond growth as a lever which will decline into SG&A as a cost?
Rajeev Gupta: So, Sandeep, I think part of this, and if you do go back a few quarters, we have been running at that 10.5% - 11% SG&A clip, right? The increase in SG&A fro

m Q4 was largely because of
Intelliswift, right? Intelliswift being a smaller company at higher levels of SG&A. As part of the integration plan, we are continuing to look at opportunities on optimizing and also efficiently managing some of the SG&A costs. So, what you will naturally see is that it will come in

between this 10.5% - 11.5% range, and that is the reason I am guiding to model in that range.
Sandeep Shah: Okay. Thanks, and all the best.
Moderator: The next question is from Dipesh from Emkay Global. Please go ahead.
Dipesh : Just two questions. First, on the Intelliswift. Can you provide, let's say, how the integration playing out and the growth rate momentum playing out pipeline and other things? Because when we acquired, I think we have a very ambitious target to scale the b usiness in three years. So, if you can provide some update on that? Second question is on the clarification side. Last quarter, we said organic growth to be better in FY26 compared to FY25. Are we maintaining or we think because of weakness in some of the segments that might be tough ? Thanks.
Amit Chadha: Okay. Dipesh, thank you. So, first question on Intelli swift that you asked. So, we have created a five-year plan for Intelli swift . And so Intelli swift , you can divide up into Hyperscalers in ISV business, which was two -third of the business or half of the business. And half of the business is in retail, fintech nonbanking institutions, which include private equity and providers and pet care, right? So, that is the area that they play in or we play in with Intelli swift . So, we are doing two or three things. Immediately, what we have done is we have taken the Hyperscalers , combined it with our hyperscalers and going full hog at that. And we have actually now launched about 40 AI agents and about six Agentic AI tools that can be leveraged for Hyperscalers . In the

other three subsegments, which is retail, fintech nonbanking, which includes private equity and in providers and pet care. We have engaged in doing a strategic plan or how can we make each of these three subsegments to $100 Mn each in six years. And that is in play right now. We remain comfortable and confident, right, that the growth will be there and is there right now with a pipeline, right? So, that is number one. Number two, your question on FY26, I am reiterating two statements. Number one is that we will have double -digit growth. Number two, we continue to work on making sure FY26 will be a better year than FY25. Sustainability is already help ing us to deliver that. We are choosing whereas do we get the other stuff to be able to deliver but year to be played out, my friend.
Dipesh : Thank you.
Moderator: The next question is from Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain: Yes, hi, thanks for the opportunity. Just clarification. So, my question was about you talked new client addition in the quarter. Is it led by Intelliswift and if yes, then what is the contribution of this unit in the quarter?
Amit Chadha: No, the new clients that we added to Intelli swift must have been added in Q4, right? So, this is a new client in addition. There have been teams that have been working hard, my friend.
Rahul Jain: This is across the board, and this must be smaller deals because larger deals cumulatively account for other bulk, are this coming as a smaller deal versus what we used to own the accounts earlier versus now scaling some smaller -sized accounts?
Amit Chadha: Understand. So, I heard you. Are you asking, are we going after smaller accounts as opposed to larger accounts? I think I have got what you are referring to. So, Rahul, of I look at it, our Q1FY26 has 200 clients that are $1 Mn+ . The last quarter was 194, and one year ago was 177. See, this 194 is the new base with Intelliswift. So, from there, we have added six

more into Q1
that are $1 Mn+ . Rahul, if you look at it, some of these accounts will move up, right? So, there will be addition that we will see, we look at, there are specific clients that we are wanting to acquire, right, that we will acquire because we have a must -have logos need to have logos list that we have got, plus existing clients will grow. So, both will happen. I also want to confirm to you our whole strategy of wanting accounts that are $1 Mn +. In fact, we try and say that if a client is not a $1 Mn client , annually for us in about four to six quarters, we do not want to be able to continue unless we are working on a specific technology area because it is not a viable thing for us to do. So, it is a stated policy within the company respectfully to clients as well. So, that has not changed, Rahul.
Rahul Jain: Yes. So, Amit, why I was connecting the two is because the net active client addition is 38 vs it was very static prior to this transaction. So, that is why I was just thinking that most of it might have come in the nature of this business.

Amit Chadha: No. Rahul, in fact, I would like to confirm to you that 194 is including Intelli swift . So, the jump

between 177 and 194, which is because of Intelli swift , correct? And 194 to 200 is there. Now you must be also referring to the total number of active clients. That is from 421 to 459. See, because there are seven sales teams in the company now rather than one unified sales team. So, there will be more action that you will see. And as you see the pyramid will grow up and our whole goal is to go deeper to scale, build larger relationships so you will see more progress.
Rahul Jain: And just one last bit on the aspiration of Q4 FY27. I know there is some time for that. Given the way macro is shaping, very strong deal win that you are having, we are not seeing the revenue ramp up. So, would it be prudent to have a different timeline for that goal or do you think the growth in the subsequent year would be much better and that is why it is fair to stay with that number?
Rajeev Gupta : So, Rahul, I think a good point. I mean we still would like to stay with that timeline. Like I mentioned earlier, I think there are parts to this timeline. One, of course, is the Intelliswift integration, which is indeed panning out well, which, of course, giv es us the comfort. The second, like we talked about, we are seeing a lot of large deal wins in Sustainability segment, right? So, along with Plant Engineering , we are seeing a turnaround in Industrial Products also, which gives us the comfort. We believe that some of the strategic support is more short -term, right, if I were to call out. And beyond Q1, Q2, it should phase out, right? So, we will continue to hold the timeline. If there is any, let's say, worsening of the global environment, then we will call it out. At this stage, the basis remains the current global environment.
Rahul Jain: Right, right. Thanks for the color and c ongrats on winning consistently strong deals despite this kind of environment .
Rajeev Gupta: Thank you, Rahul.
Moderator: That was the last question in the queue. I would now like to hand the conference over to Mr. Sandesh Naik for any closing comments.
Sandesh Naik: Thank you, R yo. Thank you, everybody, for joining us at this late hour in the evening. And if there are any questions which still remain to be answered, we will connect offline. Thank you, and take care, everybody. Thank you.
Moderator: Thank you very much. On behalf of L&T Technology Services Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Oct 2025

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October 24, 202 5

National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra -Kurla Complex
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NSE Symbol: LTTS
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001

BSE Script Code: 540115
Dear Sir /Madam ,

Subject: Transcript of Q 2 FY26 Earnings Conference Call held on October 17, 2025

Pursuant to Regulation 30 and 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Q 2 FY26 Earnings Conference Call organized by the Company on October 17, 2025.

The above information is also available on the website of the Company at www.LTTS.com/Investors .

Kindly take the above information on record.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prasad Shanbhag
Company Secretary & Compliance Officer
(M. No. A 30254)

Encl: As above

L&T Technology Services
Q2 FY26 Earnings Conference Call Transcript

For the Earnings Call held on October 17, 202 5, 19:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ALIND SAXENA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. RAJEEV GUPTA – CFO,
MR. SANDESH NAIK – HEAD, INVESTOR RELATIONS

Disclaimer: Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statement s. L&T Technology Services Limited (LTTS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day, and welcome to the Q2FY26 Conference Call of L&T Technology Services Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandesh Naik, Head of Investor Relations. Thank you, and over to you, Mr. Naik.
Sandesh Naik: Thank you, Dorwin. Good evening. Wishing you and your family a Very Happy Diwali. I am Sandesh and welcome you all to the Earnings Call of L&T Technology Services for the 2nd Quarter of FY26 . Our Financial Results, Investor Release and Press Release , have been filed on the stock exchanges and are also available on our website www.ltts.com.
I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website one hour after the call en ds.
With that, let me introduce you to the Leadership Team present on this call. We have with us Amit Chadha – CEO and MD; Alind Saxena – Executive Director and President; and Rajeev Gupta – CFO.
We will begin with Amit providing an overview of the company's performance and outlook, followed by Rajeev, who will walk you through financial performance. I now invite Amit for his opening remarks.
Amit Chadha: Thank you, Sandesh. I would like to actually thank you so much for joining the call today and would like to wish you and all your families a very Happy Diwali.
Well, we celebrated Diwali early , with a near -$300 Mn large deal TCV intake in Q2.
I am happy to see our 'Go Deeper to Scale' and multi -segment strategy leading to deeper engagements with our global clients and a strong order book in spite of the current market dynamics and geopolitical unpredictability.
Let me provide the key highlights for our Q2 performance:

• Revenue in USD CC terms grew by 1.3% sequentially and 10.4% annually, with the Sustainability segment achieving double -digit annual growth for two quarters consecutively and Tech segment remaining resilient.
• Business in both US & Europe continued to expand steadily, showing consistent growth on a sequential and annual basis.
• Our strong momentum of deal wins continued as we touched a record high, large deal TCV of $292 Mn this quarter, including $100 Mn and a $60 Mn deal.
• The EBIT margins are slightly better at 13.4% for the quarter.

• We expect both revenue and EBIT margins to see improvement in second half of FY26 with H2 growth better than H1.
Before diving into segments, I want to share some updates about our Technology and Innovation Charter . We have fi

led 216 patents in AI & GenAI alone, while our overall patent count has exceeded 1,600 mark this quarter :
• We established a strong leadership position in engineering and industrial AI offerings, which is helping us gain client mindshare and market -share.
• We launched our AI -first delivery model and continue to make targeted investments to make the workforce ready in GenAI, Agentic AI and Physical AI. Physical AI for us includes multimodal AI, AI reasoning and Edge AI.
• We scaled our AI portfolio with platforms like Qguard.ai, FusionWorld.ai, PLxAI, AiNexus, GENIQ , and TrackEi to drive automation, contextual intelligence and real - life world machine applications.
• For example, our proprietary AI framework PLxAI, has already been deployed across 36+ use cases, accelerating innovation by embedding intelligence throughout the product lifecycle.
• Qguard.ai and FusionWorld .ai are enabling synchronized, scalable workflows while GenIQ and AiN exus are powering intelligent decision -making across engineering processes.
• These platforms are seeing strong client traction and early monetization. About 1% of our trailing 12 -month revenue has come from license revenue of these products, including AI, and our goal is to expand this to 5% of trailing 12 months revenue in the medium term.
• We are also making strategic investments in humanoids for manufacturing environment s, with use -cases focused on repetitive , precision -driven tasks, a clear step forward in our vision of autonomous , intelligent factories.
• Our partnership with SiMa.ai, NVIDIA and MIT Media Lab further strengthens our AI backbone, ensuring we remain future ready.
Let me now provide details on our Segmental performance and outlook :
Mobility:

• Our Trucks & Off Highways sub-segment did well and grew sequentially, while Aero space & Rail sub -segment was resilient. The Auto sub -segment remained subdued due to continued program pauses and muted decision -making.
• Let me provide some additional color
o In Auto , our clients are reviewing model year choices, and we believe some certainty will emerge in the next 3 months.
o Client spending on local manufacturing and supply chain continues to be resilient ; we are also actively participating in consolidation deals in the US & Europe.
o This quarter, we saw an uptick in clients wanting to use our proprietary EV platform, LTTS ' iDrive solution (for SDV) and TrackE i for specific OEM programs.
o In T&OH, we are seeing continued investments from customers as they roll out new products with new features leveraging AI & automation - one of our $20 Mn wins in this area.
• The pipeline remains active with multiple conversations in Auto, T&OH, Aero & Rail. We continue to work with our clients to get th ese to closure.
The Mobility segment will be muted with cyclical impact due to furloughs in the coming quarter, and expect a comeback in Q4FY26.
Coming to Sustainability:
• The Sustainability segment continued to perform well, delivering 3 .0% sequential and 12.6% annual growth, reflecting steady demand, execution strength and ramping up of large deal closures from the previous quarters.
• In Q2, we had two significant achievements in this segment – One, we achieved a $50 Mn+ account on an annualized run -rate basis in the Plant Engineering sub -segment . If you will recall, this is the same account where we had announced a large deal of $100 Mn some 2 -3 years ago.
• Secondly, we closed the quarter with our largest -ever deal of $100 Mn in the Industrial subsegment, very proud moment for all of us and vindication of our being number 1

in this area.
• Now

let me provide some color :
o The Industrial sub-segment has been digital and has seen digital & AI-led interventions across the PDLC offering to our clients. We are ramping up large deals, signed and continue to see deal wins with a robust pipeline ahead.
o On the $100 Mn+ deal, we are leveraging our AI portfolio. We will support the client across new product development, sustenance engineering, value engineering and platform automation.
o Our partnership with Tennant for sustainable product development continues to ramp up with the setup of a dedicated offshore engineering center.

• In Plant Engineering, demand continues across O&G and CPG for greenfield - brownfield capex projects and ongoing spend on digitization and modernization of legacy plants.
o We were chosen by a global food and beverage company for a greenfield project in plant design, process and utility engineering , While in another large deal win, a global beverage major has engaged us for end -to-end execution of their machine safety program across several global sites.
o Key clients continue to ramp up as demonstrated by the $50 Mn account mentioned earlier.
For the Sustainability segment, we expect the growth momentum and large deal wins to continue in both Industrial and Plant sub-segments.
Now on Tech:
• The Tech segment, while continuing remaining resilient for the quarter, grew 28.6% annually as it included the benefits of Intelliswift revenue over previous year.
• The Software and Platform subsegment, along with the integration of Intelliswift is making strides with Agentic AI offerings & Data Engineering Platform .
• This has led to a good industry response with a notable deal win to build a data factory model for a healthcare client in the Pharma area, which again is a new entry for us as an area.
• The Media & Tech sub-segment is rapidly evolving with significant transformations driven by AI and immersive technologies.
o We continue to grow in the US and have seen steady growth in our semiconductor accounts.
o This quarter saw us win a significant deal with a US -based telecom infra major to deliver advanced network software development and application engineering solutions , in Media & Tech. This again was leveraging the Smart World telecom infra piece that we had got some years ago.
• In the MedTech sub -segment, we are seeing healthy demand from Europe and Japan, while seeing some delay in ramp -ups in a few programs in the US market.
o A new client in the Ophthalmology space has selected LTTS for the only technology partner for their program in Lifecycle Engineering and New Product Development . This will help us in our growth going ahead.
o We expect MedTech to grow in the second half of the year, leveraging AI solutions across Digital Manufacturing , Sustenance Engineering and QARA.
• In the Tech segment, various large deals in advanced stages of negotiation will help us continue Tech's growth trajectory in the second half of the year.
Overall, we are seeing client decisions being made and anticipate strong growth trajectory across all three segments in Q4 and beyond.

Before I come to the outlook, I would like to highlight our readiness and strengthening our processes and teams to Build the Company for the Next Level of Growth .

• First: As mentioned earlier, we are pivoting to an AI First delivery model for our service, creating and selling new offerings with AI and taking a frontal position in Engineering, Industrial and Physical AI.

• Second : strengthening Leadership and Organizational Depth .

o We have a robust successio

n planning mechanism and have reenergized our leadership team with the addition of three new segment heads in the last quarter. This was as some of the current leaders retired. Joining us from global MNCs, these leaders have already taken charge of the Mobility segment, the MedTech subsegment and the Media & Tech subsegment. We have also hired a new global large deals head to be based on the East Coast of the US to bolster the large deal engine. Of the 4 new leaders, 3 are based in US, and all of them have spent between 2 -3 decades in the Technology Services industry.

o These appointments strengthen our delivery and operational depth across horizontal s, sub -verticals and technology .

o Similarly, augmenting of leadership done last year in Sustainability segment have reaped beneficial results in the Plant Engineering & Industrial Products subsegments.

• Lastly : Focus on Profitable and S ustainable Growth

o Our focus remains clear , to prepare LTTS for the next phase of growth, doubling down on areas that are value accretive while proactively pruning those that are not.

o This efficiency focus will continue reinforcing our commitment to sustainable margin improvement and shareholder value creation.

With that, let me discuss the Outlook :

The macro environment has remained similar to Q1; however, we have observed revival in deal - related conversations across all sub -segments except Automotive .

We recognize that FY26 may be a tight year, but the long -term fundamentals remain robust. The changing spends on AI, softwarization of products and services and ongoing reindustrialization of the US is creating opportunities for LTTS to lead with engineering and AI innovation , and we believe we are well positioned to capitalize on the shift.

With a strong order book and our large deal wins, we aspire for double -digit growth in FY26 and reiterate medium -term outlook of $2 Bn revenue .

With that said, I would like to thank all of you. I am going to stay on for the questions, and I would like to hand over the call to Rajeev.

Rajeev Gupta: Thank you, Amit.

Good evening, everyone.

First of all, wish you and your families a very Happy Diwali and Prosperous New Year in advance.

Let me begin with the key highlights for Q2FY26:

• Our diversification strategy, early investments in AI and new age technologies, coupled with deep relationships with clients have led to the highest ever large deal wins of about $300 Mn in the quarter, including a $100 Mn deal win in Sustainability and $60 Mn win in Tech segment.

• We are indeed seeing fructification in our strategy of having $100 Mn, $50 Mn accounts. Pleased to share that we now have a $50 Mn account in Sustainability on an annualized run rate basis .

• Q2FY26 saw an improvement in performance across the board – deal wins, revenue growth, margins and cash flows. This is in line with our earlier commentary.

With that, let me take you through Q2FY26 financials .

Starting with the P&L:

Our revenue for the quarter was ■ 2,980 crores, a growth of 15.8% on a YoY basis and a growth of 4.0% on a sequential basis.

EBIT margin for the quarter came to 13.4%, slight improvement over the previous quarter. We expect margins to show improvement fr

om here on.

Moving to below EBIT:

To start with Other Income was at ■ 50 crores, marginally lower on a sequential basis.

Our Effective Tax Rate (ETR) for Q2 was 26.5%. That's an improvement of 40 bps from previous quarter. With that, we have now reduced our expected range for tax rate between 26.5% to 27 .0%.
Our Net Income for the quarter was ■ 328.7 crores, up 4.1% on a sequential basis, which is 11.0% of revenue.
Moving to balance sheet , let me highlight key line items:
The combined DSO, including unbilled, stood at 114 days compared to 116 days in Q1, a reduction of 2 days. Q2 DSO was at 94 days compared to 98 days in Q1. Unbilled days at 20

days in Q2 compared to 17 days in Q1. The combined DSO is within the target range of 110 to 115 days, and we expect to improve as the year progresses.
Our Q2 Free Cash Flow came in at a healthy ■ 445 crores, leading to YTD free cash flow of ■ 417 crores.
Our Cash and Investments stood at ■ 2,883 crores at the end of Q2 versus ■ 2,431 crores at the end of Q1.
As you would have seen today , the Board approved an interim dividend of ■ 18 per share.
Moving to revenue metrics:
In Dollar terms, we reported revenue of $337 million as compared to $335 million in Q1, a growth of 1.3% sequentially and 10.4% YoY on a constant currency basis.
Talking about segment margin performance for Q2FY26:
Mobility segment margins for Q2 came in at 14.8%, lower compared to previous quarter due to subdued demand environment in Automotive sector. Amit already highlighted our overall Mobility segment is balancing out with growth in Truck and Off -Highways and Aero and Rail subsegments. We see Automotive sector stabilizing going ahead and expect the Mobility segment to return to growth and better margins in Q4FY26.
Sustainability segment margins for Q2 came in at 28.1% margins, up 50 bps over previous quarter, resulting from ramp -up of large deal wins. Further, large deal wins of $100 Mn in Q2 and a healthy pipeline in this segment will continue to aid revenue growth and margin improvement going ahead.
Tech segment margins for the quarter came in at 9 .0%, remained stable compared to previous quarter. Our integration plan for Intelliswift acquisition continues to show results with improvement in margins sequentially.
Let me now comment on operational metrics:
The Onsite:Offshore mix showed slight improvement towards Offshore as compared to Q1. Offshore percentage now stands at 56.4%.
The T&M revenue mix was 61.9% in Q2, lower compared to Q1.
Client Profile – which indicated number of Million dollar plus accounts, has shown sequential improvement in $30 Mn and $1 Mn+ categories. The client profile will continue to improve in the coming quarters.

Client contribution to revenue is quite similar compared to Q1 across categories. We expect revenue from top customers to improve going forward as we are running targeted programs on client mining.
Headcount was 23,678

in Q2 compared to 23,626 in Q1, while Attrition remained at similar levels as compared to Q1.
Realized rupee for Q2 was at ■ 88.39 to the dollar, a depreciation of around 3.4% versus Q1 when compared to ■.
As I conclude, let me provide visibility on margin trajectory going forward:
We have seen margins improve sequentially in Q2FY26 and we will see further improvement from here on. Improvement in margins will be facilitated by
• Growth , improvement in quality of revenue and segment mix , with higher large deal wins in our highest profitable segment – Sustainability. That's the first that we see.
• The second, Operational efficiencies such as optimization of pyramid, leveraging AI and automation and project delivery, review of low -margin portfolio and tail accounts, higher offshoring and optimization of G&A costs are going to further help us in terms

of improving margins.
• Thirdly, the integration plan for Intelliswift acquisition continues to yield incremental
improvement as we move sequentially and QoQ .
• Launch of our internal AI platform to leverage AI across our functions – Delivery,
HR, Finance, Marketing, IT will deliver efficiencies and also aid in terms of margin
improvement .
All of this will lead to H2FY26 margins to be better than H1FY26 margins.
With that, we maintain our aspirations of mid -16% EBIT margins between Q4FY27 and
Q1FY28.
Thank you. I now hand it over to the moderator for questions.
Moderator: Thank you very much. Our first question comes from the line of Ravi Menon from Macquarie.
Please go ahead.
Ravi Menon: Hi, thank you for the opportunity. Congrats on really good deal wins. I want to check about the
growth across geographies. It looks like the core geographies are doing well. Americas and
Europe have grown. Even India has grown. The rest of the world has seen a decline. Should we
think about that correlated to the challenges in Automotive ?
Amit Chadha: No, I would not necessarily do that. See, the way to look at it is that there are businesses in ROW
that we did decide that we will look at. They are small. So, I would not worry. Basically, our

strong geographies, the US, Europe as well as Japan actually have grown and done well, and
that's where it is.
Ravi Menon: And any progress on taking SWC to the Middle East?
Amit Chadha: Yes. So, that is where we have been working on. So, we have got a pipeline in the Middle East
that we are working on, but it is taking longer than what we had expected in terms of closures in
the Middle East. In fact, we have got some good inquiries for S mart World in the US as well,
but again, going slower than what we had anticipated.
Ravi Menon: And one last thing. You had started a cybersecurity center in the US So, is that something that
can leverage the credentials of Smart World Communications in India?
Amit Chadha: So, again, if you go look at Smart World, there were three parts to it. There was a Smart Cities
piece, there was a Telecom Infra piece and there was Cyber piece. And broadly, if I recall, about
60%-65% was cities, about 40 -odd % to 35%-38% was Telco Infra and the remaining was the
Cyber, very small.
So, Cyber now I can confirm is in excess of, I would say, at a company level, we have been able
to take it about between 1 .0% -2.5% of our revenues and fairly profitable. The Telco Infra piece
is anyway international. In fact, this large deal win that we had with the Telecom operator was
from that area and because of the credential. Smart Cities continue to be like I talked a little
down.
Ravi Menon: Thanks so much for the

call. And the $100 Mn in Sustainability , just to confirm, this is the largest
deal win that you had in this segment, right?
Amit Chadha: This is the largest deal we have had in this segment. If I recall, we had a deal that was $100 Mn
in the Oil and Gas space. It was, I think, about 4 years ago or 5 years ago. And so that was that.
And now the $100 Mn in Sustainability, in IP is the first $100 Mn deal. And no rebadging, all
offshore, largely offshore, a little bit onsite, in line with the Sustainability margins.
Ravi Menon: All right. Thanks so much. Best of luck.
Moderator: Thank you. Our next question comes from the line of Bhavik Mehta from JPMorgan. Please go
ahead.
Bhavik Mehta: Thank you. So, a couple of questions. Firstly, on the Auto vertical, we do expect recovery from
4Q, but how should we think about the pace of recovery over the course of, let's say, by C Y26?
Is there something where you expect a gradual recovery or there could be some pent -up demand
because of the recovery could be more faster?
Amit Chadha: So, first, I am an optimist, right? And for those that have met me they would agree with that.
See, here's what I am seeing in the market. There's a certain certainty that has come into the
decision -making in the last couple of months where we are seeing people accept the new normal

and start to make decisions for their business, for their customers, for their products, reshoring

of manufacturing starting up. I am not saying production has started, but permits are being built, taken up, et c. So, I am seeing that happen for sure.
Second, AI in enterprise, there's a lot of use cases, but AI in manufacturing and engineering are also picking up steadily. In fact, every Board is asking our Head of Engineering or Head of Product Development, our CTOs, have you used AI and where? So, it's coming top down.
So, those 2 are, in my view, some very strong signs that stuff will start to pick up pace right about February time frame because again, October, November, December is a furlough quarter.
We will see how it goes. It's not a washout, but we will see. We hav e to grow, right? So, that will be there. There are also a lot of consolidation deals going on. See, there are companies in Western and Eastern Europe that are getting consolidated against, because their skil l sets don't match the latest skill sets needed. So, lot of activity is going on, I would say. And I do hope that Feb onwards will be higher growth than current year growth has been. I hope I have answered your question.
Bhavik Mehta: Yes, that's helpful. Thank you for that. The other question is the large deal what we are reporting, at $200 Mn, which was trending in the last few quarters, gone up to $300 Mn now. Is this entirely net new? Or does it include an element of renewals also? Because if the renewals are also included, then what is the ratio of net new over the past few quarters trending?
Amit Chadha: Yes. So, about 20% would be what was already there and 80% broadly is what we have built on as add -on new. That's how you should look at it.
Bhavik Mehta: Okay. Got it. That's it from my side. Thank you.
Amit Chadha: And one more point, just to answer that. Most of the deals we are getting when we are announcing a TCV $10 Mn +, it is a plus -plus. It is not just a renewal. I am just making sure that you understand that.
Bhavik Mehta: Right. Right. Got it. Thanks.
Moderator: Thank you. Our next question comes from the line of Karan Uppal from Phillip Capital (India). Please go ahead.
Karan Uppal: Yes. Thanks for the opportunity. Just a question on the TCV to revenue conversion. So, LTTS has been reporting very strong TCV since last 4 quarters, but the growth has been a bit soft in the last couple of quarters. So, fro

m here on, how do you think abo ut the TCV to revenue conversion? Your commentary suggests that the revenue conversion is improving. Do you think that the clients are now more open to spending now versus, let's say, 6 months back? That's the first question.
Amit Chadha: Sure. So, to answer your first question, see, broadly, if you look at it, our wins used to be in $100 Mn range, and they have jumped to $200 Mn for the last 4 quarters, including this quarter. Now

if you look at Sustainability , we have announced a deal that was $70 -plus Mn in Q4, and that is one big one that we did in Sustainability . And you have seen that Sustainability is growing, right? So, I would say that the way to think about it is that Auto has been subdued. Like I said, program pauses have continued and subdued. Otherwise, you would have seen this come out full potential in terms of the growth. And we are working on it. And I do believe that H2 will be better than H1.
Karan Uppal: Okay. Amit, last time you mentioned that for FY26, organic growth would be better than last year. Do you still hold to that guidance?
Amit Chadha: I said double digit, and I hold to that.
Karan Uppal: Okay.
Amit Chadha: See you also should be aware. No, so good you are asking it. Look, we have always been very honest and transparent. So, you should be aware that we continue to look at the portfolio and see if there is stuff that's really dragging us down, non -strategic, we try and avoid doing such stuff.
So, because we want to maintain market dominance in the areas we operate.
So, the way to look at it is that, like I said, Feb onwards, I am not saying that nothing will happen in Q3. I am confirming H2 better than H1. I am also not saying it's going to be hockey stick Q3 to Q4. There will be growth, but I can see clear signs of the burst coming Feb onwards.
Karan Uppal: Okay. Thanks for that clarification. One question for Rajeev. Just a bookkeeping one. So, depreciation has been rising for 3 quarters, post Intelliswift acquisition. So, how much should we bake in from a go -forward perspective?
Rajeev Gupta: So, what I would guide is see, this quarter, we did have capitalization of one of the facilities that we have set up in Baroda. That's a dedicated facility for LTTS. So, there is indeed increase in depreciation on account of that. You should model depreci ation in the range of ■ 95 crores in a quarter.
Karan Uppal: Okay. Thanks, and all the best.

Moderator: Thank you. Our next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Thank you for the opportunity. I wanted to check with you on a couple of things. First of all, on the Tech side, if you could break your commentary in terms of what are you seeing within your heritage portfolio, the Intelliswift portfolio and SWC? That's question number one.
The second question is that through at the start of this year, you had supported certain strategic customers through certain price or volume discounts, and which have been a headwind to margins in the more recent quarters. You were expecting them to essentially go away from sometime in Q2 and thereby margins expected to improve. Are we on track on that? And the

third one essentially is on wage hikes for the year, if you could give us your thoughts on the same. Thank you.
Amit Chadha: So, let me start with the third question. Wage hikes are in consideration. We are working on it. So, it will be either sometime in Q3 or sometime in Q4. It is a decision to be made, and we are working through it. And we are committed to doing it in one of the quarters or last time we had done it in November of last year. So, we are working on it. So, please giv

e us a little time on that
as we go through stuff, right? But either Q3 or Q4, we will do it.
Now in terms of client support, I am happy to report that the client support has ended as of Q2 end. And Rajeev can add more color, but the margins will improve from here on, like we have said.
Now let me go to the heritage portfolio, et c, on Tech. So, start with Smart World. Smart World, Smart Cities, we are not seeing a lot of traction. And for Telco Infra part of it and Cyber are doing okay for us, growing. And we are being very picky and choosy on the jobs that we pick up in Smart World, because we are careful about the margins that we operate under. Middle East is something we have invested in a sales team. US, we have invest ed in a sales team. There are active deals. We had closed one earlier. We have executed it. Others, we are working on trying and do that. So, there is an active pipeline that we continue to work on . But very honestly, I would have expected this to be faster. It hasn't panned out at the pace that we had expected.
Now I'm going on to Intelli. Intelli, we had picked up at x margins, and we had committed to you, we will grow the margins. I can confirm to you that the Intelli margins stand -alone have grown also QoQ .
Now in terms of the heritage business that we have plus, we are actively talking to grow accounts. In fact, 3 accounts that are hyperscalers are $30Mn+ accounts for us. We have been posting stuff on LinkedIn also, you can look at it, a lot of excitement that we have created around some accounts.
Now if you go to the Heritage business, which was Media & Tech, Semiconductor , and some of the Medical areas, we have won the $60 Mn account that was in the Telecom place. So, done okay. There are certain areas which we are looking at reducing there, because some of the work that we have got is non -strategic. So, we look at it but largely growing.
And we had another win on Telecom Infra last quarter, if you remember, in Telecom Infra this quarter as well. So, growing, right? Medical has been a little slow in the US for us. We have won some very interesting programs in Japan. We have won a good, very nice program, client in Ophthalmology , very excited about it.
I am happy to share that now we have a near $50 Mn account in Medical . We also have two $10 Mn+ accounts in Medical that are really promising. And some of them, 3 actually. And then we have got others that are sub $ 10 Mn or above $ 5Mn. So, we do believe the change of approach

with a new segment leader, along with a dedicated sales team that's been reorganized will help us bring growth back in this, say, from Q4. I hope I have answered your question.
Manik Taneja: No, that's quite helpful. And just one clarification. Your outlook on margins probably will stay respective of the wage hike that is yet to essentially be decided upon. And will that probably be an incremental headwind for our margins in the near term?
Rajeev Gupta: So, Rajeev here, let me add to that. Amit already mentioned the fact that, look, this is in consideration, and a lot of factors are being evaluated at this stage. It will be an event either in Q3 or Q4. But whenever that decision is being made, our commentary around H2 margins being

better than H1 continues, right? So, we will be able to absorb the headwinds that come from wage hikes.
Manik Taneja: Great. Thank you, and all the best for future.
Moderator: Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vi

bhor Singhal: Yes. Hi. Thanks for taking my questions. And congrats on very solid deal wins. Amit, my question is on the deal wins again. I think we have seen very strong deal wins. And gradually, I think every quarter, we are just upping the benchmark in terms of the deal win quantum that we are reporting. So, just wanted to understand 2 parts to this question here. One is, of course, is it mainly because that like, we have become bigger and we have basically been able to get more kind of capabilities un der our belt, that we are able to win these kinds of large deals ? Or is it something different that we are doing?
And secondly, is it somehow also a reflection of how the ER&D industry has evolved that now we are seeing the kind of deals that we had never seen before. And maybe we will probably see more of such large deals going forward also?
Amit Chadha: Sure. So, thank you so much for that question. See, number one, what's changed is that for us is that instead of one central sales organization, we now have 6 sales teams in the US across the 6 segments, plus a regional sales team in Europe, in India, Mid dle East and Japan and Australia, right, ROW. So, that's number one, we have created a lot more capillary force here.
Second is that we have been investing in technology, I believe, at times ahead of the curve and filing that 216 patents in AI is a signal of that. And getting like 1% of trailing 12 months of revenue is not a lot, but vindication that we are on the right p ath from license sales and most of them AI license sales is a good vindication that the technology we are ahead.
Third is the type of conversations we are able to have with our customers actually involves the CTO, involves the Head of Product Development, involves the Head of Manufacturing, includes at times the CIO for the manufacturing part, is helping us in mappin g up larger areas and picking up more areas than we did earlier.

Fourth, as practice , see, earlier, we would go, and we would pick up an order for $1 Mn be happy come away. Now we ask the question, if you are giving me a $1 Mn PO, can you give me a 3 - year SOW. So, there's some certainty to the demand. So, what we are building is we are building steps of the future that some of this TCV will. So, like this, this $100 Mn win is not across 2 years. This $100 Mn win is across 5 + years, right? The $60 Mn win is a 5 + win. So, the point is the duration, we are trying to increase the duration. We are not doing 10 years. We are not doing 20 years. The highest we have done is 7.5 years for a deal.
But the whole idea is try and get 3 -digit approvals and wait for that to work out. So, that's the large intent that we have got. So, net -net, more sales penetration; second, pre -investment in Technology ; third, mapping further areas. And f ourth is getting into the larger terms.
fifth is, and I just want to make a point, see, many years ago, we didn't have Automotive when we started. We invested in it; we got into it. 4 years ago, some of you gave us feedback that you are working with Tier -1s. In Automotive , you don't work with OEMs. Today, 80% of the work in Automotive , 85% actually is coming from OEMs, West Coast OEMs, East Coast OEMs, Midwest OEMs and Europe OEMs, Japan OEMs. Similarly, you have given us feedback that you are not focused on Tech. You are not looking at hyperscalers. Today, 3 hyperscalers are 25 Mn+ accounts for us. So, we continue to learn from you. We learn from others. We learn from our customers, and we continue to grow. And that is helping us, if you ask me in this TCV.

Now I also want to tell you because somebody will ask the next question that will Q3 also have $300 Mn win. I am telling you right now, Q3, I am confirming $200 Mn. Still, we will try that $200 Mn. let me walk, and then I will run. So, I am walking right now at $200 Mn, God was kind. Diwali was there. We got $300 Mn, now maybe Christmas also, we will get $300 Mn, we will see.
Vibhor Singhal: Got it. Got it. That's really encouraging to hear. So, is it fair to say that maybe clients are also now okay to award slightly longer duration deal or let's say, clients are also okay to award, what should I say, a multifaceted deal. As you mentioned, you start with the CTO and production engineering head in multiple. Earlier, I think most of the deals in ER&D used to be with, let's say, a specific segment and then maybe used to cross -sell. But now at the time of inception of the deal itself, you are able to stitch together multiple departments. Is that a change that is happening in the industry gradually?
Amit Chadha: What's happening for sure is that clients are also starting to have larger conversations, have the

appetite to have larger conversations. In fact, a lot of our client conversations today are happening. And some of our clients can you come and sit down with me and tell me strategically, I am trying to think about Engineering for the next 10 years. And as I look at Engineering and Technology for the next 10 years, what should I do in -house? What should I take out? How should I r eskill my people, right? So, those are the larger conversations we are having and much more meaningful than give me 10 bodies and give me one horse and go away.

Vibhor Singhal: Got it. Got it. That is great to hear. Just one last question for Rajeev. Rajeev, this quarter, would have seen a good amount of, let's say, margin tailwind from currency depreciation. Despite that, we saw only 10 basis points of margin expansion on a sequential basis. Any margin work that you would provide as to how much the currency benefit was in the margins and where was it consumed?

Rajeev Gupta: So, Vibhor, the way I would try to explain this is, see, there is, of course, a tailwind coming from FX. But what you also see are the headwinds that are coming from the Auto subsegment of Mobility , right? And I will request you to talk more to Sandesh on the specifics. But if you really put it together, that's where it is. And hence, you see just about a 10-bps improvement.

Having said that, I have already called about the fact that, look, whatever strategic support that we are offering to our customers between Q4, Q1 concludes in Q2, right? So, going forward from Q3, we should see improvement in margins. Of course, FX continuing should be a further tailwind for us, but that's where we are, Vibhor.

Vibhor Singhal: Got it. And the mid -16% margin guidance by Q4 FY27 or Q1FY 28 that you are confident about?

Rajeev Gupta: Yes, absolutely, Vibhor.

Vibhor Singhal: Perfect. Good. Thank you so much. Thanks for taking my questions, guys, and wish you all the best.

Rajeev Gupta: Thanks.

Moderator: Our next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Yes. Thanks for the opportunity. Amit, you also mentioned in your opening remarks in the US reindustrialization is an emerging opportunity. So, why am I asking a question because some parts of the tariff -related announcement are still changing period after period. So, in this kind of a scenario, clients are in decisive mode. So, I just wanted to understand the nature of this demand, especially in the US

Amit Chadha: Sure. Sure. See, what we are seeing is that, to start with, when the tariffs got announced and the whole thing was being negotiated, ou

r clients built a lot of what if then scenarios, right? And which included either changing the supplier, moving supply f rom Mexico to the US, China to the US, looking at India, looking at other places. So, we saw all those scenarios and they consulted with us, they consulted with others in that area.

What we have seen in the last 2 months is some of those people have come up with those decisions that irrespective of what gets announced further, let's make this move and do XYZ. Specifically, we are seeing discrete manufacturing being set up or factories being expanded or starting to get expanded, plants being done in that area, clearly.

Second, we are seeing in Medical and Pharma , people actively looking at doing stuff in the US itself. There is some amount of high -end electronics that people are talking about. And look, I would actually request you, why don't you look at the sales of people like Siemens, ABB, Hitachi and all thes e guys in the industrial automation demand that they are reporting, that is new sales that are happening in the US and Europe. And you will realize that all of this is going into some of these newer plants, refurbished plants that are happening. Am I sayin g production has gone up drastically? No. What I am saying is the plan ts are being activated. There's a lot more kind of certainty in that area that people are developing.

Sandeep Shah: Thanks for the detailed answer. Helpful. Just a couple of follow -ups. In terms of Intelliswift, you mentioned that the margins have gone up. Is it the revenue trajectory also moving up on a QoQ basis?

Rajeev Gupta: So, Sandeep, Rajeev here, let me take the question. So, see, both the aspects, right? One, of course, the revenue growth because we definitely see opportunities on the Software Platform

side, working with the hyperscalers and also the adjacencies that we talked around in terms of Healthcare.
The other is on the margin. We talked about the integration plan, and we had called out that, look, we have an opportunity in terms of the margin improvement at the project level. We also have an opportunity in terms of rationalizing the SG&A cost, right?
So, if you really see in Q2, there's about 50 bps of improvement, that's actually 40 -50 bps improvement that's coming on the SG&A cost. So, indeed, some of the plans are translating. So, it's not only the revenue part, but also the integration plan that's working through.
And likely, we will see that, look, a few more quarters, we should have Intelliswift get to what used to be Tech-like segment margins, which is where we probably will conclude because essentially, we want to grow the business. We want to invest in the business so that we are able to tap into the opportunity that is with hyperscalers.
Sandeep Shah: Okay. Thanks. And sir, just last question in terms of the guidance on double digit. My calculation implies 3% growth. I understand Q4 seasonality strength generally comes through SWC. But in the Q3, don't you believe furlough can have an impact in terms of achieving this kind of ask rate in Q3, Q4. Q4, just a question whether SWC seasonality may continue even this year?
Amit Chadha: To be played out for the year, half year. Lots of stuff in progress, action, we will see where it ends up.
Sandeep Shah: Right.
Moderator: Thank you. The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Hi, good evening. Thanks for the opportunity . Just wanted your thoughts on the fact that see the last 3 quarters, including the fo

urth quarter, we have had deals consistently with about $200 Mn.
Now if you look at the revenue accretion, could you contextualize that? Has some of that not ramped up or been pushed out or have they been ramped up and this sort of replaced the leakages on the book? So, I am just trying to understand if you have a rising backlog? Or is it that it just made up for the leakage?
Amit Chadha: So, look, the order book has grown. So, the backlog has grown definitely. In Engineering, the ramp -ups, unless you are doing a rebadge, there's a gradual ramp -up. See, like, for example, the $100 Mn win that we had almost 5 years ago in the Oil and Gas customer continue to grow with us. They finished at $100 Mn, gave us mo re. Now it's become a $50 Mn ARR account for us, 2nd Quarter in a row.
So, it takes a little time for these to become 50 Mn accounts, 30 Mn accounts, all that. So, when you look at $200 Mn, the average of that $200 Mn is approximately between 4 -odd years that you have got, right? So, that's how you manage that.
Second, so then if you do the math, it then goes to order backlog and there's a ramp -up that's a little slow.
Third, Mobility has been a challenge. And if you remember, last 2 quarters, I have been saying that, that Mobility has not grown for us. Some of the accounts have ramped down. There has been program pauses. And we believe it will come back. My belief is Feb, March, it will come back, but that's where that is.
And that's the reason you are not seeing it directly totally drops down and show up. Like if I may, see, if you look at the margins also, we had some client support to be provided in the last 2 quarters. Now that that is gone, you will see that come into the margins. So, give us a little time, work with us. And I am excited that we are able to get to this number of TCV wins. We will continue to push on this and then revenue realization. Thank you.
Nitin Padmanabhan: Perfect. Yes. That's actually quite encouraging from a deal win improvement perspective. Thanks for that. On the margins, this client supports , what do you think we should be penciling in, in terms of recovery in margins in the second half broadly? How should we think about it?
Rajeev Gupta: Nitin, this is Rajeev here. So, I already mentioned it earlier. I am not sure if you are able to hear me out. But the strategic support that we had called out between Q4FY25, Q1FY26 and Q2FY26 comes to a conclusion in this quarter, right? We are not anymore carrying that forward.
We have also said that our H2 margins will be better than H1. That begins with Q3 itself. We haven't given a specific number so far on the margin for the year. We have definitely given clarity that we will come back to mid -16% levels by Q4FY27 or Q1FY28. So, yes, the margins will improve from here on, though we have not put a number for the year, given, of course, all the headwinds that we saw between Q1 and Q2. But yes, I think the worst is behind us now.

Nitin Padmanabhan: Perfect. That's helpful, Rajeev. Thanks a ton, and all the very best.
Moderator: Thank you. Our next question comes from the line of Prateek Maheshwari from HSBC Securities. Please go ahead.
Prateek Maheshwari: Thank you for the opportunity. Amit, I had a question, I just wanted you guys to double -click on the outlook for Mobility. So, you guys expect probably furloughs in 3Q, but growth from 4Q onwards. I wanted to understand if you guys also think that probabl y Automotive could also turn to growth by that timeline. And would it be just because of Trucks & Off-Highway , and Railwa ys?
Amit Chadha: Can you just repeat this quest

ion, please?
Prateek Maheshwari: Amit, I wanted to understand, so your guidance is basically Mobility would turn to growth by Q4. So, I just wanted to understand probably if you can give it subsegment -wise, what do you think about Automotive in that? Or would it be just based on the ramp -ups that you are seeing with Trucks & Off-Highway , and Railways?
Alind Saxena : So, as you are aware, Mobility for us is 3 parts. So, we talk about Automotive, we talk about Trucks and Off -Highway, and we talk about Aero and Rail. And if we look at how this quarter played out, we actually grew in the other sectors and Automotive was quiet. We expect Q4 to come back with growth in Automotive itself.
We are seeing deals starting to ramp up that we had closed earlier and we had talked about. They took a little bit of time, but now we are seeing that happen. And this is cross borders. So, we are fairly confident that unless something happens dramatically different in the next few months in Q3, we should see a good amount of growth coming across all the 3 sectors that we have in Mobility.
Prateek Maheshwari: One question I had for Rajeev. So, I just wanted to understand SG&A. Like how much of target reduction is there with the Intelliswift integration?
Rajeev Gupta: So, Prateek, wouldn't be able to put a number to that, but I can give you an overall view in terms of where we see the SG&A for LTTS to finally arrive at. So, prior to the Intelliswift acquisition, I had mentioned that our then target range used to be bet ween 10.5% to 11 .0%, right? At this point in time, we are at about 11.5%. We will continue to work upon this, because we are also conscious that with the opportunities that might come ahead of us, we will invest in sales. G&A, we will continue to look at as part of the economies of scale, the AI solutions, etc. So, our target range for LTTS would be between that 10.5% to 11 .0% range, which will take us a few quarters, more than a few quarters, but that's what we are working towards.
Moderator: Thank you. Our next question comes from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Yes. Hi. Thanks for the opportunity. Most of my questions have been answered. Just one thing, just to try getting into this 16.5% that we are talking about, does that build a significant growth acceleration in the coming year or a similar growth rate that we are locking this year should be able to reach this point?
Sandesh Naik : Yes. Sorry. We talked about 16, mid -16 before this. We will carry on with that from here on. So, it will be quite gradual.
Rahul Jain: Yes. My question was more on the growth side. Do we expect growth acceleration as a precondition for this to be achieved?
Rajeev Gupta: Not really. So, we haven't put like growth will only lead to margins. I think I have talked about 3 or 4 areas. Of course, there is one growth, quality of revenue. We are seeing a lot of large deal wins in Sustainability , which is, of course, a tailwind for us. That's one.
Second, you will continue to see AI -led delivery improvements. And that's across all the functions, right? We are looking at AI internally and also trying to see how best we can drive efficiency and economies.
Third, I talked about SG&A. I also mentioned the targeted range. That's the third part. Also, we are looking at the portfolio, because we want to be mindful in terms of how we want to grow the organization more towards where we see the opportunities with the customers and to tap into the newer areas of technology. So, any of the accounts or portfolio that are not margin accretive, we will give it a serious look, right? So, these are 3, 4 areas that we are look ing

at. It's not just
hinging on growth.
Rahul Jain: Sure. But given the kind of run rate we are seeing right now on the growth side of it and also that we are probably at a lower point of our margin in the last several years. So, what is so obvious to you that it gives you that confidence a meaningful 200 - 300 bps margin uptick is quite a possibility?
Rajeev Gupta: So, the 200 -300 margin improvement that you are talking of, of course, is over a period of time. I have talked about between Q4FY27 and Q1 FY28. That's one. So, it will happen sequentially. Having said that, I think the biggest uptick that you will see is the strategic support that we called out in Quarter 4, Quarter 1 and Quarter 2 of this year concludes in Quarter 2, right? So, that will lead to a margin uptick.
And then, of course, all the large deal wins that we are seeing in Sustainability , of course, that is the highest margin segment that we have. Mobility, we expect it to come back in terms of growth and profitability in Q4. So, there are varied factors. It is not that suddenly you will see a 200-300 bps improvement. That's all sequentially lined up.
Moderator: Ladies and gentlemen, that was our last question. I would now like to hand the conference over to Mr. Sandesh Naik for closing comments. Over to you, sir.

Sandesh Naik: So, thank you all for joining us on the call today. We hope we have been able to answer your queries. Any follow -ups, we will be happy to address them. With that, we are signing off and wish you a Happy Diwali again. Thank you all.
Moderator: Thank you. On behalf of L&T Technology Services Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Jan 2026

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January 20, 2026

National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra -Kurla Complex
Bandra (East), Mumbai – 400 051

NSE Symbol: LTTS
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001

BSE Scrip Code: 540115
Dear Sir /Madam ,

Subject: Transcript of Q 3 FY26 Earnings Conference Call held on January 15, 202 6

Pursuant to Regulation 30 and 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Q 3 FY26 Earnings Conference Call organized by the Company on January 15 , 202 6.

The above information is also available on the website of the Company at www.LTTS.com/Investors .

Kindly take the above information on record.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prasad Shanbhag
Company Secretary & Compliance Officer
(M. No. A 30254)

Encl: As above

L&T Technology Services
Q3 FY26 Earnings Conference Call Transcript

For the Earnings Call held on January 15, 202 6, 19:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ALIND SAXENA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. RAJEEV GUPTA – CFO,
MR. SANDESH NAIK – HEAD, INVESTOR RELATIONS

Disclaimer: Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statement s. L&T Technology Services Limited (LTTS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day, and welcome to the Q 3FY26 Conference Call of L&T Technology Services Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandesh Naik, Head of Investor Relations. Thank you, and over to you, Mr. Naik.
Sandesh Naik: Thank you, Dorwin. Good evening. Wishing you and your family a Happy New Year. I am Sandesh and welcome you all to the earnings call of L&T Technology Services for the 3rd Quarter of FY26.Our ‘Financial Results, Investor Release and Press Release’ have been filed on the Stock Exchanges and are also available on our website www.ltts.com .
I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website about an hour after the call ends.
With that, let me introduce you to the Leadership Team present on this call. We have with us Amit Chadha – CEO and MD; Alind Saxena – Executive Director and President and Rajeev Gupta – CFO.
We will begin with Amit providing an overview of the company performance and outlook , followed by Rajeev, who will walk you through the financial performance . I now invite Amit for his opening remarks.
Amit Chadha: Perfect. I hope I am clear. Thank you so much and thank you, Sandesh. Wishing everybody on this call a very, very happy and prosperous new year, a very Happy Pongal, Happy Sankranti, and a Happy Lohri.
That said, in Q3, we have had multiple conversations with clients, including hosting our fourth Advisory Council in MIT Media Lab in Boston. Based on our interactions, we believe CY26 holds promise as macro situation improves and demand, particularly in new -age technology areas, continues to strengthen. This is also reflected in our large deal pipeline and closures.
In preparation of our Lakshya 5 -year strategy starting FY27, we have used the past quarter to re - evaluate market trends, consult ed with clients on their spending priorities and potential high - growth profit pools. Based on these insights, we are taking decisive actions for delivering full -

stack Engineering Intelligence (EI) solutions, trying to become the first company worldwide in EI solutions, and reassess our regional focus and offerings, which are not in line with our 5 -year Lakshya roadmap.
In Q3, we have therefore deliberately improved our quality of revenue in line with this strategy. Therefore, this and other factors have been reflected in a 120bps QoQ improvement , with Q3

EBIT margins at 14.6 % Rajeev will share more details in his commentary.
Now let me provide the key highlights of our Q3 performance :
• Revenue of $326 Mn grew 4.6% annually , while we de -grew 3.2% sequentially as we rebalanced our portfolio towards futuristic technologies to serve our customers and tap into market potential.

• Sustainability continued its double -digit YoY growth momentum , while Mobility showed early signs of improvement despite a seasonably weak and slow quarter.
• Our large deal wins came in at a healthy TCV of $180 Mn in the quarter. It is the fifth straight quarter where we have maintained this TCV trajectory.
Now let me provide our segmental performance and outlook :
Mobility:
• Despite being a furlough quarter, Mobility showed modest uptick. 50% of our large deal wins in Q3 were in the Mobility segment.
• Our Aero & Rail sub -segment has shown growth sequentially while Trucks & Off Highway was slightly subdued.
• The Auto sub-segment turned the corner and is seeing positive traction.
o We won a large multi -million -dollar engagement from a global luxury OEM , covering infotainment system engineering across multiple product domains and assessment & assurance of telematic modules.
o We signed a multi -year agreement focused on engineering the next generation of AI -powered premium , connected and intelligent marine experience.
o We are accelerating Software -Defined Vehicle (SDV) offerings by incorporating advanced EI capabilities in the software lifecycle and product development. This is enhancing the overall product experience for end - customers. In fact, happy to share that we have been rated in the top 2 in SDV in the last two w eeks. We will share the report with you in a short while.
• From Geo perspective:
o The US market is positioned for a recovery after several quarters of slowdown in spends , with increased investments particularly in SDV technology.

o Europe's focus is shifting towards low -cost countries and strategic partnerships. Investments for new vehicle models are deferred while cost optimization remains a priority. We are well positioned to be the net beneficiary of these opportunities as demonst rated by the recent large deal win from the region.
o New model launches by OEMs in Japan indicate growth opportunities and we are seeing steady wins.
o 80% of the revenue in M obility is now predominantly from OEMs as compared to 20% from them a few years ago , ensuring greater stability in our client revenue mix, and if you remember this was one of the factors that we have been a little worried about till now.
• The pipeline remains robust with multiple deal conversions happening in Auto, T&OH, Aero & Rail.
In summary, the Mobility segment is witnessing green shoots, and we expect to see continued growth momentum in CY26 due to better ramp -up on large deals.
Coming to Sustainability :
• The sustainability segment grew 11.4% YoY and quarterly , reflecting steady demand and execution strength in the deals we have won in the last few quarters.
• The Industrial sub-segment is benefiting from our EI solutions which combine digital, automation & AI-powered platforms across PDLC offerings for our clients.
o The Energy and Automation and Industrial Machinery sectors continue to see good demand with a strong pipeline in asset management and large deals.
o On the $ 100 Mn deals announced last quarter, we are steadily ramping up and going as per plan, leveraging our EI portfolio to support the client across new product development and platform automation.
• In Plant Engineering , demand continues across O&G and CPG , for capex projects

and ongoing spend on digital and modernization of legacy plants In India, we are also seeing demand from the chemical industry.

o We were chosen by an Australian enterprise to establish a high -value engineering center focused on engineering and digital technologies in a multi -year engagement.

o We further expanded our partnership with a leading global energy company to enhance Information Management and Existing Assets , including Document & Data Management for its Capital Projects leveraging AI NLP

solutions.

• Re-industrialization in the US and pharma companies setting up plants domestically will create significant opportunities in the Sustainability segment.

We expect growth momentum in the Sustainability segment to continue across Industrial & Plant due to ramp -up in large deals and a strong pipeline.

Moving on to Tech:

• The AI investments that we have made have been validated by recent client spending and we are doubling down our focus on AI /EI solutions that will help us scale.

• As I mentioned earlier, we have recalibrated our business in th is segment to ensure that we put our attention to future technologies that will offer higher profitable growth.

• The Media & Tech sub-segment is rapidly evolving with a strong focus on design -led offerings , resulting in the execution of more high -end and high -margin work for our clients.

o We have seen steady growth in our Semiconductor accounts and have also entered into a multi -year engagement with a leading global semicon platform provider to consolidate advanced lab support operations.

o Deals that we had won in previous quarters in the Telecom sub-segment has been steadily ramping up.

• In the MedTech sub-segment, we are seeing healthy demand across all geographies.

o LTTS has secured a new multi -year deal with a leading medical device manufacturer to deliver comprehensive product development engineering services in the cardiopulmonary segment.

o We expect MedTech to grow in CY26, leveraging AI /EI solutions across Digital Manufacturing , Sustenance Engineering, and QARA.

• The Software and Platform sub-segment, which includes Intelli swift, has provided us a platform to leverage our Engineering Intelligence framework for data -driven intelligence and automation and Data Science and Data engineering.

o Intelliswift is on plan delivering as envisaged.

o We have received a large empanelment from hyperscaler and expect that to start ramping up Q1 onwards.

• In SWC , we have been working on FusionWorld.a i solution, an AI -based compute vision operating platform for smart spaces, which is seeing traction amongst customers internationally.

o We recently deployed this solution for a Smart Campus project in India and are also making bids in exciting areas including data center programs across North America.

Finally, let me share a few updates on our technology and innovation charter.

Our suite of AI offerings are evolving with the launch of new Agentic AI platforms , as we pivot from Artificial Intelligence (AI) to delivering full -stack Engineering Intelligence (EI) solutions for our clients' product and manufacturing lifecycles.

• We have filed 229 patents in AI & GenAI alone, while our overall patent count is 1,655 this quarter.

• We have moved AI from pilots to production -grade deployments across Engineering , Manufacturing , Mobility , and MedTech , with AI now embedded across PDLC, SDLC, Embedded Systems , IT/OT, and manufacturing workflows.

• For our clients, we are doing multiple programs leveraging NVIDIA's Omniverse platform to develop and accelerate AI -powered solutions , focused on digital twins, medical technology, and industrial digitization.
• We have built Agent icIQTM, a scalable , enterprise -ready platform enabling rapid creation, orchestration, deployment, monitoring, and governance of AI agents across engineering lifecycles, positioning LTTS beyond point AI solutions into platform -led value creation.
• 30% of our workforce is already trained in AI, with plans to reach near -universal AI literacy within the next three quarters, ensuring delivery capability and capacity keeps pace with client demand.
Overall, the macroenvironment has started looking positive, with revival in deal related conversations across all segments.

As we pivot to a full -stack Engineering Intelligence provider, we see more headroom for proactive deal -structuring opportunities. This will give us the ability to offer an integrated suite of AI -led solutions to our customers in areas like Digital Manufacturing , Software Product Engineering , Engineering Analytics , and New Product Development .
Talking about Outlook , Let me reiterate our emphasis on Shareholder Value Creation :
As I mentioned earlier, we have made a conscious decision during the quarter on discontinuing select regional and technology offerings. This is evident in our results, reflected in a 120 bps QoQ improvement , with Q3 EBIT margins at 14.6 %.
With these developments in mind, we are guiding for mid -single overall growth in FY26. Meanwhile, our focused business areas will see double -digit growth in the same period.
Thank you for your continued guidance and support. I would now hand over the call to Rajeev for further updates. Thank you.
Rajeev Gupta: Thank you, Amit. Wishing you and your families a very Happy New Year.
I will start with the key highlights for Q3 FY26:
• Our sustained focus on building strong pipeline and ‘Go Deeper to Scale’ strategy has helped in large deal wins, resulting in an average TCV of $ 200 Mn for five consecutive quarters.
• Sustainability, our highest margin segment, grew both in revenue and margins, while Mobility saw slight growth in a seasonally weak quarter.
• Q3 FY26 saw a boost of 200 bps in gross margin on sequential basis, largely due to
o Improved quality of revenue and operational efficiencies
o Discontinuation of strategic support provided in the past few quarters, and
o Rupee depreciation during the quarter.

Moving to Q3 FY26 financials , starting with P&L:
Our revenue for the quarter came in at ■ 2,924 crores, a growth of 10.2% YoY , down 1.9% on sequential basis.
EBIT margins for the quarter came to 14.6%, an improvement of 120 bps over the previous quarter.
Other Income (net) was Rs 18.4 crores, sequentially lower due to USD appreciation compared to INR and asset transfers pertaining to closure of client projects.
Effective Tax Rate for Q3 came in at 26%, showing an improvement from previous quarters by 50 bps. We expect ETR to be in the range of 26.5% -27.0% for the year, showing an improvement relative to previous year.
Net Income (excl exceptional items) for the quarter came in at ■ 329.1 crores, at 11.3% of revenue.
I would like to also highlight the impact of New Wage Code: The impact of new labour codes is treated as one -time “exceptional item ” amounting to ■ 35.4 crores, net of tax at ■ 26.5 crores.
Over the past few years, we have been consciously working towards improving the basic salary component in line with new wage code, resulting in relatively lower liability.
Talking about the balance sheet , Let me highlight key line items :
The combined DSO came in at 112 days compared to 114 days in Q2. This is within the target range of 110 -115 days and expect ed to improve further. The billed DSO also improved to 91 days as compared to 94 days in Q2.
Our Free Cash Flows improved further over the quarter to ■ 470 crores due to consistent collection efforts leading to YTD free cash flows at ■ 886 crores, which is a healthy free cash flow ratio of 91% over net income.
Cash and Investments stood at ■ 3,160 crores at the end of Q3 , vs ■ 2,883 crores at the end of

Q2.
With respect to Revenue metrics:
In $ terms, we reported revenue of $326.3 Mn as compared to $337.1 Mn in Q2, a growth of 4.6% on YoY basis while a decline of 3.2% on sequential basis. The decline in Q3 revenue is on account of being selective on revenue portfolio of offerings and regions in line with our upcoming 5 -year strategy plan.
Talking about segments:

Mobility seg

ment margins for Q3 came in at 14.8% flat compared to previous quarters and this is despite furloughs. Mobility revenues will show growth in coming quarters with environment now showing improvement in Automotive sector along with sustained growth in Aero & Rail subsegments. This will lead to improvement in overall Mobility margins from here on.
Sustainability segment further improved in margins to come in at 28.8% higher by 70 bps on sequential basis. The ramp -up of deal wins in previous quarters have led to improvement in quality of revenue and also margins and this will continue to aid revenue growth and margins as we go into FY27.
Tech segment margins for the quarter came in at 10.6 % and an improvement of 160 bps over previous quarters. This is due to improvement in Intelliswift margins, discontinuation of strategic support to customers in the last few quarters and the action taken on recalibration of portfolios and geographies to improve quality of revenue in line with our upcoming 5 -year strategy plan.
On operational metrics:
The Onsite:O ffshore mix has slightly moved towards Onsite , as compared to Q2. Offshore percentage now stands at 54.6%. We continue to work to improve this in the coming quarters.
The T&M revenue mix was at 61.4% in Q3, similar range as compared to Q2.
Our Client Profile has seen an increase in the number of clients in 20 Mn + category and our deep relationship with clients and new age offerings , will help improve this profile from here on.
Client contribution to revenue, similar range compared to Q2 across categories.
Headcount remained flat at 23,639 in Q3 compared to 23,678 in Q2.
Attrition came in at 14.6 %, slightly better compared to Q2.
Our Realized Rupee in the quarter came in at 89.58 to the dollar, a depreciation of 1.4% versus Q2.
As I conclude, let me provide visibility on margin trajectory going forward:
• We did refer to in our Q2 commentary that H2 margins will be better than H1 and have already seen Q3 margins improved by 120 bps.
• We expect margins to continue to improve from here on based on ,
o Capital Allocation towards high -margin segments of Sustainability and Mobility ,
o Selective choice of portfolio and geography , which will result in improvement in quality of revenue and thus improvement in margin ,

o Operational efficiencies including AI -led delivery.
With that, we maintain our aspiration for mid -16% EBIT margins between Q4 FY27 and Q1 FY28.
Thank you and now I hand it over to the moderator for questions.
Moderator: Thank you very much. We will now begin the Q&A session. Our first question comes from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Thanks for taking my question and wishing the team a very Happy New Year. Amit and Rajeev, I have a few questions with a few more some questions. So, I will squeeze in as many as I can.
Just wanted to understand the nature of this restructuring exercise that we have taken. Is it like they are some of the clients for which we have stopped doing the projects? Is it some of the divisions that we have basically kind of shut down and we will not be taking any more projects in that domain? And als o, if I look at , basically breakup of this, I think it appears to be that the major restructuring has happened in the Tech segment and in the India business. So, would it be

fair to say that the large part of it or predominantly this is the SWC business that we have acquired that we are kind of closing down because that is also leading to an improvement in margins?

Amit Chadha: Sure. So, first of all, thank you so much and wish you a Happy New Year as well. So, let me step back and talk a little about what's happening. See, what's happening is there are huge capex spends that are happening in the Data center build -up and the Energy build -up a

rea in the US
and that is creating follow -up opportunities in the Hyperscalers . It is creating opportunity in the Tech Infra business, in our area, in the Semcon area as well as , in IP because for Data center build -out you need al l those things and then finally, partly in Plant. So, it's a cross -vertical tailwind, if I may. Second, we are seeing re -industrialization of the US. Third, people are moving from AI f or enterprise to actually physical, digital plus industrial, which we are calling Engineering Intelligence . So, when we looked at all that and we looked at our bets, we said that we need to narrow our focus into specific areas that will give us extraordinary growth and leap forward as opposed to areas that may be lukewarm in growth and lower in margins. So, we balanced all of that and we said we don't want to play in a commoditized business tomorrow where you can do copy -paste and cut -paste. We want to be people that are known for technology and we want to look ahead so we don't get into a problem in the future. And then we knew that with our business that we were at, we were comfortable with this double -digit guidance that we had given you and we were at that trajectory. So, we spoke to our board as well and the guidance was that if there is stuff that doesn't make sense and is getting commoditized, start looking at seeing if you want to rationalize it. So, with that said, what we have done is there is parts in our business that we were doing in a Tech segment in Israel that we have taken and we have now closed that down. There was business in parts of Europe in very small area of Mobility , a little bit in Tech, again, which was old technology and we knew that the next step would be deep discounts, etc. So, we shut that down as well. And third, then we looked at US - a couple of US clients that were operating on projects - that were on older technology , where we were counting

the revenue actually from India because the PO was from India. So, we took that also and we have taken that out as well, including shutting down the lab, providing the equipment back to the customer. And then there was a little bit of revenue that was comi ng from Indian customers that was not adding value. So, we did not accept new orders in that area. So, all put all that together is what we have done before as we stand today. So, that was the question, right?

Vibhor Singhal: So, is it fair to say given that we have seen a very sharp decline in the India business and in the Tech vertical that a major part of this restructure exercise would be in the SWC business?

Amit Chadha: No, Vibhor, I would not land that case. I would say it is, Vibhor, it is a lot of, in fact, a lot of it is POs that were being routed to India on Tech labs, etc., that we have taken out. And, you know, look at the other part that I talked about, Middle East, Europe. And there are these orders that we would have otherwise taken. But we said, there is no point taking in empty calories. I'd rather take something that is value -add for the Company. And that is why we decided to let it go. So, it's a mixed portfolio, if I may. In fact, if you remember, we had purchased SWC, there was this Telco-Infra part, Cyber part. So, I am happy to share the Cyber part we have actually won three new contracts, less than $10 Mn, but Cyber contracts in the US. In fact, we were hoping to sign a bigger deal and announce it to you guys. But Christmas came and everybody went merry. So, we will do it in this quarter. So, cyber is growing there. And Tech-Infra, as well in the US, there are newer areas coming up on connecti vity, which we are actively engaged in and growing. In fact, that one operator that we signed has been signed because of the Tech business domain experience that we got from SWC. So, those continue to be the bright spots. In fact, Middle East also, we are

there. In fact, I was there in Middle East for three days. And again, going back in Feb, appears to be a promising area for us. I would not come to that conclusion just yet. But this is in play. We expect to finish all of this by March. See, on grounds of prudence, because we could have actually kept quiet and said, we will tell you in March and all that, right? We decided we are a very clear, honest, transparent management team. So, we wanted to in prudence tell you that by the time you end Q4, March end, the floor is you will end up somewhere in the middle digits. And if we are able to win some of this and grow, maybe it will be a little bigger than that. But this is the right time, we thought consciously, to make this pivot on margins, get it to that, like Rajeev said, get to the 16.5% EBIT range, where we also are comfortable and you are also comfortable.

Vibhor Singhal: Okay, Amit sir. I really appreciate that gesture. And I think we have discussed it many times.

It's good to take a decision which are in the benefit of the long term of the Company rather than focusing on the short -term goals. So, congrats to the entire team for taking this step. Just last couple of questions. So, is the restructuring exercise done or could we see some more steps being taken and some more accounts being closed in Q4 or in the coming quarters?
Amit Chadha: See, Vibhor, like I am saying, if I had only assumed Q3, I would have maybe given higher single or whatever. I have taken everything into account and telling you the floor is mid -single and you will be done. So, maybe a little bit here or there, we will just play.

Vibhor Singhal: Got it, got it. And just one last question for Rajeev and then I will leave the floor for the other participants as well. Rajeev, I know this business definitely boosts the margins also. So, going forward, do you expect more margin expansion vis -à-vis bec ause of this restructuring exercise that continues to go or do you think we have kind of plucked most of the fruits of this restructure exercise? And secondly, does this also benefit our DSOs in the coming future and will it also help gettin g them down as well?
Rajeev Gupta: Vibhor, let me respond to both of your questions. So, of course, we have been taking guidance from many of you. So, appreciate that part. The margin improvement will continue and that's the reason I provided guidance of mid 16% levels between a range of Q4 FY27 and Q1 FY28. And there were three factors. Of course, one was because of the Intelliswift acquisition, the integration plan would continue to show margin improvement sequentially as we move forward. That was one. Second of course, this recalibration exercise that Amit largely explained, I think lands in Q3. He's given a view for FY26, but that largely solidifies our ability to grow in portfolios that we think are more futuristic and are profit pools. So, that will also contribute. Third, if you really see, and that's what we talked about earlier, our Sustainability segment and all the large deal wins continue to translate. So, you see growth double digit YoY , you also see improvement in profitability. Of course, that part will continue. But alongside, we are now seeing green shoots in Mobility . So, Mobility , if you look at YoY margins, it's come down EBITDA of about 19% to 20%, it's down to about 15%. We also believe that Mobility will continue to turn around from Q4 onwards. Work to be done, but you will see over the course of next four quarters that the profitabilit y will move and we aspire for that mid 16% range. Second on the DSO, yes, we will continue to improve DSO. Our aspiration is much like on our free cash flow. And I remember some of you posing that question that will be delivered 95%, 90% plus of free cash flows in the year. Indeed, we are delivering in the first nine months. Much like that, we

will continue to improve DSO. At the moment, I have given a range of between 110 days to 115 days. Our aspiration is to improve even beyond that. But at least I have given a view for these.
Vibhor Singhal: Got it. Great, Rajeev. Thank you. Thank you so much for taking my question and congrats again to the management team for the bold step. Wish you all the best.
Amit Chadha: Thank you.
Moderator: Thank you. Our next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Yes, thanks. Thanks for the opportunity and Happy New Year to all the management team. So, the first question is, Project Lakshya was in place for more than 2 -3 years at a group level. So, why suddenly this exercise versus last three months before we were not thinking about the same? I do agree, this will create a value -added portfolio with a higher margin. But what has led to this? Why I am asking is there has been more than 2 or 3 restructuring exercises which we have carried out in terms of growth strate gy in the last 3 -4 years. But somehow organic growth is not

picking up. So, now with the new restructuring exercise, what will change in terms of changing that organic growth part?
Amit Chadha: Sure. So, thank you so much. So, if I may provide a little bit color. So, Lakshya is not a 2 -3-year program. It's a 5 -year program. It happens every five years. We are, in fact, our first Lakshya was 2010 -2011, right up to 2015-2016. Then it was there in 2021 to 2026. And now we will do 2026 to 2031. So, it's a 5 -year program. These are not 2 -3 year programs. So, that is point number one. Point number two is that we did mention, and I think we talked about it during our investor call or we talked about it in one of those processes that we do five -year programs. So, the next

five-year program will start on April 1st, 2026, and go on till March 31st, 2031. So, this is part of the process that we follow. Point number three is that we are, if I look at it, we have restructured or simplified our organizati on in segments. And we today have six sales teams in North America. We have got four regional teams outside of North America, total 10 teams that allow us the ability to continue to look at deals globally rather than in specific areas. This has actually given us the ability to sign around $200 Mn dollars TCV for five straight quarters. And the wins that we have had in Sustainability , you can see that playing out. You can see Mobility turning around. And in Tech, if I was to include the stuff that we dropped, we have actually grown double -digit. So, we do have organic growth coming along. Now, if we are a Tech company, we have two choices. I could go back and stay in a business that tomorrow will become dilutive, continue to be dilutive in margins and continue to drain away some of the good stuff that is happening in other areas. Or the choice is that before I g et commoditized, I turn around and then do it in advance. Lastly, we have talked to you in advance, and you'll notice that in our calls, we give you some forward views. We normally have views that are between nine to 12 months ahead of the market. So, we do believe that the market is pivoting on AI. They are pivoting to physical, digital, industrial combined AI. And that's why if we don't pivot now, we will be in a problem in nine months' time or 12 months' time. So, this is our first restructuring exercise in this space, in this area. And I would like to acknowledge actually that our teams have done very wel l in terms of being able to identify in the last quarter itself, take action and decisive action which has helped us improve the margins within the quarter. I would have rather done that than come back, lower the revenue, not improve the margins and done i t two quarters down. We have been able to provide decisive action in the

same quarter. And from here on, you will continue to see margin improvement as you're seeing. And like I said, we will shut everything off. Whatever we have to do should happen, hopef ully by or will happen by March 31st for our current plan. And your Company, therefore April 1st onwards, continues to focus on EI. Look, our ambition is to become the world's first and biggest EI company in services and solutions. And we will continue to march towards that.

Sandeep Shah: Just a follow -up. In this rationalization exercise, once it's over, one can assume SWC seasonality which leads to volatile growth will now no longer be valid starting next year. And a question to CFO, sir. Sir, we are cutting down on low -profit portfolios , but our margin milestone has not been changed. It should have changed with the restructuring exercise. It could have been better than 16.5 %. So, any reason for this?

Amit Chadha: I heard you. So, we seem to be in love with Mobility on some calls and we seem to be in love with SWC on some calls. We just don't like Sustainability , which is the highest profit margin in the Company, is it? So, let's go to this. So, all I can say at this stage is that we are looking at our portfolio very seriously. There are actions that we have taken. There are actions that we are taking. So, please allow us till April when we come back, when we provide you with that kind of clarity at this stage, please give us some more time in play right now. And on margins, I think Rajeev can please answer.

Rajeev Gupta: Sandeep, Rajeev here. I think on the second question that you have, that we should have seen probably an acceleration in terms of EBIT improvement. Rightly acknowledge, at this point, there is a little bit of prudence that is baked in. I probably will com e back in Q4 to clarify. Our intent is definitely to deliver earlier than what I am guiding for. But at this point, it is more prudence that I have maintained that time period.

Sandeep Shah: Okay, fair enough. Thank you all the best.

Moderator: Thank you. Our next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Hi, good evening. Wishing you a very Happy New Year. I just wanted some context around the margins. So, one, obviously, the support that we were giving for the customer has come off and we have also had some currency benefit as well. And looks like, well, we have cut down these businesses, the headcount is still pretty flattish. So, just wanted some context around how should we understand this? Is the margin benefit from the cut down of businesses likely to accrue more in the next quarter and beyond? Or tha t is largely already factored in, in the current quarter? So, yes, that was the first question. The second one was around when are we expecting to sort of give out salary increases? And finally, well, our deal wins have been consistently strong, I think, for the past couple of quarters. And I think if you look at it YoY , it is a very strong growth. When should we start expect that to really start showing up from an overall portfolio perspective in terms of higher growth?

Rajeev Gupta: So, Nitin, let me take the first couple of questions and then I will have Amit to respond to the deal wins part. So, first one on the margin trajectory, I think what you need to understand is that in the quarter, we have seen the margin improvement come t hrough from three areas. I called out during my commentary; it has indeed been on the improved quality of revenue and operational efficiencies. Of course, Sustainability has grown. We have also talked about some of the selective choice of port folio of revenues and geographies. That is one. The second is on discontinuation of the strategic support that we provided in the past few quarters and rupee depreciation. So, it is a mix across. But what I woul

d like to leave you with is that look, going
forward, the margin improvement will come from 3 to 4 areas. One is that we want to become more, I would say sharper in terms of capital allocation towards higher margin segments and technologies. Amit talked about EI, which is really the engineered intell igence. And you will see margins improving across Mobility , Sustainability and Tech. So, it is going to be a combination. I already talked about selective choice of portfolio and geography. Last but not the least is the

operational efficiency. We have recently had Munjay, who has joined us as a Chief Operating Officer. He is championing the AI cause for the Company. And there is a lot of work at this point in time going around AI -led delivery. And we will call out more sp ecifics as we come into Q4. But these are the areas that likely will continue to improve. And last is around the Intelliswift acquisition. Like I said earlier, we have got about 6 to 8 quarters of integration plan. And that business has continued to grow a nd improve in profitability. So, those are the 3 -4 areas that I will clarify in terms of the margin trajectory going forward.

Amit Chadha: Second question was about wages. We will provide wage hikes to all our employees worldwide in Q4. And we have baked that in into our estimates as we have provided you with our margin trajectory. So, that was your second question. Third was on deal wins. So, Nitin, we have had deal wins in Sustainability . So, I was very honest and open in sharing what did not ramp up. So, the Mobility win that we had in Q4 has not ramped up for us. And still going small as opposed to what we were expecting. The other wins that we have had in Sustainability and Plant subsegment as well as in Industrial Products have ra mped up. And therefore, you can see that growth. Mobility, there were some smaller wins, sub $10 Mn wins that have helped us in terms of, you see, the biggest hit we take on the furlough quarter, which is October, November, December is in Mobility . And largely Mobility is US, in Europe where we take them, Mobility where we take the hit. So, in spite of that, Mobility sequentially grew for us. And we believe Mobility has bottomed out. You will see growth from here. And a little bit of ramp up, whatever we have won in Q3, that entire ramp up, that I am confirming to you has already taken place. In Tech, the deals that we had won, they did, like I mentioned to one of the earlier colleagues in the call, that when you look at Tech, if I keep the business that I walked away from, I would have actually shown you double digit growth as well as sequential growth in Tech as well. So, the deals are ramping up other than that one deal that I called out, the others have ramped up as we speak.

Nitin Padmanabhan: Perfect. That's helpful. Just one clarification. So, as we get into the next quarter with the wage increases in place, are there any, could you give us some sense in terms of puts and takes on how to think about margins there or should we expect margins t o be lower? We will not be able to offset the wage increase, I presume.

Rajeev Gupta: So, Nitin, let me take this question. So, you should see the wage increases in Q4 that Amit talked about could likely have an impact of about a percent. But we will continue to see improvement in margin because we factored this wage increase. Like you saw in Q3, we saw an improvement of 200 bps in gross margins and that also will somewhat pan out, not to that extent, but will pan out in Q4 between both gross margin or SG&A. So, about a percent of increment impact will get absorbed on account o f all the aspects that I talked about on margin improvement.

Nitin Padmanabhan: Perfect. That's very helpful. Thank you so much and all the very best.

Moderator: Thank you. Our next question is from the line of Ravi Menon from Macq

uarie. Please go ahead.

Ravi Menon: Thank you and congrats on the margin improvement. Just some clarity on the Tech vertical margins. Last year, Q3, I know that prior to the acquisition, but still, that's on an EBITDA basis,

we are still a bit below that. So, to understand a bit with the restructuring, what would be a sort of sustainable EBITDA in Tech that we could see a year or so down the line?
Rajeev Gupta: Ravi, I will take that question. This is Rajeev here. So, a sustainable EBITDA in the Tech portfolio and you said, right, if you look at YoY , Q3 FY25 we had EBITDA of 11.5%. We have come in at 10.6% in Q3 FY26. What I will say that look, we would aspire for between 12% to 13% EBITDA range in Tech sector. Work left and I think we will continue to see this over a period. So, that's what you should factor in.
Ravi Menon: Right. Thanks so much. And this deal that you have won with this luxury OEM covering infotainment systems, is that purely, I can say, project -oriented work or is there a bit of IP also bundled as part of that?
Amit Chadha: There is a little bit of IP bundled in that, Ravi, and part of a little bit of that is renewal, being completely transparent, and there is a part of it that is new. So, we have won all that. In fact, I want to share that the IP that we have created, we ha ve bundled that in, including our AI solution for improving productivity, etc., for the client. That's how we won this.
Ravi Menon: Right. Thanks so much. And another clarification on this deal, this Australian Enterprise, which segment would that fall under? The high -value engineering center that you are setting up.
Amit Chadha: Australia?
Ravi Menon: Yes.
Amit Chadha: That is LNG. LNGs will come in Plant Engineering . Most of the work will be offshore.
Ravi Menon : Thanks so much. And one last question on this on -site shift. I missed that part of the comment. I think, when do you expect this to move offshore? This is a strictly temporary issue.
Rajeev Gupta: So, Ravi, I will take this one. Rajeev here. I would say that this is more of, I think, kind of come back. See, we have hovered around offshore ratio between, say, 56% to 58%. Hence, I would not at this stage guide for where it stands to be in Q3. You will see a few quarters, and this will come back to that range.
Ravi Menon: All right. Thanks so much. Best of luck.
Moderator: Thank you. Our next question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management. Please go ahead.
Sudheer Guntupalli: Hi, Amit. Thanks for the opportunity and appreciate the color you have shared on restructuring of lower margin business and agree with you on all the logic that you spoke about. But my question is, when the SWC acquisition was announced roughly three years back, most of the

analysts and investors have expressed the same concern at that point in time. So, three years out, what has changed for us to sort of claim that it's a great strategic trade to going to the level of saying that a lot of these businesses may become obsolete and that's why we are now restructuring it?
Amit Chadha: So, Sudhir, if I may help you here, the business that we have right now looked at that is not strategic for us for the future. So, if I step back and I talk about the whole portfolio, Sudhir, if I look at, so if I go back 15 years, we used to work on mech anical engineering in Auto with Tier 1s. Right? If I look at the last 5 years, 5 years ago we decided that we don't get into OEMs, we will be dead. And if we don't move to EV and Software , we will be gone. Today, if I look at our Mobility portf olio, you got 80% coming from OEMs and most of it in the non -mechanical area. So, things change, times change. 15 years ago, mechanical was core for the Company

, they
would give out embedded and software, car companies. Today, they don't care about mechanical, they are concerned about embedded and software because that is a differentiation. So, there is a part and relevance that core becomes contextual, contextual becomes core. This is reality in the business. Right? That's number one. Now, let me take the pointed question on SWC. I am again saying the part that we have rationalized, and we have taken out is stuff that's in Middle East/Europe part in Tech. There is a portion of US Tech, which is old technology that we were supporting and testing that we realized will actually become completely commoditized in the next 18 months. So, we actually shut that down and respectfully returned the equipment to the customer and that was all India billing that was happening. And third is there are parts of Indian customers where we did not accept new business that we could have otherwise accepted. So, those are the three elements there. Now, as far as Smart World specifically is concerned, there are parts of Smart World like I said, Cybersecurity and Telco Infra that have found their foothold in US and Europe. There's parts on data centers that have found their foothold in US and Middle East. But please give us some more time as we go through this process to come back to you as well. But we are fully aware of decisions made, decisions being made right now, and we are being strategic about it.
Sudheer Guntupalli: Sure, sir. I appreciate that context. So, I agree with you that over 10 -15 year time frame

technology changes and a lot of things which were very relevant then might not be consequential anymore. But given that this is fairly recent, it's a three -year-old acquisition, and most of us have expressed this concern when you have actua lly refuted all these concerns and given a comfort that this is very strategic for you. So, in that backdrop comes my question of what is the incremental discovery here that led to this rationalization? That is part number one. And part number two, I am following up on this question because I think Vibhor and Sandeep asked the same question in a different form. And from your response to them, I was not very clear whether this entire restructuring is happening entirely out of SWC or there are other parts to it also. So, based on these two aspects , I am repeating this question. My apologies if there is a misunderstanding on my end.

Amit Chadha: No, Sudhir. So, let me again try to explain .So, number one, there are parts of Tech that we were servicing through Israel which we have shut down. Part two, there are parts of Tech where we were supporting them from India, getting the orders on INR billing which is what shows up as

offshore for us in India revenue that we have shut down. There are parts, very small parts of old Mobility stack work in Europe that we have shut down. And fourth, there are Indian clients that take some of our offerings where we could have accepted the order at lower margins that we did not accept. We continue, in my commentary I told you FusionWorld.ai continues. There are parts of smart world that we are working on in cyber security that continue overseas. And the smart world delivery is continuing to ha ppen in India. So, I don't think the premise that you know the rationalization is all smart world is correct. But like I told you, you will allow us some more time and we will come back by within Q4 on what else steps we will make to take it forward. Look, our final business, the markets we operate are US, Europe, Japan, Middle East and parts of India that are profitable. If there are businesses in profit pools in India that are not profitable, I would not want to work on thos e businesses because that does not make sense for my investors.

Sudheer Guntupalli: Fair enough, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Thanks for the opportunity. A couple of questions. First, about the $ 200 Mn deal intake, which we refer for five quarter on average basis, whether it is sufficient for us to meet our aspirational organic growth? Considering all the rationalization, what we are currently carrying out and optimal mix or let's say business mix chang e, which we envisage over the next couple of quarters? So, that is question one. Second question is about SWC and related to restructuring. First is whether you can q uantify impact of restructuring? Whatever we have carried out this quarter, you alluded 3-4 elements of restructuring. What would be the cumulative impact of that, if you can quantify? And last is about SWC business used to have a regular seasonality in Q4. Partly you indicated it is not only SWC, it is other part of business also where restructuring is heading out kind of thing. So, whether the usual seasonality, what we observe in the residual SWC, which we continue to execute, whether we will see in Q4. Thank you.

Amit Chadha: Thank you. So, number one, we aspire from this $ 200 Mn clip, we want to move to a $ 300 Mn clip. But I don't know when because it will take a little time. So, to answer your question, to accelerate growth, we should move from $ 200 Mn to $ 300 Mn clip. Absolutely, and then $ 400 Mn and then $ 500 Mn from there. That is broadly, of course, where we will look at as we move forward. So, that is A. B now, again, I am going to repeat myself here. But Smart World, the stuff that we have let go or we are letting go will have an impact. Let me answer it differently , had we not let it go, you would have had double digit growth. Now, because you let it go, you are going to have mid-single digit growth. So, you can do the calculation of what is the impact of that, that restructuring. Now, I have taken that into account and given that to you as a floor, assuming what we know in Q4 at this stage. If some deals, new deals come in, all of a sudden execution starts, Q4 picture could change. So, we will keep you updated as we move forward. I assure you, we will be as transparent as we can be with you. Whatever we know, you will know.

Dipesh Mehta: Let me ask it slightly different way. Considering whatever restructuring exercise, we are considering to make the organization future ready, do you think any impact on those extents on

FY27 growth trajectory or we will end this exercise by year end?
Amit Chadha: We should end the exercise. Our current plan is that the exercise will end by March 31st , 2026 and we will be able to go forward from there. That is the current plan.
Rajeev Gupta: Maybe I will add to that, Amit, just to clarify. See, maybe Amit talked about it earlier. Large part of this restructuring exercise has already been done in Q3. The impact that flows into Q4 you talked about which is baked into the mid-single digit growth. So, I would not want you to think that there is more coming in Q4. Whatever is done in Q3, that is already baked in the mid-single digit growth. That is one part. Second, to your point on the $ 200 Mn deal wins in a quarter, does that suffic e, to tell you that is not the only barometer for revenue growth. We operate through our order book, which gives us definite view in terms of revenue growth plus the large deal wins accelerate the revenue growth. So, I would not want you to think about large deal wins as the only way for driving revenue growth. So, those are the two points I will add to what Amit said.
Amit Chadha: I would like to confirm, the pipeline that you got is year on year has grown double digit as well. And we are confident there is some good significant deal in our pipeline. There are, I would like to say, multiple hundred million plus deals that we have g ot.

There are some $ 50 Mn deals, $
20 Mn, $ 10 Mn. Let us see how we can get to closure. The year is in play. The quarter is still in play.
Dipesh Mehta: No, fair point. I think we just try to understand because if I look at organic growth, Q4 would be double digit down. And that is why we try to understand how to do attain it. Thank you.
Amit Chadha: Thank you, sir.
Moderator: Thank you. Our next question is a follow up from Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Hi, sir. Thanks for giving me the opportunity again. Now, assuming all the questions on the restructuring part are done, I will just focus a couple of questions on the core business in which we are doing really well. So, on the Mobility side, you mentioned that you possibly see a turnaround. I remember a couple of quarters ago, we had discussed and you had mentioned that in the Mobility vertical, it's a very interesting situation that in the US, the Auto companies are kind of confused whether they should go towards EV or ICE vehicles. And the latest step by Ford is a testimony to that thing. And in Europe, they are facing a lot of competition from the Chinese competitors. So, what do you think has changed or could change in the coming quarter, which gives you the confidence that this Mobility vertical could be at the cusp of a turnaround? And secondly, on the Sustainability vertical, I think it's consistently done really well for us. Is the Plant Engineerin g sub segment of that really doing good for us? And do you think it will

continue to do well going forward as well, given the backdrop of the uncertainty around the tariffs?
Amit Chadha: Got it. So, why don't I request Alind , why don't you take the Mobility question on US and Europe, and then I will take the Sustainability question.
Alind Saxena: So, Vibhor, hi. You know that the Mobility segment for us is basically three different verticals, Auto, Trucks & Off Highway and Aero & Rail. We do see the deliberateness coming in Auto, for sure. We do see the wins that we had done earlier ramping up now and leading to the growth that you are seeing or the growth that you are going to see going forward. Plus, the solutions that we had built out in S DV and we talked about the investment that we had done earlier, those are beginning to bear fruit. Now, your question about the electrification and the others, you have seen some write -offs happen by the large US automakers on the electrification si de. So, that's out in the open, but we see that the momentum on the SDV still remains and will continue to power the growth that we have. T&OH, as we talked about earlier, is a little bit soft for now, but Aero & Rail, which again has been a market for us and growing, especially on the engine manufacturer and certain rail companies, remain positive and we will see that trajectory grow as we think about it in the short term. A long time is not going to be played out, bu t we remain very positive about this se ctor as we see it.
Amit Chadha: So, if I may, so US bottomed out, we do expect growth from here on and we have seen the deals and they have started ramping back up organically and like Rajeev said, on the small one, less than $ 10 Mn number of deal wins, and on Europe, what is happening is that they are taking out higher cost suppliers and they are moving that work to India Inc. So, not just us, others should also gain from Europe as we go forward. Sustainability, the growth is coming from IP as well as PE, both of them. In fact, PE is getting a lot more work in industrial AI and digital and physical AI and plant is getting work because of build -out in LNG, build -out in Oil and Gas, build -out in CPG. So, both the areas are expanding for us and doing well.

Vibhor Singhal: Got it. CPG also? You are seeing good traction in CPG as well
Amit Chadha: So,

right now, its between CPG and Oil & Gas, CPG some project got over, another one is going to start, but Oil and Gas is chugging along. In fact, we are diversifying into LNG and that we believe will be the next play in Middle East as well as Australia. So, this Australia win we have had in LNG is good for us to create the credentials in that area and US anyway, the work is going on and Europe in the digital part for Oil and Gas.
Vibhor Singhal: Got it. Thanks for taking my questions again and again, wish you all the best.
Amit Chadha: Absolutely. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to Mr. Sandesh Naik for closing comments. Over to you, sir.

Sandesh Naik: Thank you. Thank you all for joining us on the call today. We hope we were able to answer your queries. I know some of the questions will still be left. So, we look forward to interact with you through the quarter and answer those queries. Wish you all a v ery good evening and a good day.
Thank you.
Moderator: Thank you. On behalf of L&T Technology Services Limited, that concludes this conference.
Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Apr 2026

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April 27, 2026

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BSE Scrip Code: 540115
Dear Sir /Madam ,

Subject: Transcript of Q 4 FY26 Earnings Conference Call held on April 22 , 202 6

Pursuant to Regulation 30 and 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Q 4 FY26 Earnings Conference Call organized by the Company on April 22 , 202 6.

The above information is also available on the website of the Company at www.LTTS.com/Investors .

Kindly take the above information on record.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prasad Shanbhag
Company Secretary & Compliance Officer
(M. No. A 30254)

Encl: As above

L&T Technology Services
Q4 FY26 Earnings Conference Call Transcript

For the Earnings Call held on April 22, 202 6, 20:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ALIND SAXENA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. RAJEEV GUPTA – EXECUTIVE DIRECTOR & CFO ,
MR. MUNJAY SINGH – CHIEF OPERATING OFFICER
MR. SANDESH NAIK – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY26 Conference Call of L&T Technology Services Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions aft er the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing the "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandesh Naik, Head of Investor Relations. Thank you, and over to you, Mr. Sandesh.
Sandesh Naik : Thank you, Sagar. Hello, everyone. I'm Sandesh, and welcome to the Earnings Call of L&T Technology Services for the fourth quarter of FY26. Our "Financial Results , Investor Release and Press Release ' have been filed on the stock exchanges and are also available on our website, www.ltts.com.
I hope you have had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website about half an hour after t he call ends.
With that, let me introduce the leadership team present on this call. We have with us Amit Chadha – CEO and MD; Alind Saxena – Executive Director and President; Rajeev Gupta – Executive Director & CFO ; and Munjay Singh – COO. We will begin with Amit providing an overview of the company's performance and outlook, followed by Rajeev, who will walk you through the financial performance.
I now invite Amit for his opening remarks.
Amit Chadha : Perfect. So , thank you all for joining us on the call today on a very busy results day. First of all, I would like to congratulate and welcome our CFO, Rajeev Gupta, as Executive Director and Chief Financial Officer on the Board of LTTS.
I would also like to extend a warm welcome to Mr. Amitabh Kant on his appointment as an Independent Director on the Board of LTTS. We are delighted to have him join the Board. A governance reformer and public policy change agent, Mr. Kant also serves on th e Board of Directors of the L&T Group.
Now let me share the key highlights for FY26 :

• In FY26, the total revenue, including continued and discontinued operations, grew 5% to $1 ,321 Mn as indicated in the previous quarter
• The SWC business has been classified as discontinued going forward, and therefore, the revenue from continued operations delivered a higher growth of 8.3% at $1,233 Mn. Here on, we will only talk about the continued operations
• Sustainability continued to do well with 12.8% growth, while Tech , including

Intelliswift, grew 19.7%
• North America did well with a growth of 12%. All other geos showed positive growth
• Our FY26 total large deal wins came up at $855 Mn, up 40% over the previous year
Now let me provide you key highlights for Q4FY26 :
• Revenue was $306 Mn, grew 0.3% annually, while we de -grew 1.7% sequentially, reflecting a deliberate shift towards improving the quality of revenue over the last 2 quarters with strategic portfolio rationalization leading to a more resilient business baseline. This is as we had informed you during the Q3 r

es ults call
• This is reflected in our EBIT margins expanding by 40 bps sequentially to 15.2%, second quarter in a row. Rajeev will share more details in his commentary
• Sustainability grew sequentially, continuing with its double -digit YoY growth momentum and Mobility remain ed steady.
• Our large deal win continued its momentum with a healthy TCV of $182 Mn in the quarter, reflecting our deep client relationships and validation of our new technology investments
• We finalized our Lakshya 31 -Plan and completed the strategic portfolio realignment exercise, resulting in pruning businesses based on regional focus and offerings and divestment of the SWC business to pivot on Engineering Intelligence and core AI -led digital engineering services.
Let me now provide you a segment performance and outlook :
Mobility :
• The Mobility segment remained steady with revenues almost flat on a sequential basis. Over 40% of our large deal wins in Q4 were in the Mobility segment, indicating a turnaround for CY26
• We see momentum in Auto subsegment, particularly North America Automotive , showing good growth over the previous quarter

• Aero space and Rail subsegment has been resilient, while Trucks and Off Highway has been slightly subdued
• We are gaining traction significantly in optimizing products and software life cycle through Generative AI and Agentic AI-led delivery models, enhancing enablement of product experience for end customers
o A global premier technology group selected LTTS as a strategic engineering partner to drive digital transformation across its entities and establish a High Value Engineering Hub with us
o LTTS entered into a strategic collaboration to establish a Center of Excellence for next -generation recreational marine solutions, leveraging its cross -domain expertise in Software -Defined Vehicles , electrification, AI and digital engineering
o LTTS was selected as a strategic partner for cargo logistics major to develop next-gen air mobility solutions, leveraging LTTS' capabilities across aerospace, engineering, electrification, manufacturing to accelerate aircraft readiness
• From a Geo standpoint :
o The U.S. market, particularly Automotive , is seeing positive traction with increased investments in SDV technology, and we have been gaining market share
o In Japan, steady wins in programs for future model launches has led to our growth in that geography
o For European OEMs, cost optimization remains a priority through strategic partnerships. We are well positioned to benefit from these as we go forward with a number of deals in the pipeline
In summary, the Mobility segment is showing early signs of growth. We expect sustained momentum in CY26, driven by a robust pipeline and stronger deal ramp -ups of the large deals.
Moving on to our second segment of Sustainability
• Sustainability grew 11% YoY on the back of strong execution of deals that we have won in the previous quarters. Over 50% of large deal wins in Q4 were in the segment ensuring strong momentum growth.
o This segment established its strong credentials by forging a strategic partnership with a leading global energy major to be its engineering service

and technology partner for digital expertise in India with 500 -plus engineers.
This was filed in the stock exchanges earlier last week.
• The Industrial subsegment is benefiting from capex tailwinds in AI -led Data center spending globally. Combined with our strong engineering capabilities in power electronics, embedded systems expertise, enabling cross -domain solutions combined with EI, which integrate digital automation and AI -powered platforms across PDLC offering s
o The Energy and Automation and Industrial Machinery sector continue to see str

ong demand with reindustrialization of the US, supported by a healthy pipeline in asset management and backed by large deal wins
• Plant Engineering , a subsegment of Sustainability , demand continues to hold steady across CPG and O&G.
o We were selected by a leading Oil and Gas operator for strategic initiative to build digital foundation across global assets, enabling engineering, operations and digital transformation.
o We were awarded a multiyear program by a North American energy major for data modernization and asset integrity support across onshore operations, leveraging advanced digital platforms across multiple geographies.
We expect the growth momentum to continue for Sustainability segment across both Industrial and Plant on the back of ramp -up in large deals and strong pipeline.
Moving on to Tech
• As mentioned earlier, we have recalibrated our business in this segment to focus on profitable growth, driven by forward -looking technologies. The subdued revenues in Tech segment reflect the conscious exit from nonstrategic businesses where we have also i ncurred some one -time expenses on account of the same.
• The Media & Tech subsegment is rapidly evolving with strong focus on AI -led platform -centric offerings, resulting in execution of more high -end and high -margin work for our clients.
o We do see growth in Semiconductor and Tech Infra accounts, while Media business has been steady
o Deal wins we have won in the previous quarters in the Telecom and Semcon subsegment have been steadily ramping up.
• The MedTech subsegment, the deal momentum has evolved through ramp -ups in certain new accounts, strategic programs and deeper relationships.

o We have secured multiple design and development mandates in human, biologics and drug delivery devices from 2 leading global pharmaceutical companies.
o We also partnered with top 10 EU -based medical device manufacturer to bring camera -based AI intelligence to the operating room.
o This subsegment grew in line with company revenue annually.
• The Software and Platform subsegment, which includes Intelliswift, is leading our engineering intelligence framework for data -driven intelligence and automation.
o A large empanelment received from a leading hyperscaler is expected to start ramping up Q1 onwards.
Let me now cover a bit on our technology quotient :
• EI, or Engineering Intelligence , is LTTS' approach to embedding AI across products, processes, and next-gen manufacturing - translating deep engineering expertise into reliable real -world outcomes
• Powered by multimodal , agentic , and edge AI, EI delivers autonomous , production - grade systems, driving differentiated high -value outcome reflected in our large deal wins
• LTTS has also strengthened its partnership with MIT Media Lab to explore and incubate forward -looking technologies such as Multisensory Intelligence , Signal

Kinetics and Personal Robotics
• We have surpassed the 1,700 -mark in our patent filings for FY26 , congratulations to all our employees and technologists, including 673 patents filed by LTTS and 1,033 co-authored with clients. Of these, 237 patents now are in AI and GenAI domain alone.
Finally, let me share a glimpse of our Lakshya 31 -Plan and the way forward.
After careful consideration and deep analysis of the futuristic technologies and evolving market needs, LTTS has defined its course for the next 5 years. The company is doubling down across technology, manufacturing and industrial domains.
Under its 5 -year strategic Lakshya plan, LTTS is sharpening its focus with 6 large technology bets, including EI, which will accelerate growth further in the 3 segments of Mobility, Sustainability and Tech, while consolidating our position as a global engi neering intelligence partner for our clients.
Our 6 bets include ,
• Software -Defi

ned Mobility

• Plant Build -Out and Modernization
• Energy and Industrial Automation to Digital Manufacturing ,
• Next -Gen Compute and AI Infra
• Software Platforms in EI
• MedTech
These are the 6 bets that we have bet on.
To ensure strong execution of Lakshya 31 strategy, we have reorganized and promoted our leadership from within to sharpen accountability, deepen segment focus and accelerate market share gains through a differentiated growth approach. To this end, I already shared with you the elevation of Raj eev on the Board.
• Additionally, Alind Saxena, who is currently Executive Director and President for Mobility and Tech, will take responsibility for strategic initiatives, large deals and growth markets. In his role, he will drive scale to deals, bringing in additional reven ues and growth to the company as well as drive partnerships and complex deal wins
• Subrat Tripathy, who has been in the company for more than 15 years and has led our Plant Engineering portfolio as segment head, will now lead the entire Sustainability segment, IP plus PE and is being promoted to Chief Growth Officer, Sustainability, strengthening our play in energy, physical AI, automation, plant and manufacturing modernization
• Finally, Srinath Nagarur, who's been in the company again for 6 -plus years, is being promoted to Chief Growth Officer for Mobility and MedTech, driving growth across software -defined technologies in mobility as well as advancing remote diagnostics, robotic s and GenAI, agentic AI -led solutions in the MedTech space. Sri in his past has worked on mobility, medical and tech, all the 3 spaces and brings that rich experience
All these leaders have been part of the LTTS executive management team for between 6 to 15 years and bring the right blend of energy, experience, humbleness and strong client relationships to accelerate our growth agenda.
Now moving on to outlook :
The last 5 years saw LTTS grow at 12.4% CAGR, outpacing industry growth of 8% as per Zinnov estimates. We believe we continue to be in a position to grow faster than the industry over the medium term, supported by strong core capabilities and execution dis cipline on revenue and margins.

We remain cautiously optimistic in the near term. And as part of our 5 -year Lakshya 31 -Plan, we aspire to deliver 13% -15% CAGR over the next 5 years with EBIT margins in the range of 16% -17%.
With that said, I would like to truly thank all of you for the support that you have provided me over these last 5 years. I look forward to the next 5 and would now hand over to Rajeev to to provide his commentary, and then we'll stay back for questions. T hank you so much.
Rajeev Gupta : Thank you, Amit. Before getting into the commentary, I'd like to thank our Chairperson, the

Board for reposing trust in me and having me on the Board and to Amit for his continued support.
With that, let me begin by giving you an overall picture for the year FY26

• FY26 total revenue included continuing and discontinued operations came in at $1 ,321 Mn, and YoY growth of 4.9% ,
• EBIT margins for FY26 came to 14.1% ,
• Net income margin for FY26 came in at 11.3%.

Now talking about disinvestment of SWC business.
In March of 2026, we announced the disinvestment of SWC business. Accordingly, SWC business has now been classified as discontinued operations beginning quarter 4 FY26. With that context, my commentary here and after will address the continuing operations.
Starting with the key highlights for Q4FY26,

• We had consistent deal momentum, resulting in average large deal TC wins of $200 Mn across 6 consecutive quarters
• Our focus on improving the quality of revenue and operational efficiencies has further boosted the gross margins in Q4 FY26 with

a 150 basis points increase on a sequential basis. All 3 segments have shown sequential improvement in gross margins

• Further, our collection efforts have led to improvement in DSO metrics during the quarter

Moving to both Q4FY26 and FY26 financials, starting with P&L :
Our revenue for the quarter came in at ■ 2,858 crores, a growth of 2.5% on a sequential basis, while YoY grew at 8.3%.
Revenue for FY26 was at ■ 10,996 crores, a growth of 14% over FY25.
EBIT margin for the quarter came to 15.2%, an improvement of 40 bps over the previous quarter.
EBIT margin for FY26 was at 14.5% of revenue.

Effective Tax Rate (ETR) for the quarter came in at 26.6%. For the year, ETR was at 26.5%, showing an improvement of 90 bps over previous year. Going ahead, we expect this to be in the range of 26.5% to 27%.
Net Income for the quarter stood at ■ 346 crores, which is 12.1% of revenue, showing an improvement of 70 bps over previous quarter.
For FY26, net income was ■ 1,282 crores at 11.7% of revenue.
EPS from continuing operations stood at ■ 30.14 for the quarter, translating to an annualized EPS of ■ 120.56. This represents an improvement over the reported FY25 EPS of ■119.7, underscoring the success of our portfolio rationalization strategy and the strengthened performance of our continuing business.
Other Income for the quarter was ■ 38 crores, higher compared to previous quarter.
Now moving to the balance sheet, highlighting a few key line items :
The combined DSO was at 83 days compared to 93 days in Q3, an improvement of 10 days.
Billed DSO also improved from 68 days as compared to 77 days in Q3. The combined DSO is expected to be in the range of 85 -90 days going forward.
In FY26, Free Cash Flow came in at ■ 1,280 crores. Our FY26 FCF as a percentage of net income stood at 100%.
Our Cash and Investments improved to ■ 3,555 crores end of FY26 versus ■ 2,981 crores end of FY25.
On Capital Return
The Board today recommended a final dividend of ■ 40 per share, taking the total dividend for FY26 to ■ 58 per share. This translates to a dividend payout ratio of 48% for FY26.
Our Return on Equity stands at 20.4% for FY 26.
With respect to Revenue Metrics ,
In dollar terms, we reported revenue of $305.9 Mn, growth of 0.3% on a year -on-year basis, while a decline of 1.7% on a sequential basis. The sequential decline reflects the conscious exit from low -margin and nonstrategic portfolio in addition to the disinvestment of SWC business.
FY26 revenue came in at $1,233 million, year -on-year growth of 8.3%.
Talking about segment margin performance for Q4FY26,
Mobility segment margins for Q4 came in at 16.1%, a sequential improvement of 130 bps over previous quarter. Healthy deal wins in Mobility in the previous quarters and sign of improvement

in the Automotive sector should lead to revenue growth in FY27, leading to further improvement of margins in this segment.
Sustainability segment margins for Q4 remained steady on a sequential basis at 28.7%. Strong execution of the deal wins in recent quarters led to improvement in quality of revenue and will continue to aid revenue growth and margins in FY27 for Sustainability.
Tech segment margins for the quarter came in at 12.6%, sequential improvement of 210 bps over previous quarter. This is due to continued improvement in Intelliswift margins and restructuring efforts in this segment to focus on sustainable and profitable gr owth.
On operational metrics,
The Offshore Mix was 53.5%, slightly better compared to Q3. We do see improvement opportunities in this mix in the coming future quarters.
The T&M revenue mix was at 66.1% in Q4, higher compared to Q3.
Client Profile , we have the first $50 Mn+ account in Sustainability segment and have formally reported in the IR report and also an incre

ase in number of clients across $5 Mn +, $1 Mn +
accounts compared to previous quarter. With our deep relationships with clients and new age offerings, we expect this profile to improve further.
Client Contribution to revenue improved as compared to Q3 across categories.
Headcount improved sequentially by 522 to 23,830 at year -end as we onboarded freshers during the quarter.
Attrition remained range bound at 14.7% levels.
Realized rupee for Q4 was around ■ 93.43 to the dollar, a depreciation of 4.3% versus Q3.
As I conclude, let me provide visibility on margin trajectory going forward.
• We did refer in our Q3 commentary that margins will continue to improve and indeed have seen Q4 margins improve to 15.2%.
• We expect margins to continue to improve further based on
o Capital allocation towards high -growth segments and newer technologies in line with our Lakshya 31 strategy
o Also, we will see improved segment mix with now Sustainability segment contributing 36% of overall revenues in FY26. The recent deal wins will allow to continue this trend in FY27, leading to improvement in overall margins

o Further operational efficiency parameters around AI -led delivery, initiatives to improve operational levers, nonlinearity of revenue and rationalization of SG&A costs in line with continuing business are further opportunities to improve margins
• With this, we now advance our aspiration to achieve mid -16% EBIT margin levels on or before Q4FY27
• And as part of our 5 -year Lakshya 31 -Plan, we aspire to deliver 13% -15% CAGR over the next 5 years with EBIT margins in the range of 16% -17%
I thank everyone for their support. And with that, I hand it over to the moderator for any questions.
Moderator: Our first question comes from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal : Yes. Okay. Thank you so much and congrats to Alind and Rajeev for their elevation. Amit, a couple of questions from my side. A very bold decision indeed in terms of divestment of the SWC business, something that we had acquired just 3 years ago. Just want to understand the thought process behind this step.
I think we had earlier talked about this business offering us opportunities in the Middle East and some other places as well. So, was the consideration here just the profitability of the business that we were looking at? Or was it also that basically the growth opportunities that we saw in other segments were much better, and that is where we basically decided to allocate our capita l to. Any basically color on what the thought process was behind this decision would be really helpful.
Amit Chadha : Sure. I'll start, and then I'll request Rajeev to add to it. So, see, when we acquired Smart World, there were three components in Smart World. There was Smart Cities part which was there. The second part was the Telco Infra piece and the third was the Cyber piece, right? So, what we did was that our whole thesis was that we will take these three , and we will immediately work on

taking them international, right? That was our whole pl ay that we had done.
Now as we have moved forward, what has happened is the Telco Infra piece, we were able to take it international. We have been able to deliver 2 accounts that are upwards of $20 Mn in the company and very profitable at that and growing, right, and gaining market share over competition with differentiated offerings.
The Cyber business, which was running actually at record margins, again, we were able to take those capabilities and be able to infuse them within the company and take those forward . Smart Cities, however, we were not able to internationalize because a lot of that work is done with local governments and is done for creating local jobs.

So, after we have done it for

3 years with different kind of management as well as attention,
what we have done is we have, therefore, decided to divest. So, mostly India and slightly international operations of Smart World have been divested.
And at the same time, we have retained some of the capabilities that we've built organically being just associated, those have continued on in the company and continue to provide leverage to us as we move forward. So that's broadly where it is right now. Would you like to add anything at this stage, Rajeev?
Rajeev Gupta : No, I think, Amit, you've covered broadly. Vibhor, the only thing I would add to is that, look, when SWC business was acquired back in the start of 2023, the rationale was to take SWC global, right? And much like Amit said, there were three areas of business. There was Smart City, there was Infra and Cyber.
I think Infra and Cyber have shown positive results. Smart City, for particularly India business is where we could not see taking global. And that led to making a strategic decision for the purpose of disinvestment. So largely, that's where it is, Vibhor. Hopefully, it answers your question.
Vibhor Singhal : Yes, it definitely does. Thanks for that explanation. And since you are at it, Rajeev, may I just ask a couple of more bookkeeping questions on basically accounting of that. So, we have basically the $1,232 Mn revenues that we have mentioned, that basically takes into account the SWC revenue not being considered for the entire FY26. And so does the P&L as well. Am I right?
Rajeev Gupta : That's correct. So, what you see on the Investor Report is reflecting the continued part of the business and does not have SWC in any of the prior quarters. So, it has comparability and it's like-for-like.
Vibhor Singhal: And we are not expecting any more divestment or any more basically modifications to the financials from Q1 onwards?
Rajeev Gupta: So, from Q1 onwards, we will report the continued operations only.
Vibhor Singhal: Only. Got it. Got it. And the restructuring exercise is complete. Nothing is left in the residual part of that?
Rajeev Gupta: Yes, it is complete.
Vibhor Singhal: Got it. And just one last question, and then I'll probably switch back to Amit for another question. Now that we have divested SWC business, and we know that basically the margins and the working capital days of the business were significantly inferior to our core business. Do we expect , I mean, you mentioned the margin guidance we're looking at around 16% - 17%.

I mean, is that a kind of a target for the next 5 years? Or do you believe it can be achieved over the next 2 to 3 years itself? And also, do we expect an improvement in the DSO days immediately in the near term given that SWC business will be out of the b ooks?
Rajeev Gupta: So, on the margin part, Vibhor, I did clarify. So, we continue to aspire to get to mid -16% levels by Q4FY27 of this year. And if we've got an ability, we would like to deliver that prior to Q4FY27. This...
Vibhor Singhal: Okay, so that guidance remains?
Rajeev Gupta: Correct. And the 16% -17% is in line with the Lakshya FY31 strategy. So, over the period of 5 years, we would like to maintain EBIT margins in that band. Third, on DSO metrics, you are already seeing the improvement. I talked about the improvement in DSO metrics, and I highlighted, right, what was the DSO metrics, excluding th e SWC business.

So, for Q4, we came in at 83 days. So, you're already seeing the benefit of DSO days coming down. And we will be in the band of, say, between 85 to 90 days. What used to be including SWC, if I were to recall Q3, we were closer to between 110 and 115.
Vibhor Singhal: Got it. Got it. Thanks for the detailed explanation . Amit, just one more question from my side. Your commentary alluded to some very positive signals on the Auto segment. Now this is a ve

ry
positive sign because this vertical has been under pressure for quite a while for almost all of the players. You mentioned that the North America Auto specifically is looking positive. So, any color on basically how we are looking at, are there anymore -- are there good frequent deals that we're looking a t in North America auto? And also, will European Auto also expected to follow suit? Or will there be some time before that kind of recovers?
Amit Chadha: Sure. So, thank you so much, Vibhor. Vibhor, I just want to make one more point on your previous question on just the continued business. So, if you look at the Q4 results, the Q4 numbers that we have published for continued business, that does have the business that we stopped doing also.
So Q1 onwards, it's all clean as you see it moving forward. So, it's not just SWC, it's also the other part that we divested, we are talking about $19 Mn annualized that we are taking out. That has been taken out in Q4. So, quarter 1 onwards, it will be all upward. And that's why you see the revenues and margins in Q4, gross margin itself going up in the business, right?
Now moving on to Automotive . Number one on Automotive . See, in US Automotive , what has happened is that our customers as well as overall, as you've seen, they have taken a chunk of whatever hits they had on EV last year, and they are all surefootedly moving ahead with hybrid and gas vehicles. This is a good thing because it provid es clear decision now that it will clear up the path for design cycles to start yet again. And we are seeing some of that positive impact in SDV coming to us. That's number one.
In Europe, they are still between losing market share in Asia, etcetera. But in Europe, there is a number of deals that we are fighting right now and competing for consolidation against European

majors as well as other India Inc. companies. So, there is a lot of that pipeline. So, both have got slightly different, shall I say, context and contours to it, but we are seeing positive momentum in Automotive coming back.
Vibhor Singhal: Got it. Great. Thank you so much for taking my question. Congrats again on the very strong fit and wish you all the best.
Amit Chadha: Thank you.
Moderator: Your next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah : Yes, thanks. Thanks for the opportunity. Amit sir, just wanted to understand within Mobility and Sustainability, one can assume the worst is behind. Sustainability, we were anyway doing better.
So, Mobility, you expect we can start growing Q oQ starting from the first quarter? And even in Tech, when do you expect the worst to get over?
Amit Chadha: So, thank you, Sandeep. So one, Sustainability will continue to grow as we move forward, right? Mobility has stabilized this quarter. You will start seeing growth from next quarter. And in Tech, there are three components. There's MedTech and there's Media and Tech, which includes Semcon and then there is Software . And we do believe that next quarter onwards, we should start seeing that growth again.
So, we should see growth in all 3 as we move forward. The quantum of that, of course, will depend on as the quarter closes. As you know, we are still in the quarter now, new quarter. So, we'll come back at the end of the quarter.
Sandeep Shah : Yes, yes. And just in terms of Lakshya outlook, is it fair to assume whatever we are targeting, which is 12%-15% growth CAGR is largely organic or it also incorporates some inorganic?
Amit Chadha: So, what we have stated right now is -- will largely be -- it's 13% -15%, not 12% -15%. Then again, there will be a new comment or question will come, is it 12% or 13%. So, I'm being very clear, 13% -15% and largely organic with some tuck -in acquisitions as opportunities arise.
Sandeep Shah: Okay. Thanks, and all

the best
Moderator: The next question comes from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan : Yes. Hi, good evening. Thanks for the opportunity. Sir, first question is that from a 13% -15% growth CAGR, you mentioned that historically, it's grown at twelve & a half %. So, these numbers, the twelve & a half % is excluding the SWC bid, how should we understand that? And second, this 13% -15% CAGR is basically this is all the dollar CC, is that how you're thinking

about it?
Amit Chadha: I'm going to actually look at Rajeev to clarify on the dollar CC part and this one. Rajeev, do you want to take this?

Rajeev Gupta: So, Nitin, to your first question, on 12.4%, this is actually including SWC. And second, in terms of the constant currency, it will be of course, we will peg it more constant currency. But yes, over a 5 -year period, there may be some areas where we'll talk even on reported currency as well.
Nitin Padmanabhan : So, this 13% -15% is rupee or dollar, it's dollar?
Rajeev Gupta: It's dollar, yes.
Nitin Padmanabhan : It's dollar. Okay. And see, so far, despite we're seeing very strong deal wins, obviously, we have had leakage in the business, and that's been sort of a drag. Do you think this year onwards, we should start seeing the 13% -15% sort of CAGR beginning to show from this year itself? Or you think it will be a little beyond that was the question.
The only other thing is from a growth perspective, do you believe that at least from an Automotive perspective or in terms of the large accounts that you have, the largest account is $50 Mn + . When do we really start seeing for our scale, at least a few hundred million kind of accounts? That's the second bit.
Amit Chadha: Okay. So , I'll take part of that, and request Rajeev to add. Number one, we are not providing any annual guidance. So, I'm not going to fish in the waters of what will be next year. All I will say is 13% -15%, and we are working towards it, various deals in play. Let's see what closes first, what closes second. I can assure you, we'll be faster than industry, we'll be better than industry and Engineering Industry and IT industry of our size, right? That's one.
Second is that in terms of accounts, our last Investor Meet, which I think we did last year or the year prior -- Rajeev, year prior, Investor Meet?
Rajeev Gupta: Yes, 2 years ago.
Amit Chadha: Yes, 2 years ago. We had created a plan to get to $100 Mn accounts. Our aspiration, if I may Nitin is to have X number of $100 Mn accounts, Y number of $50 Mn accounts. I'm happy to share that we finally were able to deliver a $50 Mn account trailing 12 months in this quarter. This is the first one after a long time for us. And there is a path forward. In fact, the fact that we are moving -- having Alind focus entirely .
A very senior member on the Board of the company been with us for as long as I've been there in the company . To focus only on large deals and growth markets should signal to you that there is a lot of seriousness in the organization towards this. So please allow us some time. Some of this -- most of this is organic. So, it takes a little time to build out. We'll see as things progress.
Nitin Padmanabhan : Perfect. Just one last clarification. From an earlier practice of this annual guidance, we are moving away from that permanently, is that it? Or is this only for this year?
Amit Chadha: Again, can I take the fifth and say I don't know. See we'll see. At the end of it, there's no reason to not provide something or provide something. We're comfortable as you look at our 5 -year --

if I go back and look at the thesis of the company . See, we are here to build and stay and grow, right?
That's a long -term objective of the company. That comes from

the L&T parentage, right? So, the whole idea is to take longer -term decisions and deliberative steps to move. Thematically if you look at it, the company would like to deliver a CAGR sooner than later. But to be seen, to be tested.
Moderator: Your next question comes from the line of Dipesh Mehta from Emkay Global.
Dipesh Mehta: Just first on clarification side. Between this continued and overall combined business, I think margin gap seems to be 40 basis points in FY26. So, headwind from SWC used to be only 40 bps or there is any one -off in the numbers?
Rajeev Gupta: Dipesh, Rajeev here, I can take it. So, what -- I mean, we did talk about realignment of portfolio back in Q3. So, what you see as SWC revenues have actually come down from Q3 onwards, and it was a deliberate intent. So, while it assumes that there is only a 40-bps improvement, actually, it's much more than that. It's closer to almost 70 bps to 80 bps of improvement.
Dipesh Mehta: No, Rajeev, my question was FY26 combined business, you reported 14.1% margin and

continuing operation, you reported 14.5% margin for the full year, which in a way the impression
SWC dilution was around 40 bps. That is what I just want to understand ?
Rajeev Gupta: What we can do, Dipesh, maybe we'll have Sandesh talk to you offline, give you clarification, like I said. Yes, go ahead …
Dipesh Mehta: Second question is about the bet, which we have indicated, let's say, about the 6-Technology Bet and obviously, 5 focus areas. Can you provide some let's say, current mix of the business around those? How big are those businesses currently in overall scheme of things? And what kind of growth and investment you intend to make in each of them?
Amit Chadha: Sure. So right now, as we look at it for these bets that we have got, if you give me a minute, I will be exact , this contributes to approximately about -- give me one minute please, I'll just open this up. So, investments as we do this -- Alind, you want to take a minute and talk about the investments while I bring up the exact data? Alind, you're on mute.
Alind Saxena : Can you hear me?
Amit Chadha: Yes, now we can hear you. Would you like to talk about some of the investments that we're making, yes.
Alind Saxena : Yes, yes. See, when you look at it broadly the space that we have to ourselves, given the customers that we work with is around the whole physical AI. And where we have very consciously looked at making investments and we can walk you through the -- all th e different segments that we have is to continue to deepen our presence in this area.

That includes the collaborations that we are doing, which you may have seen on our postings as well earlier. But that's where we are investing and ensuring that we bring those solutions back to our customers in the physical AI space, which is very unique t o us in our business. So that's one.
Two, we -- if I were to go by segments, we have talked about the investment that we have made in solutions and SDV. That continues to be there for us. And if anything, we are actually doubling down to increase more on Connectivity and SDV solutions. So that's there on the Mobility side.
Similarly, extending to Sustainability, we are in a very unique position where we work with bringing AI in construction -related areas as well as the investments in AI and Data Center s. So those 2, again, become very formidable for us. In Tech, we have talked about there earlier -- we'll be working with hyperscalers closely .
And working on the solutions that we have and building our own solutions to bring in back to our customers across the industry that we work with. That's the philosophy . And that's what we are very clear that will give us the edge to be close to our customers and continue to grow with them. I'll take a pause and if you have a follow -on question on this.
Amit Cha

dha: Yes. And Munjay if you want to take a minute and talk about the EI pivot and the software pivot that we're doing ? And then I'll give the numbers.
Munjay Singh : Dipesh, good to meet you here. Let me explain what we are doing on the EI because that's where the bulk of pivot shift is going to happen. We are looking at EI in 3 distinct buckets. One is to help improve our productivity. So, we have a bunch of products we have created. We're going to make them robust enough so that they can deliver anything between 10% to 30%, 40% productivity in the work that we do. So that's one part of the EI that we are building.
The second part of the EI is to embed this in the processes for client end process, right? So, for example if somebody is running a supply chain, I can optimize that. You have inventory I can optimize that. You have a maintenance cost; I can probably do a preventive maintenance and optimize that. And the last bit is to embed AI in the products, which will go to my customers' customers.
So, some of the physical AI that Alind was referring to are like products that will go into my customers' product. Now these 3 pivots will require us to do a lot of solutioning, do a quick prototyping, delivering solutions on an AI stack. And as you know, AI stack is constantly going to keep evolving.
So, we are going to invest heavily in uplifting not just talent also building tools, bringing alliances which can actually help us deliver this. So, there is a significant shift happening in our business due to AI across the Board, processes for the client, processes of our SDLC, PDLC and the products that will go out to the customer.
Amit Chadha: So Dipesh, to answer your question here, less than 50% of the revenue today comes from these bets. In 5 years', time, we expect more than 70% of business to be coming from these 6 bets .

Moderator: Your next question comes from the line of Shradha Agrawal from AMSEC.
Shradha Agrawal : Yes. So, 2 questions, Amit. I think in one of the comments, you indicated that apart from SWC restructuring, there were some other restructurings as well in which there was an impact of $19 Mn. So, what does that relate to?
Amit Chadha: What is the second question?
Shradha Agrawal : Second question is, we've seen a smart headcount addition of almost 3% to our base. So, is it in anticipation of some large deal ramp -up that we can expect? And also, in terms of restructuring, are we done with all low -margin businesses realignment? Or are there any other businesses that we need to think about going ahead?
Amit Chadha: So let me answer the happy question first. Headcount has gone up. We've added about 500 people net in the company QoQ . We do expect to add another 500 sometime in Q1FY27 , Q2 FY27 , Q3 FY27 as well . Because we believe that there's this new skill set around the forward deployment engineers that is required.
It requires a lot more -- a slightly different skill set. So, we are bringing people on as we speak, and this is for billable headcount . And it is in anticipation of ramp -up of wins that we have had. So, this is not future business we are ramping up, current business we are ramping up or business that is already won. So therefore, there is some surefootedness around the reason why we have added. So that's that answer.
Now in terms of the $19 Mn that I talked about annualized , that you can see that impact coming out in shrinkage of Q4 FY26 over Q3 FY26 in continuing business. And that has been a deliberate attempt. There has been some work that we were doing in a certain geography in the Middle East, which we shut down, and we had talked about it in the last quarter. There is a little bit in Europe that we've shut down.
There was in Telecom Infra, there was a couple of low -margin, non -value -add businesses that we were on. We have returned the lab equipment and

shut that down very respectfully for the client. As far as I'm concerned, this completes the entire restructuring and cleanup that we had to do. We do believe going forward, you will see growth in the continuing portfolio as we move forward.
Shradha Agrawal: Great. Thanks. Amit, if I can squeeze in one more question. I know that you advanced the margin guidance, but without giving any timeline to it. But now we have two tailwinds, one coming from SWC going away and the second from rupee depreciation. So, can we expect a 15% margin by as soon as second half of '26 itself?
Amit Chadha : Shradha, we just got the CFO promoted to the Board. You got to be nice to him at least today, right? And he has also improved. He's also brought it forward. This is what he said. He said Q4 or prior. Now if you want him to say H2 or prior, I don't know if he can say that right now. But look, at the end of it, we want to say what we can deliver. And we are very sure about Q4 or prior. We are working towards it. Rajeev, do you want to add anything?

Rajeev Gupta : No, I think Shradha has been nice to me. You already said it. Shradha, we maintain our intent is to deliver Q4 or prior, but we certainly have advanced it. And you have seen the results of Q4. I mean what we talked 2 to 3 years ago in terms of margins were a lot lower, right? We were talking more 13.3 %- 13.6%. We are now at 15.2 % So it has certainly accelerated. I've talked about the timelines, and that's -- I mean, we'll continue to work around it.
Shradha Agrawal: Got it. Thank you and all the best.
Amit Chadha : And the only other thing I'd like to add -- Shradha, the only thing I would like to add there is please, again look at continuing business and look at the gross margins there. I think we are in a good state now, knock on wood. As I look forward with the di fferentiated service offerings that we have got and the deep client relationships, I do believe and hope that you will see improvement in growth and margins both.
Shradha Agrawal: Sure. Thank you.
Moderator: Thank you . The next question comes from the line of Bhavik Mehta from JP Morgan. Please go ahead.
Bhavik Mehta : Hi. Thank you. I've just one question, Amit. On AI, how are the client conversations progressing across your 3 different segments? Because on the IT services side, we do hear a lot of ask from clients for productivity pass -through the pricing discounts. But curious to he ar in ER&D, how the conversations have progressed over the past few months, even development on the AI side of things since February, March ?

Amit Chadha : Sure. Bhavik, just like Munjay was mentioning, there are three parts to what we are seeing. Number one is efficiencies in PDLC and SDLC. So that is being -- one is being asked for by clients. But second, we are ourselves implementing our own tools to bring it about to almost all our programs. This is a work in progre ss right now.

65% of the company /60% of the company has been trained on AI tools. Another 40% is being done to be completed in the next 6 months, right? So that is SDLC, PDLC. In fact, website also shows a couple of tools that we have developed that are already industrialized and being improved, right? Munjay is taking control of that, taking it forward.

The second part is all about the agentic AI IQ platform that we have launched for engineering and manufacturing. There is specific engineering work processes we are dabbling to change in that. We are actually partnering with industry majors to see if we can bring their tools in to take it forward. So that's the second area that we are dabbling playing with.

Third is physical AI, which can be broken up into Industrial AI and Device AI. And that, again, is new area that we are trying to implement and add on. So, we are definitely seeing a lot more conversations on AI, a lot more what can be done,

usability improvement, etcetera. And of course, spends are also changing. People are wanting to put more money in AI. It's actually a bold question that is coming down to the engineering head as opposed to engineering head taking it ground up. So, some work to be done.

In Engineering and Manufacturing , AI will come in, but it will take over the course of this year and next 18 months to expand. And I do believe still, Bhavik, we are about 6 months, 8 months ahead of competition in the cycle. So, we continue to keep our head up and continue to work hard. I do believe that it will become a net positive and tailwind for all of us.

Bhavik Mehta : Okay, got it. Thank you.

Moderator: Thank you. Your next question comes from the line of Rahul from Dolat Capital. Please go ahead.

Rahul : Yes. I just wanted to clarify on this charge of exceptional cost that we have done in the quarter. Can you let me know for what business this was done? And is there anything more to happen on this plan going into next year?

Rajeev Gupta : Rahul, I can take this question. This is Rajeev here. So, Amit did talk about $19 Mn of annualized business, right, particularly in Europe and in Israel and parts of UK This restructuring cost actually entails towards those businesses and, of course, adjoining people and facilities that have been recorded in Q4. And like Amit said, we reco nfirm that there are no more restructuring costs to continue from here on.

Rahul : And from a revenue point of view, is there some part of the revenue from this business still in Q4, which may not happen in Q1?

Rajeev Gupta : There is no revenue in Q4 because we took quite a few of these actions at the end of Q3 or start of Q4, and hence, you see no revenues for these businesses in Q4.

Rahul : Right. And just one last thing. If I take the outlook that we shared in the previous analyst meet, our current -- this 5 -year objective actually increases the expected growth rate over next 5 years and 4 years. And at the same time, it talks about lower ma rgin than what we said a year back. With SWC transaction, I think our margin thought process should have improved while growth number should have cut down given the $90 million exit. So why there is a difference between what we were thinking then versus now?

Rajeev Gupta : Rahul, again, this is Rajeev. I can take that because, of course, we've talked about our Lakshya FY31 aspiration to deliver at a CAGR of 13% -15% band on revenue growth. As for EBIT margins, I reiterate that the aspiration is to deliver mid -16% levels Q4FY27 or prior, and we are working towards it.

The 16% -17% range over the course of next 5 years in line with Lakshya FY31 strategy is to keep in mind that this growth might have some tuck -in acquisitions. And as you would appreciate, right, any tuck -in acquisition might have some dilution impact. So, we will maintain the margins in that band. It's not reducing, but actually, it's maintaining the band over a period of 5 years.

Rahul : And just lastly from my side, I think this has been said earlier that we're not sharing the outlook

for this particular fiscal, but looking at the situation that we are in, is it possible to share some thought process whether it will be double -digit or any qualitative way to represent it?
Amit Chadha : Better than industry is what I would say.
Rahul: Sure. Thank you. That's it from my side.
Amit Chadha : Thank you, Rahul.
Moderator: Thank you. Your next question comes from the line of Karan Uppal from Phillip Capital (India). Please go ahead.
Karan Uppal : Yes. Thanks for the opportunity. Amit, two questions from my side. Firstly, any impact of the Middle East war, price volatility you are seeing in, let's say, the Plant Engineering business, especially in some of the subsegments like Oil and

Gas, CPG, chemicals, any impact in greenfield or that could have an impact on the overall Sustainability vertical? That is one.
Second is the six big bets which you talked about. Any M&A you are planning to do in any of these 6 big bets, if you can also share the size of it? And subpart to that question is that would you be open to take hit on margins again because of M&A? Yes. Those are the two questions.
Amit Chadha : Okay. So, one Middle East and Plant (Plant Engineering) . So, the Middle East is a very small piece of our operations. Of course, we can look at growth there. We'll see. We hopefully believe that -- over a 5 -year period, we do believe that Plant (Plant Engineering) in Middle East will grow for us but let this situation get resolved.
Will it have an impact on our current quarter or next quarter? The answer is no. I think it's a very small part of our operations. I mean unless something drastic happens in which case that very small piece disappears. So, in normal course of time, no.
Six bets, I've already shared the amount of revenue. My request will be that we will hold an Investor Day sometime in the year. We'll walk you through the 6 bets and it will be on our website. So, at that point, we'll spend a lot more color and time on it for you. What was your third question?
Karan Uppal : Are we open to take a hit on margins again because of M&A.
Rajeev Gupta : So, Karan, we talked about tuck -in acquisitions. We are not thinking of any large acquisition at this stage. I think the acquisition that we made of Intelliswift start of last year has panned out well. We continue to build our software capability. In fact, Mu njay is leading the entire effort of building the software and AI horizontal for the company.
So, at this stage, we are not talking of any large acquisition. There are more tuck -in acquisitions.
And hence, I have given an EBIT range of 16% -17%. But much like Amit mentioned, when we

host the Investor and Analyst Day, we'll give you more clarity on big bets, investments and related M&A.
Karan Uppal : Cool. Thanks a lot.
Moderator: Thank you. We will take that as our last question for today. I now hand the conference over to Mr. Sandesh Naik for closing comments.
Sandesh Naik : Thank you. Thank you all for joining us on the call today. We hope we were able to answer your queries. We look forward to interacting with you throughout the quarter. Wish you all a very good evening and a good day. Thank you.
Moderator: Thank you. On behalf of L&T Technology Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been lightly edited for clarity and accuracy.

Call: Jul 2026

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July 20, 2026

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NSE Symbol: LTTS BSE Scrip Code: 540115
Dear Sir/Madam,

Subject: Transcript of Q 1 FY27 Earnings Conference Call held on July 14, 202 6

Pursuant to Regulation 30 and 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Q 1 FY27 Earnings Conference Call organized by the Company on July 14, 202 6.

The above information is also available on the website of the Company at https://www.ltts.com/investors/financial -information .

Kindly take the above information on record.

Thanking You,

Yours sincerely,
For L&T Technology Services Limited

Prasad Shanbhag
Company Secretary & Compliance Officer
(M. No. A 30254)

Encl: As above

L&T Technology Services
Q1 FY27 Earnings Conference Call Transcript

For the Earnings Call held on July 14, 202 6, 20:00hrs IST

MANAGEMENT : MR. AMIT CHADHA – CEO & MD,
MR. ALIND SAXENA – EXECUTIVE DIRECTOR & PRESIDENT ,
MR. RAJEEV GUPTA – EXECUTIVE DIRECTOR & CFO ,
MR. MUNJAY SINGH – CHIEF OPERATING OFFICER ,
MR. SANDESH NAIK – HEAD, INVESTOR RELATIONS

Disclaimer: Certain statements in this release concerning our future growth prospects are forward -looking statements, which involve number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statement s. L&T Technology Services Limited (LTTS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator: Ladies and gentlemen, good day, and welcome to the Q1FY27 Conference Call of L& T Technology Services Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing “*” then “0” on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sandesh Naik, Head of Investor Relations. Thank you, and over to you, sir.
Sandesh Naik: Thank you, Do rwin. Good evening. I'm Sandesh and welcome you all to the earnings call of L&T Technology Services for the first quarter of FY27. Our “Financial Results , Investor Release and Press Release ” have been filed on the stock exchanges and are also available on our website, www.ltts.com
I hope you had a chance to go through them. This call is for 60 minutes. We will try to wrap up the management remarks in 20 minutes and then open up for Q&A. The audio recording of this call will be available on our website approximately 1 hour after the call ends.
With that, let me introduce the leadership team present on this call. We have with us Amit Chadha – CEO and MD; Alind Saxena – Executive Director and President; Rajeev Gupta – Executive Director and CFO; and Munjay Singh – Chief Operating Officer. We will have Amit providing an overview of the company's performance and outlook with Alind sharing perspectives across our business segments. Rajeev will then walk you through the financial performance.
With that, I now invite Amit to start his opening remarks.
Amit Chadha: Thank you, Sandesh.
Amit Chadha: Thank you all for joining us on the call today.
The strategic actions initiated under our Lakshya 31 plan and continued investments across our Six Technology Bets are now delivering tangible business outcomes reflected in the healthy quarterly growth and continued margin improvement.
Now for the key highlights for our Q1 performance :
• Revenue came in at $ 310 Mn, growing 1.5% sequentially and 1.9% YoY on a constant currency basis

• Mobility segment showed encouraging signs of recovery in a dynamic macro environment, recording a 2.3% sequential growth
• Our most profitable segment, Sustainability, continued the growth journey at 4.3% QoQ and 11.3% YoY , continuing with its double -digit growth driven by continued deal wins and ramp -ups
• North America, our major market continued to grow sequentially along with ROW and India, while Europe demonstrated slight moderation during the quarter
• The enhanced growth profile, coupled with operational discipline and actions taken, contributed to a continued EBIT margin expansion to 15.7%, up 50 bps QoQ and 200 bps YoY

• Our Engineering Intelligence solutions, which I'm personally very proud of, are opening up more strategic client conversations and translating into a healthy pipeline of large opportunities
• In Q1, we recorded large deal TCV wins of nearly $100 Mn, with a few large deal wins that were supposed to close in Q1 having moved to early part of Q2 right now
• We are

confident of closing even larger engagements in the coming quarters
• Further strengthening our Engineering Intelligence portfolio, we just announced a strategic partnership with Anthropic to integrate Claude models across engineering processes and LTTS' AI -powered platforms like AgenticIQ, PlxAI and others
In Q1, we achieved several milestones across our Technology and Innovation Charter :
• One, we inaugurated, Europe's first Engineering Intelligence Center in Munich, strengthening our ability to support AI -led engineering and manufacturing transformation globally
• Two, through our consultative engagements, we are helping clients assess their AI maturity and shape future AI road map, supported by an AI Readiness Index developed by MIT Media Labs
• Third, Ainfonix, our latest Engineering Intelligence platform , was launched to help the process industry clients unlock insights from engineering data.
• Finally, our innovation momentum remains strong. AI patents now stand at 244, taking the total patent count to 1,757
With that said, I would request Alind to provide a detailed segment performance outlook and review. Alind, over to you.

Alind Saxena: Thank you, Amit.
Alind Saxena: First of all , good morning, good afternoon and a good evening to wherever you are. I appreciate all of you joining us today. I will now walk you through the segment -wise performance and outlook .
Mobility :
• Mobility delivered 2.3% sequential growth. This was broad -based, led by Aero space & Rail and Trucks and Off -Highway
• In North America, the business is seeing good traction and growth
o With increase in new vehicle launch plans by OEMs, we are participating in their next -gen vehicle architecture programs
o We also continue to expand into newer areas such as autonomous mobility and advanced transportation platforms
• While Europe remains challenging, we believe that LTTS is well positioned to benefit from vendor consolidation and engineering outsourcing opportunities in that area
• In Japan, OEMs are increasingly looking to leverage India for engineering, product localization, and supply chain optimization, where we continue to expand our presence
• Across the industry, customers remain focused on reducing vehicle development timelines and cost
• With improvement in our client engagements, substantial investments in SDV platform and leadership in EV solutions, our Engineering Intelligence capabilities are helping improve engineering productivity and speed to market for all our subsegments in Mobility
o A leading Aerospace technology provider selected LTTS to establish engineering capability for next -generation airborne connectivity platforms and aviation communication solutions
o We also expanded our engagement with a leading electric vehicle manufacturer to support vehicle development across exterior systems, lighting technologies, and future mobility solutions
Overall, Mobility remains a key contributor to our large deal wins and our pipeline remains healthy, giving us confidence in gradual improvement in revenue and margin through rest of the fiscal year.
Sustainability :

• Sustainability remains a strong growth driver, delivering 11.3% YoY and 4.3% sequential growth, driven by strong execution of recently won programs
• Both Plant Engineering and Industrial Products ensured strong growth towards this quarter's performance
• In Plant Engineering, we continue to see strong demands across Upstream Oil & Gas, LNG, and Chemicals , supported by investments in capacity expansions, digitalization, engi

neering information management, and operational optimization
• Our newly launched Ainfonix platform is gaining strong client adoption and is expected to improve project productivity, quality, and cost efficiency
o The strategic partnership announced last quarter with a leading global energy company continues to ramp up as planned
o LTTS secured a project to lead the design and site construction supervision program for a major industrial development company
• Industrial Products continues to see healthy demand across Data Centers , Electrical Equipment , Motion & Robotics , and Automation . These are supported by investments in digital infrastructure, energy transition, and smart manufacturing
• These trends are helping us expand our engagements with leading global clients across the industrial, energy, and technology sectors
o Emerson selected LTTS as a global System Integrator and technology development partner, supporting the design, deployment and life cycle enablement of advanced systems engineering platforms across industries
Overall, we continue to see healthy growth with a strong pipeline driven by demand for digital transformation, plant modernization, power electronics, and data center investments.
Tech :
• In the Tech segment, we are doubling down on strategic partnerships across technology ecosystem through collaborations with Anthropic, Databricks, and other leading AI innovators. By combining their technolog ies with our engineering domain expertise, we are advancing Engineering Intelligence solutions for clients in the products, services, and manufacturing. This is being leveraged across all other segments
• The segment operated in a measured demand environment during the quarter. We expect these headwinds to ease over the next few quarters and a significant deal in Telecom to close in early Q2

• The Media & Tech business continues to see healthy demand , driven by investments in semiconductors, AI -powered networks, and digital systems
• We are expanding our engagements with semiconductor and telecom customers through vendor consolidation, offshore engineering, and transformation program
• Our Software & Platform subsegment is scaling AI -led solutions across software testing, AI and analytics optimization, helping clients improve productivity and accelerate enterprise AI adoption
• We are also seeing encouraging traction in FinTech, including addition of our first customer in the Private Equity segment
• Our pipeline continues to strengthen, supported by improved sales execution and growing demand for AI -led engineering and platform solutions
• In MedTech sub -segment, one of our programs reached its planned conclusion, while the start of the other program has been temporarily delayed
• Demand remains healthy across digital health, diagnostics, imaging, surgical robots, and connected medical devices
o LTTS has won a deal from a global medical technology leader in Ophthalmology and Microsurgery solutions to establish an offshore engineering center to innovate, support new product development, product refresh, and life cycle engineering
• We are also expanding our Pharma business by bringing together our engineering, manufacturing, and healthcare capabilities to deliver end -to-end solutions for life sciences clients
• Building on innovation from our Software & Platform business, our PharmaWiseAI solution is gaining good traction in the marketplace, which is an end -to-end AI platform accelerating pharmaceutical R&D by transforming data into actionable

insights with regulatory compliance
Overall, the Tech segment has several large opportunities at advanced stages of discussion, and we remain optimistic about converting them over the coming months. We expect this segment to ret

urn to growth from Q2 onwards .
With that, I hand the call back to Amit to share the outlook. Amit, over to you.
Amit Chadha: Sure. Thank you so much, Alind. Before I conclude, let me briefly touch upon why we remain confident about the road ahead. It comes down to "Engineering Intelligence ".

• We believe that 6 -layer AI cake is real, and LTTS is uniquely positioned with capabilities spanning the entire tech stack - from energy , chips , infrastructure, to data engineering, AI models and real -world applications
• Second, our Lakshya 31 strategy continues to gain momentum, providing a clear road map to help clients, transform products, processes and manufacturing while positioning LTTS for the next phase of sustainable growth
• Third, I would like to confirm and reconfirm that your company will continue to grow sequentially in revenues and margins in the quarters ahead
• Finally, looking ahead, we remain committed to our aspiration of delivering 13 -15% CAGR over the next 5 years while maintaining EBIT margins of 16 -17%

With that said, I'd like to thank you for all your support and would like to hand over the call to Rajeev to provide his commentary.
Rajeev Gupta: Thank you, Amit, and greetings to everyone joining us on the call.
Let me start by sharing key highlights and themes for the quarter.
First, we made good progress on our journey from an engineering services company to an engineering intelligence solutions company.
Engineering Intelligence is becoming integral to both how we engage with customers and how we deliver programs – enabling smarter, faster and more scalable outcomes.
As part of our Engineering Intelligence live event, we brought together nearly 40 industry analysts to experience our Engineering Intelligence solutions through live demonstrations across Engineering AI, Agentic AI, Manufacturing AI, and Physical AI.
Second, our focus on building a scalable business , and improving operational efficiency, maintaining disciplined SG&A management helped us deliver constant currency revenue growth of 1.5% sequentially and 1.9% YoY , EBIT margin improved by 50 bps sequentially and 200 bps year-on-year and strong free cash flows at 153% of net income.
With that, I will move to Q1 FY 27 financials, starting with the P&L.
Revenue for the quarter came in at ■ 2,940 crores, representing growth of 2.9% sequentially and 11.5% YoY .
EBIT margin for the quarter stood at 15.7%, an improvement of 50 bps sequentially and 200 bps YoY .
Effective Tax rate for the quarter was 26%, improving by 60 basis points over the previous quarter. We expect ETR to remain in the range of 26.2% to 26.7%.

Net Income for the quarter was ■ 352 crores, up 1.5% sequentially and 17.4% YoY , representing 12% of revenue.
Our Earnings Per Share from continuing operations was ■ 33.17 for the quarter, translating to an annualized EPS of ■132.68 compared with reported FY26 EPS of ■115.89, which is improvement of nearly 15%. This reflects the benefits of our portfolio mix, prudent capital allocation, alongside investments in Engineering Intelligence and Six Technology Bets aligned with Lakshya 31 strategy.
Other income net was ■ 14.7 crores for the quarter, lower compared to previous quarter, primarily due to forex losses.
Now turning to balance sheet. Let me highlight key line items.

Our combined DSO improved to 77 days from 83 days in Q4, an improvement of 6 days. Billed DSO improved to 57 days from 68 days in Q4. Going forward, we expect combined DSO to

remain in the range of 80 to 85 days.
Free cash flow for Q1 FY27 was ■ 540 crores at 153% of net income.
Cash and investments stood at ■ 3,394 crores at the end of Q1 FY27 compared to ■ 3,555 crores at the end of Q4 FY26.
Revenue metrics
In dollar terms, revenue was $ 309.9 Mn compared with $ 305.9 Mn in Q4. This represents constant currency sequential growth of 1.5% and YoY growth of 1.9%.
On segment margin performance,
Mobility margins for Q1 came in at 15.6%. There was a slight decline primarily due to on -site ramp -up of new programs. As these engagements mature, we expect both revenue and margins to improve sequentially.
Sustainability continued to perform well with margins improving to 29.1%, up 40 bps sequentially. A healthy pipeline and good quality of revenue continue to support both growth and profitability.
Tech segment margins came in at 11.5%, reflecting softer revenue performance during the quarter. As recently won deals move into execution, we expect both growth and margins to improve over the coming quarters.
On operational metrics,
Offshore mix was 53.9%, broadly in line with Q4. We continue to work on opportunities to improve this mix going forward.

T&M revenue mix was 64.9% in Q1, lower compared with Q4 as we focus on favourable shift towards fixed price and outcome -based engagements.
Client profile improved with an increase in $ 20 Mn+ accounts, $10 Mn+ accounts compared with previous quarter.
Client contribution to revenue remained broadly similar with Q4 across categories.
Headcount remained steady at 23,845 in Q1 compared with 23,830 in Q4.
Attrition as well remained range -bound at 14.7%.
The realized rupee for Q1 was around ■ 94.86 to the dollar, representing depreciation of 1.5% versus Q 4.
Margin outlook before concluding, let me talk about our margin outlook.
We continue to expect sequential improvement in EBIT margins throughout the year, resulting from 3 factors:
• Continued growth in our higher -margin Sustainability and Mobility business, along with improving margin outlook for Tech
• Second, greater productivity through Engineering Intelligence -led delivery model ; and
• Continued focus on operational excellence and disciplined SG&A management
With that, we remain on track towards our aspiration of achieving a mid -16% EBIT margin on or before Q4 FY27.
To summarize, Q1 FY27 reflects steady execution, sequential revenue growth, margin expansion, disciplined working capital management, and strong cash conversion. We also continue to invest in engineering intelligence and our sixth strategic technology bets, which we believe will strengthen our differentiation and support long -term value creation.
With a strong foundation in place, we remain focused on executing our Lakshya 31 strategy and achieving our aspiration of 13 -15% CAGR for revenue over the next 5 years while maintaining EBIT margins between 16 -17%.
Thank you, everyone, for your support. I will now hand the call back to the moderator for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Ravi Menon with Axis Capital. Please go ahead.
Ravi Menon : Thank you for the opportunity. Amit, congrats on really strong growth in Mobility & Sustainability both . In Mobility, especially in Auto, some of your peers have been struggling.

So, I want to talk a bit about what works for you here and how -- I know that you said there is a good pipeline, but what's really differentiating you in this market? And then in Tech, I know we used to have a Q1 seasonality with SWC

, but I was sort of sur prised to see that decline. So, talk
about why that declined.
Amit Chadha: Sure. So, I'm going to start. I'm going to hand over to Alind to talk about differentiators in a bit. So, one, if you look at Ravi, we've invested in advance like Rajeev talked about, Alind talked about, in Engineering Intelligence , that allows us to continue to have new deal wins and ramp - ups for the deal wins that were done throughout last year in Sustainability .
And I had said this during Q4 as well, that I expect Sustainability to grow double -digit in the current financial year, FY27, and you are seeing that play out. So, these differentiators are there based on EI, based on the work that we're doing with our bets , will continue. Now in Mobility , we have invested in EV. We've invested in hybrid. We've invested in SDV, and all 3 are playing out positively for us. Alind will share a few more details in a second.
On the Tech part, like Alind mentioned, there was a particular medical program that actually stopped and per plan the new one didn't start, and that's why we said a couple of our wins have moved into Q2. And that's why you saw that slight decline that was there. But as I look forward, I do believe Mobility and Tech as 2 segments will also grow in this financial year. A lind, would you like to share a few details on differentiators for Mobility and Sustainability
Alind Saxena: Sure, Amit. So, if you fundamentally look at it, we look at Mobility and we think about it as 3 different sectors within that. So, we've got Automotive, we've got Trucks and Off -Highway and we've got Aero and Rail. So that's our Mobility as a world, and that diversification as a strategy really helps, as we are seeing now as well.
So, we have been very closely and been very intimate with our clients in what we have been doing with them. And that I do believe that above all, technology that remains a key differentiator for us to be able to leverage the part of the journey that we are un dertaking. So that's one.
Two like Amit said, look we have advanced invested in the whole EV strategy, which didn't play out as the way. But what it is doing is the hybridization, which is now becoming very popular. This remains a very key aspect of that. The fact that we had inves ted in our labs in our solutions is playing out well for us because that hybrid strategy is very clearly laid out, not just for automotive, but for some of the off -highway vehicles and off -highway engines as well.
So that's helping us go through. The third thing is that we were one of the earlier adopters to not just look at SDV, but SDV with an angle of AI and which means that you look at a software - defined vehicle through the angle of autonomous and intelligence a nd those are the solutions that we have built.
I think we showcased that in one of our investor's road show. We'll be happy to do that again, which is key and crucial to our continuing differentiation. Now if I were to talk about on

Sustainability . See, on Sustainability side we know that there is an upside, which is there due to data centres .
But the forward investments that we have done in our solutions like Ainfonix , which is helping transform our Plant Engineering customers and having them utilize the data that they are already generating to be able to create differentiation. That is very unique and sort of unparalleled in the outcomes that we are able to deliver.
And similarly, on Industrial Products we have had a very strong relationship with the OEMs and their whole product development process as well. And embedding the AI solutions in there is helping in creating not just us catch the momentum but catch the momentum favorably on the base of technology and solutions that we have developed. I'll take a pause.
Ravi Menon : Thanks so much for the detailed explanation. A nd the rest of the wor

ld, that includes the Middle
East. This is a segment that people are expecting not to do very well, but that's done pretty well here. Could you talk about that?
Amit Chadha: So, we operate largely in Japan. ROW for us is a little bit of Australia, a little bit of Middle East. So, I think it's done okay for us. It's Europe that has moderated this quarter for us, but that should come back next quarter for us again.
Ravi Menon: Thanks so much and best of luck.
Moderator: Thank you. O ur next question comes from the line of Vibhor Singhal with Nuvama Equities.
Vibhor Singhal : Hi, thanks for taking my questions and c ongrats to the LTTS team for a solid performance. Amit, just one question from me for you and Alind maybe and then just one for Rajeev. So, talking in terms of the broader context of how deals are shaping up, if you look at the peer set in the IT service industry, a lot of the large companies have now started reporting some large deals in the AI space, which is basically helping client's complete end -to-end transformation using AI.
Do you believe a similar kind of deal transition might also happen in ER&D at some point of time, maybe with a lag or may it is already happening, that the deal sizes might actually start increasing with the clients using AI to, let's say, do more, let's s ay, gamut of work from one end

to the other and which could eventually lead to some sort of vendor consolidation also o r do you
think it's too early to call anything on that part in the ER&D space specifically?
Amit Chadha: Sure. And your second question was for Rajeev. Do you want to give us that question as well or
you will hear it later.
Vibhor Singhal : Yes, sure. No, I'll just say that. So, Rajeev, I think very solid cash flow generation in this quarter.
So, our free cash flow to net income is around 153%. I mean, is that going to -- you mentioned
that the DSO range has to be between 80 to 85 is what we are expecting. Does the free cash flow
to net inco me also remain as high as 153% o r was it an aberration in this quarter and we would
probably settle more at 100% to 125% range, which generally is the c ase? Yes, that's it. Those
are the two questions?

Amit Chadha: Rajeev, you want to answer that, and then I'll answer the AI part after that.
Rajeev Gupta: Sure. Thank you, Vibhor, as always supportive of LTTS team, so I appreciate that. See as far as
the cash flow, I think I've always guided that we will deliver free cash flows i n the range of 90%
plus. This has been a stellar quarter in terms of working capital management. While we will
attempt to do as well as we did in this quarter, but you try to keep it between 90% to 95%, that
is for certain that we c an deliver for the year. So that's what I will say. But yes, we'll see our best
if we can deliver as well as we delivered in this quarter.
Vibhor Singhal : Got it. That was useful.
Amit Chadha: Okay. Now that Alind run s strategic initiatives and large deals for us. A lind, do you want to take
a stand at that?
Alind Saxena: Sure, Amit. See Vibhor today if I look at any large deals and we talked about this earlier, Vibhor,
there are two fundamental shifts which are happening. One is that most of these large deals are
on a fixed -price or an outcome -based model where there is clarity on what's the outcome that
needs to be delivered.
The second equally important point is that our customers are asking us on how we are going to
transform the current pr ocesses, which they are running a nd unless the transformation happens
along with that deal, it is not going to really be a winnable opportunity. And there we play i n
and we think about AI.
So, AI is a central part of the transformation theme, which is there. And to say that you take any
process. And if you're not putting that thought process in there and the solution that we have
built around

engineering intelligence in there, it's not going to come to fruition. So, AI is clearly
embedded. How we talk about it, how we announce is different, but that's the fundamental which
is there.
Amit Chadha: So, I will just add a couple of things. Number one, Vibhor, if you look at -- so we have -- because
we announced MIT Labs. So, we have gotten into now consulting and being the consultation
partner to our clients on which engineering processes, which manufacturing processes to take
and roll out EI or AI and which ones to leave because the ROI is not there. So, we are starting
at that level.
So, there's a lot of those projects that we are executing for our customers paid assignments. From
there, you are then getting into the ones which we agreed to roll out manufac turing like lights -
out factory or if I take engineering , you take PLxAI, you take Ainfonix. In fact, we have
developed a tool now even for the finance function that we have rolled out through our segment.
On LinkedIn, I just liked it yesterday. We've just launched it yesterday; we announced a win
there. So that is the second part where you are actually implementing it for various parts. So
that's the second piece.
The third part then comes like Alind is talking about where their existing work is there and you
are figuring out whether you are going to implement AI and do productivity improvement, of

course, pass it on, etc. The last thing which I want to mention is this Claude partnership that we
have signed, and this is very important because this will help us in taking the Claude model as
well as the various workflow to our clients.
I'll give a small example. We were in Midwest recently. And one of our clients is moving from
a complete EV to a hybrid set of vehicles. And he was sharing that; look it takes us about 36
months to 40 months to do a complete design. Is it possible for you to come in and do it in 18 -

15 months ?
Now part of the engineering design will be done by us for sure, but part of it will be done by their own engineers. So now what you're doing is with this Claude partnership with other tools that you're developing, you are starting to become the owner's eng ineer, which is a very different positioning than just going asking for work.
So that's what's helping us, knock on wood, as you look at us today. And that's the EI part that we have talked about. And I'm sure you've seen the new logo as well; you love the colors. All the credit goes to Sameer and his team for that.
Vibhor Singhal: Got it. That's really helpful , Amit. Just one last follow -up question on that. Do you believe this kind of a positioning that you mentioned that we will be able to own that basically IP or that process or that existing domain that we're talking about? And that also eventually, if not immediately, lead to some basically pricing benefit for us in the medium to long term or do you think it's difficult to call on that?
Amit Chadha: So, we see God has been very kind to us other than specific cases that Rajeev and I had called out last year. Nobody has ever come back and say reduce your rates to us because they see the value, and we are not a commodity player, right? We are a differentiated engineer ing player. We are a higher -end engineering player. So, we will continue to see expansion.
We'll see a lot to be done. I think Munjay had also spent a lot of time with you during the EI event most of the time as well. So, we are leading all this. We'll see where it goes. A lot to be done. A lot of excitement, a lot to be covered. Like I said, 6 -layer AI cake. You decide which one is strawberry and which one is vanilla and which one is cho colate in the layer.
Vibhor Singhal: Got it. Great. Thank you so much for answering my question and wish you all the best.
Moderator: Thank you. Our next question comes from the line of Sandeep Shah with

Equirus Securities.
Please go ahead.
Sandeep Shah: Thanks for the opportunity. Congrats on a good start despite the difficult macro -led challenges. Amit, sir, just wanted to understand in a pivot from engineering services to EI, do you believe the productivity gain demand can take a lead versus a higher wallet share or both goes in a hand - to-hand and the impact on the growth may not be material?
Amit Chadha: So, when I look at EI, right? And I've actually divided it up. And so, see the EI part that I talked about the 6 layers, which is energy, then there's chips, there's infrastructure, there's data and data

engineering, there is models and then there is application. These are 6 layers, right? If I take those and I then map it to our bets are software platforms and AI, number one, Software -Defined Mobility. Third is plant build -out and modernization. There is do AI and without AI as well. There's energy automation with digital manufacturing, Medical Technologies and next -gen compute and AI infrastructure. Those are our bets that we have got.
Now Sandeep, as we move forward and for the past few quarters, the wins that we have been having, we are having to use our own tools, and I'll request Munjay to chip in here and talk about the tools we have got. But the tools are being used as part of our bids to our customers, and we are having to pass on some productivity improvement. Absolutely. Otherwise, we will not win it.
It's a very competitive environment. But the clients are able to see the value and allow us to keep some of that as well. So, as you look forward, there will be 2 parts. One, you will continue to see LTTS gain market share over competition because we do b elieve that we are still between 6 to 9 months ahead of competition in this area, number one.
And number two, you will continue to see some of these benefits being passed, and we will have to continue to reinvent ourselves and build new offerings as we take it forward. Munjay, do you want to take a minute and talk about toolkit that we have establi shed in EI, please?
Munjay Singh: Sure, Amit. Good evening, everyone. So, we have tools which is like -- I'll put in 3 buckets. One is to tools which we use to work faster, which are basically ones that can aid to people to do their jobs better. The second is to make sure we are able to generate tools which can automate work so that the systems can become autonomous, as autonomous as possible.
And the third is to actually embed this in the product itself. So, these are the 3 sets. We have specific tools built for each one of them. I have PlxAI, AiNexus, AiTest, Ainfonix for aiding people to do the jobs faster. I have AgenticIQ platform for creating agents, which can make systems autonomous.
And then I have physical AI that we embed, like Track AI, etc, that we embed in products, which will take this AI application into real world. Now the broad question that you ask is, and I'll try 30 seconds to explain that. See, the use of AI is to do things faster, right? And when you do things faster, it will produce more, not less because the customers will have an opportunity to

create a lot more variety of products.
So eventually, it will lead to explosion of the work that we are seeing today. If you look at code basis, for example, you will see a lot more code getting generated. And eventually, these codes, somebody will have to rather maintain; new products need to be launched. So, it's a broader shift that is happening in the industry.
And we believe in the way we have approached this, which ensures that the intelligence is being engineered using the tools in the products and the processes, we believe that it will lead to a lot more expansion of the work that we do in the market.

Sandeep Shah: Okay. And is it possible to throw s

ome nature of the demand shaping up in the Europe -based auto segment, both with Tier -1 and the OEMs?
Amit Chadha: Sure. So, Sandeep, I think Alind alluded to it in his commentary, but I'll just -- 2 things here.
See, Europe OEMs will take a little time to recover and come back. I had actually mentioned this in the last 2 quarters as well. See, if I look at -- let me not just t ake -- let me take US, then Europe and then ROW.
See, if I look at US, the OEMs are largely insulated from the world requirements. They largely service the India -- I mean US market other than one company on the West Coast that is global. Most of them only service the US market. And the US demand is as t he US demand is. And we do believe that the worst from US auto is behind us. Stuff is growing, not just that, we do believe that Truck & Off -Highway segment as well in the US is on a steady path for SDV and others. So, our SDV is not limited to Auto, it's also to T&OH.
So therefore, the US, we believe, is in a better shape. Europe, because they were depending on Asia and China for a significant part of their market, which seems to have been vanishing over the last few quarters. You must have read this in the commentary from all the OEMs, there is a challenge, right? Some of them, some model years are being pushed, some consolidation happening, all that.
Tier1 s in Europe, again, seem to be in a similar waterfall effect from the OEMs in an issue. Now the silver lining in all this is that I do believe, and I'm not just talking about LTTS, but I talk about all India Inc. engineering companies. All of us actually st art from a lower cost base than European service providers, and therefore, we stand a much better chance.
In fact, one of the reasons we inaugurated our EI center in Munich is that we believe that the new technology along with productivity improvements, I think somebody asked the question, I think it was before you -- Vibhor asked the question about productivity improvement.
So, we can bring EI and bring productivity improvement, our chances to win once the shakeout continues and happens in this consolidation is higher. So that's how I would see it. But again, to be played out. I mean, today, another one of our esteemed peer competitors or peers announced their results and others are going to come. You can make your own analysis.
But I do believe that like Alind said, being diversified into Auto, T&OH and Aero, number one. Number two, being in US, Europe, and ROW rather than just being focused on Europe has played to our advantage, and we do believe very strongly in our diversific ation strategy.
Sandeep Shah: Okay. Thanks. And just the last question. We have done well in first quarter, but the commentary suggests in 2Q, the growth drivers could be broad -based, A, in terms of verticals, B, in terms of markets. So, is it fair to assume the growth momentum in the coming quarter could be better versus first quarter growth momentum?
Amit Chadha: Sandeep, I will not comment on that because we are providing a five -year outlook, and we are committing to you growth every quarter, but we are shying away and not providing annual

outlooks. That is a decision we have made after feedback from a number of you. So, I'll leave that question unanswered, but I can commit to you growth in Q2. How much to be played out? The quarter just started.
Sandeep Shah: Okay. Fair enough. All the best.
Moderator: Thank you. Our next question comes from the line of Jyoti with Haitong. Please go ahead.
Jyoti: Yes. Thank you for the opportunity and congratulations on the great execution. So just wanted to understand that Tech not did very well in this quarter and now contributing only 30.6% of revenue compared with 34.4% a year ago. So, is this a structural shift in portfolio mix or are we

expecting Tech to regain its historical

share?
Amit Chadha: So, Tech -- and I would request Rajeev to actually help me here slightly on the percentages. Our Tech now is without SWC and therefore, continuing business, number one. Number two, it's a fair point that actually Sustainability has grown double -digit last year, which Tech didn’t. But Rajeev, do you want to chip in on this, please?
Rajeev Gupta: So, Jyoti, let me add to what Amit said. There are 2 parts to this. One, you are aware of it that we did portfolio rationalization in Q4 with our Smart World business, right? Just to update everyone, we are looking to conclude the transaction in Q2. We did announce the disinvestment end of March. I think with most of the condition precedents in progress, hopefully, we should be able to conclude the transaction in Q2.
Having said that, I think the proportion is with the growth coming a lot more in Sustainability, followed by Mobility. Tech, I think maybe Amit would have alluded to, but we do see good momentum on some large deals, right? We, in fact, expected to close t hat in Q2, which moved to early part of -- sorry, end of Q1, which moved to early part of Q2.
So likely, you will see some more momentum in Tech, but do we expect it to come back to 34% levels? Not really. I think you will see more of Sustainability and Mobility followed by Tech.
Jyoti: Okay. Thank you, sir. And another small question on the other income side that has declined sharply in this quarter. So, should we assume lower other income going forward?
Rajeev Gupta: So, this is, I think, primarily hedge losses, which is why you're seeing a lower other income. I think for the next few quarters, you probably could assume to be in this range, while we are seeing some benefit from the rupee depreciation. But on the other side, we are seeing hedge losses. For the next few quarters, you could likely assume to be in this range.
Jyoti: Okay. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Karan Uppal with Phillip Capital India. Please go ahead.

Karan Uppal: Yes. Thanks for the opportunity and congratulations on a strong set of numbers. First question is on Sustainability vertical. So, Amit, does crude price volatility impact the decision -making of clients within the Plant Engineering segment in terms of their R&D budgets? Just wanted to understand if this could be a factor which can come in our way in terms of the solid run in the Sustainability vertical, which we are seeing? Yes, that's the first question?
Amit Chadha: Why don’t you give me your second question as well? Let me answer it once and for all. Anything else? That was your first question…
Karan Uppal: Second question was on Mobility . So, you are quite optimistic on Aero, Rail, Trucks and Off - Highway . But do you expect Automotive also to grow given the puts and takes you have mentioned in terms of European as well as US OEMs? So overall, do you expect Auto also to grow? And within the transport or the Mobility segment, what is the broad split between Aero, Rail, Trucks Off-Highway as well as Auto?
Amit Chadha: So, on Sustainability, see, if you look at the Sustainability vertical for us, it is broadly broken up into 2 or 3 broad components. There is energy automation, electrical equipment, right? All that being one part. And then there is buildings and factories. T hen there is Plant Engineering where we do plant design for CPG and chemicals and oil and gas, including digital twins and all that work that we do on Sustainability.
So, as we look at crude prices today and we look at the volatility given the recent excitement that's been happening in the Middle East region, we have not seen any pullback from our customers.
In fact, we do see a good pipeline of projects and work execution happening, and we continue to hire in this area. In fact, I think we could have grown a

little more had we had all the talent in
Sustainability, right? So that is definitely there . Yes, there were some -- we do -- Middle East was very small for us that did decline for us a little bit in Q4 and got hit in Q1, got hit a little bit, but it is very small for us. So, I wouldn't want to make a big deal out of it. But some execution got delayed, all that happened, right? So that is true.
So long answer short, I do believe that given tailwinds from AI spending, given tailwinds of people wanting to continue to convert projects to more service -led revenue as well as plants being built out globally, including a lot of chemical plants coming up in India, I do believe that this growth should continue. I'm confirming double -digit gr owth for Sustainability for FY 27, right? Now on Mobility, we don't give the split anymore between Aero, Rail, T&OH and Auto because it's one segment for us now, unless Sandesh or Rajeev wants to make a point on that.

But as far as Mobility is concerned, like we just said, see, T&OH, Aero and Rail have done well for us in the current quarter. US A uto has done well for us in the current quarter. There is a lot of deals in the pipeline right now that we have got in Aero, Rail as well as in Auto. Let's see which one closes and where the ramp -up starts . And please allow us some more time. By the time we come back to you in October, we would be in a much better position to answer that.
Rajeev, would you like to provide a split or we don't provide a split?

Rajeev Gupta: So, we don't provide the split. I think, Amit, you've covered part of that question, but we don't provide the split, and I'll maintain in that fashion.
Karan Uppal : Got it thanks for the detailed explanation . Just one on Tech. So, Amit, in your opening remarks, you mentioned a significant telecom deal, which is in the pipeline. So, could that be a growth driver for the Tech vertical going ahead?
Amit Chadha: Yes. Yes, please.
Karan Uppal : Any sense in terms of the size and the scope of work for LTTS?
Amit Chadha: It's a significant deal. And hopefully, if all goes well, like Rajeev alluded and Alind alluded, we should be able to announce it in the early part of Q2, and the ramp -up will start immediately.
That's one. Then there is a couple of others in the medical d omain, which is a profitable vertical for us, which we are currently in negotiation with as well. So, we'll see which one closes first, second, third, but the pipeline definitely has gone up from last quarter, last year as well of the backlog. So, working on. Work to be done.
Karan Uppal : Sure. Thanks a lot, and all the best.
Moderator: Thank you. The next question comes from the line of Dipesh Mehta with Emkay Global. Please go ahead.
Dipesh Mehta : Yes. Thanks for the opportunity. Just want to get some clarity about this right -shifting of the deal, which we observed. Whether it is broad -based or it is , let's say, some specific areas which are seeing some kind of delay in decision -making? And what would be the nature of it? Is it largely, let's say, macro or some client -specific situation, which is leading to delay in some of the decision -making?
And second related question to first question is whether, let's say, because of some right -shifting, do you expect it to have revenue implication also compared to what you anticipated at the beginning of year because of right -shifting, any implication on f ull-year growth? Thanks.
Alind Saxena: So, we are not -- it's not broad -based. And as you probably know that the dec ision -making varies from client to client , and it's dependent on always some of the other factors, which is there, part of which is also that Europe does go on vacation during this time. So, it's not broad -based. It's dependent on certain things. We are fairly positive that it's going to come aro und. And like A

mit
said earlier, the ramp -up is scheduled along with the win. So, that's going to come in the quarter.
Now I mean, the question is, had it come earlier, would the ramp -up would have done earlier? I mean that's always the case depending on when that happe ns. But that -- those are just two deals.
There are others that we have closed earlier, which are contributing to the results as we see. And we will keep track on the other deals as well, which are on pipel ine and bring them to closures.
And at the end of the day, the growth is some net of all of this that comes about. But we are seeing continued traction. We are seeing a very healthy pipeline of deals of different nature. We

are seeing across sectors as well. So, these are not just in one sector. So, there is a broad -based coverage that we see in thes e deals going forward. Amit if you want to add anything?
Amit Chadha: I'll add two items. And maybe this is the last question, I believe. S o, two items. Number one, we do believe that AI is not replacing services. If you remember February, there was this utterance by a number of people that AI will take out the IT sector completely and India Inc. is going to go down and all that. I would like to ac tually please, point you out to the 2 large providers of models who have actually set up their own service companies. And a third hyperscalers has announced a service company. So, if services were to go away out of fashion, why would they do that? Just an open question for us to think about.
So, my belief is that what is happening is the kind of services we provide, the way we provide the services is changing, and companies that can anticipate that in advance . One thing we did not mention, we've actually now created a team of 100 forward -deployment engineers as well.

So, we've jumped into that area as well. So, the point is as you can envisage, stay close to the clients; before reports come out on what the client wants, you should know what the client needs, build that offering prior, and get the fastest finger first will help, number one.
Number two, in terms of macros, yes, decision -making continues to be up and down, but we have created a model internally in the company, and I thank Munjay for that , and all the other segment leaders and horizontal leaders in the company for building a flexible ramp -up model that allows us to start ramping up the moment we close a deal. So, I think these 2 things we can do and continue to be very, very, very, very careful and continue to be to the point of being paranoid of when am I going to get phased out , and what should I do, I think we'll be okay. Last question from Bhavik.
Moderator: Our next question is from the line of Bhavik Mehta from JP Morgan. Please go ahead.
Bhavik Mehta : So just one question. I mean, at a broader level, how have the client conversations changed over the last 3 months given where the geopolitics is? Are we still in that wait -and-watch mode given the macro? Or do you get a sense that maybe discretionary spen ds will finally start to come back , and there could be some acceleration in R&D spend by the clients?
Amit Chadha: Bhavik, in fact, interestingly, yesterday, my office was telling me , that just 2 months, April and May, my own meetings, I did 48 meetings with clients, different clients, 48 meetings just in 2 months, face -to-face. That's -- and this is just me. And then you've got Alind, you've got Rajeev now, you've got Munjay, you've g ot segment heads. So, a lot of client conversations and meetings going on, 3 broad items coming out.
We are still a little shielded from the impacts of the Middle East in the business that we operate in. And again, God be kind to everybody, and I don't want to get political on this , and let things pass and be okay. But number one, most of the client conversations are still shielded from a wa

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standpoint, right? Still conversations around , how do we increase market share, how do we make products more viable? How do we improve our products experience with our customers? That's number one key.

Number two question, which is where we've been actually spending a little bit of our time ourselves is will AI be a net positive for my business or be a net negative? And how do I make sure it's a net positive? Because a lot of -- their Boards are asking them this question, so they come back and ask us. And though other companies are very strong in IT and are able to do that . These are engineering -based and these are manufacturing -based, and these questions come up on how to address it, right? And now we have tied up with Databricks, we have tied up with Anthropic. We've done a couple of other tie -ups. So, we are able to bring these in and be able to address it.
The third question coming up is that is their better ways to execute the projects that we are doing and others are doing on existing systems? So, overall cost remains neutral or comes down because they are all facing this token cost that is there, so they want to find a way to neutralize it. So Bhavi k, that's broadly the conversations that we have had across sectors. I hope I have answered your question.
Bhavik Mehta : Yes, that's helpful. Thank you.
Moderator: Thank you. I would now like to hand the conference over to Mr. Sandesh Naik for closing comments. Over to you, sir.
Sandesh Naik: Thank you all for joining us on the call today. We hope we were able to address your queries. If there are any follow -ups, we'll be happy to address them. With that, we are signing off for today , and look forward to interacting with you through the quarter. Wish you all a very good evening and a good day. Thank you.
Moderator: On behalf of L&T Technology Services Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy.